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BBM PRO The Foundation Course for Beginners

Indian Banking System : Structure Chapter - 1

What is Bank?

A Financial Organisation which is involved in Banking as per the Banking Regulation Act, 1949.

What is Banking?

The Process of Accepting deposits from public, with the faciilty to withdraw on demand, payable through cheque* and providing loans to the public is called as Banking.

Important Points

Madras Bank

It was India's First Bank established in 1683 and was later merged into Bank of Madras and eventually SBI

Grindlays Bank

Comptoir national d'escompte de Paris was the first foreign bank in India established in 1860

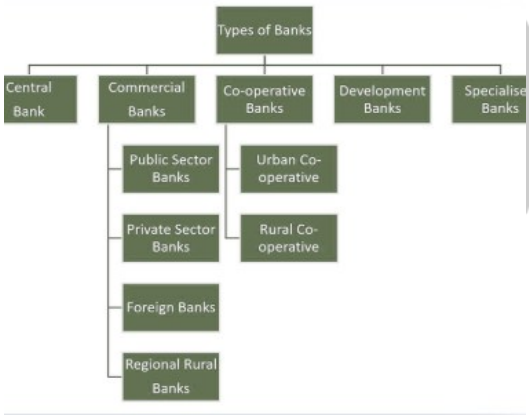
Oudh Commercial Bank

Oudh Commercial bank was India's first Joint Stock Bank established in Faizabad, Uttar Pradesh

Central Bank of India

It was the first commercial Indian bank completely owned and managed by Indians "Swadeshi"

Types of Banks:



INDIAN BANKING SYSTEM

INDIAN BANKING IS REGULATED AND MANAGED BY THE RESERVE BANK OF INDIA :

Scheduled Banks

Non-Scheduled Banks

R-NBFCs and Housing Finance Companies

Neo Banks and Payment Aggregators

Scheduled Banks

These banks refer to those banks which have been included in the Second Schedule of Reserve Bank of India Act, 1934

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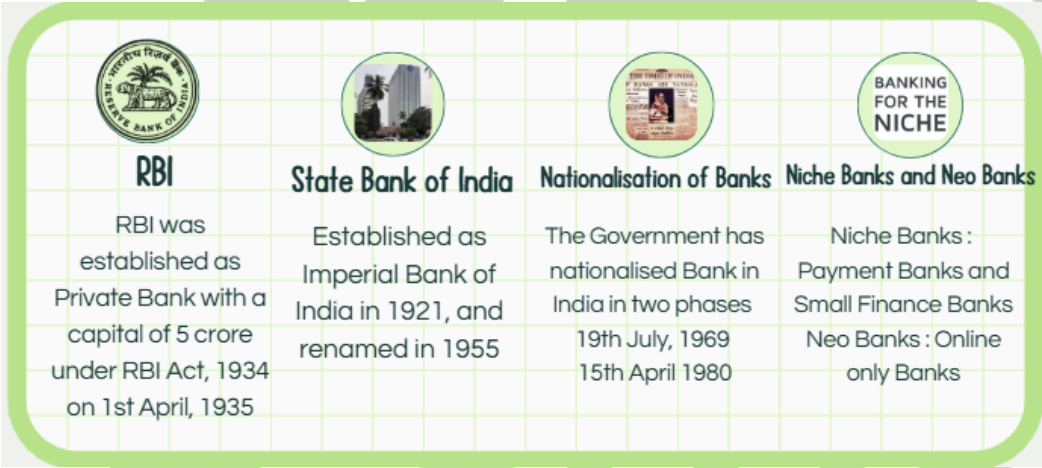
Scheduled Commercial Banks and Scheduled Co-operative Banks

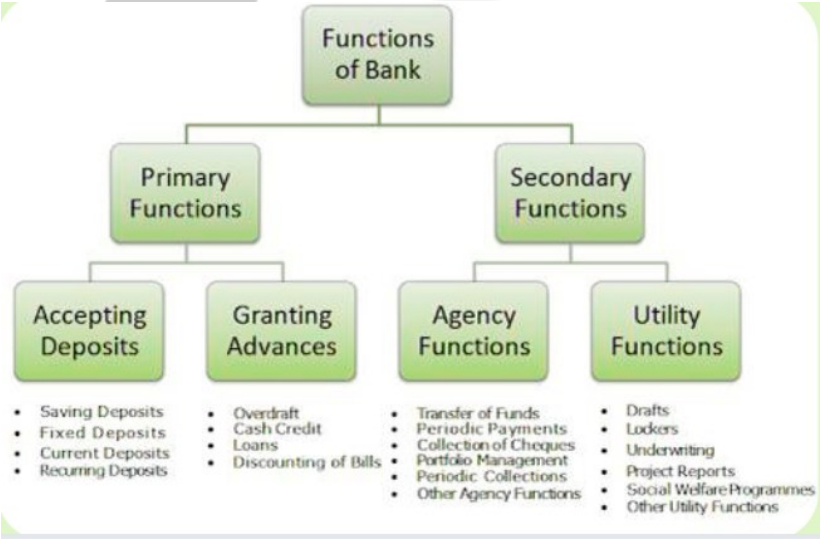
Facilities

It becomes eligible for debts/loans at the bank rate from the RBI

it automatically acquires the membership of clearing house.

Basis	Scheduled Banks	Non-Scheduled Banks
Inclusion	Listed in the Second Schedule of RBI Act, 1934.	Not listed in the Second Schedule.
Capital Requirement	Minimum paid-up capital of ₹5 lakh.	No specific requirement.
CRR Maintenance	Maintain Cash Reserve Ratio (CRR) with RBI.	Maintain CRR with themselves.
Borrowing from RBI	Can borrow funds from RBI.	Can borrow only in emergencies.
Clearing House Membership	Automatic membership.	Not eligible.
Supervision	Strictly regulated by RBI.	Lesser degree of regulation.
Examples	SBI, HDFC Bank, PNB.	Local Area Banks, small UCBs.





State Bank of India	1955	Mumbai, India
Punjab National Bank	1908	New Delhi, India
Bank of Baroda	1908	Gujarat, India
Canara Bank	1906	Bangalore, India
Union Bank of India	1919	Mumbai, India
Bank of India	1906	Mumbai, India
Indian Bank	1907	Chennai, India
Central Bank of India	1911	Mumbai, India
Indian Overseas Bank	1937	Chennai, India
UCO Bank	1943	Kolkata, India
Bank of Maharashtra	1935	Pune, India
Punjab & Sindh Bank	1894	Rajendra Place New Delhi, India

Reserve Bank of India (RBI)

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The Reserve Bank of India (RBI) is the Central Bank of India, meaning that it is the apex body in the Banking System in India.

It is owned by the Union Ministry of Finance.

It acts as a regulatory body, responsible for the regulation of the Indian banking system as well as the control, issuing, and maintaining money supply in the Indian economy.

Commercial Banks

Commercial Banks refer to those banks under the Banking System in India that run on a commercial basis.

It means that they operate and offer services to earn a profit.

They are regulated under the Banking Regulation Act, 1949.

Scheduled Commercial Banks (SCBs) in India (Classification based on data of the Department of Financial Services – DFS)

1. Public Sector Banks (PSBs)

Public Sector Banks are constituted under:

State Bank of India Act, 1955

Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970

Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980

2. Private Sector Banks

These are banking companies licensed to operate under the Banking Regulation Act, 1949.

Ownership and management are in private hands.

3. Foreign Banks (Private Sector – Foreign Origin)

These banks have their headquarters outside India.

They must comply with:

Regulations of the Reserve Bank of India (RBI)

Rules and policies of their parent bank abroad

4. Regional Rural Banks (RRBs)

Origin: Established on the recommendations of the Narasimham Working Group (1975).

Legal Basis: Established under the Regional Rural Banks Act, 1976.

5. Small Finance Banks (SFBs)

Licensing: Licensed under the Banking Regulation Act, 1949.

Target Groups:

Small business units

Small and marginal farmers

Micro and Small Enterprises (MSEs)

Unserved and underserved sections of society

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Primarily undertake basic banking activities.

6. Payments Banks
Structured as Public Limited Companies.
Licensed under: Banking Regulation Act, 1949.
Key Restrictions: Can accept demand deposits only (no lending).



Private Sector Banks
At present, India has 21 private sector banks recognized by the RBI. Some of the most prominent ones include:
HDFC Bank: India's largest private sector bank known for innovation and retail lending
ICICI Bank: Pioneered digital banking services and diversified financial products
Axis Bank: Known for its strong corporate banking operations

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Bank name	Established	Headquarters
Axis Bank	1993	Mumbai, Maharashtra
Bandhan Bank	2015	Kolkata, West Bengal
CSB Bank	1920	Thrissur, Kerala
City Union Bank	1904	Kumbakonam, Tamil Nadu
DCB Bank	1930	Mumbai, Maharashtra
Dhanlaxmi Bank	1927	Thrissur, Kerala
Federal Bank	1931	Kochi, Kerala
HDFC Bank	1994	Mumbai, Maharashtra
ICICI Bank	1994	Mumbai, Maharashtra
IDBI Bank	1964	Mumbai, Maharashtra
IDFC First Bank	2015	Mumbai, Maharashtra
IndusInd Bank	1994	Mumbai, Maharashtra
Jammu & Kashmir Bank	1938	Srinagar, Jammu and Kashmir
Karnataka Bank	1924	Mangaluru, Karnataka
Karur Vysya Bank	1916	Karur, Tamil Nadu
Kotak Mahindra Bank	2003	Mumbai, Maharashtra
Nainital Bank	1922	Nainital, Uttarakhand
RBL Bank	1943	Mumbai, Maharashtra
South Indian Bank	1929	Thrissur, Kerala
Tamilnad Mercantile Bank	1921	Thoothukkudi, Tamil Nadu
Yes Bank	2004	Mumbai, Maharashtra

Public Sector vs Private Sector Banks Difference

Feature	Public Sector Banks	Private Sector Banks
Ownership	Majority owned by Government	Majority owned by private shareholders
Objective	Focus on social welfare and financial inclusion	Focus on profitability and customer satisfaction
Technology	Moderate technology adoption	Advanced digital banking and innovation
Customer Service	Traditional and process-driven	Fast, efficient, and customer-centric
NPAs	Relatively higher due to social lending	Comparatively lower due to stricter credit assessment
Job Security	Higher job stability	Lower job stability, performance-linked growth
Rural Presence	Extensive rural network	Limited rural coverage

Domestic Systemically Important Banks (D-SIBs)

Domestic Systemically Important Banks (D-SIBs) under the Banking System in India refer to those banks that are 'Too Big to Fail (TBTF)'.

Due to this perception, these banks enjoy certain advantages in the funding markets.

D-SIBs in India are recognized by the RBI under its framework issued in 2014.

Usually, the banks whose assets exceed 2% of the GDP of India are considered as D-SIBs.

As of now, the State Bank of India (SBI), ICICI Bank, and HDFC Bank have been identified as D-SIBs by the RBI.

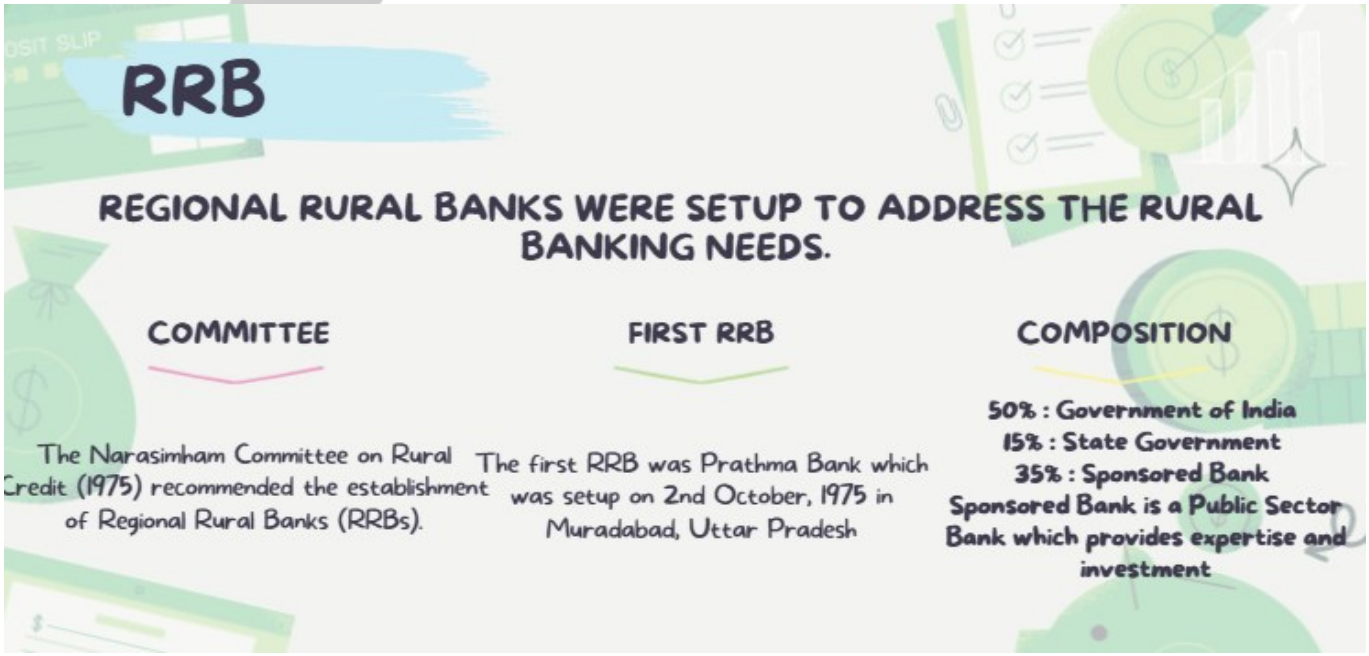
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Foreign investment in public sector banks is capped at 20%, while private banks allow up to 74% under existing regulations.

Can foreign banks have operations in India?

Yes. Foreign banks can either operate through branch presence or through 100% wholly owned subsidiary (WOS).



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Regional Rural Bank

Recent Development

Department of Financial Services (DFS) notified amalgamation of 26 RRBs.

Based on the principle: “One State, One RRB”.

Legal Basis

Done by the Central Government under powers of the Regional Rural Banks Act, 1976.

Post-Amalgamation Status

This is the 4th phase of amalgamation.

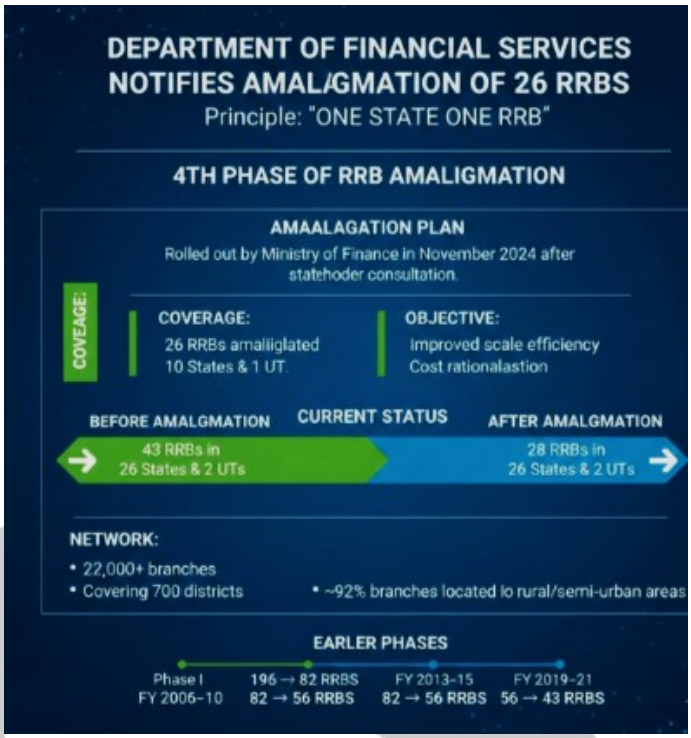
Number of RRBs reduced from 43 to 28.

Coverage: 26 States + 2 Union Territories.

Regional Rural Bank

Authorised capital: ₹2,000 crore, divided into 200 crore fully paid shares of ₹10 each.

Subscribed capital: Equal to the combined subscribed capital of transferor RRBs, which is deemed transferred to the transferee RRB.



The entire share capital and share capital deposit of the transferee Regional Rural Bank shall be as under:

1.	Share Capital	
(a)	Central Government	Rupees sixty one crore twenty one lakh twenty eight thousand seven hundred ninety
(b)	State Government	Rupees eighteen crore thirty six lakh thirty eight thousand four hundred eighty
(c)	Sponsor Bank	Rupees forty two crore eighty four lakh ninety thousand one hundred thirty
2.	Share Capital Deposit	Nil

Sl. No.	RRB	State/UT	Head Office	Sponsor Bank
1	Andhra Pradesh Grameena Bank	Andhra Pradesh	Amravati	Union Bank of India
2	Arunachal Pradesh Rural Bank	Arunachal Pradesh	Naharlagun	State Bank of India
3	Assam Gramin Bank	Assam	Guwahati	Punjab National Bank
4	Bihar Gramin Bank	Bihar	Patna	Punjab National Bank
5	Chhattisgarh Gramin Bank	Chhattisgarh	Raipur	State Bank of India
6	Gujarat Gramin Bank	Gujarat	Vadodara	Bank of Baroda
7	Haryana Gramin Bank	Haryana	Rohtak	Punjab National Bank
8	Himachal Pradesh Gramin Bank	Himachal Pradesh	Mandi	Punjab National Bank
9	Jammu and Kashmir Grameen Bank	Jammu and Kashmir	Jammu	J and K Bank Ltd.
10	Jharkhand Gramin Bank	Jharkhand	Ranchi	State Bank of India

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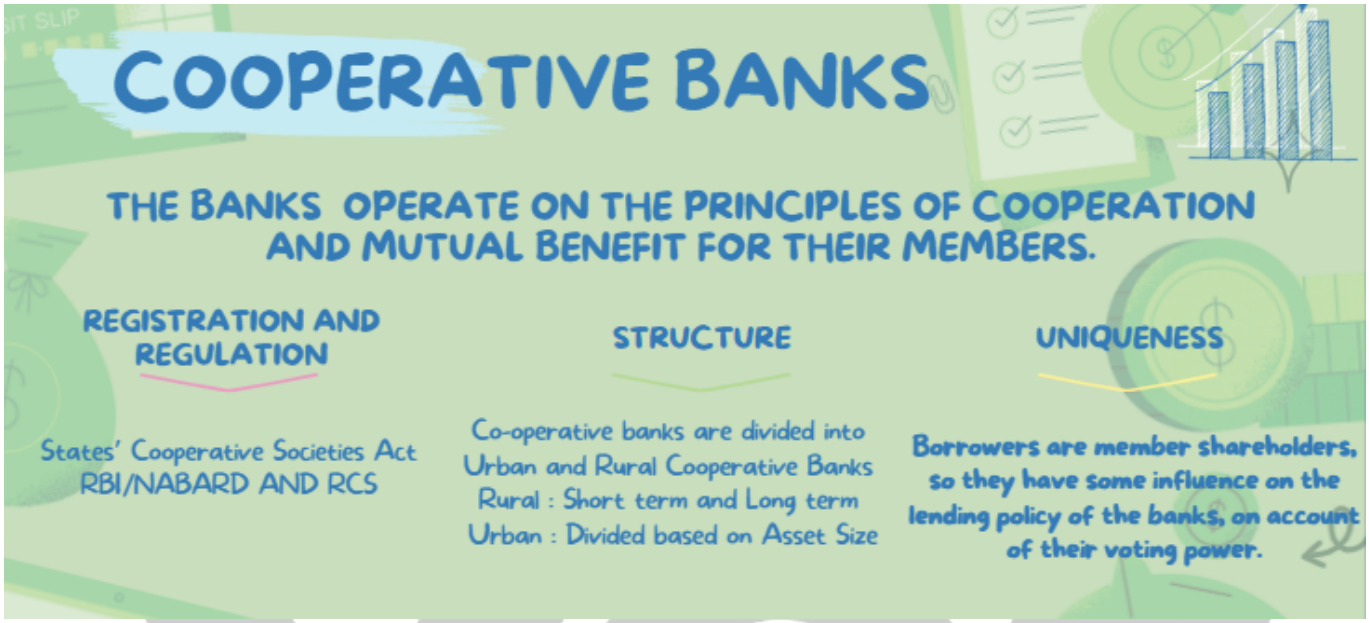


Sl. No.	RRB	State/UT	Head Office	Sponsor Bank
11	Karnataka Grameena Bank	Karnataka	Ballari	Canara Bank
12	Kerala Grameena Bank	Kerala	Malappuram	Canara Bank
13	Madhya Pradesh Gramin Bank	Madhya Pradesh	Indore	Bank of India
14	Maharashtra Gramin Bank	Maharashtra	Chhatrapati Sambhajinagar	Bank of Maharashtra
15	Manipur Rural Bank	Manipur	Imphal	Punjab National Bank
16	Meghalaya Rural Bank	Meghalaya	Shillong	State Bank of India
17	Mizoram Rural Bank	Mizoram	Aizwal	State Bank of India
18	Nagaland Rural Bank	Nagaland	Kohima	State Bank of India
19	Odisha Grameen Bank	Odisha	Bhubaneswar	Indian Overseas Bank
20	Puducherry Grama Bank	Puducherry	Puducherry	Indian Bank
21	Punjab Gramin Bank	Punjab	Kapurthala	Punjab National Bank
22	Rajasthan Gramin Bank	Rajasthan	Jaipur	State Bank of India
23	Tamil Nadu Grama Bank	Tamil Nadu	Salem	Indian Bank
24	Telangana Grameena Bank	Telangana	Hyderabad	State Bank of India
25	Tripura Gramin Bank	Tripura	Agartala	Punjab National Bank
26	Uttar Pradesh Gramin Bank	Uttar Pradesh	Lucknow	Bank of Baroda
27	Uttarakhand Gramin Bank	Uttarakhand	Dehradun	State Bank of India
28	West Bengal Gramin Bank	West Bengal	Kolkata	Punjab National Bank

PSL Targets for Banks:

Bank Category	Target
Scheduled Commercial Banks (SCBs) & Foreign Banks (with 20+ branches in india)	40% of ANBC or CEOBE, whichever is higher
Foreign Banks (less than 20 branches)	40% of ANBC or CEOBE (export Credit: Minimum 32%, and non-export sectors 8%)
Regional Rural Banks (RRBs) & Small Finance Banks (SFBs)	75% of ANBC or CEOBE, whichever is higher

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Main Categories

1. Urban Cooperative Banks (UCBs)
Operate in urban and semi-urban areas.
Provide housing loans, personal loans, MSME credit, and deposits.
Over 1,500 UCBs in India; 90%+ on Core Banking Solutions (CBS) (2024–25).
Types:
Scheduled UCBs – Listed in Second Schedule of the RBI Act, 1934.
Non-Scheduled UCBs – Not listed but regulated by Reserve Bank of India.

2. Rural Cooperative Banks (RCBs)
Serve agriculture and rural areas.
(a) Short-Term Cooperative Credit Structure (3-Tier)
State Cooperative Banks (SCBs) – Apex at state level.
District Cooperative Central Banks (DCCBs) – District level; finance PACS.
Primary Agricultural Credit Societies (PACS) – Village level; short-term loans (1–3 years).
(b) Long-Term Cooperative Credit Structure (2-Tier)
State Cooperative Agriculture and Rural Development Banks (SCARDBs) – Long-term credit (up to 25 years).
Primary Cooperative Agriculture and Rural Development Banks (PCARDBs) – Medium and long-term loans to farmers and rural artisans.

Cooperative Banks Regulation
Cooperative banks are regulated by multiple authorities, depending on their type and jurisdiction.
RBI: Oversees banking operations under the Banking Regulation Act, 1949.
NABARD: Supervises rural cooperative banks and provides refinance support.
Registrar of Cooperative Societies (RCS): Handles registration and administrative control at the state level.

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Ministry of Cooperation (Government of India): Formed in 2021 to strengthen cooperative institutions across India.

Amendment to the Banking Regulation Act, 2020: Empowered RBI to exercise control over both urban and multi-state cooperative banks.

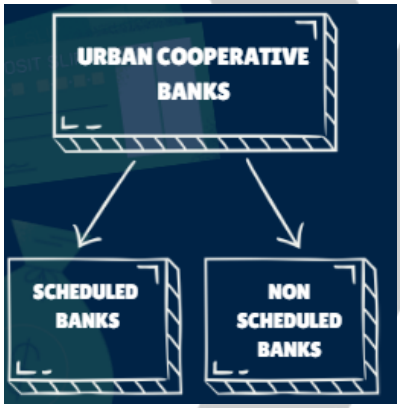
Digitization Drive (NABARD, 2024): All cooperative banks to be fully digitized by March 2025, including PACS under Core Banking Solution (CBS). (Source: Business Standard, Nov 2024)

Cooperative Policy Framework (2023): Proposed to streamline governance and accountability in cooperatives under a single code.

Development Banks

Development Banks are also known as Term-Lending Institutions (TLIs) or Development Finance Institutions (DFIs).

They are specialized financial institutions under the Banking System in India that provide long-term finance and support to the sectors of the Indian economy which possess higher risks and cannot have access to adequate loans from Commercial Banks.



NATIONALISATION OF BANKS

Tier 1 with all unit UCBs and salary earner's UCBs (irrespective of deposit size) and all other UCBs having deposits up to Rs 100 crore.

Tier 2 with UCBs of deposits between Rs 100 crore and Rs 1,000 crore.

Tier 3 with UCBs of deposits between Rs 1,000 crore and Rs 10,000 crore.

Tier 4 with UCBs of deposits more than Rs 10,000 crore.

Tier 1 UCBs shall maintain a minimum CAR of 9 per cent of risk-weighted assets (RWAs) on an ongoing basis. Tier 2 to tier 4 UCBs shall maintain a minimum CAR of 12 per cent of RWAs

PSL Targets for Urban Cooperative Banks (UCBs): Revised PSL target for UCBs reduced to 60% (from 75%) of Adjusted Net Bank Credit (ANBC) or Credit Equivalent of Off-Balance Sheet Exposure (CEOBE), whichever is higher.

Note: ANBC is the total net bank credit after making necessary deductions and adjustments, and CEOBE is the amount representing the credit risk exposure of off-balance sheet items such as guarantees and letters of credit.

PSL Targets of Urban Co-operative Banks

Evolution of PSL: Gadgil Committee (1969) proposed the 'Area Approach', leading to the Lead Bank Scheme (LBS) for regional credit planning.

The Nariman Committee (1969) supported the Gadgil Committee's recommendations and recommended that each Public Sector Bank should adopt certain districts as 'Lead Banks' to boost PSL.

PSL was formalized in 1972 based on the RBI's Informal Study Group's report (1971). Initially, no targets were set, but in 1974, banks were advised to raise PSL to 33.3% by 1979.

Krishnaswamy Committee (1980) recommended a 40% PSL target by 1985, with sub-targets for agriculture and weaker sections.

Usha Thorat Committee (2009) endorsed the continuation of the LBS for its role in the expansion of PSL.

Revised Priority Sector Lending (PSL) Guidelines, 2025

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Objective: Enhance financial inclusion, support education, renewable energy, housing, and rationalise targets for Urban Cooperative Banks (UCBs).

1. Higher Loan Limit for Education

Earlier limit: ₹20 lakh per individual (Revised limit: ₹25 lakh per individual)

Coverage: Loans for higher education, including overseas studies

2. Renewable Energy Loans

a. Project Loans

Earlier limit: ₹30 crore per borrower (Revised limit: ₹35 crore per borrower)

Eligible projects: Solar power, Biomass energy, Micro-hydel power plants

b. Individual Household Loans

Limit unchanged: ₹10 lakh per borrower

Purpose: Rooftop solar systems and small renewable installations

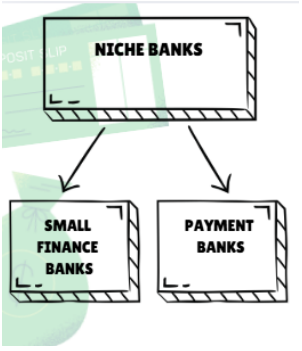
3. Housing Sector – Enhanced Loan Limits

Loan limits increased to promote affordable housing

Special focus: Tier-III to Tier-VI cities

Objective: Reduce urban housing shortage, Support inclusive urbanisation

Basis of Difference	Commercial Banks	Cooperatives Banks
Formed as	Joint-stock Banks.	Co-operative organizations.
Governing Act	Banking Regulation Act 1949.	Co-operative Societies Act of 1904.
Regulation	Subject to the control of the Reserve Bank of India directly.	Subject to the rules laid down by the Registrar of Co-operative Societies.
SLR and CRR Requirements	Relatively Higher.	Relatively Lower.
Services Offered	Larger scope in offering a variety of banking services.	Lesser scope in offering a variety of banking services.



Differentiated Banks

Differentiated Banks under the Indian Banking System refer to those banks that cater to a specific segment of customers.

The concept of Differentiated Banks was introduced in the Banking System in India by the RBI based on the recommendations of the Nachiket Mor Committee in 2013 in order to offer specialized services or unique products designed specifically to suit a particular sector.

Nachiket Mor Committee (2013)

The concept of Differentiated Banking was introduced in 2013 based on the recommendations of the Nachiket Mor Committee.

Objective:

To promote financial inclusion by creating specialised banks catering to specific customer segments.

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Key Outcome:
Introduction of Small Finance Banks (SFBs) and Payments Banks.

Small Finance Banks (SFBs)
Origin and Legal Framework
Established on the recommendations of the Nachiket Mor Committee.
Licensed by: Reserve Bank of India (RBI)
Governing Laws:
Banking Regulation Act, 1949
Reserve Bank of India Act, 1934
Eligible Promoters
Individuals
Corporate entities
Trusts and societies
Non-Banking Financial Companies (NBFCs)
Micro Finance Institutions (MFIs)
Local Area Banks (LABs)
Regulatory Requirements
Priority Sector Lending (PSL): Minimum 75% of Adjusted Net Bank Credit (ANBC) to priority sectors.
Small Loan Focus: At least 50% of loans and advances must be of size up to ₹25 lakh.

Payments Banks
Origin and Legal Framework
Established on the recommendations of the Nachiket Mor committee.
Licensed under: Banking Regulation Act, 1949
Frequently asked in UPSC (2016) and other competitive exams.
Capital and Ownership
Minimum paid-up capital: ₹100 crore
Promoter shareholding: At least 40% to be maintained for the first five years.
Eligible Promoters
Existing Prepaid Payment Instrument (PPI) issuers
Mobile telephone companies
Micro Finance Institutions (MFIs)
Small Finance Banks (SFBs)
Permitted Activities
Can provide: Savings accounts and Current accounts
Allowed to issue: ATM cards, Debit cards,
Can distribute third-party products: Mutual funds, Insurance, Third-party loans
Foreign Direct Investment (FDI) is allowed in Payments Banks.
Can accept demand deposits only: Maximum ₹2 lakh per individual customer

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Not allowed to accept: Time deposits, Non-Resident Indian (NRI) deposits, Cannot set up subsidiaries for non-banking activities.

Conversion Option

Payments Banks can apply for conversion into Small Finance Banks (SFBs) after five years of operations, subject to RBI approval.

SMALL FINANCE BANKS

provide financial services to the unserved and unbanked region of the country.

They are registered as a public limited company under the Companies Act, 2013.

SFBs will be given scheduled bank status once they commence their operations, and found suitable as per Section 42 of the Reserve Bank of India Act, 1934.

They work as Differentiated banks and do not possess Universal Bank license.

Small Finance Bank	Foundation Date
AU Small Finance Bank	1996
Capital Small Finance Bank	2000
Equitas Small Finance Bank	2007
ESAF Small Finance Bank	1992
Fincare Small Finance Bank	2007
Jana Small Finance Bank	2008
Northeast Small Finance Bank	2017
Shivalik SFB	2009
Suryoday Small Finance Bank	2005
Utkarsh Small Finance Bank	2009
Unity Small Finance Bank	2021
Ujjivan Small Finance Bank	2005

PAYMENT BANKS

A payments bank is like any other bank, but operating on a smaller scale without involving any credit risk.

It can accept demand deposits (up to Rs 2 lakh), offer remittance services, mobile payments/transfers/purchases and other banking services like ATM/debit cards, net banking and third-party fund transfers.

It does not issue loans and credit cards

widen the spread of payment and financial services to small business, low-income households, migrant labour workforce in secured technology-driven environment.

Payment Banks in India		
S. No.	Name	Headquarters
1.	Airtel Payments Bank Limited	New Delhi
2.	India Post Payments Bank Limited	New Delhi
3.	Fino Payments Bank Limited	Navi Mumbai
4.	Paytm Payments Bank Limited	Noida, UP
5.	Jio Payments Bank Limited	Navi Mumbai
6.	NSDL Payments Bank Limited	Mumbai

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Criteria	Small Finance Banks	Payment Banks
Registration and Licensing	Registered under the Companies Act, and licensed under the Banking Regulation Act, 1949	Registered under the Companies Act, 2013, and licensed under the Banking Regulation Act, 1949
Eligibility	Resident Indians, Private Companies, Societies, NBFCs, MFIs, Local Area Banks	Pre-paid Payment Instrument (PPI) Providers, Resident individuals; NBFCs; Telecom Companies, super-market chains, public sector entities, etc.
Minimum Capital Requirements	₹200 crore	₹100 crores
FDI allowed	Yes. Up to 74%	Yes. Up to 74%
Accept Deposits	Yes.	Only Demand Deposits. No Fixed Deposits and NRI Deposits

Criteria	Small Finance Banks	Payment Banks
Restrictions on Deposits	No Restrictions	Up to ₹2 Lakhs
Deposit Insurance Available?	Yes	Yes
Can Lend Loans	Yes. At least 50 percent of its loan portfolio should constitute loans and advances of up to ₹25 lakh.	No
Issue Debit/Credit Card	Can issue both Debit Cards as well as Credit Cards.	Only Debit Card. No Credit Card
Statutory liquidity ratio (SLR) and Cash Reserve ratio (CRR) applicable	CRR and SLR Applicable.	CRR Applicable; SLR: 75% of Net Demand and Time Liabilities (NDTL)

Criteria	Small Finance Banks	Payment Banks
BASEL Norms applicable	Yes. 15% of Risk Weighted Assets (RWAs)	Yes. 15% of Risk Weighted Assets (RWAs)
Priority Sector Lending (PSL) Norms applicable	Yes. Target: 75%.	No. Can't lend Loans

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Universal bank criteria

RBI's 2024 Guidelines for Converting SFBs into Universal Banks

Eligible Applicants: Only listed Small Finance Banks (SFBs) are eligible to apply for conversion into a Universal Bank.

Financial Requirements: Must have a minimum net worth of Rs 1,000 crore, scheduled bank status, and a profitable operational record for at least five years.

Asset Quality Criteria: Must maintain gross NPAs below 3% and net NPAs below 1% consistently for the previous two years.

Other types of banks

Microfinance Institutions (MFIs)

Definition: Specialised financial institutions providing:

Micro-loans

Micro-savings

Micro-insurance

to low-income individuals and groups at relatively lower interest rates.

Microloan limit (India): Loans below ₹1 lakh are considered microloans

Objective: Financial inclusion of economically weaker sections.

Regulated indirectly through NBFC-MFIs by the Reserve Bank of India (RBI).

Neo Banks

Definition:

Fully digital banking platforms

No physical branches

Operate by partnering with licensed banks.

Examples: YONO by State Bank of India, RazorpayX

Key Point:

Neo banks are not banks themselves

They do not have independent banking licences.

Lead Bank Scheme (LBS)

Concept: Assignment of a lead role to a specific bank for each district.

Coverage: Both Public Sector Banks (PSBs) and Private Sector Banks.

Objective: Improve district-level credit planning, financial inclusion and banking outreach.

Origin:

Introduced by Reserve Bank of India

Based on recommendations of:

Gadgil Study Group

Banker's Committee

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Nidhi Companies
Nature: Included in the definition of Non-Banking Financial Companies (NBFCs).
Registration: Under the Companies Act, 1956.
Regulator: Ministry of Corporate Affairs (MCA) (not RBI).
Operations:
Accept deposits only from members
Lend only to members
Objective: Mutual benefit of members through savings and lending.

Chit Funds
Definition:
A rotating savings and credit scheme.
Fixed number of subscribers contribute installments over a fixed period.
Constitutional Status: Included in the Concurrent List.
Regulation: Not regulated by RBI and Excluded from the SEBI Act
Governing Law: Central Chit Funds Act, 1982
Rules framed by State Governments
Regulator: State Governments.

Ponzi Schemes
Fraudulent investment schemes promising high returns with little or no risk.
Mechanism: Returns to old investors are paid using money from new investors.
Nature: Unsustainable and illegal
Famous Example: Saradha Scam

Shadow Banking:
It is a set of activities or institutions that operate partially outside the traditional commercial banks.
They are not fully regulated by the RBI.
They are not under Banking Regulations Act, 1950.

Core Investment Company:
Specialized Non-Banking Financial Companies (NBFCs).
A Core Investment Company registered with the RBI has an asset size of above ₹ 100 crore.
Their main business is acquisition of shares and securities with certain conditions.

What is the '.bank.in' Domain and Why Are Banks Migrating to It?
The '.bank.in' domain is a secure web domain mandated by the RBI and managed by IDRBT, exclusively for verified Indian banks. Unlike generic domains like ".com" or ".org," only verified banks can register under ".bank.in".
This ensures authenticity and reduces the risk of customers falling prey to fraudulent or spoofed banking websites.

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Migration to this domain enhances credibility, makes websites easier to verify, and aligns with globally accepted banking cybersecurity practices.

Operating Models

Non-licensed FinTech (Financial Technology) firms that collaborate with conventional banks

Traditional banks that are undertaking their digital initiatives.

Licensed neobanks (usually with digital banking licences in those countries that allow it).

Digital Bank

Digital banks are often the online-only subsidiary of an established and regulated player in the banking sector, a neobank, on the other hand, exists solely online without any physical branches and independently or in partnership with traditional banks.

Differentiated Banking Landscape in India

Development Financial Institutions (DFIs)

Development Financial Institutions (DFIs) are specialised financial entities that provide long-term finance, mainly to sectors critical for economic growth, infrastructure development, agriculture, MSMEs and exports. They complement commercial banks by addressing long-gestation financing needs.

1. National Bank for Agriculture and Rural Development (NABARD)

Established: 1982

Based on: Recommendations of the B. Sivaraman Committee

Ownership: 100% owned by Government of India (GOI)

Role:

Apex institution for agriculture and rural development finance

Refinancing, supervision and development of cooperative banks and Regional Rural Banks (RRBs)

Entity: NABARD

2. Small Industries Development Bank of India (SIDBI)

Established: 1990

Ownership: Government of India

Role:

Principal financial institution for Micro, Small and Medium Enterprises (MSMEs)

Refinancing, direct lending, and promotion of MSME ecosystem

Entity: Small Industries Development Bank of India

3. Export–Import Bank of India (EXIM Bank)

Established: 1982

Ownership: Wholly owned by the Central Government

Role:

Financing, facilitation and promotion of India's international trade

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Provides buyer's credit, supplier's credit and export finance
Entity: Export-Import Bank of India

4. National Housing Bank (NHB)
Instituted: 1988
Legal Basis: National Housing Bank Act, 1987
Ownership: Wholly owned by Government of India (GOI)
Role:
Apex institution for housing finance
Regulation and supervision of Housing Finance Companies (HFCs)
Entity: National Housing Bank

5. Micro Units Development and Refinance Agency (MUDRA Bank)
Set up under: Pradhan Mantri MUDRA Yojana (PMMY)
Role:
Provides refinance and low-interest funding to:
Micro Finance Institutions (MFIs)
Non-Banking Financial Companies (NBFCs)
Supports loans to micro and small enterprises (Shishu, Kishor, Tarun categories)
Entity: MUDRA Bank

6. National Bank for Financing Infrastructure and Development (NaBFID)
Established: 2021
Legal Basis: National Bank for Financing Infrastructure and Development Act, 2021
Role:
India's new dedicated DFI for infrastructure financing
Focus on long-term financing of roads, railways, ports, power and urban infrastructure
Entity: National Bank for Financing Infrastructure and Development

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NBFCs in India : the Complete Guide Chapter - 2

What is a Non-Banking Financial Company (NBFC)?

Company registered under the Companies Act, 1956 or Companies Act, 2013

Institutions whose principal business is:

Agricultural activity

Industrial activity

Purchase or sale of goods (other than securities)

Provision of services

Sale, purchase, or construction of immovable property

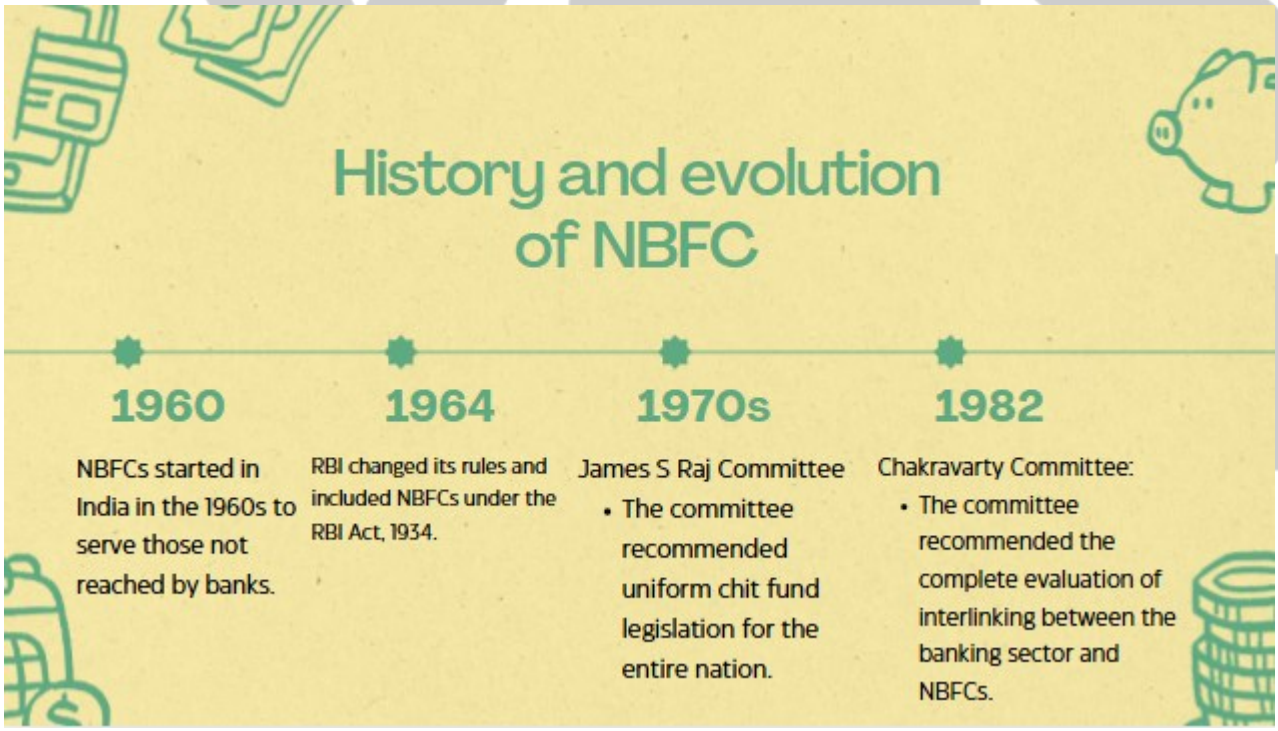
Such entities are not classified as NBFCs.

Financial activities as its principal business

Providing loans and advances

Acquisition of shares, stocks, bonds, debentures, or other marketable securities

Leasing and hire-purchase activities

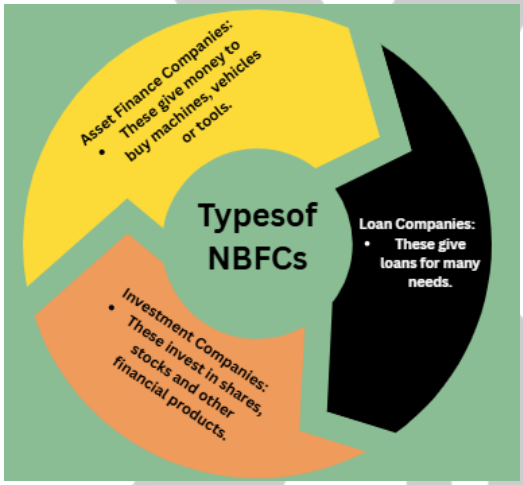


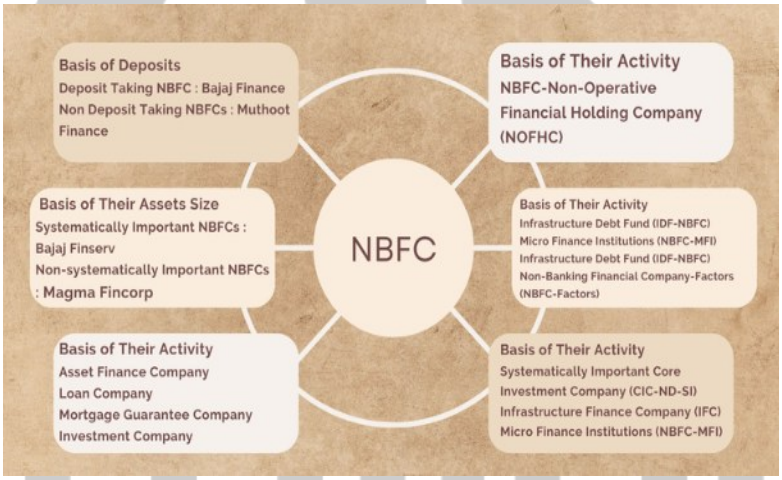
Key Differences Between NBFCs and Banks

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Feature	NBFCs	Banks
Regulation	Regulated by the RBI but do not have a full banking licence	Fully regulated by the RBI with a baking licence
Deposit Acceptance	Cannot accept demand deposits like saving accounts	Can accept demand deposits and issue cheques
Loan Issuance	Can give loans, but interest rates may be higher	Offers loans at lower interest rates
Services Offered	Loans, credit, insurance and asset management	Loans, savings accounts, deposits, payment services and more
Safety of Deposits	Not fully guaranteed by the government	Deposits are safe as they are insured under the DICGC scheme
Scope of Operations	Focus on specific services	Offer a wide variety of services to everyone
Customers	Focused on niche markets	Serve a broader customer base





Generally every NBFC must be registered with the Reserve Bank of India (RBI) to commence or carry on the business of a non-banking financial institution.

As per Section 45-IA of the RBI Act, 1934:

No NBFC can start or continue business without obtaining a Certificate of Registration (CoR) from the Reserve Bank of India.

An NBFC must also maintain minimum Net Owned Funds (NOF) of ₹10 crore.

NOF Requirement (Effective from October 01, 2022):

New NBFCs seeking registration must have ₹10 crore NOF ab initio.

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Type of Institution	Regulatory Authority
NBFCs registered with RBI	RBI
Housing Finance Institutions	National Housing Bank
Merchant Banking Companies, Venture Capital Fund Companies, Stock Broking, Collective Investment Schemes (CIS)	SEBI
Nidhi Companies, Mutual Benefit Companies	Ministry of Corporate Affairs (MCA)
Chit Fund Companies	State Government
Insurance Companies	IRDAI
Non-Banking Non-Financial Companies	Statute- Companies Act 1956 Regulator- Ministry of Corporate Affairs Enforcement Agency- State Governments



NBFCs Exempted from RBI Registration

To avoid dual regulation, certain categories of NBFCs regulated by other authorities are exempted from RBI registration, such as:

Alternative Investment Funds (AIFs) regulated by SEBI

Merchant Banking Companies registered with SEBI

Stock Broking Companies registered with SEBI

Insurance Companies holding a valid Certificate of Registration from IRDAI

Nidhi Companies notified under Section 620A of the Companies Act, 1956

Chit Companies conducting chit business under the Chit Funds Act, 1982

Stock Exchanges

Mutual Benefit Companies, etc.

Requirements for Registration with the Reserve Bank of India (RBI)

A company intending to commence the business of a Non-Banking Financial Institution under Section 45-I(a) of the RBI Act, 1934 must comply with the following conditions:

1. Incorporation Requirement

The applicant must be a company incorporated:

Under Section 3 of the Companies Act, 1956, or

Under the corresponding provisions of the Companies Act, 2013.

2. Minimum Net Owned Fund (NOF) Requirement

The company must have a minimum Net Owned Fund (NOF) of ₹10 crore.

3. Higher NOF Requirements for Specialised NBFCs

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Certain categories of NBFCs are required to maintain higher minimum NOF, as prescribed by the Reserve Bank of India:

NBFC–Infrastructure Finance Company (NBFC-IFC): ₹300 crore

Infrastructure Debt Fund–NBFC (IDF-NBFC): ₹300 crore

Mortgage Guarantee Company (MGC): ₹100 crore

Housing Finance Company (HFC): ₹20 crore

Standalone Primary Dealers (SPDs):

Core activities only: ₹150 crore

Core + non-core activities: ₹250 crore

NBFC–Account Aggregator (NBFC-AA): ₹2 crore

NBFC–Peer to Peer (NBFC-P2P): ₹2 crore

Categories of NBFCs Registered with the Reserve Bank of India

Based on Type of Liabilities

Deposit-accepting NBFCs (NBFC-D)

Non-deposit accepting NBFCs (NBFC-ND)

Based on Regulatory Structure

NBFC – Base Layer (NBFC-BL)

NBFC – Middle Layer (NBFC-ML)

NBFC – Upper Layer (NBFC-UL)

NBFC – Top Layer (NBFC-TL)

(Top Layer is empty as of now; populated only if RBI identifies systemically risky NBFCs)

Based on Nature of Activities Performed

1. Investment and Credit Company (ICC)
2. Housing Finance Company (HFC)
3. Infrastructure Finance Company (IFC)
4. Infrastructure Debt Fund – NBFC (IDF-NBFC)
5. Core Investment Company (CIC)
6. NBFC – Micro Finance Institution (NBFC-MFI)
7. NBFC – Factors
8. Mortgage Guarantee Company (MGC)
9. Standalone Primary Dealers (SPDs)
10. Non-Operative Financial Holding Company (NOFHC)
11. NBFC – Account Aggregator (NBFC-AA)
12. NBFC – Peer-to-Peer Lending Platform (NBFC-P2P)

1. Investment and Credit Company (ICC)

Engaged primarily in:

Asset finance

Loans and advances for activities other than own business

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Acquisition of securities
Residual category for NBFCs not classified elsewhere.

2. Housing Finance Company (HFC)
At least 60% of total assets in housing finance.
At least 50% of total assets in individual housing loans.
Governed under RBI Housing Finance Company Directions, 2021.

3. Infrastructure Finance Company (IFC)
Deploys minimum 75% of total assets in infrastructure lending.

4. Infrastructure Debt Fund – NBFC (IDF-NBFC)
A non-deposit taking NBFC.
Permitted to:
Refinance post-COD infrastructure projects with at least 1 year of satisfactory operations.
Finance Toll-Operate-Transfer (TOT) projects as direct lender.

5. Core Investment Company (CIC)
A CIC must satisfy all of the following:
At least 90% of net assets invested in group companies.
At least 60% of net assets in equity instruments of group companies.
No trading in group investments (except block sale).
Does not carry other financial activities except:
Investment in bank deposits, money market instruments, G-Secs.
Loans and guarantees to group companies.
Asset size ≥ ₹100 crore.
Accepts public funds.

6. NBFC – Micro Finance Institution (NBFC-MFI)
At least 75% of total assets in microfinance loans.
Microfinance loan:
Collateral-free loan.
To households with annual income ≤ ₹3 lakh.
No lien on borrower's deposit.
Flexible repayment with board-approved policy.

7. NBFC – Factors
Principal business is factoring.
At least:
50% of total assets in factoring.
50% of gross income from factoring business.

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8. Mortgage Guarantee Company (MGC)
Provides guarantee for housing loans.
Considered primarily engaged if:
90% of turnover, or
90% of gross income
is from mortgage guarantee business.

9. Standalone Primary Dealers (SPDs)
Authorised to undertake Primary Dealer activities in Government Securities.
Support G-Sec market through:
Participation in primary auctions.
Market-making in G-Secs.
Minimum secondary market turnover.
Categorised as:
SPDs with only core activities.
SPDs with core + non-core activities.

10. Non-Operative Financial Holding Company (NOFHC)
A non-deposit taking NBFC.
Holds:
Shares of a banking company, and
Shares of other financial services entities in the group.
As per Guidelines for Licensing of New Banks in the Private Sector (2013).

11. NBFC – Account Aggregator (NBFC-AA)
Undertakes account aggregation business.
Collects, consolidates, and presents financial information of customers.
Financial data:
Remains property of the customer.
Cannot be used for any other purpose.

12. NBFC – Peer-to-Peer Lending Platform (NBFC-P2P)
Acts as an intermediary between lenders and borrowers.
Facilitates loans through online platforms.
Does not lend on its own balance sheet.

Salient Features of NBFC Regulations for Depositors
1. Period of Deposit
NBFCs are permitted to accept or renew public deposits only if they are:
Repayable after a minimum of 12 months, and

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Not later than 60 months.
NBFCs cannot accept deposits repayable on demand.

2. Ceiling on Interest Rate
NBFCs cannot offer interest rates higher than the ceiling prescribed by the Reserve Bank of India from time to time.
Current ceiling rate: 12.5% per annum.
Interest:
May be paid or compounded.
Compounding frequency cannot be shorter than monthly rests.

3. Credit Rating Requirement
NBFCs accepting public deposits must have a minimum investment-grade credit rating of 'BBB–'.
The rating must be obtained from a SEBI-registered Credit Rating Agency.
Credit rating must be reviewed at least once every year.

4. No Deposit Insurance
Deposits with NBFCs are not insured.
Unlike bank deposits, NBFC deposits are not covered under any deposit insurance scheme.

5. No RBI Guarantee
The repayment of deposits is not guaranteed by the Reserve Bank of India.
Depositors bear the credit risk of the NBFC.

6. Mandatory Disclosures
NBFCs must make certain mandatory disclosures in the application form used for soliciting deposits.
These disclosures relate to:
Financial position of the company
Credit rating
Other material information relevant to depositors

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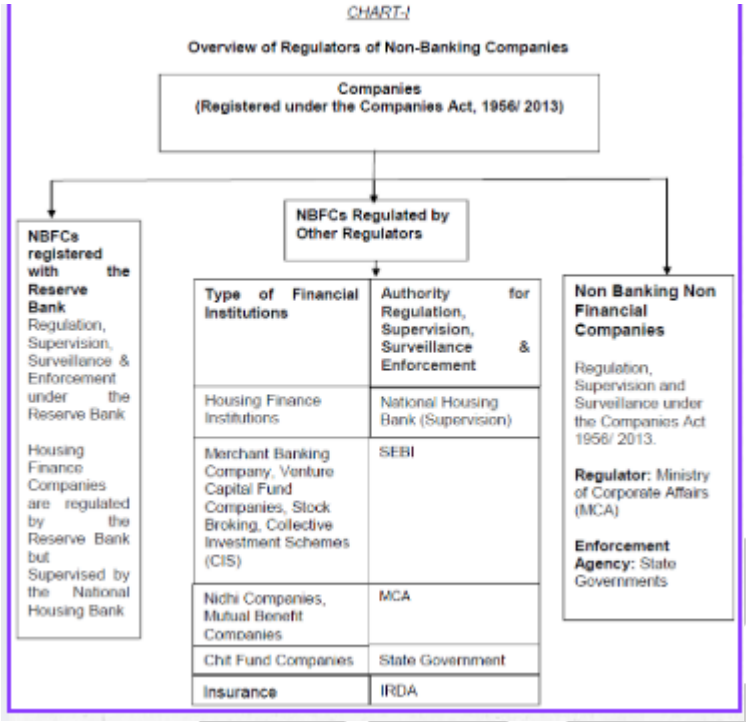


CHART-I

Overview of Regulators of Non-Banking Companies

Companies
(Registered under the Companies Act, 1956/ 2013)

NBFCs registered with the Reserve Bank
Regulation, Supervision, Surveillance & Enforcement under the Reserve Bank

Housing Finance Companies are regulated by the Reserve Bank but Supervised by the National Housing Bank

NBFCs Regulated by Other Regulators

Type of Financial Institutions	Authority for Regulation, Supervision, Surveillance & Enforcement
Housing Finance Institutions	National Housing Bank (Supervision)
Merchant Banking Company, Venture Capital Fund Companies, Stock Broking, Collective Investment Schemes (CIS)	SEBI
Nidhi Companies, Mutual Benefit Companies	MCA
Chit Fund Companies	State Government
Insurance	IRDA

Non Banking Non Financial Companies

Regulation, Supervision and Surveillance under the Companies Act 1956/ 2013.

Regulator: Ministry of Corporate Affairs (MCA)

Enforcement Agency: State Governments

Salient Features of NBFC Regulations for Depositors

What are systemically important NBFCs?

NBFCs whose asset size is ₹ 500 crore or more as per the last audited balance sheet are considered systemically important NBFCs.

The rationale for such classification is that the activities of such NBFCs will have a bearing on the financial stability of the overall economy.

Pointers

First level: Internal grievance mechanism of NBFC

Second level: RBI Integrated Ombudsman Scheme, 2021

Time limit: 1 month for NBFC to resolve complaint

Asset size threshold: ₹100 crore

HFCs excluded from RBI Ombudsman Scheme

RBI new risk-weight rules for NBFC infra loans from April 1: Key takeaways

RBI Revises Risk-Weight Framework for NBFCs' Infrastructure Lending

On January 1, the Reserve Bank of India issued amendment directions revising the risk-weighting framework for NBFCs' exposure to infrastructure projects.

Objective:

To align capital requirements more closely with the actual risk profile of operational infrastructure projects.

To promote better risk assessment, efficient capital allocation, and financial stability.

Background

The amendments follow stakeholder feedback on the draft directions issued on October 24, 2025.

RBI reviewed responses and incorporated suitable changes into the final directions.

Amendment Directions Notified

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Reserve Bank of India (NBFC – Prudential Norms on Capital Adequacy) Amendment Directions, 2026
Reserve Bank of India (NBFC – Concentration Risk Management) Amendment Directions, 2026

RBI lowers qualifying asset criteria for NBFC-MFIs to 60% from 75%

The Reserve Bank of India (RBI) has reduced the qualifying asset threshold for NBFC-MFIs (Non-Banking Financial Company – Microfinance Institutions) from 75% to 60% of total assets (net of intangible assets).

Key Highlights:

New Threshold: Qualifying assets must now constitute minimum 60% of total assets (net of intangible assets) — reduced from 75%.

Ongoing Compliance: Must be maintained on an ongoing basis.

Non-Compliance Clause: If the threshold is not maintained for 4 consecutive quarters, the NBFC-MFI must submit a remediation plan to RBI for review.

Definition of Qualifying Asset:

Aligned with 'microfinance loan' definition:

Collateral-free

Given to a household with annual income ≤ ₹3 lakh

Household = husband, wife, and unmarried children

RBI Cuts Capital Requirements for NBFCs Lending to Proven Infrastructure Projects

RBI has eased prudential capital adequacy norms for NBFCs lending to high-quality infrastructure projects.

Changes notified under:

Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Amendment Directions, 2026.

Objective:

Align risk-weights with actual risk profile of operational infrastructure projects.

Improve capital allocation while providing strong lender protection.

Key Change: Revised Risk-Weights

Risk-weight = capital NBFC must set aside for a loan

(Higher risk-weight → higher capital requirement)

New Final Norms

75% risk-weight

When borrower has repaid ≥ 2% of sanctioned project debt.

50% risk-weight

When borrower has repaid ≥ 5% of sanctioned project debt.

Draft vs Final (Comparison)

Draft proposal required:

5–10% repayment for 75% risk-weight

≥10% repayment for 50% risk-weight

Final norms are more liberal, encouraging NBFC participation.

What qualifies as a "High-Quality Infrastructure Project"

A project must satisfy all key conditions:

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Operational Track Record

Completed at least 1 year of operations after Commercial Operations Date (COD).

No breach of material lender covenants.

Exposure classified as 'Standard' in NBFC books.

Implementation Timeline

Effective from: 1 April 2026

Or earlier, if NBFC adopts the directions in full.

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Development Banks and AIFIs : The Big Boys Chapter - 3

What is a All India Financial Institutions (AIFIs)

All India Financial Institutions (AIFIs) comprise Development Financial Institutions (DFIs) and Investment Institutions.

They provide long-term finance, especially for infrastructure and industrial development.

In the Indian context, AIFIs are regulated mainly by the Reserve Bank of India (RBI) and function as an integral part of the organised financial system.

Role of AIFIs in the Banking System

All India Financial Institutions (AIFIs) act as complements, not competitors, to commercial banks.

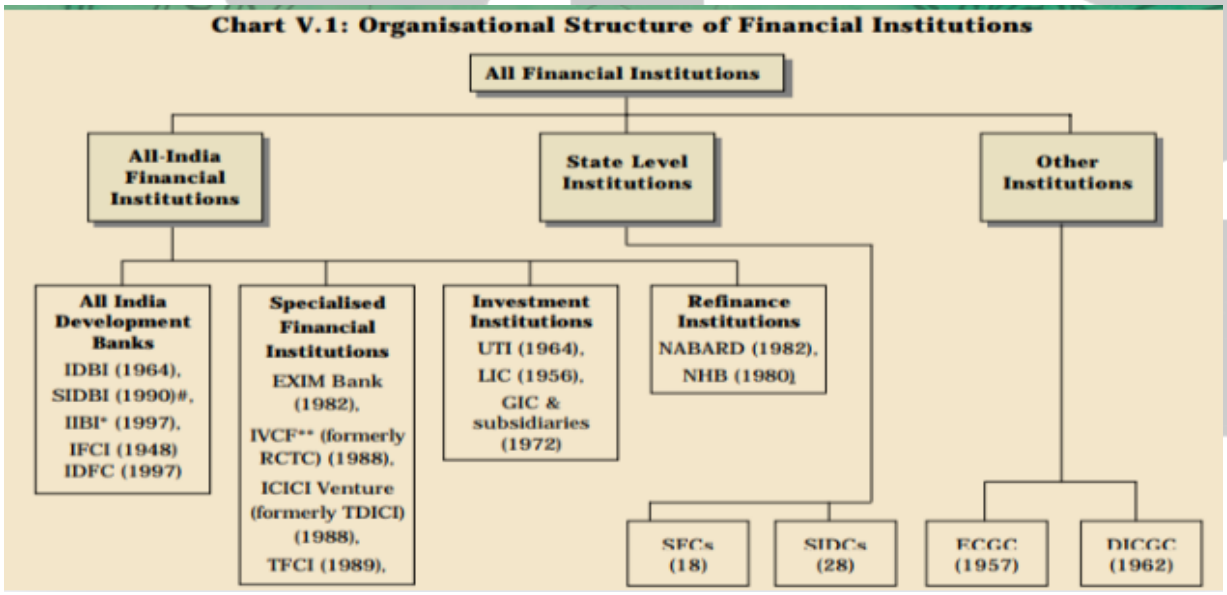
They support banks by handling functions banks face difficulty with.

AIFIs provide long-term and project-based finance.

Commercial banks are constrained due to asset–liability mismatch, making AIFIs crucial for such lending.

AIFIs supply refinance to banks and other financial institutions.

Enables onward lending to priority sectors without stressing banks' balance sheets.



What are Development Banks?

Development Banks are also known as:

Term-Lending Institutions (TLIs)

Development Financial Institutions (DFIs)

Sources of Funds

Share capital from owners/promoters

Issue of debentures.

Capital and refinance support from

Reserve Bank of India (RBI)

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National Bank for Agriculture and Rural Development (NABARD)
Other banks
Central and State Governments

Purpose
Support sectors with
High risk
Long gestation periods
These sectors generally cannot access adequate finance from commercial banks due to risk and maturity constraints

Mode of Establishment
DFIs may be:
Established by Statutes / Acts of Parliament, or
Set up by the Government of India, or
Licensed as DFIs by the Reserve Bank of India (RBI) under Section 29 of the National Bank for Financing Infrastructure and Development Act, 2021.

Objectives of Development Banks in India
Promoting Economic Growth
Facilitating Infrastructure Development
Supporting Strategic Sectors
Encouraging Entrepreneurship and SMEs
Balanced Regional Development

Types of Finances:
Medium (1-5 years).
Long term (>5 years).

Difference between Commercial Banks and Development Banks

Basis	Commercial Banks	Development Banks (DFIs / TLIs)
Primary Objective	Profit maximisation	Economic and social development
Main Focus	Banking business and returns	Developmental and promotional role
Nature of Lending	Low to moderate risk lending	High-risk lending
Loan Tenure	Short-term to medium-term	Long-term finance
Gestation Period	Short gestation projects	Long gestation projects
Profit Orientation	Immediate profitability is important	Long-term economic benefits prioritised
Type of Projects Financed	Established and commercially viable projects	Infrastructure, industry, and priority sectors
Access to Credit	Lend to borrowers with strong creditworthiness	Support projects lacking access to commercial bank finance
Developmental Role	Limited	Core function
Examples (India)	Public & Private Sector Banks	DFIs / TLIs

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Industrial Development Banks (IDBs)

Industrial Finance Corporation of India (IFCI)

Set up in 1948 as a Statutory Corporation

Aim: To provide medium and long-term finance to industry.

The primary business of IFCI is to provide medium to long-term financial assistance to the manufacturing, services, and infrastructure sectors.

Ownership of Ministry of Finance, Government of India.

In 2015 IFCI was fully owned by the Government of India.

In 1955, the World Bank prompted the Industrial Credit and Investment Corporation of India (ICICI) — the parent of the largest private commercial bank in India today, ICICI Bank — as a collaborative effort between the government with majority equity holding and India's leading industrialists with nominal equity ownership to finance modern and relatively large private corporate enterprises.

Industrial Development Bank of India (IDBI)

Set up in 1964 as a subsidiary of the Reserve Bank of India (RBI)

Aim: To provide credit and other financial facilities for the development of the Indian industry.

At present, it's a full-service commercial bank under the Banking System in India that supports industrial growth.

Small Industries Development Bank of India (SIDBI)

Set up in 1990 as an independent financial institution under the Banking System in India

Aim: To aid the growth and development of Micro, Small and Medium Enterprises (MSMEs) in India.

It acts as the principal financial institution for the promotion, financing, and development of the MSME sector in India, as well as for coordinating the functions of institutions engaged in similar activities.

Sector-Specific Banks

Micro Units Development & Refinance Agency (MUDRA)

Set up as a refinance agency for developing and refinancing all micro-enterprises engaged in manufacturing, trading and service activities.

Aims to provide financial support to those banks and micro finance institutions which are engaged in lending to the micro-enterprises.

Hence, MUDRA is a refinancing Institution.

MUDRA does not lend directly to the micro entrepreneurs / individuals.

It has been set up as a subsidiary of SIDBI.

Gives loans up to Rs 10 lakh while loans of higher amount are given by SIDBI.

Mudra Loans are available for non-agricultural activities up to Rs. 10 lakh and activities allied to agriculture such as Dairy, Poultry, Bee Keeping etc., are also covered.

Mudra issues a Mudra Card which permits access to Working Capital through ATMs and Card Machines.

There are three types of loans under PM Mudra Yojana:

Shishu (up to Rs.50,000)

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Kishore (from Rs.50,001 to Rs.5 lakh)
Tarun (from Rs.500,001 to Rs.10,00,000)

National Bank for Financing Infrastructure and Development (NaBFID)
Established as an infrastructure focused development financial institution (DFI) under the National Bank for Financing Infrastructure and Development Act, 2021
Aim: To support the development of long-term non-recourse infrastructure financing in India including development of bonds and derivatives markets necessary for infrastructure financing and to carry on the business of financing infrastructure.

Power Finance Corporation (PFC)
Power Finance Corporation (PFC) provides financial assistance to power sector projects.

Rural Electrification Corporation (REC)
Rural Electrification Corporation (REC) focuses on financing projects aimed at rural electrification.

Telecommunications Consultants India Ltd. (TCIL)
Although primarily a consultancy organization, Telecommunications Consultants India Ltd. (TCIL) also plays a role in financing telecommunications projects.

Agricultural Development Banks (ADBs)
National Bank for Agriculture and Rural Development (NABARD)
Established on the recommendations of the B. Srivaraman Committee in 1982
Primary responsibility of matters concerning policy, planning, and operations in the field of credit for agriculture and other economic activities in the rural areas of India.
Main agency for implementing the Rural Infrastructure Development Fund (RIDF) scheme.
Refinance Function:
Provides refinance to institutions financing the rural sector, including:
State Cooperative Agriculture and Rural Development Banks (SCARDBs)
State Cooperative Banks (SCBs)
Regional Rural Banks (RRBs)
Commercial Banks
Other institutions approved by the Reserve Bank of India (RBI)
RBI has divested its share in NABARD in two phases, one in 2010 and one recently in April 2019.
With this the central government now holds 100% stake in NABARD.
NABARD consists of seven subsidiaries such as
NABKISAN
NABSAMRUDDHI
NABFINS
NABFOUNDATION
NABCONS
NABVENTURES

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NABSanrakshan

Export – Import Development Banks

Specialized financial institutions under the Banking System in India, that facilitate and promote the country's international trade by providing financial assistance to exporters and importers.

Major Export-Import Banks in India are:

Export-Import Bank of India (EXIM Bank):

Set up in 1982 to take over the operations of the international financing wing of the IDBI.

It provides Indian exporters with financial assistance, overseas investment credit, and technology and import finance, among other services.

Infrastructure Development Banks (IDBs)

National Housing Bank (NHB)

State-owned bank and regulator that supports housing finance institutions and promotes housing finance schemes in India.

The High-level group under the Chairmanship of Dr. C. Rangarajan, the former Governor of RBI has recommended the proposal for setting up of National Housing Bank as an autonomous Housing Finance Institution.

NHB is regulated by the RBI.

Established under National Housing Policy, 1987.

Previously, it was a wholly owned subsidiary of RBI.

In 2019, RBI divested its stake in NHB, and thus currently central government holds 100% stake in NHB.

It aims at extending financial assistance to housing sector by way of both refinance and direct finance.

Note: The NBH publishes the RESIDEX to track the movement in the housing Prices.

India Infrastructure Finance Company Limited (IIFCL)

Provides long-term finance to viable infrastructure projects in broad sectors of transportation, energy, water, sanitation, communication, and social and commercial infrastructure.

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Deposits and Types of Deposits in Banking Chapter - 4

What is Bank?

A bank is a financial institution that provides financial products and services to individuals, businesses, and governments.

It offers services such as savings accounts, current accounts, loans, credit cards, and investment services.

Banks are legally authorised to accept deposits from the public.

They use deposited funds to provide loans and advances.

Banks earn income mainly through interest charged on loans.

Fees and service charges collected for banking services are another major source of income.

Primary Function of Banks

Primary functions are the main and essential activities performed by every bank. These include:

(a) Accepting Deposits

Banks accept money from the public in the form of deposits and pay interest on them.

Key points:

Banks ensure the safety and security of deposited money.

Customers can withdraw money whenever required, subject to account conditions.

Common types of deposits include Savings Deposit, Current Deposit, Fixed Deposit, and Recurring Deposit.

(b) Granting Loans and Advances

Banks use the deposited money to provide loans and advances to individuals, businesses, and institutions.

Key points:

Banks charge interest on loans, which is usually higher than the interest paid on deposits.

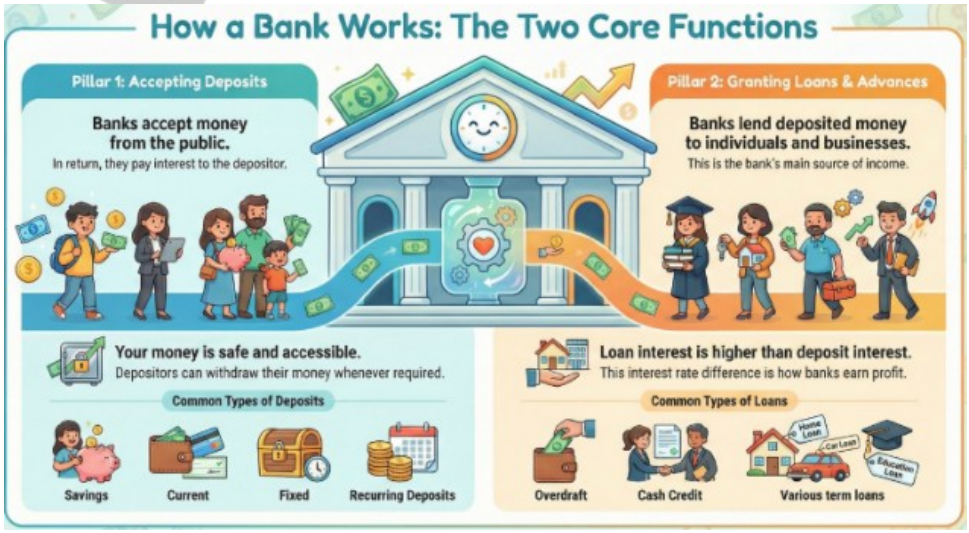
Loans and advances are provided in different forms such as:

Bank Overdraft

Cash Credit

Short-term, Medium-term, and Long-term Loans

Discounting of Bills



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Secondary Functions

(a) Agency Functions

Under agency functions, a bank acts as an agent of its customers and performs services on their behalf.

Examples include:

Transfer of funds from one account to another or from one branch to another.

Collection of periodic payments such as salary, pension, dividend, and interest.

Making regular payments like rent, electricity bills, insurance premiums, etc.

Collection of cheques and other negotiable instruments.

Purchase and sale of shares and securities on behalf of customers.

Banks charge commission or service fees for these services.

(b) Utility Functions

Utility functions are additional services provided by banks for customer convenience. These include:

Issuing Letters of Credit

Providing Locker Facilities for safe custody of valuables like jewellery and important documents

Assisting in foreign exchange transactions

Underwriting of shares and debentures

Providing credit cards, debit cards, internet banking, and mobile banking services

Types of Bank Accounts



Saving Account

A Savings Account is usually the first bank account opened by individuals, often during school or college.

It provides the first banking experience for most people.

Traditionally, it served two main purposes:

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Safety of deposits
Earning interest on savings
Features of a Savings Account
1. Online banking facilities
2. Innovative Schemes
Sweep facility
Discounts and cashback offers
Attractive locker facilities
Zero-balance savings accounts
Annual fee waivers
3. Quick Services
4. Higher Interest Rates
Private sector banks generally offer higher interest rates than public sector banks on savings accounts
Main Benefits of a Savings Account
1. Sweep Facility: Excess balance is automatically transferred to a higher interest slab.
2. Discount Benefits
3. Locker Facility
4. International Debit Cards
5. Automated Bill Payments
You can now have up to four nominees for a single bank account, a change effective November 1, 2025, under India's Banking Laws Amendment Act, allowing for simultaneous (shared percentages) or successive (priority order) nominations to simplify fund transfer after death, reducing unclaimed deposits and disputes.

BSBDA/PMJDY
Basic Savings Bank Deposit Account
Launched in 2014.
Largest financial inclusion initiative
Features of
No requirement to maintain a minimum balance in PMJDY accounts;
Accident insurance cover of Rs 100,000 (increased to Rs 200,000 for new accounts opened after August 28, 2018) with the RuPay card;
Overdraft facility of up to Rs 10,000 for eligible account holders;

RBI Amendment Directions on BSBD Accounts (2025)
The Reserve Bank of India (RBI) has issued Amendment Directions to update the Responsible Business Conduct Directions, 2025.
These amendments revise the framework for Basic Savings Bank Deposit (BSBD) accounts offered by commercial banks.
Objective of the Amendments
To expand minimum facilities available under BSBD accounts.
To improve ease of use, accessibility, and inclusion for low-value deposit holders.
Minimum Facilities under Revised BSBD Norms

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Unlimited monthly deposits allowed.
Free ATM / Debit Card:
No issuance fee
No renewal fee
Cheque book facility with at least 25 cheque leaves per year.
Access to Internet Banking and Mobile Banking.
Provision of either:
A passbook, or
A monthly account statement.
Withdrawal Rules
Minimum of four free withdrawals per month, including:
ATM withdrawals
Inter-bank ATM withdrawals
Digital transactions such as UPI, IMPS, NEFT and RTGS:
Not counted as withdrawals
Ensures customers are not discouraged from digital payments.
Applicability to Existing and New Customers
Existing BSBD account holders can request the newly introduced facilities.
Regular savings account holders may convert their account into a BSBD account, provided:
They do not already hold a BSBD account with another bank.

Current Account
A current account is mainly meant for businesses and commercial activities.
It is used by businessmen, professionals, firms, companies, trusts, and institutions.
Features of a Current Account
1. No Interest Earned
2. Flexible Deposits and Withdrawals
3. Unlimited Transactions
Benefits of a Current Account
1. Convenient Withdrawals Anytime
2. Easy Deposits Across Branches
3. Overdraft Facility
4. Customised Account Variants
5. Monthly Cheque Allowance
6. Phone and SMS Banking

Difference Between Saving and Current Account

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Basis of Difference	Current Account	Saving Account
Meaning	It is opened by businesspersons and others who do regular banking transactions.	It is opened by individuals who wish to save some part of their income
Restriction on number of withdrawals	There are no restrictions on the number of withdrawals till the balance in the customer's account is more than that required.	There are certain restrictions on the number of withdrawals.
Mode of withdrawing money	It is done through cheques.	It is done through cheques or withdrawal slips.
Preferred by	It is preferred by businesspersons, firms and different institutions.	It is preferred by salaried people.
Interest given	No interest is given.	Interest is given, but the rate is very low.
Overdraft facility	Overdraft facility is available.	Overdraft facility is not ava

TIME DEPOSITS

Time Deposits

Time Deposits are also known as Term Deposits.

Term deposit can be paid prematurely at the request of the customer.

Fixed Deposit

Duration : 7 Days - 10 years.

Minimum Deposit : 1000 rupees.

Loan can be availed against the Fixed Deposit.

Recurring Deposit

Account holder needs to deposit a fixed amount every month until it reaches the fixed maturity date.

Callable/Non-Callable FD

The fixed deposit which allows premature withdrawal is known as callable fixed deposit.

Fixed Deposit Rules Revised: Key Changes

The Reserve Bank of India (RBI) has issued new guidelines to help NBFC depositors facing urgent financial needs.

Key Provisions of the New Guidelines

Premature repayment within three months is permitted without payment of interest in emergency situations such as:

Medical emergencies

Natural disasters notified by the concerned government or authority

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Tiny deposits (up to ₹10,000) can be fully repaid at the depositor's request.
For other public deposits, premature withdrawal is allowed up to:
50% of the deposit amount, or
₹5 lakh,
whichever is lower.
In cases of critical illness, depositors are allowed to withdraw 100% of the principal amount prematurely, without interest.



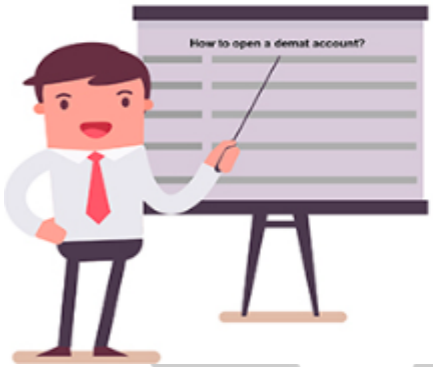
DEMAT Account
A DEMAT (Dematerialised) Account is used to hold shares and securities in electronic form instead of physical certificates.
It enables investors to buy, sell, and hold securities digitally, making trading safe and convenient.
In India, DEMAT accounts are managed by only two depository organisations:
National Securities Depository Limited (NSDL)
Central Depository Services Limited (CDSL)
KYC (Know Your Customer) compliance is mandatory for opening a DEMAT account.
Transaction costs are reduced due to electronic processing and minimal paperwork.
Traders and investors can operate from anywhere using online platforms.
Transfer of securities becomes faster with significantly reduced paperwork.

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How To Open a Demat Account And Its Benefits

How to open a demat account?



Step #1: Approach a Depository Participant

Step #2: Fill in the account opening form

Step #3: Submit your documents (viz. Aadhaar, PAN, Bank Statements, Bank Crossed Cheque and a KYC form)

Step #4: Depository Participant will then follow a verification process

Step #5: Finally, your demat account will be opened

DIFFERENCE BETWEEN

DEMAT ACCOUNT		TRADING ACCOUNT
DEMAT Account is a Repository Storage Space for Holding Financial Securities	01 Versus	Trading Account is an interface to transact, meaning you can buy & sell shares with your Trading Account
Functions to safeguard your shares in an electronic format	02 Functionality	Functions to help you transact faster at the right price
Will display the shares & securities you are holding currently at any given point of time	01 Nature	Will display the transactions that you carried out in the stock market
Helps take the delivery of shares that are transacted. No transaction in the stock market can be done through DEMAT Account	01 Roles	Trading Account is an interface to transact, meaning you can buy & sell shares with your Trading Account

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Depositories in India

NSDL

- National Securities Depository Limited (NSDL) is an Indian central securities depository based in Mumbai. It was established on 8 November 1996 as the first electronic securities depository in India with national coverage based on a suggestion by a national institution responsible for the economic development of India .

CDSL

- Central Depository Services Limited (CDSL), is the second Indian central securities depository based in Mumbai. Its main function is the holding securities either in certificated or uncertificated (dematerialized) form, to enable book entry transfer of securities . It was established on February 1999.

EXCHANGE EARNERS FOREIGN CURRENCY ACCOUNT

It is a facility provided to the foreign exchange earners, including exporters, to credit 100 per cent of their foreign exchange earnings to the account, so that the account holders do not have to convert foreign exchange into Rupees and vice versa, thereby minimizing the transaction costs

All categories of foreign exchange earners, such as individuals, companies, etc., who are resident in India, may open EEFC accounts.

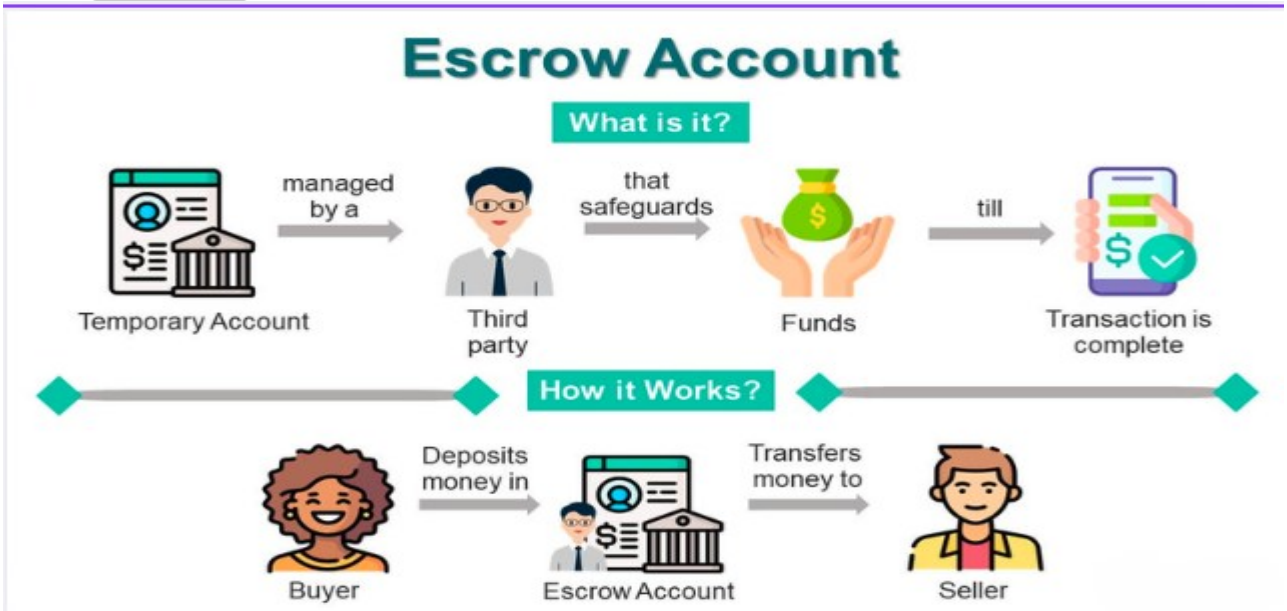
An EEFC account can be held only in the form of a current account. No interest is payable on EEFC accounts.

ESCROW ACCOUNT

An escrow account is a third party account where funds are kept before they are transferred to the ultimate party.

It provides security against scams and frauds.

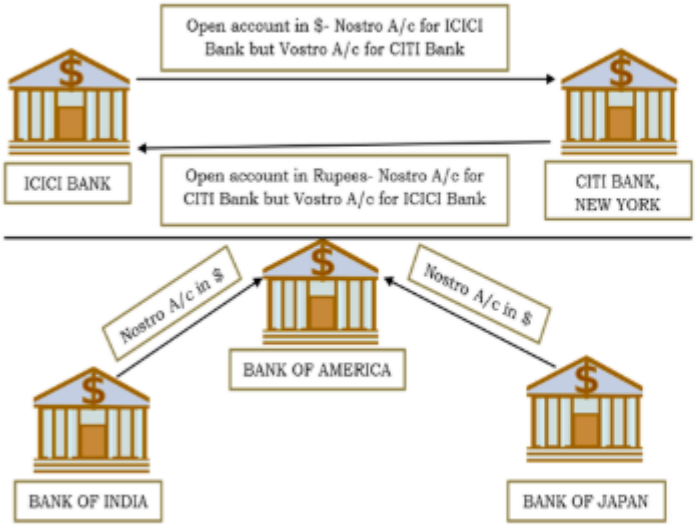
On successful completion of a transaction, this temporary account closes, and funds get transferred to the seller's account.



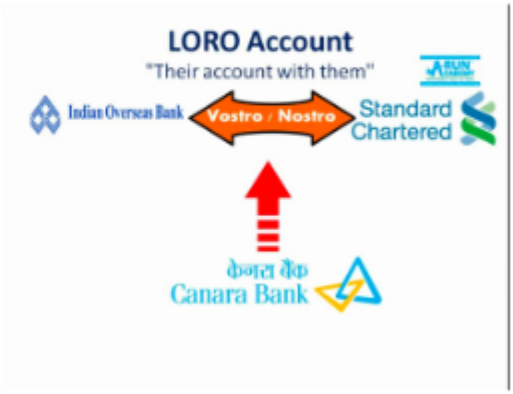
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NOSTRO, VOSTRO AND LORO ACCOUNT



Bank of India will call Nostro A/c of Japan in Bank of America as Loro Account and Bank of Japan will call Nostro A/c of BOI with BOA as Loro Account.



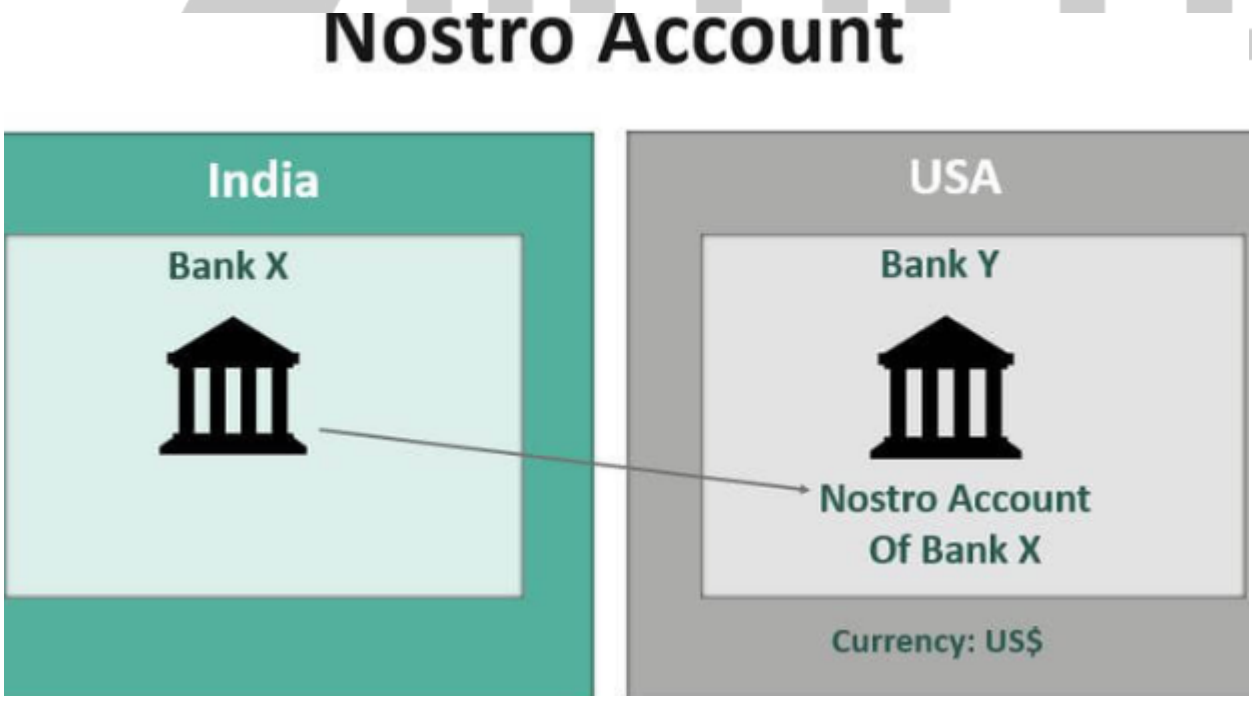
NOSTRO ACCOUNT

Nostro is Latin word means “Ours”.

When a domestic bank holds an account with foreign bank in their currency is called NOSTRO account.

It allows the customers to deposit money in the bank's account in another bank.

It is often used if a bank has no branches in a foreign country.



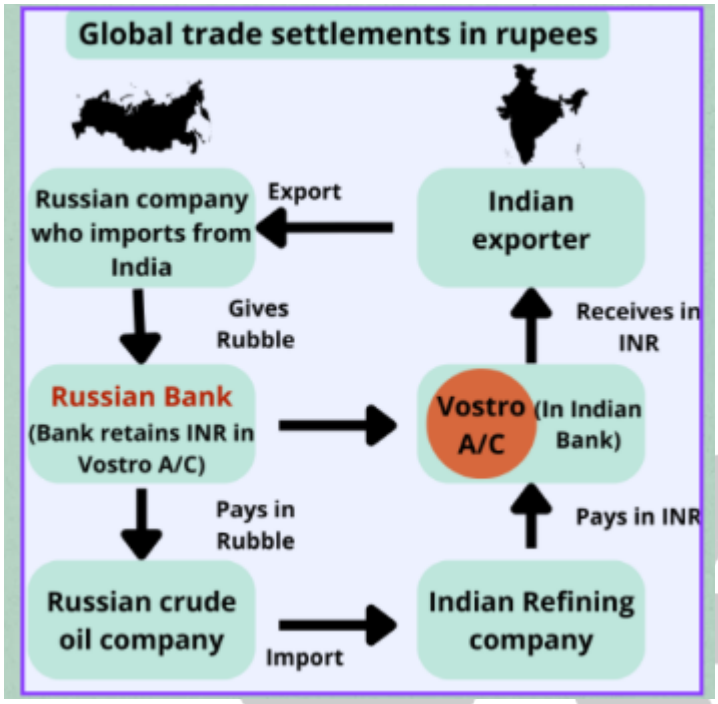
VOSTRO ACCOUNT

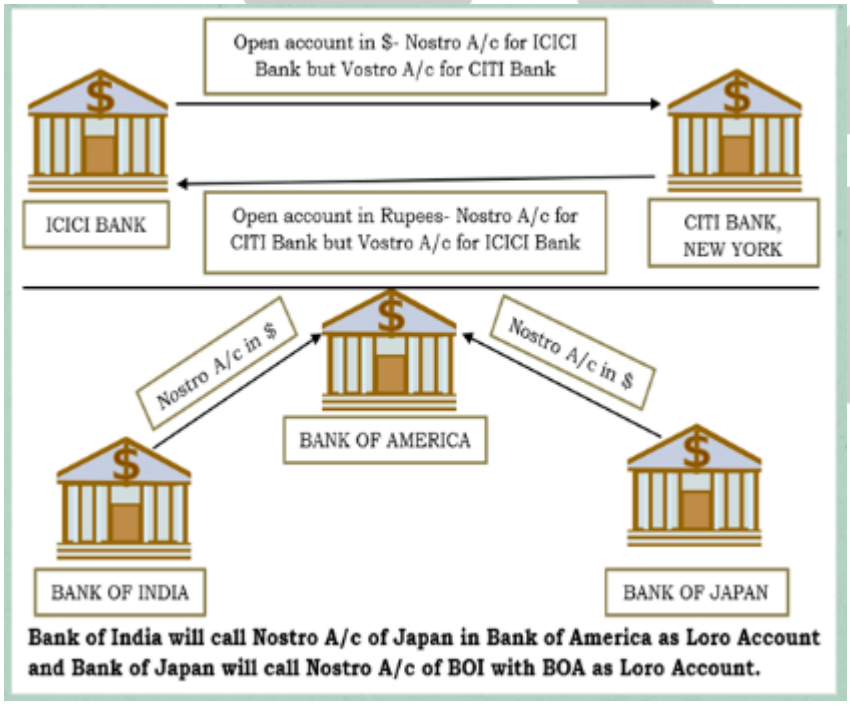
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Vostro is Italian word means “Yours”.

A VOSTRO account is one which is maintained in India by a foreign bank with their corresponding bank.





What are NRI Accounts?

Banks in India provide special bank accounts for Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) living abroad.

These accounts help NRIs manage income earned in India and abroad as per Indian banking and tax rules.

Types of NRI Accounts

1. Non-Resident Ordinary (NRO) Account

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Can be opened as a Savings Account or Fixed Deposit Account.
Used to deposit income earned in India (rent, pension, dividends, etc.).
Deposits made in foreign currency are converted into INR at the prevailing exchange rate.
Interest earned is taxable in India.
Repatriation is allowed subject to limits and RBI guidelines.

2. Non-Resident External (NRE) Account
Can be opened as a Savings Account or Fixed Deposit Account.
Only income earned abroad can be deposited.
Deposits are converted into INR at the prevailing exchange rate.
Interest earned is completely tax-free in India.
Both principal and interest are fully repatriable.

3. Foreign Currency Non-Resident (FCNR) Account
Opened only as a Fixed Deposit Account.
Maintained in foreign currency (not converted into INR).
Protects depositors from exchange rate fluctuations.
Both principal and interest are fully repatriable.
Interest earned is not taxable in India.

In Short
NRO Account → Indian income, taxable
NRE Account → Foreign income, tax-free
FCNR Account → Foreign currency deposit, tax-free and exchange-risk free

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DEAF/IEPF and UDGAM/MITRA Portal : Unclaimed Menace Chapter - 5

What is unclaimed deposits?

Savings / Current Accounts: No customer-initiated operation for 10 years.
Term (Fixed) Deposits: ot claimed within 10 years from the date of maturity.
Such balances are classified as Unclaimed Deposits.

Where are Unclaimed Deposits Transferred?
Banks transfer these amounts to the Depositor Education and Awareness Fund (DEA Fund).
The DEA Fund is maintained by the Reserve Bank of India (RBI).

Can Depositors Still Claim the Money?: Yes.
Depositors, nominees, or legal heirs can claim the deposit anytime from the concerned bank.
Payment includes interest, as applicable, even after transfer to the DEA Fund.
Why Are Unclaimed Deposits Increasing?
Non-closure of inactive savings/current accounts.
Depositors not claiming matured fixed deposits.
Accounts of deceased depositors where:
Nominees or legal heirs do not approach banks.
Lack of awareness or forgotten accounts, despite RBI and bank campaigns.

Steps Taken to Help Claim Deposits
Banks publish lists of unclaimed deposits on their websites.
Lists contain limited identifiable details (to protect privacy).
Public is encouraged to:
Check bank websites
Identify unclaimed deposits
Approach the concerned bank with valid documents

Depositor Education and Awareness (DEA) Fund Scheme, 2014
The DEA Fund Scheme, 2014 was formulated by the Reserve Bank of India (RBI).
It was created under Section 26A of the Banking Regulation Act, 1949.
Under this provision, RBI established the Depositor Education and Awareness Fund (DEA Fund).
Effective date: 24 May 2014
This is the date on which the Scheme was notified in the Official Gazette of India.
What is the purpose of the DEA Fund?
To park unclaimed deposits transferred by banks.
To promote depositor education and awareness.
To strengthen financial consumer protection, while ensuring that depositors' rights remain intact.

Which amounts are credited to the DEA Fund?

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Amounts lying unclaimed or inoperative for 10 years or more with banks (Commercial Banks and Co-operative Banks) are transferred to the DEA Fund. These include:

Deposit Accounts

Savings bank deposit accounts

Fixed or term deposit accounts

Cumulative / recurring deposit accounts

Current deposit accounts

Any other deposit accounts (by any name)

Other Bank Balances

Cash credit accounts

Loan accounts (after due appropriation by banks)

Margin money against Letters of Credit (LCs), Guarantees, or security deposits

Payment & Transitory Accounts

Outstanding:

Telegraphic Transfers (TTs)

Mail Transfers (MTs)

Demand Drafts (DDs)

Pay Orders

Banker's Cheques

Sundry deposit accounts

Vostro accounts

Inter-bank clearing adjustments

Unadjusted NEFT (National Electronic Funds Transfer) credit balances

Unreconciled ATM transaction credit balances

Cards & Foreign Currency Related

Undrawn balances in prepaid cards issued by banks

(Excludes traveller's cheques and similar instruments with no maturity)

Rupee proceeds of foreign currency deposits after conversion as per foreign exchange regulations

Any Other Amounts

Any other amounts specified by RBI from time to time.

Can a customer/depositor claim a refund of unclaimed amounts?

Yes.

A customer/depositor or legal heirs (in case of deceased depositor) can claim the unclaimed amount from the concerned bank.

How the refund process works

The customer/depositor or legal heir submits a claim to the bank where the deposit was held.

The bank pays the amount to the claimant:

Along with interest, only for interest-bearing deposit accounts.

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After making the payment, the bank claims an equivalent amount from the DEA Fund maintained by the Reserve Bank of India (RBI).

The Depositor Education and Awareness (DEA) Fund Scheme, 2014 does not prescribe any time limit for claiming unclaimed deposits.

Depositors or legal heirs can claim the amount at any time.

Claiming Unclaimed Deposits from the DEA Fund when a Bank is under Liquidation

The depositor / legal heir must approach the Liquidator of the bank under liquidation (not the bank branch).

Scenario 1: Deposits covered by DICGC

Deposit Insurance and Credit Guarantee Corporation (DICGC) insurance applies up to ₹5 lakh per depositor (including accrued interest), in the same right and capacity.

The Liquidator raises the claim with the DEA Fund (maintained by the Reserve Bank of India).

Case A: Deposit ≤ ₹5 lakh

Procedure

Depositor/legal heir files claim with the Liquidator.

Liquidator submits an equivalent claim to the DEA Fund with documents.

DEA Fund pays the insured amount to the Liquidator.

Liquidator pays the depositor.

Illustration

Deposit claim: ₹4 lakh

DEA Fund pays ₹4 lakh → Liquidator pays ₹4 lakh to depositor.

Case B: Deposit > ₹5 lakh

Procedure

Depositor/legal heir files claim with the Liquidator.

Liquidator claims the full amount from DEA Fund.

DEA Fund pays ₹5 lakh (insured portion).

Liquidator pays the depositor:

₹5 lakh (insured) +

Balance amount (after meeting requirements).

Liquidator then seeks reimbursement from the DEA Fund for the balance paid.

Illustration

Deposit claim: ₹6 lakh

DEA Fund pays ₹5 lakh (insured).

Liquidator pays remaining ₹1 lakh to depositor, then claims ₹1 lakh from DEA Fund as reimbursement

Scenario 2: Deposits NOT covered by DICGC

If the deposit was not insured by DICGC at the time of transfer to the DEA Fund:

DEA Fund payment is only on a reimbursement basis.

Procedure

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Depositor/legal heir files claim with the Liquidator.
Liquidator first pays the depositor (subject to requirements).
Liquidator then claims reimbursement of the paid amount from the DEA Fund.

Investor Education and Protection Fund Authority
It was established in 2016 under the Companies Act, 2013.
Purpose: It is dedicated to promoting investor awareness and protection through sustained outreach, education, and strategic collaborations.

Functions
It manages the Investor Education and Protection Fund (IEPF) and promotes investor awareness and financial protection.
It makes refunds of shares, unclaimed dividends, matured deposits/debentures etc. to investors and promotes awareness among investors.
It is dedicated to safeguarding investor interests by facilitating the return of unclaimed shares and dividends and advancing financial literacy nationwide

Nodal Ministry: Ministry of Corporate Affairs
Initiatives: Through flagship initiatives such as Niveshak Didi, Niveshak Panchayat, and Niveshak Shivir, IEPFA empowers individuals to make informed financial choices and fosters a financially aware citizenry.
The IEPF consists of amounts that remained unclaimed for 7 years, including:
Unpaid dividends,
Application money is due for refund,
Matured deposits and debentures,
Interest on investments from the fund,
Grants or donations received from the government or other entities.

Can shareholders claim a refund from IEPF?
Yes.
Any shareholder whose amount has been transferred to IEPF can claim a refund under:
Section 125(3)(a), Companies Act, 2013
Rule 7(1) of the IEPF Authority (Accounting, Audit, Transfer and Refund) Rules, 2016

What is UDGAM?
UDGAM = Unclaimed Deposits – Gateway to Access inforMation.
An online portal developed by the Reserve Bank of India (RBI).
Purpose: Enable users to search unclaimed deposits/accounts across multiple banks at one place in a centralised manner.

Coverage of UDGAM
As on 4 March 2024:
30 banks are onboarded on the portal.

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These banks cover around 90% (by value) of unclaimed deposits in the Depositor Education and Awareness Fund (DEA Fund).

Remaining banks are in the process of onboarding.

All unclaimed deposits/accounts transferred to DEA Fund can be searched through UDGAM.

Registration Requirement

User must register on the portal by providing:

Name

Mobile number

A User Manual is available on the portal explaining registration and usage.

Can deposits be claimed through UDGAM?

No.

UDGAM only provides:

Search facility for unclaimed deposits

Information on claim/settlement process of the concerned bank

Actual claim must be made directly with the respective bank.

What is UDRN?

UDRN = Unclaimed Deposit Reference Number.

Generated by banks through their Core Banking Solution (CBS).

Assigned to each unclaimed account/deposit transferred to DEA Fund.

Purpose of UDRN

Protects privacy (account holder/bank branch cannot be identified by third parties).

Helps bank branches seamlessly process and settle claims after a successful UDGAM search.

All 30 onboarded banks have enabled UDRN generation.

Digital Platforms for Tracing Unclaimed Assets

Bima Bharosa Portal – Unclaimed Insurance Proceeds

Bima Bharosa is an online portal that helps individuals trace unclaimed insurance policy proceeds.

It enables policyholders, nominees, and legal heirs to check whether any insurance amount is due to them.

The portal provides links to enquiry pages of insurers for initiating claims.

An insurance amount is considered unclaimed if it remains unpaid for more than 12 months from the due date.

Insurance proceeds unclaimed for more than 10 years are transferred to the Senior Citizens' Welfare Fund (SCWF).

SCWF is maintained by the Government of India.

Important Clarification

Transfer to SCWF does not affect ownership rights.

Beneficiaries can claim the amount up to 25 years from the date of transfer.

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Preventive Measures Encouraged
To avoid insurance proceeds becoming unclaimed:
Update contact details with insurers.
Register and update nominations regularly.
Inform family members about insurance policies.
Maintain physical or digital records of policy documents.
Store documents on DigiLocker.
Link insurance policies with Aadhaar and PAN for easier identification.

MITRA Portal – Unclaimed & Inactive Mutual Fund Investments
MITRA = Mutual Fund Investment Tracing and Retrieval Assistant.
An online facility hosted on MF Central.
Purpose: Help investors trace unclaimed and inactive mutual fund investments across fund houses.
A folio number is a unique identification number allotted by a mutual fund to an investor.
It is used to track investments and unit balances in a particular scheme.
Mutual fund amounts are treated as unclaimed when:
Redemption / maturity proceeds / dividends are not credited to the investor's bank account due to:
Change or closure of bank account
Incomplete investor records
Outdated contact details
Pending KYC (Know Your Customer) compliance
Important
The money is not lost.
On the due date, it is transferred to designated unclaimed schemes and remains there until claimed.
What is an Inactive Folio?
A mutual fund folio is treated as inactive if:
No transaction is done for 10 years, and
Unit balance is still available in the folio.
Role of the MITRA Portal
Enables investors to identify unclaimed or inactive mutual fund investments using prescribed search parameters.
Helps locate the mutual fund / AMC where the investment exists.
After identification, investors must approach the concerned AMC or RTA to initiate the claim process.
Claim Process
MITRA is only a tracing and identification tool.
Claims are settled by:
Asset Management Company (AMC), or
Registrar and Transfer Agent (RTA)
Preventive Measures Suggested
Keep KYC details updated.
Update bank account and contact information.

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Regularly review mutual fund account statements.
Track folios to avoid investments becoming unclaimed or inactive.

RBI Launches One-Year Scheme to Facilitate Payout of Inoperative Accounts and Unclaimed Deposits
Announced by the Reserve Bank of India (RBI).
Name: Facilitating Accelerated Payout – Inoperative Accounts and Unclaimed Deposits.
Tenure: 1 year
Start: Today
End: 30 September 2026
Key Objectives
Encourage the public to:
Reactivate inoperative bank accounts.
Claim unclaimed deposits from banks.
Motivate banks to proactively:
Contact customers/depositors.
Facilitate faster settlement of claims.
Focus Areas
Reduction of:
Existing stock of unclaimed deposits.
Fresh accretion of unclaimed amounts to the Depositor Education and Awareness (DEA) Fund.
Improve customer outreach and awareness.
Speed up reactivation and payout processes.

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Loans and Types of Loans in Banking (Including Gold Loans/Silver Loans) Chapter – 6

What is Loan?

A Loan is an amount of money borrowed by an individual, business, or organization from a bank or financial institution to meet financial needs.

It is a credit instrument under which the borrower receives money with an obligation to repay the principal amount along with interest within a specified time period.

Components of a Loan

1. Principal

The original amount of money borrowed by the borrower.

Interest is calculated on this amount.

2. Term (Tenure)

The time period within which the loan must be repaid.

Can range from short-term to long-term depending on the loan type.

3. Rate of Interest

The Annual Percentage Rate (APR) charged by the lender.

Represents the cost of borrowing and determines how much extra the borrower pays over time.

4. Loan Repayment

The regular amount paid by the borrower (monthly/weekly).

Depends on:

Principal amount

Loan tenure

Rate of interest

Types of Loans in India

1. Secured Loans

These loans are backed by collateral. If the borrower defaults, the lender can recover money by selling the asset.

Loan against Fixed Deposit (FD) – Borrowing against existing fixed deposits

Home Loan – For purchase or construction of residential property

Gold Loan – Loan against gold jewellery or ornaments

Loan against Property (LAP) – Loan against residential or commercial property

2. Unsecured Loans

These loans do not require collateral and are sanctioned based on creditworthiness.

Personal Loan – For personal needs such as medical, travel, marriage

Short-term Business Loan – For working capital or business expansion

Vehicle Loan – For purchase of personal or commercial vehicles

Education Loan – To finance higher education expenses

3. Demand Loans

Loans that are repayable on demand

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The lender can recall the loan at any time without prior notice
4. Subsidized Loans
Loans provided at lower interest rates with government support
Targeted at specific groups such as:
Farmers
Students
Economically weaker sections
5. Concessional Loans
Loans offered at concessional (reduced) interest rates
Aim to promote priority sectors such as:
Agriculture
Small businesses
MSMEs
Other Important Types of Loans
Term Loan – Loan with a fixed tenure and structured repayment schedule
Bank Overdraft Facility – Allows withdrawal beyond account balance up to a sanctioned limit
Letter of Credit (LC) – Bank's assurance of payment to a seller on behalf of a buyer
Bank Guarantee (BG) – Bank's guarantee to a third party for customer obligations
Lease Finance – Asset acquisition through periodic lease payments
SME Collateral-Free Loan – Loans to small and medium enterprises without collateral
Construction Equipment Loan – Loan to purchase heavy construction machinery
SME Credit Card – Credit facility designed specifically for MSMEs

Secured Loans
Secured Loans are loans backed by collateral (asset/security).
If the borrower fails to repay, the lender has the legal right to sell the pledged asset to recover the loan amount.
Key Features of Secured Loans
Generally used for asset creation, especially property
Collateral required (property, gold, FD, etc.)
Lower interest rates compared to unsecured loans
Higher loan amount due to security cover
In some cases, interest paid is tax deductible (for example, home loans)
1. Home Loan
A secured loan used to purchase or construct a residential house
Property purchased acts as collateral
Interest rate depends on the borrower's credit score
Long repayment tenure, usually 20–30 years
2. Loan Against Property (LAP)
Loan taken by pledging residential, commercial, or industrial property
Loan amount is a percentage of the market value of the property

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Used for business expansion, education, or personal needs

3. Gold Loan

Borrower pledges gold jewellery or coins as security

Loan amount depends on the value of gold

Mostly used for short-term financial needs

Faster processing compared to other secured loans

4. Loan Against Fixed Deposit (FD)

Fixed deposit is pledged as collateral

Loan amount is usually 70–90% of FD value

Loan tenure cannot exceed FD maturity period

Interest rate is generally slightly higher than FD interest rate

Unsecured Loans

Unsecured Loans are loans that are not backed by any collateral.

They are granted mainly on the basis of the borrower's income, credit score, and repayment capacity.

Key Features of Unsecured Loans

No collateral required

Provided by banks, NBFCs, and private lenders

Higher interest rates than secured loans

Higher risk for lenders, as recovery depends only on borrower credibility

In case of bankruptcy, unsecured lenders are not given priority

1. Personal Loan

Available to individuals with stable income and good credit score

Generally offered at competitive but higher interest rates

Common uses:

Family wedding expenses

Vacations

Home renovation

Children's higher education

2. Short-Term Business Loan

Mainly for small enterprises, MSMEs, and startups

Used to meet daily operational and working capital needs

Covers:

MSME loans

Machinery and equipment finance

Loans for traders

Loans for women entrepreneurs

3. Education Loan

Taken mainly for higher education

Covers:

Tuition fees

Hostel fees

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Examination and other academic expenses
Student is the primary borrower
Parents, siblings, or spouse act as co-applicants/guarantors
Applicable for:
Graduation and post-graduation
Professional courses (medicine, engineering, management, etc.)
Full-time, part-time, or vocational courses
4. Vehicle Loan
Used for purchasing new or used vehicles
Often treated as unsecured or semi-secured in banking exams
Banks assess:
Credit score
Repayment history
Loan tenure
5. Demand Loan
Short-term loan with no fixed repayment schedule
Repayable on demand by the lender
Usually carries a floating interest rate
Can be secured or unsecured
6. Subsidized Loan
Loan in which the interest burden is reduced through government subsidy
Commonly provided for education purposes
In some cases, the government pays the full interest during the study period
7. Concessional Loan
Also known as Soft Loan
Offered at:
Below-market interest rates, or
With grace periods, or both
Often provided by developed countries to developing countries
Aimed at developmental and social objectives
Loans in Banking Sector – Types of Loans
1. Term Loan
A term loan is granted mainly for business requirements
Must be repaid within a specified time period
Generally has:
Fixed interest rate
Monthly or quarterly repayment schedule
Definite maturity date
Can be secured or unsecured
Secured term loans carry lower interest rates
Classification of Term Loans

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Short-term loan: Less than 1 year
Medium-term loan: 1 to 3 years
Long-term loan: More than 3 years
2. Bank Overdraft Facility
Allows customers (mainly businesses) to withdraw more than the available balance in their current account
Limit and interest rate are decided at the time of sanction
Considered a short-term source of finance
Usually adjusted with future deposits
3. Letter of Credit (LC)
A written assurance by a bank to make payment to the seller
Payment is made on submission of specified documents
Protects the seller against payment risk
Widely used in domestic and international trade
Common when:
Buyer and seller are in different countries
Trading parties are unknown to each other
4. Lease Finance
A method of financing where assets are used in return for periodic lease payments
Lessor (bank/finance company) purchases and legally owns the asset
Lessee uses the asset for medium or long term
Ownership options:
Pay final installment
Negotiate a purchase value at the end of lease
5. SME Collateral-Free Loan
Loans provided to Small and Medium Enterprises (SMEs) without collateral
Available to:
Startup entrepreneurs
Existing SMEs
Used for:
Working capital needs
Business expansion
Purchase of machinery and equipment
6. Construction Equipment Loan
Provided for purchase of new or used construction machinery
Examples:
Excavators
Cranes
Backhoe loaders
Loan tenure: Generally 12 to 60 months
Usually a secured loan
The equipment itself acts as collateral

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7. SME Credit Card

Credit facility offered to SMEs in the form of:

Cash credit, or

Term loan

Credit limit: Up to ₹10 lakh

Eligible borrowers:

Small retail traders

Small industrial units

Small business enterprises

Transport operators

Repayment period:

Term loan: Up to 5 years

Cash credit: Up to 3 years

OTB:

RBI circulars on loans and advances: The Reserve Bank of India (Pre-payment Charges on Loans) Directions, 2025 prohibit lenders from levying prepayment penalties on floating-rate loans to individuals and MSMEs, effective for loans sanctioned or renewed from January 1, 2026. RBI also proposed revised norms on related party lending (October 2025), tightening restrictions on loans to directors and entities, set to take effect April 1, 2026, with transitional provisions for existing exposures.

Prepayment Charges Ban: This directive applies to commercial banks, co-operative banks, NBFCs, and All India Financial Institutions, covering full or partial prepayments from any source without penalties on floating-rate term or working capital loans. Fixed-rate loans or business-purpose loans to non-individuals/large enterprises may still impose charges, but these must be transparently disclosed in loan agreements and Key Facts Statements (KFS). The aim is to curb restrictive clauses that deter borrowers from switching lenders for better terms.

Related Party Lending Updates: Proposed Directions (October 2025) revise the Master Circular on Loans and Advances – Statutory Restrictions, restricting renewals or enhancements of non-compliant exposures and mandating compliance within one year or maturity. It builds on Section 20/20A of the Banking Regulation Act, prohibiting unsecured loans to directors/relatives beyond approved limits. Existing loans get grandfathering till run-off or one year post-issuance.

Other 2025-26 Developments: Urban Co-operative Banks' Master Circular (December 2025) mandates 50% of advances as small-value loans by March 2026 and reinforces director lending curbs. Interest Rate on Advances Directions were amended (RBI/2025-26/83, September 2025) to allow earlier spread reductions on floating-rate loans. These align with broader priority sector lending tweaks for MSMEs and regional credit balance.

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Mortgages and Types of Mortgages in Banking Chapter - 7

What is the meaning of a mortgage?

A mortgage is a legal agreement between a borrower and a lender in which the borrower pledges an immovable property (such as a house, flat, land, or commercial space) as security to obtain a loan.

Key Points to Understand a Mortgage

The property remains with the borrower, but the lender gets a legal right over it until the loan is fully repaid.

If the borrower fails to repay, the lender can sell the mortgaged property to recover the outstanding amount.

A mortgage is a secured loan, so it generally carries a lower interest rate than unsecured loans.

Mortgage loans usually allow higher loan amounts and longer repayment tenures.

Having home insurance can sometimes help in availing a higher loan amount or better terms.



Key Components of a Mortgage

From a banking lens, a mortgage consists of several critical elements:

Principal: The original amount borrowed by the customer.

Interest: The cost of borrowing, typically expressed as an annual percentage rate (APR). It can be fixed or floating.

Tenure: The duration of the loan, often ranging from 10 to 30 years.

EMI (Equated Monthly Instalment): A fixed monthly payment that includes both principal and interest.

Collateral: The property being financed, which secures the loan.

Credit Appraisal and Risk Assessment

Before sanctioning a mortgage, banks conduct a thorough credit appraisal:

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Credit Score: Indicates the borrower's creditworthiness.
Income Verification: Ensures repayment capacity.
Debt-to-Income Ratio (DTI): Measures financial leverage.
Property Valuation: Determines the loan-to-value (LTV) ratio.
Legal Due Diligence: Confirms ownership and title clarity.

Mortgage lending in India operates within a well-defined regulatory structure to ensure financial stability, borrower protection, and risk control.
Reserve Bank of India (RBI)
Acts as the apex monetary and banking authority.
Issues guidelines on interest rate policies, loan-to-value (LTV) ratios, provisioning norms, and risk weights for mortgage loans.
Ensures that banks follow prudent lending and risk management practices.
National Housing Bank (NHB)
Regulates and supervises Housing Finance Companies (HFCs).
Promotes affordable housing finance and ensures sound functioning of housing finance institutions.
SARFAESI Act (Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002)
Empowers banks and financial institutions to recover loan dues without court intervention.
Allows lenders to seize and sell mortgaged property in case of default, subject to prescribed procedures.

Different Types of Mortgage Loans in India
In India, mortgage loans are mainly classified based on the contract between the borrower (debtor) and the lender (creditor).
1. Usufructuary Mortgage
In this type, the borrower hands over possession of the property to the lender.
The lender is allowed to earn income from the property by renting or leasing it.
The income earned is adjusted against the loan amount or interest.
Ownership remains with the borrower, but possession lies with the lender until repayment.
2. Simple Mortgage
This is the most common and widely used mortgage in India.
The borrower retains ownership and possession of the property.
The lender gets the right to sell the property if the borrower defaults.
No income from the property is enjoyed by the lender during the loan period.
3. Subprime Mortgage
These mortgages are offered to borrowers with low credit scores or weak credit history.
They usually come with a higher interest rate due to higher risk.
Terms and conditions may be less strict, but the cost of borrowing is higher.
Risk for both borrower and lender is relatively high.
4. English Mortgage
In this type, the ownership of the property is temporarily transferred to the lender.

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The borrower promises to repay the loan on a specific date.
Once the loan is fully repaid, ownership is transferred back to the borrower.
English mortgages generally carry a lower rate of interest.

Types of Mortgage Loans Based on the Interest Rate Levied by the Lender

1. Fixed-Rate Mortgage
The interest rate remains constant throughout the entire loan tenure.
EMIs (Equated Monthly Installments) stay the same, making financial planning easier.
Borrowers can clearly estimate their total repayment liability in advance.
Suitable for people who prefer stability and predictability in repayments.
2. Variable-Rate (Floating-Rate) Mortgage
The interest rate changes over time, depending on the repo rate set by the Reserve Bank of India (RBI).
Rates are influenced by the overall economy and financial markets.
In a growing economy, interest rates may fall, reducing EMIs or loan tenure.
However, EMIs can increase if interest rates rise.
3. Adjustable-Rate Mortgage (ARM)
These loans start with a fixed interest rate for an initial period.
After the fixed period, the rate becomes variable, linked to economic conditions.
Lenders may offer a discounted initial rate to attract borrowers.
Generally involve higher processing fees and carry some interest-rate risk in later years.

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Priority Sector Lending and Current Changes : Welfare Banking Chapter - 8

What is PSL?

Full form: Priority Sector Lending (PSL)

RBI-mandated requirement for banks to allocate a set portion of their loans to key priority sectors that face credit shortages but are crucial for inclusive economic growth.

Priority Sector Lending Certificates (PSLCs) are tradable certificates issued against priority sector loans.

Historical Background:

1969 – Gadgil Committee:

Recommended the Area Approach, leading to the adoption of the Lead Bank Scheme.

1972 – Formalization of PSL:

Aimed to ensure credit flow to sectors that were creditworthy but lacked access to institutional finance.

1980 - Krishnaswamy Committee:

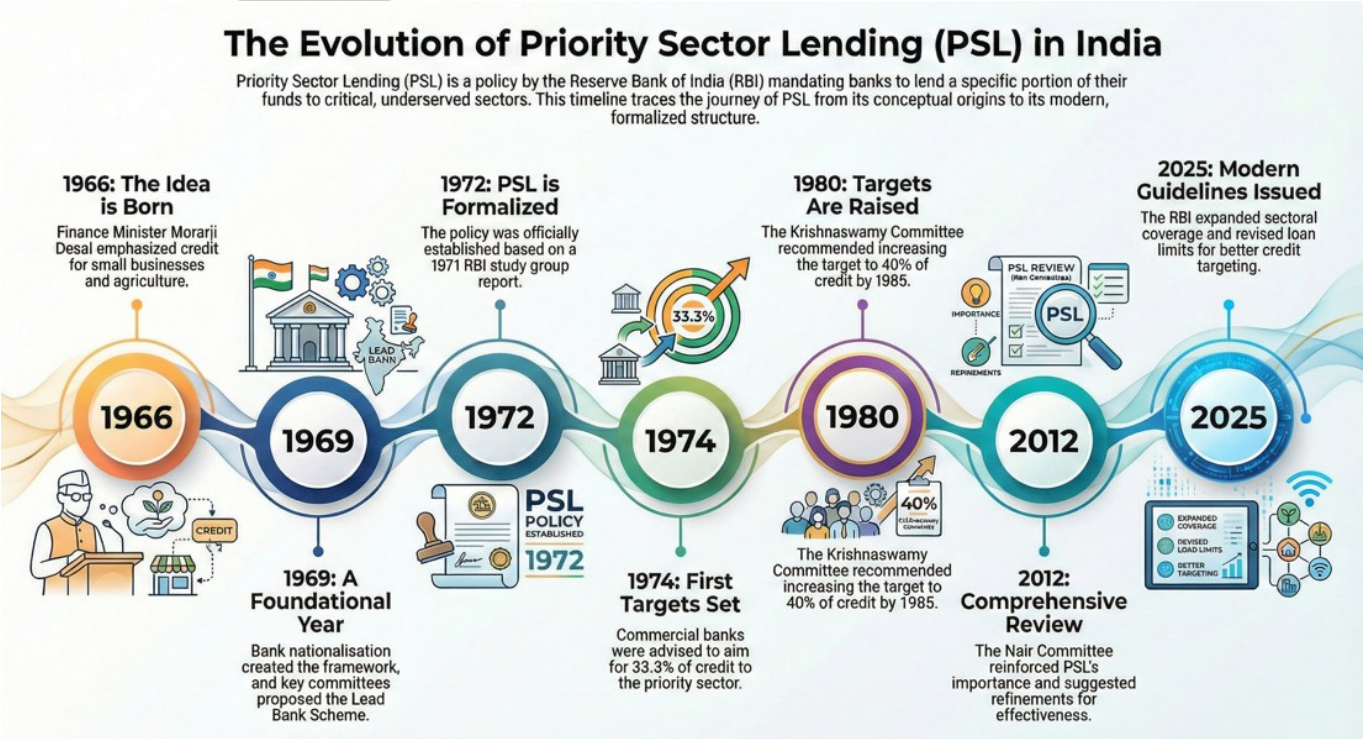
Recommended revising the target to 40% of ANBC by 1985, with sub-targets for agriculture and weaker sections.

1982 – Ghosh Committee:

Recommended revision and reclassification of priority sector categories.

2009 - Usha Thorat Committee:

Supported the continuation of the Lead Bank Scheme, recognizing its importance in expanding PSL coverage



What are the key sectors covered under PSL?

Agriculture

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Micro, Small and Medium Enterprises(MSME)
Export Credit
Education
Housing
Social Infrastructure
Renewable Energy
Others

Targets/Sub-targets for Priority sector

Categories	Targets/ Sub-targets			
	Domestic Commercial Banks (excl. RRBs & SFBs) & Foreign Banks with 20 branches and above	Foreign Banks with less than 20 branches	Regional Rural Banks	Small Finance Banks
Total Priority Sector	40 per cent of ANBC as computed in para 6 above or CEOBSE, whichever is higher.	40 per cent of ANBC as computed in para 6 above or CEOBSE, whichever is higher; out of which up to 32% can be in the form of Export Credit and not less than 8% can be to any other priority sector.	75 per cent of ANBC as computed in para 6 above or CEOBSE, whichever is higher. However, lending to Medium Enterprises, Social Infrastructure and Renewable Energy shall be reckoned for priority sector achievement up to 15 per cent of ANBC only.	75 per cent of ANBC as computed in para 6 above or CEOBSE, whichever is higher.
Agriculture	18 per cent of ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for Non-Corporate Farmers (NCFs), out of which a target of 10 percent is prescribed for SMFs.	Not applicable	18 per cent ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for NCFs, out of which a target of 10 percent is prescribed for SMFs.	18 per cent of ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for NCFs, out of which a target of 10 percent is prescribed for SMFs.
Micro Enterprises	7.5 per cent of ANBC or CEOBSE, whichever is higher	Not applicable	7.5 per cent of ANBC or CEOBSE, whichever is higher	7.5 per cent of ANBC or CEOBSE, whichever is higher
Advances to Weaker Sections	12 percent of ANBC or CEOBSE, whichever is higher	Not applicable	15 per cent of ANBC or CEOBSE, whichever is higher	12 percent of ANBC or CEOBSE, whichever is higher

The priority sector lending targets for UCBs shall be as follows:

Categories	Targets as a percentage of ANBC or CEOBSE, whichever is higher
Total Priority Sector	60%
Micro Enterprises	7.50%
Advances to Weaker Sections	12%

ELIGIBLE CATEGORIES UNDER PRIORITY SECTOR
Agriculture – Priority Sector Lending (PSL):
Lending to the Agriculture Sector under PSL includes:
Farm Credit (Agriculture and Allied Activities)
Agriculture Infrastructure
9.1 Farm Credit
A. Farm Credit – Individual Farmers
Includes loans to:

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Individual farmers
Self Help Groups (SHGs) – Self Help Groups
Joint Liability Groups (JLGs) – Joint Liability Groups
Proprietorship firms of farmers
(Banks must maintain disaggregated data)
Eligible loans:
Crop loans (traditional and non-traditional plantations, horticulture, allied activities)
Medium and long-term loans
(agricultural implements, machinery, allied activities)
Pre- and post-harvest loans
(spraying, harvesting, grading, transporting own produce)
Loans to distressed farmers indebted to non-institutional lenders
Kisan Credit Card (KCC) loans
Loans to Small and Marginal Farmers (SMFs) for land purchase
Loans against pledge/hypothecation of agricultural produce (up to 12 months):
Up to ₹90 lakh against NWRs/eNWRs
(Negotiable Warehouse Receipt / Electronic Negotiable Warehouse Receipt)
Up to ₹60 lakh against other warehouse receipts
Loans for solar agriculture pumps (stand-alone and solarisation of grid-connected pumps)
Loans for solar power plants on barren/fallow land or stilt-based on farm land
B. Farm Credit – Corporate Farmers / FPOs / FPCs / Partnerships / Co-operatives
Includes:
Corporate farmers
FPOs – Farmer Producer Organisations
FPCs – Farmer Producer Companies
Partnership firms and co-operatives of farmers
(a) Loans up to ₹4 crore per borrowing entity
Crop loans (including plantations, horticulture, allied activities)
Medium and long-term agriculture loans
Pre- and post-harvest activities for own produce
(b) Produce-backed loans (up to 12 months)
Up to ₹4 crore against NWRs/eNWRs
Up to ₹2.5 crore against other warehouse receipts
(c) Loans up to ₹10 crore
To FPOs/FPCs undertaking farming with assured marketing at pre-determined prices
(d) Loans up to ₹10 crore
For purchase of produce of farmer members
Note:
Urban Co-operative Banks (UCBs) are not permitted to lend to co-operatives of farmers.
9.2 Agriculture Infrastructure
Loans for agriculture infrastructure

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Aggregate sanctioned limit: ₹100 crore per borrower from the banking system
9.3 Ancillary Services
Eligible loans include:
Start-ups engaged in agriculture and allied services: up to ₹50 crore
Food and Agro-processing: up to ₹100 crore per borrower
Export credit to agriculture
(pre-shipment and post-shipment; excluding off-balance sheet items)
Outstanding deposits under:
RIDF – Rural Infrastructure Development Fund
Other eligible funds with National Bank for Agriculture and Rural Development (NABARD)
on account of PSL shortfall
9.4 Small and Marginal Farmers (SMFs) – Eligibility
For sub-target computation, SMFs include:
Marginal Farmers: landholding up to 1 hectare
Small Farmers: landholding >1 hectare and up to 2 hectares
Landless agricultural labourers, tenant farmers, oral lessees, share-croppers
(within SMF land limits)
SHGs/JLGs of individual SMFs (with disaggregated data)
Loans up to ₹2.5 lakh to individuals solely in allied activities (no land criterion)
Loans to FPOs/FPCs and co-operatives of farmers where:
SMF landholding ≥ 75%
Subject to limits under para 9.1 (B)
Note: UCBs are not permitted to lend to co-operatives of farmers.
9.5 Lending to NBFCs and MFIs for On-lending
Bank credit to NBFC-MFIs and other Microfinance Institutions (MFIs)
(members of RBI-recognised SROs) for on-lending:
Eligible as PSL under agriculture categories
Bank credit to NBFCs (non-MFIs) for agriculture term lending:
Eligible up to ₹10 lakh per borrower
Not applicable to:
RRBs – Regional Rural Banks
UCBs – Urban Co-operative Banks
SFBs – Small Finance Banks
LABs – Local Area Banks

Education
Loans to individuals for educational purposes, including vocational courses, not exceeding ₹25 lakh will be considered as eligible for priority sector classification.

Housing
Bank loans to Housing sector as per limits prescribed below are eligible for priority sector classification:

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Loans to individuals for purchase/construction of a dwelling unit per family subject to the following limits:

(Amount in ₹ lakh)

Category	Loan Limit#	Maximum Cost of Dwelling Unit#
Centres with population of 50 lakh and above	50	63
Centres with population of 10 lakh and above but below 50 lakh	45	57
Centres with population below 10 lakh	35	44
#to be eligible, the loan to satisfy both the criteria		

Housing loans to banks' own employees will not be eligible for classification under the priority sector.

Housing loans which are backed by long term bonds shall not be classified under priority sector, as they are exempted from inclusion in ANBC.

Investments made by UCBs in bonds issued by NHB/HUDCO on or after April 1, 2007 shall not be eligible for classification under priority sector.

Loans for repairs to damaged dwelling units shall be eligible for priority sector classification subject to the following limits:

(Amount in ₹ lakh)

Category	Loan Limit#	Maximum Cost of Dwelling Unit#
Centres with population of 50 lakh and above	15	63
Centres with population of 10 lakh and above but below 50 lakh	12	57
Centres with population below 10 lakh	10	44
#to be eligible, the loan to satisfy both the criteria		

Bank loans to any governmental agency for construction of dwelling units or for slum clearance and rehabilitation of slum dwellers subject to dwelling units with carpet area of not more than 60 sq.m.

Bank loans for affordable housing projects using at least 50% of FAR/FSI for dwelling units with carpet area of not more than 60 sq.m.

Outstanding deposits with NHB on account of priority sector shortfall

Social Infrastructure

Bank loans to social infrastructure sector as per limits prescribed below are eligible for priority sector classification.

Loans up to a limit of ₹8 crore per borrower for setting up schools, drinking water facilities and sanitation facilities including construction/refurbishment of household toilets and water improvements at household level, etc.

Loans up to a limit of ₹12 crore per borrower for building health care facilities in Tier II to Tier VI centres. In case of UCBs, the equivalent centres are those in Category 'D'5.

Loans (other than by RRBs, UCBs and SFBs) to MFIs extended for on-lending to individuals and also to members of SHGs/JLGs for water and sanitation facilities subject to the criteria

Renewable Energy

Bank loans up to a limit of ₹35 crore to borrowers for renewable energy-based power generators and for renewable energy based public utilities, viz., street lighting systems, remote village electrification etc., will be eligible for priority sector classification. For individual households, the loan limit will be ₹10 lakh per borrower.

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Others

The following loans up to the prescribed limits are eligible for priority sector classification:

Loans provided directly by banks to individuals and individual members of SHGs/JLGs satisfying the criteria.

Loans not exceeding ₹2.00 lakh provided by banks to SHG/JLG for activities other than agriculture or MSME, viz., loans for meeting social needs, construction or repair of house, construction of toilets or any viable common activity started by SHGs

Loans to distressed persons [other than distressed farmers indebted to non-institutional lenders] not exceeding ₹1.00 lakh per borrower to prepay their debt to non-institutional lenders

Loans sanctioned to State Sponsored Organisations for Scheduled Castes/ Scheduled Tribes for the specific purpose of purchase and supply of inputs and/or the marketing of the outputs of the beneficiaries of these organisations

Loans up to ₹50 crore to Start-ups, that are engaged in activities other than agriculture or MSME

Weaker Sections:

Priority sector loans to the following borrowers will be considered as lending to Weaker Sections (overlapping category):

(i) Small and Marginal Farmers

(ii) Artisans, village and cottage industries where individual credit limits do not exceed ₹2 lakh

(iii) Beneficiaries under Government Sponsored Schemes such as National Rural Livelihood Mission (NRLM), National Urban Livelihood Mission (NULM) and Self Employment Scheme for Rehabilitation of Manual Scavengers (SRMS)

(iv) Scheduled Castes and Scheduled Tribes

(v) Beneficiaries of Differential Rate of Interest (DRI) scheme

(vi) Self Help Groups/Joint Liability Groups

(vii) Individuals and individual members of SHGs/JLGs

(viii) Individual women beneficiaries up to ₹2 lakh per borrower (the limit of '₹2 lakh per borrower' is not applicable to UCBs)

(ix) Distressed farmers indebted to non-institutional lenders

(x) Distressed persons other than farmers, with loan amount not exceeding ₹1 lakh per borrower to prepay their debt to non-institutional lenders

(xi) Persons with disabilities

(xii) Transgenders

(xiii) Minority communities as may be notified by Government of India from time to time.

Overdraft availed by PMJDY account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time may be classified under loans to Weaker Sections.

In States, where one of the minority communities notified is, in fact, in majority, item (xiii) will cover only the other notified minorities. These States/Union Territories are Punjab, Meghalaya, Mizoram, Nagaland, Lakshadweep and Jammu & Kashmir.

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THE LENDING GAZETTE

RBI Revises Priority Sector Lending Rules for 2025

CONTEXT SUMMARY: The Reserve Bank of India (RBI) has updated its Priority Sector Lending (PSL) guidelines to channel more credit towards specific high-priority areas. The revisions for 2025 include increased loan limits for key sectors and expanded definitions for financial inclusion.

KEY LOAN LIMIT INCREASES



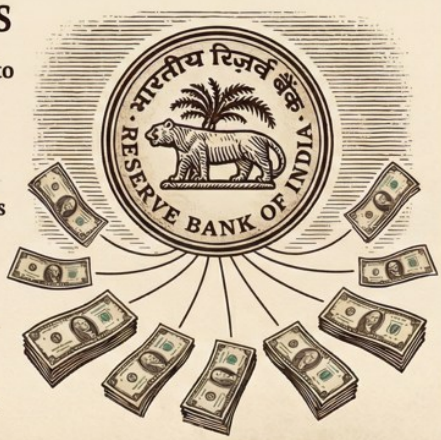
Education Loans Boosted to ₹25 Lakh: The maximum loan amount for individual students has been raised from ₹20 lakh.



Renewable Energy Projects Get ₹35 Crore Cap: The limit for projects like solar and biomass was increased from ₹30 crore.



Affordable Housing Gets a Major Push: Loan limits are now higher for housing in Tier-III to Tier-VI cities.



EXPANDING ACCESS & ADJUSTING TARGETS



Financial Inclusion Broadened for "Weaker Sections": Transgender individuals are now included to ensure better access to credit.



Target for Urban Co-op Banks Eased to 60%: The PSL target for these banks was reduced from the previous 75%.

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THE NEGOTIABLE INSTRUMENTS ACT, 1881

Negotiable Instruments help in easy and safe transfer of money from one place to another.

The law governing negotiable instruments in India is the Negotiable Instruments Act, 1881.

Definition (Section 13)

Negotiable Instrument means:

Promissory Note

Bill of Exchange

Cheque

These instruments must be payable to order or to bearer, whether or not the words "order" or "bearer" are expressly mentioned.

Meaning (Justice Willis)

A negotiable instrument is one:

Whose ownership (property) can be acquired by a person

Who takes it bona fide (in good faith) and for value

Even if the previous holder had defective title

Essence of a Negotiable Instrument

It is a written document

It creates a right to receive money

It is freely transferable

The holder can recover money in his/her own name

Other Instruments as Negotiable Instruments

Even if not mentioned in the Act, an instrument can be treated as negotiable if both conditions are satisfied:

Free Transferability

Transferable by delivery, or

By endorsement and delivery

As per custom of trade

Good Faith and Value

The transferee must:

Obtain it in good faith

Give value (consideration)

Get it free from all defects

Be entitled to recover money in his/her own name

Characteristics of Negotiable Instruments

1. Easy Transferability

Ownership (property) in a negotiable instrument can be transferred easily:

Bearer instrument: By mere delivery

Order instrument: By endorsement and delivery

2. Transferee's Title Free from All Defects

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A person who takes the instrument:
Bona fide (in good faith)
For value (consideration)
Before maturity
Such a person is called a Holder in Due Course (HDC).
He/she gets a good title, even if the transferor's title was defective.
3. Transferee Can Sue in His/Her Own Name
On dishonour of the instrument, the transferee can:
File a suit in his/her own name
Without depending on the previous holder
4. Prompt Payment
Negotiable instruments ensure prompt payment because:
Dishonour affects the credit and reputation of all parties involved
Hence, parties try to honour the instrument on time
5. Notice of Transfer Not Necessary
The transferee:
Is not required to give notice of transfer
To the person who is liable to pay the amount
6. Presumptions under the Negotiable Instruments Act, 1881 (Sections 118 and 119)
The Court presumes the following unless proved otherwise:
(a) Consideration: Every negotiable instrument is presumed to be: Made, drawn, accepted, or endorsed for consideration
(b) Date The instrument is presumed to have been: Made or drawn on the date it bears
(c) Time of Acceptance: Every accepted bill is presumed to have been:
Accepted within a reasonable time
After issue and before maturity
(d) Time of Transfer: Every transfer is presumed to have been: Made before maturity
(e) Order of Endorsements: Endorsements are presumed to have been:
Made in the order in which they appear on the instrument
(f) Stamp
If an instrument is lost, it is presumed that:
It was duly stamped
(g) Holder in Due Course
Every holder is presumed to be:
A Holder in Due Course
(h) Proof of Protest (Section 119)
In a suit for dishonour:
On proof of protest, the Court presumes:
The fact of dishonour
Unless the contrary is proved

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TYPES OF NEGOTIABLE INSTRUMENT

(a) Negotiable instruments recognised by statute (By the Negotiable Instruments Act):

(i) Promissory notes

(ii) Bills of exchange

(iii) Cheques

(b) Negotiable instruments recognised by usage or custom are:

(i) Hundis
(ii) Share warrants
(iii) Dividend warrants
(iv) Bankers draft
(v) Circular notes
(vi) Bearer debentures
(vii) Debentures of Bombay Port Trust
(viii) Railway receipts
(ix) Delivery orders.

Promissory Note
Definition (Section 4)
A Promissory Note is:
An instrument in writing
Not being a bank-note or currency note
Containing an unconditional undertaking
Signed by the maker
To pay a certain sum of money
To, or to the order of, a certain person, or to the bearer of the instrument
Parties to a Promissory Note
Maker:
The person who makes the note
Promises to pay the amount
Payee
The person to whom the amount is payable
Essential Elements of a Promissory Note
In Writing:
Express Promise to Pay
Unconditional Promise
Signed by the Maker
Certainty of the Maker
Certainty of the Payee
Promise to Pay Money Only
Certain Amount
Other Formalities (Not Essential in Law)
Date, place, number, and consideration:
Commonly mentioned
Not mandatory for validity

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Specimen of Promissory Notes

216, MalkaGanj,
Delhi-110 007
5th May, 2012.

₹ 10,000.00 P

Stamp

Three months after date, we promise to pay M/s Lakhmi Chand & Sons or their order a sum of Rupees Ten Thousand Only, for value received.

To
M/s Lakhmi Chand & Sons,
126, Chandni Chowk,
Delhi-11006

For M/s Aggarwal Stores
(Signed) Nakul Gupta
(Nakul Gupta)
Partner

Bill of Exchange
Definition (Section 5)
A Bill of Exchange is:
An instrument in writing
Containing an unconditional order
Signed by the drawer
Directing a certain person
To pay a certain sum of money only
To, or to the order of, a certain person, or to the bearer of the instrument
Parties to a Bill of Exchange
Drawer: The maker of the bill of exchange
Drawee: The person directed to pay the money by the drawer
Acceptor
When the drawee signs his/her assent on the bill
The drawee then becomes the acceptor
Payee: The person to whom the money is payable

Essential conditions of a bill of exchange
(1) It must be in writing.
(2) It must be signed by the drawer.
(3) The drawer, drawee and payee must be certain.
(4) The sum payable must also be certain.
(5) It should be properly stamped.
(6) It must contain an express order to pay money and money alone.
(7) The order must be unconditional.

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Specimen of Bill of Exchange

Mr. A (Drawer)
48, MP Nagar, Bhopal (M.P.)
April 7, 2015

Rs. 10,000/-
Four months after date, pay to Mr. B (Payee) a sum of Rupees Ten Thousand, for value received.

To
Mr. C (Drawee)
576, Arera Colony, Bhopal (M.P.)

Signature
Mr. A

Key Difference
Promissory Note → Contains a promise to pay
Bill of Exchange → Contains an order to pay

Cheque
Definition (Section 6)
A Cheque is:
A Bill of Exchange
Drawn on a specified banker
Not expressed to be payable otherwise than on demand
Special Features of a Cheque
A cheque is a bill of exchange with two additional qualifications:
It is always drawn on a specified banker
It is always payable on demand
Conclusion:
All cheques are bills of exchange
All bills of exchange are not cheques
Parties to a Cheque
Drawer: The person who draws the cheque
Drawee:
The banker of the drawer
On whom the cheque is drawn
Payee: The person entitled to receive payment of the cheque

Types of Cheques
(a) Open Cheque
An Open Cheque is payable:

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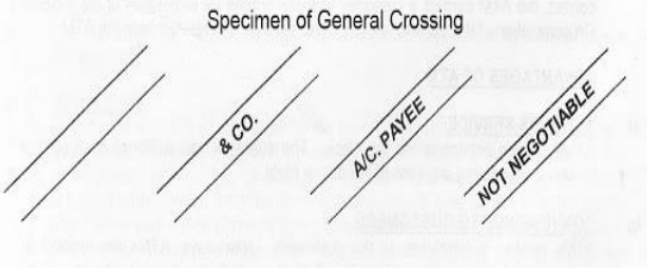


At the counter of the bank
On which it is drawn
Types of Open Cheque
1. Bearer Cheque:
Payable to the bearer
Payment is made to: The person who presents the cheque
Transfer: By mere delivery
Risk: High risk of misuse
Example: "Pay A or bearer"
2. Order Cheque
Payable to: A specific person named in the cheque
Or to his/her order
Transfer: By endorsement and delivery
Risk: Less than bearer cheque
Example: "Pay A or order"

(b) Crossed Cheque
Used to reduce the risk involved in open cheques
Identified by:
Two parallel transverse lines
Drawn across the top left of the cheque
With or without the words:
"& Co."
"Not Negotiable"
"A/c Payee"
Features of a Crossed Cheque
Cannot be encashed at the bank counter
Payment is made:
Only through a collecting banker
Ensures:
Greater safety
Traceability of payment

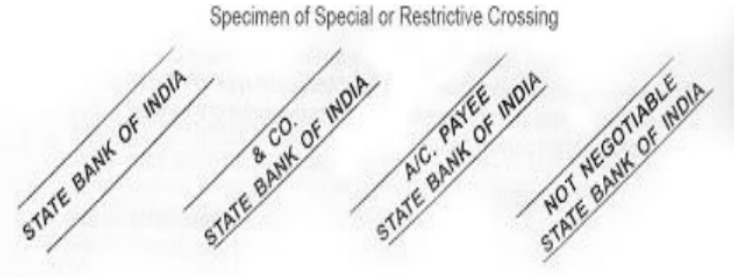
MODES OF CROSSING
(1) General Crossing – In general crossing, simply two parallel transverse lines at the left hand side of its top corner with or without words such as 'and company' or 'not negotiable' may be drawn.
Effect - Payment can be made through bank account only, and not at the counter.

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(2) Special Crossing - When a cheque bears the name of the bank in between the two parallel lines, with or without the words 'not negotiable' is called Special Crossing.

Effect - The bank will pay to the banker whose name is written in between the crossed lines.

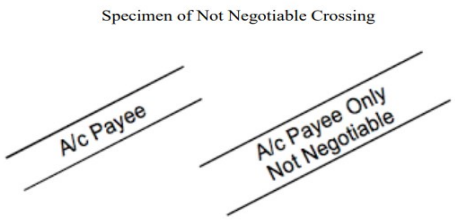


(3) Restrictive Crossing - In this, crossing of cheques is done by writing Account Payee or Account Payee only in between the crossing lines.

Effect - Payment will be credited to the account of payee named in the cheque.

(4) Not negotiable Crossing - A person taking a cheque crossed generally or specially, bearing in either case the words 'not negotiable' shall not be able to give a better title to the holder than that of the transferor.

Effect - The cheque can be transferred but the transferee will not acquire a better title to the cheque. Thus a cheque is deprived of its essential feature of negotiability.



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Comparison between Cheque and Bill of Exchange

S.N.	BASIS	CHEQUE	BILL OF EXCHANGE
1.	Meaning	A document used to make easy payments on demand and can be transferred through hand delivery	A written document that shows the indebtness of the debtor towards the creditor
2.	Defined in	Section 6 of Negotiable Instrument Act, 1881.	Section 5 of Negotiable Instrument Act, 1881.
3.	Drawee	Always a specific bank	May be any person or bank
4.	Payable to bearer on demand	Always	Cannot be made payable to bearer on demand.
5.	Acceptance	Does not require acceptance	A bill needs to be accepted.
6.	Validity period	3 months	Not applicable
7.	Days of grace	No grace period is allowed	3 days of grace allowed
8.	Can it be crossed	Yes	No
9.	Stamping	No such requirement	Must be stamped

Comparison between Bill of Exchange and Promissory Note

S.N.	BASIS	BILL OF EXCHANGE	PROMISSORY NOTE
1.	Meaning	Bill of Exchange is an instrument in writing showing the indebtedness of a buyer towards the seller of goods.	It is an instrument in writing containing an unconditional undertaking signed by maker to pay a certain sum of money to a certain person or to the bearer.
2.	Defined in	Section 5 of Negotiable Instrument Act, 1881.	Section 4 of Negotiable Instrument Act, 1881.
3.	Nature of Payment	There is an unconditional order to pay	There is an unconditional promise to pay
4.	Number of Parties	Three parties, i.e. drawer, drawee and payee.	Two parties, i.e. drawer and payee.
5.	Drawn by	Creditor	Debtor
6.	Liability of Maker	Secondary and conditional	Primary and absolute
7.	Notice of dishonour	Notice must be given to all persons liable to pay	Notice of dishonor to maker is not necessary
8.	Noting and protesting	Required in case of dishonor of a bill.	Not required in case of dishonor of a note.
9.	Payable to maker	The drawer and payee may be one person	Maker cannot pay to himself
10.	Copies	Bill can be drawn in copies.	Promissory Note cannot be drawn in copies.

DISHONOUR OF NEGOTIABLE INSTRUMENTS

A negotiable instrument is dishohoured by non-payment. While a bill of exchange can be dishohoured, in addition, by non-acceptance also. When a negotiable instrument is dishonoured, the holder must give a notice of dishonour to all the previous parties in order to make them liable.

(a) Dishonour by non-acceptance (Section 91)

A bill of exchange can be dishonoured by non-acceptance in the following ways :

1. When the bill is duly presented and the drawee does not accept the bill within 48 hours of presentment.

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2. When there are several drawees who are not partners, and any of them doesnot accept the bill within 48 hours of presentment.
3. When the drawee is a fictitious person.
4. When the drawee after reasonable search, cannot be found.
5. When the drawee is incompetent to contract.
6. When the acceptance is qualified.
7. When presentment for acceptance is excused and the bill is not accepted.

(b) Dishonour by non-payment (Section 92):

A promissory note, bill of exchange or cheque is said to be dishonoured by non-payment when the maker of the note, acceptor of the bill, drawee of the cheque or drawee in case of need, if there is any, does not pay the amount upon being duly required to pay the same. An instrument is also dishonoured by non-payment when presentment for payment is excused and the instrument after maturity remains unpaid (Sec 76).

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RBI and Its Functions (excluding Monetary Policy Review) Chapter - 10

About RBI:

RBI is the Central Bank of India, meaning it is the apex body in the Indian financial system.

It is owned by the Union Ministry of Finance.

It acts as a regulatory body, responsible for the regulation of the Indian banking system as well as the control, issuing, and maintaining money supply in the Indian economy.

The Reserve Bank of India was established on April 1, 1935 in accordance with the provisions of the Reserve Bank of India Act, 1934.

The Central Office of the Reserve Bank was initially established in Kolkata but was permanently moved to Mumbai in 1937.

The Central Office is where the Governor sits and where policies are formulated.

Though originally privately owned, since nationalisation in 1949, the Reserve Bank is fully owned by the Government of India.

OBJECTIVES

To Control the Supply of Money by controlling rate of Inflation

FOREX RESERVES: Maintain reserves with a view to securing monetary stability

PRICE STABILITY: Price stability while keeping in mind the objective of growth.

ISSUER OF CURRENCY: Operate the credit and currency system of the country to its advantage.

HISTORY OF RBI

1926: Royal Commission on Indian Currency and Finance

1934: Reserve Bank of India Act, 1934

1935: RBI was established

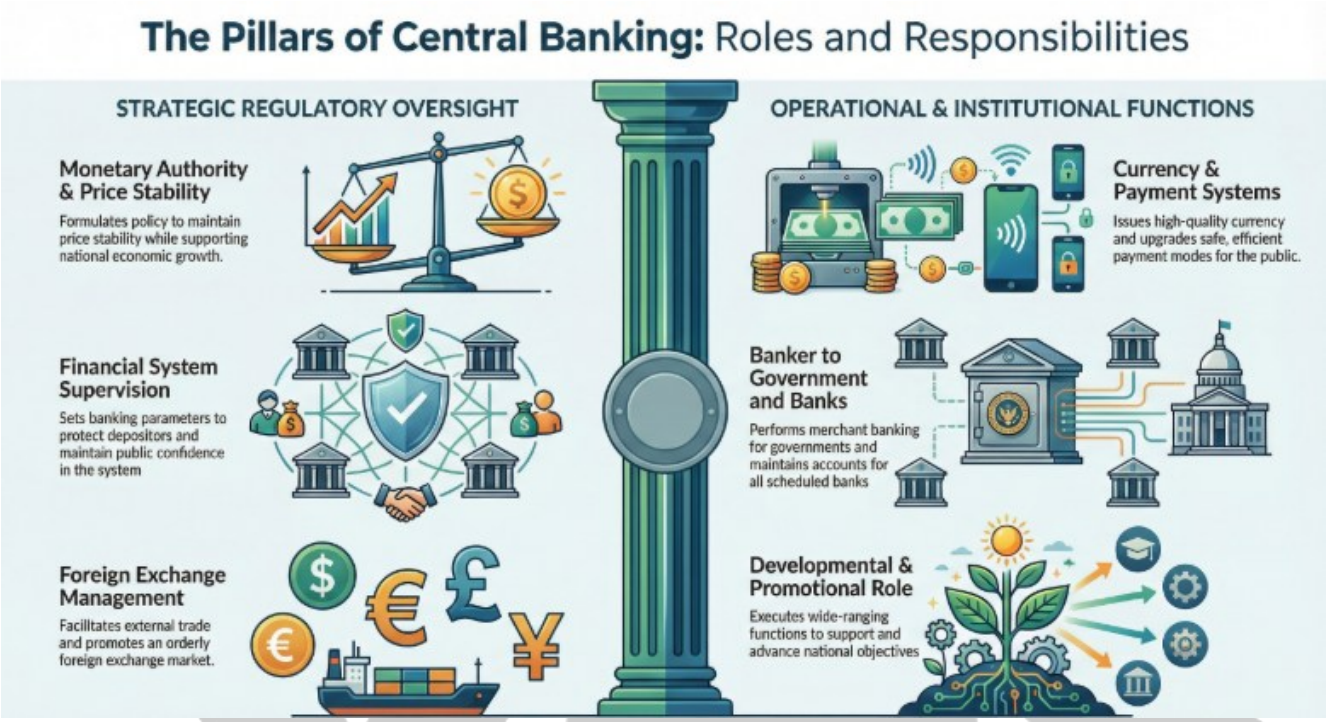
1937: RBI was permanently moved from Calcutta to Mumbai,

1949: RBI, which was held by private stakeholders till now, was nationalized.

Nationalisation: Government of India passed the Reserve Bank of India (Transfer to Public Ownership) Act, 1948.

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BRANCHES OF RBI

Central Office

The Central Office of the Reserve Bank of India is the main office and headquarters of the RBI.

Zonal Offices

Kolkata – represents the East Region

Mumbai – represents the West Region

Delhi – represents the North Region

Chennai – represents the South Region

Regional Offices

Reserve Bank of India (RBI) has about 22 regional offices,

In total RBI has 33 Offices across the country

Training institutes : RBI Academy, College of Agricultural Banking, Reserve Bank of India Staff College and College of Supervisors are part of the Reserve Bank.

Other autonomous, such as, Institute for Development and Research in Banking Technology (IDRBT)

Regulator and Supervisor of Payment and Settlement Systems:

Introduces and upgrades safe and efficient modes of payment systems in the country to meet the requirements of the public at large.

Objective: maintain public confidence in payment and settlement system

Banker to the Government: performs merchant banking function for the central and the state governments; also acts as their banker.

Banker to banks: maintains banking accounts of all scheduled banks.

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Institutes Funded by the Bank

Sl.No.	Institutes	Description
1	Centre for Advanced Financial Research and Learning (CAFRAL)	Fully funded by RBI
2	Indira Gandhi Institute of Development Research (IGIDR)	Fully funded by RBI
3	Indian Institute of Bank Management (IIBM)	RBI is a sponsor bank along with other banks and Financial Institutions.
4	National Institute of Bank Management (NIBM)	RBI is an ordinary member along with other banks and Financial Institutions.

Subsidiaries of the Reserve Bank of India (RBI):

Fully owned: Deposit Insurance and Credit Guarantee Corporation of India (DICGC),

Deposit Insurance and Credit Guarantee Corporation

1978

Head : Swaminathan J, Deputy Governor of RBI

DICGC insures the principal and interest of deposits up to ₹5 lakh per depositor

Banks covered under DICGC

All commercial banks including the branches of foreign banks functioning in India, Local Area Banks and Regional Rural Banks.

Co-operative Banks - All eligible co-operative banks as defined in Section 2(gg) of the DICGC Act are covered by the Deposit Insurance Scheme.

DICGC insures all bank deposits, such as saving, fixed, current, recurring, etc. except the following types of deposits.

Deposits of foreign Governments;

Deposits of Central/State Governments;

Inter-bank deposits

Deposits of the State Land Development Banks with the State co-operative banks;

Any amount due on account of and deposit received outside India

Any amount which has been specifically exempted by the corporation with the previous approval of the RBI.

Banks have to pay a premium to provide insurance.

The Corporation has revised the premium further to 12 paise per 100 of assessable deposits per annum

Under Section 15A of the DICGC Act, the Corporation has the power to cancel the registration of an insured bank if it fails to pay the premium for three consecutive half-year periods.

Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL),

Bharatiya Reserve Bank Note Mudran Private Limited

3rd February 1995

Bengaluru

The company manages 2 Presses one at Mysore in Karnataka and the other at Salboni in West Bengal

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Reserve Bank Information Technology Private Limited (ReBIT),
Reserve Bank Information Technology Pvt. Ltd.
2016
HQ : Mumbai

Indian Financial Technology and Allied Services (IFTAS),
Indian Financial Technology & Allied Services
IFTAS was established in 2014
HQ : Mumbai

Reserve Bank Innovation Hub (RBIH)
Reserve Bank Innovation Hub
2022
HQ : Bengaluru
It would create internal capabilities by building applied research and expertise in the latest technology.
CEO: Senapathy Gopalakrishnan

Key Functions as a Regulator

Licensing: The RBI grants licenses to banks and financial institutions, ensuring they meet the necessary criteria for operation.

Prudential Norms: It sets prudential norms for capital adequacy, asset classification, and provisioning to maintain the health of the banking sector.

Inspections and Audits: Regular inspections and audits are conducted by the RBI to monitor compliance with regulatory guidelines.

Consumer Protection: The RBI has established mechanisms to address consumer grievances and ensure fair treatment of customers by banks.

The Central Board of Directors is the main committee of the Reserve Bank of India, responsible for its overall control and direction. It is a 21-member body, comprising the following members:

Official Directors – They include:

The Governor of the Reserve Bank of India.

Not more than 4 Deputy Governors (for a tenure of not more than 5 years)

Non-Official Directors – They include

10 Directors from various fields, nominated by the Government of India (for a tenure of 4 years)

4 Directors representing the 4 Local Boards of the Reserve Bank of India (1 Director nominated by each of the 4 Local Boards – Mumbai, Kolkata, Chennai, and Delhi)

2 Government officials nominated by the Government of India

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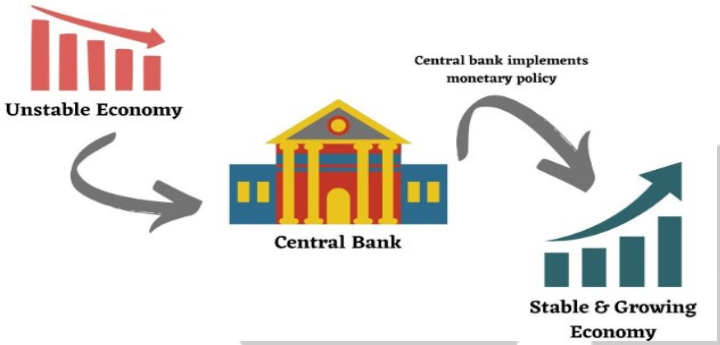
Monetary Policy Review 2025 : Including SDF, LTRO, Incremental CRR
Chapter – 11

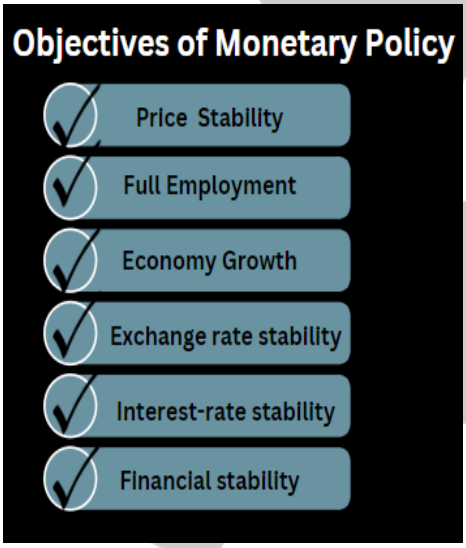
What is Monetary Policy?

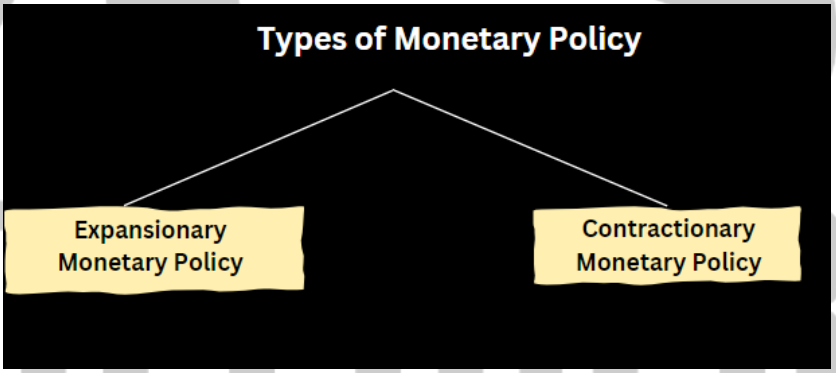
Macroeconomic policy tool

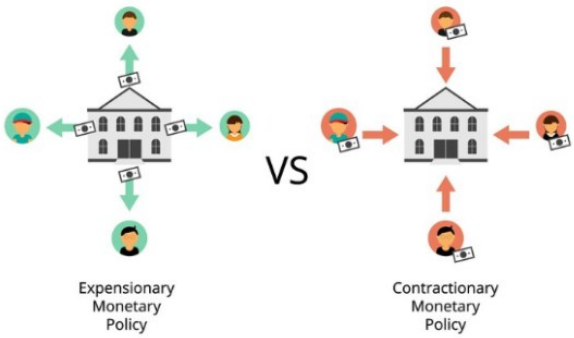
Used by the Central Bank

Reason: To influence the money supply in the economy to achieve certain macroeconomic goals.









Expansionary Monetary Policy:

Aim: To increase the money supply in the economy through measures such as:

Decreasing interest rates

Lowering reserve requirements for banks

Purchasing government securities by central banks

Contractionary Monetary Policy:

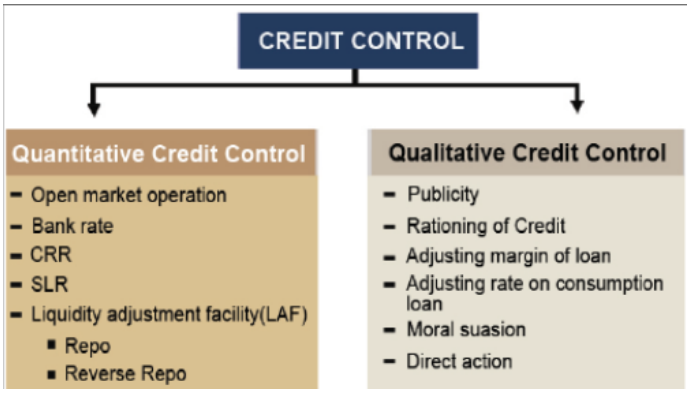
It is used to decrease the amount of money supply in the economy through measures such as:

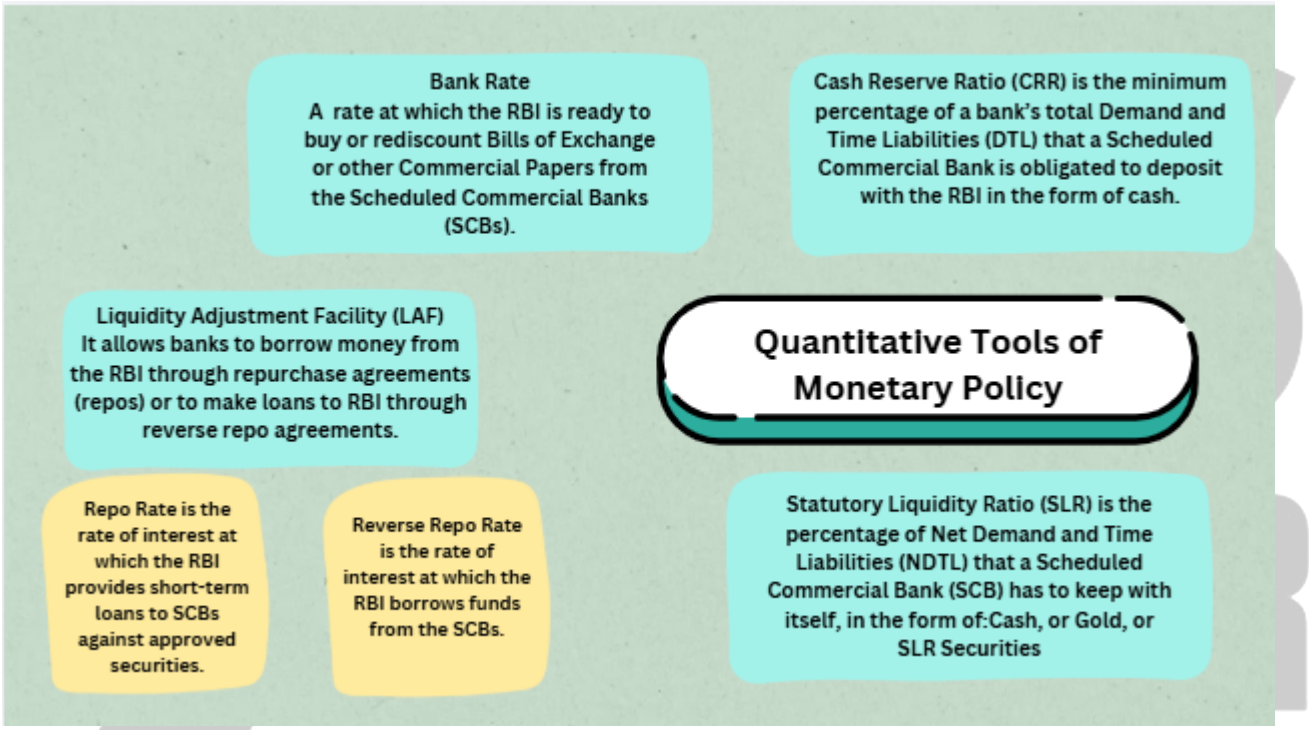
Raising interest rates

Increasing the reserve requirements for banks

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Selling government bonds





What are Long term repo operations?

LTRO is a tool that allows banks to borrow one to three years of funds from the Central Bank at the Repo rate.

It is called 'Targeted' LTRO if the Central Bank wants banks opting for funds under this option to be specifically invested in investment-grade corporate debt.

LTRO was first introduced by the European Central Bank (ECB) during its sovereign debt crisis that began in 2008.

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Quantitative Tools of Monetary Policy

MSF stands for Marginal Standing Facility. It is a provision made by the Reserve Bank of India through which scheduled commercial banks can obtain liquidity overnight, if inter-bank liquidity completely dries up.

Open Market Operations (OMOs) refer to the buying and selling of government securities by RBI to regulate the short-term money supply.

Market Stabilization Scheme (MSS) refers to intervention by the RBI to withdraw excess liquidity by selling government securities in the economy.

Qualitative Tools of Monetary Policy

Margins Requirements refers to the difference between the value of securities offered for loans and the value of loans actually granted.

Moral Suasion means persuasion and request.

The RBI takes direct action such as refusing to rediscount the bills or charging penal interest rates, etc when a commercial bank does not co-operate with the central bank in achieving its desirable objectives.

Consumer Credit Regulation
Credit made available by commercial banks (installments) for the purchase of consumer durables is known as consumer credit.

Rationing of Credit or Credit Ceiling
Under this, the RBI fixes a ceiling on the amount of loans that can be granted by SCBs. As a result, SCBs tighten in advancing loans to the public.

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Parameter	CRR (Cash Reserve Ratio)	SLR (Statutory Liquidity Ratio)
Definition	Percentage of total deposits that banks must maintain as cash.	Percentage of total deposits that banks must maintain in the form of gold, cash, or approved securities.
Purpose	CRR is used by the RBI to control the flow of money in the economy. It regulates the amount of funds that banks can lend.	SLR is used to ensure that banks have sufficient funds to meet the demands of their customers. It ensures the solvency of banks and encourages them to invest in government securities.
Impact on Interest Rate	Increased CRR leads to a decrease in the amount of money available for lending, thus, leading to an increase in interest rates.	Increased SLR reduces the funds available for lending, thus, leading to an increase in interest rates.
Penalty for Non-compliance	Banks failing to maintain the required CRR have to pay a penalty to the RBI.	Banks failing to maintain the required SLR have to pay a penalty to the RBI.
Form of Reserve	CRR is maintained as cash.	SLR is maintained as cash, gold, or approved securities.

BASIS FOR COMPARISON	BANK RATE	MSF RATE
Meaning	Bank Rate is a discount rate at which RBI grants long term loans to commercial banks.	MSF Rate is a rate at which the commercial banks borrow funds overnight from the central bank.
Eligibility	All commercial banks.	All Scheduled Commercial Banks (SCBs) having their current account and Subsidiary General Ledger (SGL) with an RBI.
Meant for	Long term Lending	Overnight Lending
Collateral	The loan can be raised without pledging the securities.	The loan is given against security within the limits of SLR and up to a certain percentage of NDTL

LAF	MSF
Liquidity adjustment facility	Marginal standing facility
Minimum bidding amount is 5 cr.	1 cr.
All clients of RBI are eligible to bid.	Only scheduled commercial banks can bid.
Bank cannot sell Government security to RBI that is part of bank's SLR quota.	bank can sell the Government security from its SLR quota to RBI.
Bank can borrow any amount of money as long as it has the securities to sell.	Bank can maximum borrow upto 2% of its NDTL.
Suppose repo rate is "r%"	MSF lending rate is always (r+1)%

Standing Deposit Facility :

In 2018, the amended Section 17 of the RBI Act empowered the Reserve Bank to introduce the SDF – an additional tool for absorbing liquidity without any collateral.

The SDF will replace the fixed rate reverse repo (FRRR) as the floor of the liquidity adjustment facility corridor.

Both the standing facilities — the MSF (marginal standing facility) and the SDF will be available on all days of the week

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The SDF rate will be 25 bps below the policy rate (Repo rate)

Inflation Target:

Under Section 45ZA, the Central Government, in consultation with the RBI, determines the inflation target in terms of the Consumer Price Index (CPI), once in five years and notifies it in the Official Gazette.

Accordingly, on August 5, 2016, the Central Government notified in the Official Gazette 4% Consumer Price Index (CPI) inflation as the target for the period from August 5, 2016 to March 31, 2021 with the upper tolerance limit of 6% and the lower tolerance limit of 2%.

On March 31, 2021, the Central Government retained the inflation target and the tolerance band for the next 5-year period – April 1, 2021 to March 31, 2026.

The Monetary Policy Committee

Section 45ZB of the amended RBI Act, 1934 provides for an empowered six-member monetary policy committee (MPC) to be constituted by the Central Government by notification in the Official Gazette.

The first such MPC was constituted on September 29, 2016.

Composition

The MPC is made up of the RBI Governor, the Deputy Governor in charge of monetary policy, an RBI officer nominated by the Central Board, and three people appointed by the central government.

Meetings: The MPC meets at least four times a year, and publishes its decisions after each meeting.

Frequency: The RBI holds six bi-monthly MPC meetings annually

Meeting Notice:

Minimum 15 days' notice is ordinarily given to members.

In case of an emergency meeting, 24 hours' notice is sufficient, with technology-enabled arrangements for shorter notice periods if required.

Meeting Duration:

Duration is decided by the Committee.

The policy resolution is released publicly after the meeting, considering financial market timings.

Role of Monetary Policy Department (MPD):

Assists the MPC in formulating policy.

Provides analysis on:

Consumer confidence and inflation expectations,

Corporate performance, credit conditions, and sectoral outlook,

Professional forecasters' projections,

Staff's macroeconomic projections and risk scenarios.

MPC discusses these inputs to decide the policy stance and repo rate.

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MPC Resolution: Published after every meeting, detailing the decision on the policy repo rate and policy stance.

Minutes of MPC Meeting:
Published on the 14th day after the meeting (by 5 PM).
Includes:
The resolution adopted,
Voting record of each member, and
Short written statements explaining individual votes (as per Section 45ZL of the RBI Act).

Monetary Policy Report (MPR):
Published once every six months by the RBI.
Contains:
Explanation of recent inflation trends and near-term outlook.
Projections for inflation, growth, and associated risks.
Assessment of the overall economy – real sector, financial markets, fiscal and external sectors.
Review of the monetary policy operating procedure.
Evaluation of the accuracy of past projections.

Monetary Policy Statement 2025–26 (December 2025)
Issued by: Reserve Bank of India
Body: Monetary Policy Committee
Meeting: 58th MPC Meeting
Dates: December 3–5, 2025
Chairman: Shri Sanjay Malhotra (Governor, RBI)

Policy Rates	
Policy Repo Rate	: 5.25%
Standing Deposit Facility Rate	: 5.00%
Marginal Standing Facility Rate	: 5.50%
Bank Rate	: 5.50%
Fixed Reverse Repo Rate	: 3.35%

Reserve Ratios	
CRR	: 3.00%
SLR	: 18.00%

Rationale for Rate Cut
Headline inflation declined sharply due to exceptionally benign food prices
Inflation outlook revised downwards

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Core inflation eased and expected to remain anchored
Growth remains resilient but expected to moderate
Growth–inflation balance provides policy space to support growth
Growth Outlook (Real GDP Growth)
2025–26: 7.3%
Q3: 7.0%
Q4: 6.5%
2026–27:
Q1: 6.7%
Q2: 6.8%
Risk Assessment: Risks evenly balanced
Inflation Outlook (CPI Inflation)
2025–26: 2.0%
Q3: 0.6%
Q4: 2.9%
2026–27:
Q1: 3.9%
Q2: 4.0%
Core inflation (excluding food & fuel) moderated; excluding gold: 2.6% (October 2025)
Precious metals contributed around 50 basis points to inflation
Domestic Economic Conditions
GDP Growth: 8.2% in Q2:2025–26 (six-quarter high)
Drivers of Growth:
Strong domestic demand
GST (Goods and Services Tax) rationalisation
Softer crude oil prices
Front-loaded government capital expenditure
Healthy private investment and bank credit growth
Sectoral Trends:
Agriculture supported by good kharif output and rabi sowing
Manufacturing improving
Services sector steady
External Sector:
Services exports resilient
Merchandise exports facing headwinds
Global Economic Context
Global growth holding up better than expected
Inflation above targets in major advanced economies
US dollar strengthened due to safe-haven demand
Equity markets volatile due to valuation concerns and policy uncertainty

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RBI Integrated Ombudsman Report : Current Scenario Chapter - 12

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Annual Report of Ombudsman Scheme, 2024-25
Reserve Bank – Integrated Ombudsman Scheme (RB-IOS), 2021
Launched on: 12 November 2021
Launched by: Reserve Bank of India
Objective: To provide one-nation-one-ombudsman framework for speedy, cost-free and transparent grievance redressal for customers of regulated entities.
Integration under RB-IOS, 2021
The Scheme merged three earlier Ombudsman schemes:
Banking Ombudsman Scheme (BOS), 2006
Ombudsman Scheme for Non-Banking Financial Companies (OSNBFC), 2018
Ombudsman Scheme for Digital Transactions (OSDT), 2019
Administrative Structure
Administered by: Consumer Education and Protection Department (CEPD), RBI
Operational Offices: 24 Ombudsman offices across India
Approach: Institution-neutral and function-based
Regulated Entities Covered under RB-IOS
1. Banks & Co-operative Banks
Commercial Banks
Regional Rural Banks (RRBs)
Scheduled Primary (Urban) Co-operative Banks
Non-Scheduled Primary (Urban) Co-operative Banks
Condition:
Deposit size of ₹50 crore or more as per audited balance sheet of the previous financial year
2. Non-Banking Financial Companies (NBFCs)
Excluded: Housing Finance Companies (HFCs)
Covered NBFCs must satisfy either of the following:
Authorised to accept deposits, or
Have customer interface and asset size of ₹100 crore or more
Asset size considered as per audited balance sheet of the previous financial year

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3. Payment System Participants (PSPs)
Entities involved in payment systems such as cards, wallets, UPI, etc.
4. Credit Information Companies (CICs)
Companies engaged in collection and processing of credit information

Complaint Receipt & Disposal – ORBIOs (FY 2024–25)
Complaints Handled
FY 2024–25: 2,96,321 complaints
FY 2023–24: 2,93,924 complaints
Change: 0.82% increase year-on-year
Indicates marginal rise in workload at Ombudsman offices.
Complaints per Lakh Bank Accounts
FY 2023–24: 8.9
FY 2024–25: 7.7
Trend: Decline despite higher absolute complaints
Inference: Growth in bank accounts and improved internal grievance handling by Regulated Entities.
Disposal Performance
Total complaints disposed: 2.90 lakh
Disposal rate: 93.07%
Reflects high efficiency and timely grievance redressal by ORBIOs.
Geographic Distribution of Complaints (ORBIOs)
Highest Complaints per Lakh Accounts
The following States / UTs were the top five contributors in terms of complaints per lakh accounts:
Chandigarh
Delhi
Gujarat
Maharashtra
Rajasthan
Lowest Complaints per Lakh Accounts
The lowest complaint intensity was reported from:
Mizoram
Nagaland
Ladakh
Manipur
Meghalaya
Centre-wise Distribution of Complaints (FY 2024–25)
Metropolitan Centres: 45.86%
Urban Centres: 25.64%
Semi-Urban Centres: 18.46%
Rural Centres: 10.40%
Mode of Complaint Filing (ORBIOs)

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Digital mode (CMS portal / Email):
FY 2024–25: 91.22%
FY 2023–24: 88.77%
Trend: Continued shift towards end-to-end digital grievance redressal.

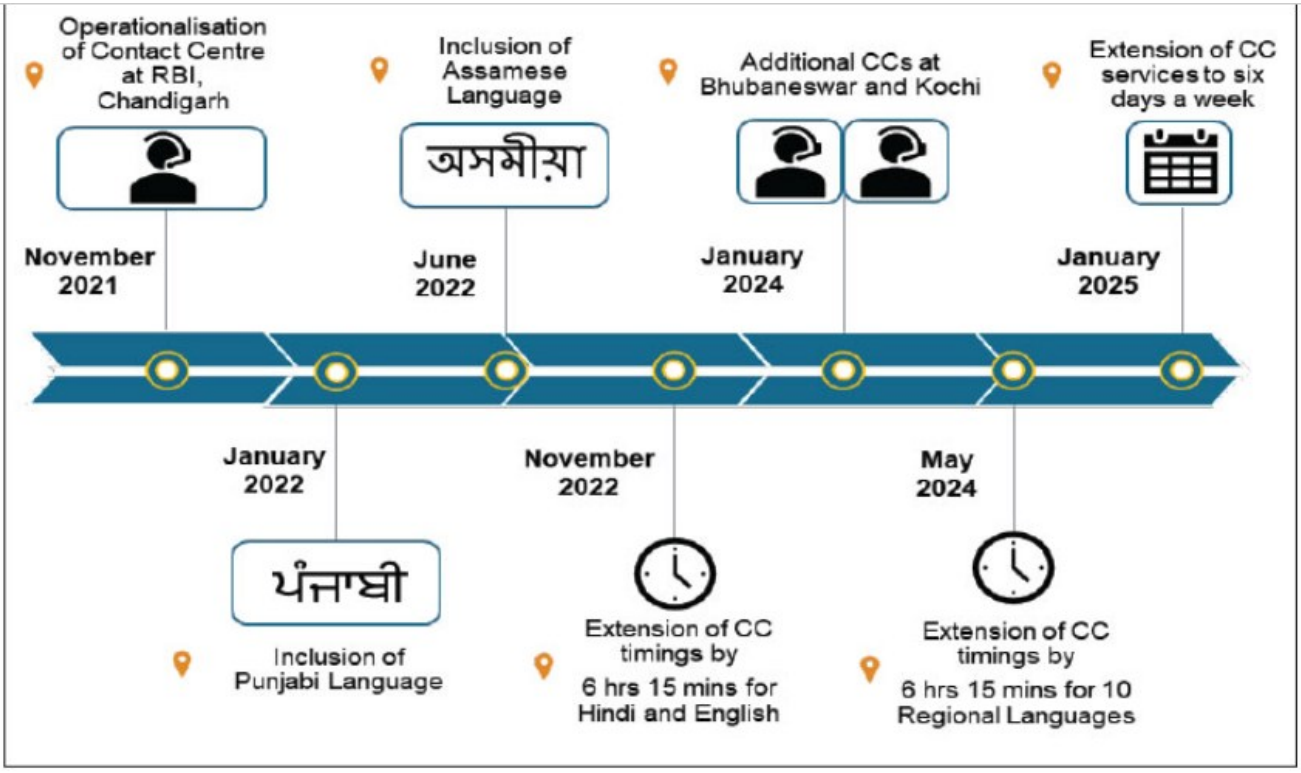
Complaint Composition – RB-IOS (FY 2024–25)
Entity-wise Distribution of Complaints (ORBIOs)
Banks: 81.53% of total complaints
Non-Banking Financial Companies (NBFCs): 14.80%
Confirms that banks remain the dominant source of consumer grievances.
Bank-wise Break-up
Private Sector Banks: 37.53% (highest share)
Public Sector Banks (PSBs): 34.80%
State-owned banks:
Complaints declined by 8.45%, indicating improved internal grievance handling.
Small Finance Banks (SFBs):
Complaints increased by 42%, though from a lower base, reflecting rapid expansion and customer onboarding challenges.
Complaint Categories (Nature of Complaints)
Loans & Advances: 29.25% (largest category)
Includes issues related to interest rates, recovery practices, and loan servicing.
Credit Cards:
Complaints rose by 20.04%
Became the second-highest contributor, reflecting increased card usage and billing disputes.
Mobile / Electronic Banking:
Complaints declined by 12.74% (Y-o-Y)
Suggests greater system stability and user familiarity.
ATMs & Debit Cards:
Share declined from 14.56% (FY23) to 7.47% (FY25)
Indicates a structural shift from cash-based to digital payments.
Cost of Complaint Handling (Efficiency Indicator)
FY 2024–25: ₹1,582 per complaint
FY 2023–24: ₹1,732 per complaint
Trend: Decline in cost reflects:
Increased digital processing
Better workflow efficiency at ORBIOs

RBI Complaint Reception and Support Facilities
Centralised Receipt and Processing Centre (CRPC)
Set up by: Reserve Bank of India
Location: Chandigarh

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Primary Function:
Centralised receipt of all physical and email complaints
Digitisation and initial scrutiny of complaints
Uploading and processing complaints on the Complaint Management System (CMS) portal
Significance:
Ensures uniformity, efficiency and faster turnaround time
Acts as the single entry point for non-digital complaints under RB-IOS



Contact Centre (CC)
Type: Toll-free public facilitation service
Helpline Number: 14448
Key Functions:
Provides information and clarifications on RBI's AGR (Alternate Grievance Redressal) mechanism
Guides complainants on how to file complaints under RB-IOS
Offers status updates on registered complaints
Role in Consumer Protection:
Enhances accessibility and inclusiveness
Reduces procedural barriers for first-time complainants

Reserve Bank of India (Internal Ombudsman) Directions, 2026
Issued by: Reserve Bank of India
Effective from: June 30, 2026
RBI issued revised Directions to strengthen the internal grievance redressal mechanism within regulated entities (REs).

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Focus on independent review of partially resolved or rejected complaints before they reach RBI Ombudsman.

Regulated Entities Covered

Directions apply to:

Commercial Banks

Small Finance Banks

Payments Banks

Non-Banking Financial Companies (NBFCs)

Non-bank Prepaid Payment Instrument (PPI) Issuers

Credit Information Companies (CICs)

Appointment of Internal Ombudsman (IO)

Eligibility

Retired or serving officer:

Rank equivalent to General Manager

From:

Regulated Entity under IO framework, or

Financial Sector Regulatory Body

Minimum experience: 7 years

Age limit: Shall not be above 70 years before completion of tenure

Appointment of Deputy Internal Ombudsman (Dy. IO)

Eligibility

Retired or serving officer:

Rank equivalent to Deputy General Manager

From RE under IO framework or Financial Sector Regulatory Body

Minimum experience: 5 years

Age limit: Shall not be above 70 years before completion of tenure

Number of IO / Dy. IO

Minimum: Every bank must appoint at least one IO

Determination:

Customer Service Committee of the Board

To review and decide number of IOs/Dy. IOs at least once every year

Tenure of IO / Dy. IO

Appointment shall be contractual

Minimum tenure: 3 years

Maximum total tenure (including extension/reappointment): 5 years

Temporary arrangement:

In rare cases (IOs & Dy. IOs absent):

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Serving officer of GM-equivalent rank
Maximum period: 1 month
Requires approval of Customer Service Committee of the Board
Vacancy handling:
RBI to be informed within 10 working days
New IO / Dy. IO to be appointed promptly

Procedural Guidelines for Banks
Complaint Management System (CMS)
Banks must implement a fully automated CMS
Access to CMS mandatory for IO / Dy. IO
Auto-Escalation of Complaints
Complaints:
Partially resolved, or
Wholly rejected
Shall be auto-escalated to IO for independent review

Timelines for Complaint Review
RBI / NPCI / Card Network Prescribed Timelines
Complaints to be escalated sufficiently in advance
IO / Dy. IO must get at least 10 days for review
Other Complaints
IO / Dy. IO review to be completed within 20 days
Final Communication
Bank must communicate final decision within 30 days
From date of receipt of complaint by the bank

Repeal Clause
Master Direction – RBI (Internal Ombudsman for Regulated Entities) Directions, 2023
Dated: December 29, 2023
Stands repealed with effect from June 30, 2026

Centralised Receipt and Processing Centre (CRPC)
RBI to establish CRPC at one or more locations
Online complaints:
Registered on CMS portal: https://cms.rbi.org.in
Email / Physical complaints:
To be forwarded to the Centralised Receipt and Processing Centre of RBI

Powers and Functions of RBI Ombudsman
No limit on the amount involved in dispute

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Compensation powers:
Up to ₹30 lakh for consequential financial loss
Up to ₹3 lakh for:
Loss of time
Expenses incurred
Harassment / mental anguish

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RBI Forward Looking Surveys, Digital Payment Index, Financial Inclusion Index, All Indian House Price Index, Hackathon & Regulatory Sandbox Chapter - 13

RBI Forward Looking Surveys

The Reserve Bank of India (RBI) conducts several Forward Looking Surveys to assess expectations, confidence and outlook of different economic agents.

Urban Consumer Confidence Survey (UCCS) – September 2025

Inflation Expectations Survey of Households (IESH) – September 2025

Rural Consumer Confidence Survey (RCCS) – September 2025

OBICUS Survey on manufacturing sector – Q1:2025-26

Industrial Outlook Survey of the Manufacturing Sector for Q2:2025-26

Survey of Professional Forecasters on Macroeconomic Indicators – Round1 96th

Bank Lending Survey for Q2:2025-26

Services and Infrastructure Outlook Survey for Q2:2025-26

Urban Consumer Confidence Survey (UCCS) – September 2025

The Reserve Bank of India (RBI) released the results of the September 2025 round of its bi-monthly Urban Consumer Confidence Survey (UCCS).

Survey Details

Period: 28 August – 6 September 2025

Coverage: 19 major cities

Sample size: 6,068 respondents

Tracks:

General economic situation

Employment

Price situation

Income

Spending behaviour

Key Indices

1. Current Situation Index (CSI)

September 2025: 96.9

Change: ↑ 0.4 points

Meaning: Shows a marginal improvement in present consumer sentiment, though still below the neutral level of 100.

2. Future Expectations Index (FEI)

September 2025: 125.0

Change: ↑ 0.3 points

Meaning: Indicates consumers remain strongly optimistic about the future.

Households expect decline in price and inflationary pressures in the coming year, though pessimism about current prices increased slightly.

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Current income/earning sentiment has improved for the fourth consecutive round.
Future income expectations remain stable with a gradual upward trend.

Households' Inflation Expectations Survey
Current median inflation perception increased by 20 bps to 7.4%.
Three-month ahead inflation expectation declined by 20 bps to 8.1%.
One-year ahead inflation expectation declined by 30 bps to 8.7%.
Share of households expecting rise in prices and inflation decreased for both short-term and one-year horizons.
Households reported easing of inflationary pressures in:
Food products
Non-food products
Housing
Services costs

Rural Consumer Confidence Survey
Current Situation Index (CSI) improved marginally and moved further into the optimistic zone, reflecting better current rural sentiment.
Future Expectations Index (FEI) continued to rise, indicating strong confidence about the year ahead.
Share of households expecting rise in prices and inflation declined over the one-year horizon.
Current inflation perception increased slightly by 10 bps to 5.9%.
One-year ahead inflation expectation moderated by 30 bps to 7.6%.

Order Books, Inventories and Capacity Utilisation Survey on the Manufacturing sector for Q1:2025-26
Capacity Utilisation (CU) declined seasonally to 74.1% from 77.7% in the previous quarter.
Seasonally Adjusted Capacity Utilisation (CU-SA) increased by 30 basis points to 75.8%.
Both CU and CU-SA are higher compared to Q1 of the previous year, indicating stronger manufacturing activity on a year-on-year basis.

Industrial Outlook Survey of the Manufacturing Sector for Q2:2025-26
A. Assessment for Q2: 2025–26
Manufacturers reported moderation in demand conditions, reflected in lower production, order books and capacity utilisation.
Cost pressures eased in:
Raw materials
Financing costs
Salary outgo
Growth in selling prices and profit margins moderated.
Business Assessment Index increased, indicating overall improvement in business sentiment.
B. Expectations for Q3: 2025–26
Manufacturers remain positive on demand outlook, though with signs of moderation.

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Cost pressures from raw materials and salaries are expected to ease further.

Selling price growth likely to increase.

Business Expectations Index remained stable, reflecting continued confidence.

Survey of Professional Forecasters on Macroeconomic Indicators – Results of the 96th Round

Output (GDP Growth)

Real GDP growth (median forecast):

2025–26: 6.7%

2026–27: 6.5%

Forecast range:

2025–26: 5.5% – 7.4%

2026–27: 5.9% – 7.3%

Most probable growth band:

6.5% – 6.9% for both 2025–26 and 2026–27.

Digital Payments Index (RBI-DPI)

The Reserve Bank of India (RBI) has recently released a composite Reserve Bank of India – Digital Payments Index (RBI-DPI).

The index for March 2025 stands at 493.22 as against 465.33 for September 2024.

About Digital Payments Index

It has been constructed by the Reserve Bank of India to measure the extent of digitisation of payments across the country.

It was first launched in January 2021.

It is based on multiple parameters and reflects the expansion of various digital payment modes accurately.

It is a first-of-its kind index to measure the spread of digital payments across the country.

Base Year: It has been constructed with March 2018 as the base period, i.e., the DPI score for March 2018 is set at 100.

The DPI index comprises five broad parameters that enable the measurement of deepening and penetration of digital payments in the country over different time periods.

The parameters include:

Payment enablers (25 per cent weightage in the index)

Demand-side and supply-side payment infrastructure factors (10 per cent each)

Payment performance (45 per cent)

Consumer centricity (5 per cent)

Each of the parameters has sub-parameters, which, in turn, consist of various measurable indicators.

Financial Inclusion Index (FI Index)

The Reserve Bank of India (RBI) reported that India's Financial Inclusion Index (FI-Index) increased to 67 in FY25, up from 64.2 in FY24, indicating steady progress in financial inclusion.

Growth Across Sub-Indices

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Improvement was recorded in all three components:

Access – availability of financial services

Usage – actual use of financial products

Quality – adequacy, reliability and customer protection

Parameter	Weight
Access	35%
Usage	45%
Quality	20%

Reasons for Improvement

According to RBI, the rise in FI-Index is mainly due to:

Increased usage and trust in financial services

Sustained efforts in financial literacy

Expansion of digital and formal financial channels

Significance

Reflects a shift from just opening accounts to active usage.

Indicates deeper integration of underserved communities into the formal financial system.

Shows progress towards inclusive and equitable economic growth.

About Financial Inclusion Index (FI-Index)

Introduced: August 2021 (Base year: FY21)

Range: 0 to 100

0 → complete exclusion

100 → full inclusion

Sectors Covered

Banking

Investments

Insurance

Postal services

Pension sector

All-India House Price Index (HPI) – Q2: 2025–26

Released by: Reserve Bank of India (RBI)

Measures: Movement in residential property prices

Frequency: Quarterly

Data source: Transaction-level data from registration authorities

Coverage: 18 major cities

The 18 cities covered by the RBI are Mumbai, Delhi, Chennai, Kolkata, Bangalore, Lucknow, Ahmedabad, Jaipur, Kanpur, Kochi, Hyderabad, Thiruvananthapuram, Pune, Ghaziabad, Thane, Gautam Buddha Nagar, Chandigarh and Nagpur.

New base year: 2022–23 (earlier: 2010–11)

Key Findings (Q2: 2025–26)

Annual Change

Year-on-year growth: 2.2%

Previous year (Q2: 2024–25): 7%

→ Indicates slowdown in housing price growth

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Quarterly Change

Quarter-on-quarter change: –0.6%

HPI value:

Q1: 113.4

Q2: 112.7

City-wise Impact

Cities contributing to rise

Nagpur

Ghaziabad

Chandigarh

Cities contributing to fall

Kolkata

Chennai

Lucknow

Hyderabad

Hackathon & Regulatory Sandbox

Reserve Bank is organising its fourth global hackathon – 'HaRBInger 2025 – Innovation for Transformation'. The participants are invited to develop solutions using technology and innovative approaches under the following theme and problem statements:

Theme: "Secure Banking: Powered by Identity, Integrity and Inclusivity"

Problem Statement 1: Tokenised KYC

Problem Statement 2: Offline CBDC (e₹)

Problem Statement 3: Enhancing trust

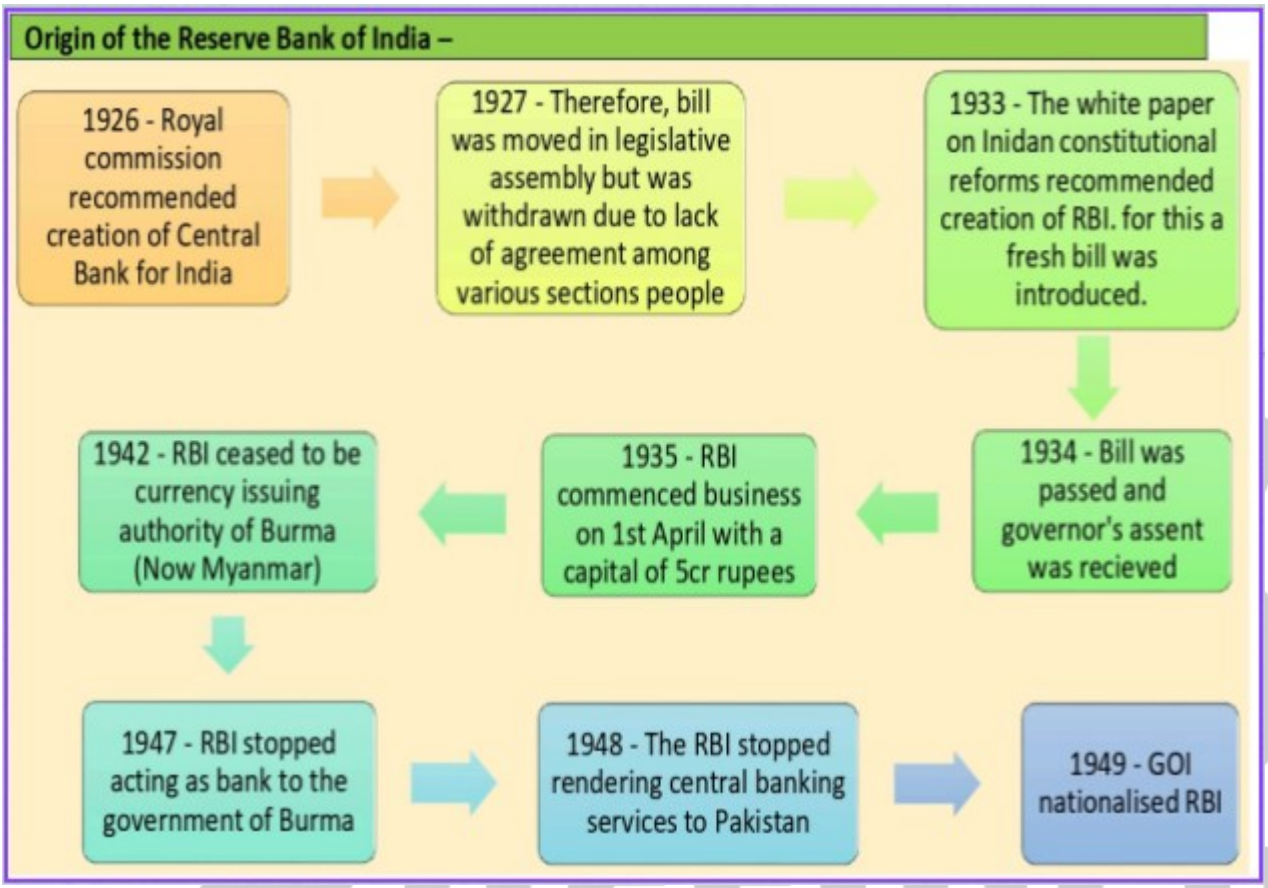
Being part of HaRBInger 2025 gives an opportunity to the participants to get mentored by industry experts, exhibit their innovative solutions before an eminent jury and win exciting prizes under each problem statement.

Sl. No.	Category	Amount
I.	Winner across each problem statement	₹40 lakh
II.	Runner-up across each problem statement	₹20 lakh
III.	Special prize to the best 'all woman team' (a team comprising of only woman members'), across all the three problem statements	₹20 lakh
IV.	Stipend for each team shortlisted for solution development phase (for meeting the cost of development of prototype)	₹5 lakh

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RBI Act 1934:



Section 3: Establishment of RBI

A bank called the Reserve Bank of India (RBI) shall be established.

RBI is constituted to:

Take over currency management from the Central Government.

Carry on the business of banking as per provisions of the RBI Act.

Legal Status of RBI

RBI is a body corporate, which means:

Has perpetual succession (continues to exist irrespective of members).

Has a common seal.

Can sue and be sued in its own name.

Central Board of Directors (CBD) – Section 8 (RBI Act, 1934)

A) About Central Board of Directors

The Central Board of Directors (CBD) is the highest decision-making body of the Reserve Bank of India (RBI).

The affairs of RBI are governed by the Central Board.

Members are appointed by the Government of India under the RBI Act, 1934.

B) Composition of Central Board of Directors

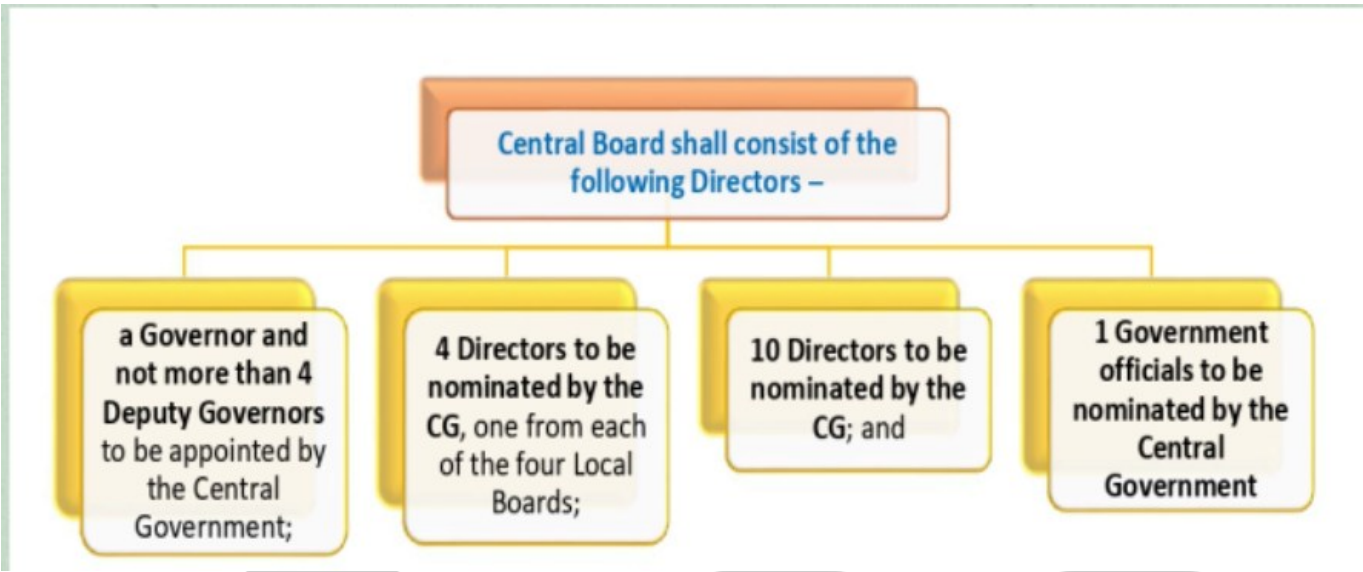
The Central Board consists of:

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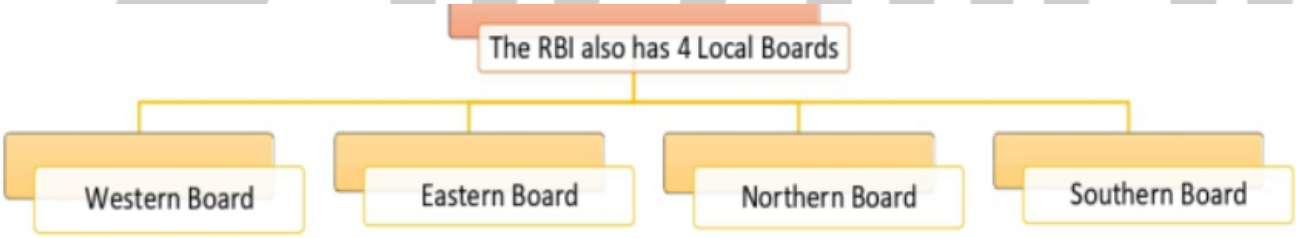
Governor – Chairman of the Board
Four Deputy Governors
Four Directors – to represent local boards
Ten Directors – nominated by the Central Government
Two Government Officials – from Ministry of Finance (ex-officio)

Tenure: All directors (except Governor & Deputy Governors) hold office for 4 years.



Section 7: Central Government may from time to time give directions to the RBI if it is a matter of public interest after consulting with the RBI Governor.

Local Boards - Section 9



Section 17: Mentions the functions of RBI

Section 18 : Mentions the emergency provisions that RBI can take for the purpose of regulating credit in the interests of Indian trade, commerce, industry, and agriculture.

Section 21: It entrusts the RBI with the management of the public debt and with the issue of loans to the Central government.

Section 22: It gives the RBI the sole right to issue bank notes in the country.

Section 24 : It mentions the denominations of the notes that can be in circulation. On the recommendation of the RBI, the Central Government can direct the discontinuance of the issue of any particular bank notes.

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Section 28 : It empowers the RBI to form laws to deal with lost, stolen, mutilated, or imperfect currency notes of the Government of India.

Section 31 : Empowers RBI and the Central government to issue demand bills and promissory notes

Section 42 : This section mentions the cash reserves that the scheduled banks have to keep with the RBI.

Section 45 : Mentions the powers of RBI to collect credit information from financial institutions, determine policy and issue directions, constitute Monetary Policy Committee and target inflation

Section 46 : Mentions the Reserve funds that Central Government needs to maintain with the RBI

Section 58 : Gives the power to make regulations to the RBI board

Second schedules of RBI Act, 1934

In the RBI Act, 1934, schedule banks are the banks that are listened to in the second schedule.

Under this schedule, the banks should raise at least Rs 5 lakhs and capital.

The banks added in the second schedule are known as scheduled banks, and these banks include scheduled cooperative banks and scheduled commercial banks.

Scheduled banks comprise five non-similar groups, and scheduled commercial banks are urban cooperative banks and state cooperative banks.

Banking Regulation Act, 1949

Name: Banking Regulation Act, 1949

Long Title: An Act to consolidate and amend the law relating to banking

Enacted: 16 March 1949

Earlier Name: Banking Companies Act, 1949

Renamed: 1 March 1966

Applicability: Entire India (including Jammu & Kashmir since 1956)

Purpose of the Act

The Act provides a legal framework for regulation, supervision and governance of banks in India.

It empowers the Reserve Bank of India (RBI) to:

License banks

Regulate management

Supervise operations

Protect depositors

Maintain financial stability

Scope of the Act

Covers:

Commercial banks (public, private, foreign)

Cooperative banks (since 1965 amendment)

Main Objectives

Ensure sound banking system

Protect depositors' interests

Prevent bank failures and mismanagement

Strengthen RBI's supervisory powers

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Promote financial stability

Key Provisions

1. Licensing: No bank can operate without RBI licence.

2. Management Regulation

RBI controls:

Appointment and removal of directors and Chief Executive Officers (CEOs).

3. Capital & Reserves

Banks must maintain:

Minimum capital

Reserves

Liquidity ratios (as prescribed by RBI).

4. Audit & Inspection

RBI can:

Inspect bank accounts

Conduct audits

Examine internal controls.

5. Shareholding Control

Limits voting rights to prevent concentration of ownership.

6. Mergers & Liquidation

RBI can:

Order merger

Reconstruction

Moratorium

Liquidation of banks.

7. Cooperative Banks

Section 56 extends RBI powers to cooperative banks.

Important Amendments

1965 Amendment: Brought cooperative banks under RBI regulation.

2020 Amendment: Covered:

1,482 urban cooperative banks

58 multi-state cooperative banks.

Banking Laws (Amendment) Act, 2025

(Effective from 1 August 2025)

Key changes:

Substantial interest threshold: ₹5 lakh → ₹2 crore

Director tenure in cooperative banks: 8 years → 10 years

Public Sector Banks (PSBs) allowed to transfer unclaimed funds to IEPF (Investor Education and Protection Fund)

PSBs allowed to pay statutory auditors

Strengthened RBI powers for:

Mergers

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Reconstruction
Moratoriums

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NPA Its Origin/Reforms and Current Scenario In India Chapter - 15

What are Non-Performing Assets (NPA)?

A Non-Performing Asset (NPA) is a loan or advance where the interest and/or principal remains overdue for more than 90 days.

Key Features

Interest or principal overdue for more than 90 days

No income generation for the lender

Indicates credit risk and asset quality of banks

Background

The 90-day norm was introduced by RBI in 2004

Objective: Align Indian banking system with international standards

Importance

Helps banks assess financial health

Guides provisioning and capital adequacy

Supports early corrective action by regulators

How Do Non-Performing Assets Work?

Loan Becomes Overdue

When a borrower fails to pay interest or principal for more than 90 days, the loan is classified as an NPA.

Loss of Income for Banks

NPAs stop generating interest income.

Banks must make provisions, reducing profitability.

Impact on Bank's Financial Health

Higher NPA ratio indicates poor asset quality.

Leads to:

Reduced lending capacity

Higher credit risk

Pressure on capital adequacy

Types of Non-Performing Assets (NPA)

Systemic Risks

Increased probability of loan defaults

Possibility of write-offs, affecting public funds (especially in PSBs – Public Sector Banks)

Policy Measures to Address NPAs

Loan restructuring (rescheduling repayments)

Recovery mechanisms (SARFAESI Act – Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act)

Asset Reconstruction Companies (ARCs) to manage and recover bad loans

RBI's prudential norms and resolution frameworks

Sub-standard assets:

Loans classified as NPAs for less than 12 months fall under this category.

These assets carry a higher risk of default and require strict monitoring.

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Doubtful assets:

If a loan remains an NPA for over 12 months, it becomes a doubtful asset.

Banks find it challenging to recover such loans, impacting their financial stability.

Loss assets:

A loss asset is a loan where the bank or auditors believe that the recovery of funds is highly unlikely.

These loans are often written off as bad debts.

Other Classification of Loan Accounts

Classification	Basis for Classification
Loan Write Off	• The loan is written off from the **asset side of the bank** balance sheet.
Restructured Loan	• When the principal or interest or tenure terms are modified to **enable the borrower to pay the loan**.
Stressed Asset	• NPA + loans written off + restructured loans = stressed assets.

Special Mention Account

SMA are those accounts that show symptoms of bad asset quality once the account is overdue or before its being identified as NPA.

Three Types of SMA: The Special Mention Accounts are usually categorized in terms of duration as follows:

SMA Classification	Basis For Classification
Standard Accounts	• Loan where principal and interest payment are made timely
SMA – NF	• Non – Financial (NF) signs of stress.
SMA 0	• Loan principal or interest is **unpaid for 0 – 30 days** from its due date
SMA 1	• Loan principal or interest is unpaid for **31 – 60 days**
SMA 2	• Unpaid for **61–90 days**
NPA	• Unpaid for **more than 90 days**.

GNPA and NNPA: Understanding Key Ratios

Gross Non-Performing Assets (GNPA): GNPA refers to the total value of non-performing loans before any provisions are made. It provides an absolute measure of the bank's bad loans.

Net Non-Performing Assets (NNPA): NNPA is calculated by deducting provisions from the GNPA. This figure represents the actual risk that remains after the bank has set aside funds to cover potential losses.

Measures for NPA resolution

3R Framework for Revitalizing Stressed Assets

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Rectification: Conducting Asset Quality Review (AQR)

Restructuring: Strategic Debt Restructuring, Scheme for Sustainable Structuring of Stressed Assets (S4A), Joint Lenders Forum.

Recovery: SARFAESI Act, 2002 and Insolvency and Bankruptcy Code, 2016

Sustainable Structuring of Stressed Assets (S4A)

It is an optional framework for the resolution of largely stressed accounts and a tool for financial restructuring.

Bank hires an independent agency to evaluate how much of the stressed asset is sustainable and how much is unsustainable – it will convert the unsustainable debt into equity – no change of ownership of the company, unlike in strategic debt restructuring – helps in financial restructuring.

Bad Banks

Objective: A bad bank is a set up to buy the bad loans and other illiquid holdings of another financial institution and do the loan restructuring and absorb losses.

Economic Survey 2016 – 17 suggested Public Sector Asset Rehabilitation Agency (PARA) to resolve the twin problems of 'balance sheet syndrome' (of the banks as well as the corporate sector).

PARA is a proposed Bad Bank that will buy bad loans from public sector banks.

Prompt Corrective Action (PCA):

The framework considers banks as risky if they fall below certain norms on three parameters i.e. Capital ratios, Asset quality and Profitability.

Certain restrictions such as halting branch expansion and stopping dividend payment, restrictions in branch expansion, higher provisions etc are put in place.

Asset Reconstruction Companies (ARC):

Narasimham Committee (1998) recommended setting up an ARC.

It is a specialized financial institution that buys the Non Performing Assets (NPAs) or bad assets from banks and financial institutions so that the latter can clean up their balance sheets.

SARFAESI Act

The SARFAESI Act stands for the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act.

It is a legal framework enacted by the Indian government to tackle non-performing assets (NPAs) and facilitate asset reconstruction.

History of SARFAESI Act, 2002

In 1991, Narasimham Committee – I (Committee on the Financial System) observed that borrowers obtain stay orders from ordinary courts, so banks and financial institutions face difficulty while recovering Non-Performing Assets(NPAs).

Hence, to strengthen this process, Debt Recovery Tribunals were set up in 1993, and the loan recovery process was made beyond the jurisdiction of ordinary courts.

In 1998, Narasimham Committee – II (Committee on Banking Sector Reforms) observed that Debt Recovery Tribunals (DRTs) need to be strengthened with a law, So, Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act enacted in the 2002.

Objectives of SARFAESI Act, 2002

Some of the major objectives of the SARFAESI Act are as follows:

To provide a mechanism for banks and other financial institutions to recover secured assets. This is done in a more efficient and effective manner.

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To reduce the time and cost of recovery of secured assets.

To protect the interests of borrowers and depositors.

To promote financial stability.

Important Provisions of the SARFAESI Act 2002

The first Asset Reconstruction Company (ARC) of India, ARCIL, was set up under this act in 2002 by four banks: SBI, ICICI Bank, PNB and IDBI Bank.

Under this act, secured creditors (banks or financial institutions) have the right to enforce security interest under section 13 of the SARFAESI Act, 2002.

Type of lenders covered under the SARFAESI Act :

All types of Banks (Public Sector Banks, Private Banks, Foreign Banks, Co-operative Banks, etc.)

Housing Finance Companies (Ex. – Dewan Housing Finance Corporation Ltd.)

Securitization of Financial Assets (Section 9)

Creation of Asset Reconstruction Companies (ARCs) (Section 3)

Auction of Secured Assets (Section 13(4))

Right to Recover Debt (Section 13(2))

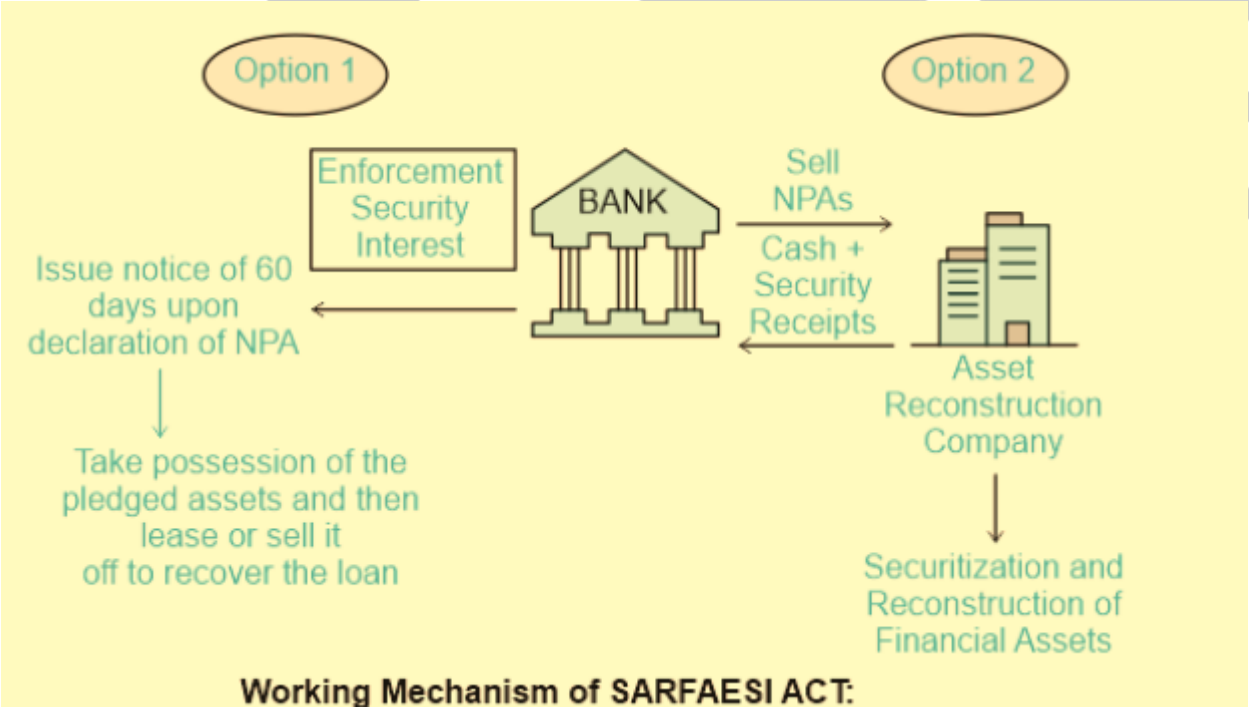
Debt Recovery Tribunal (DRT) (Section 17)

Power to Issue Certificates of Recovery (Section 19)

Right to Remove the Borrower's Management (Section 15)

Sale of Financial Assets (Section 5)

Recovery by Private Agencies (Section 14)



Working Mechanism of SARFAESI ACT:

Debt Recovery Tribunal (DRT): Lenders can recover their dues by approaching a DRT and get a recovery certificate.

It allows lenders to take possession of properties of borrowers anywhere in the country and sell them to recover dues.

Appeals against orders passed by DRTs lie before Debts Recovery Appellate Tribunal (DRAT).

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It can go beyond the Civil procedure Code.

e-Bkray Portal: It was launched to enable online auction by banks of attached assets transparently and cleanly for the improved realization of value.

Capital Adequacy Ratio

CAR/Capital to Risk-Weighted Assets Ratio (CRAR) is the ratio of a bank's capital to its risk.

The higher the CRAR of a bank the better capitalized it is.

National Financial Reporting Authority

Independent regulator to oversee the auditing profession and accounting standards in India under Companies Act 2013;

Came into existence in October 2018.

Composition: A chairperson who will be appointed by the Central Government and a maximum of 15 members.

Powers

Can probe listed companies and those unlisted public companies having paid-up capital of no less than Rs 500 crore or annual turnover of no less than Rs 1,000 crore.

Can investigate professional misconduct committed by members of the Institute of Chartered Accountants of India (ICAI) for prescribed classes of body corporate or persons.

Insolvency and Bankruptcy Code

For reorganization and insolvency resolution of corporate persons, partnership firms and individuals.

Minimum default of Rs 1 crore is needed to trigger IBC.

Time Bound Process: 180 days, some cases 270 days maximum.

No Deadlock: If resolution is not done, assets are to be sold to pay debtors.

It is not applicable for Willful Defaulters.

IBC proposes a new institutional setup comprising the following four critical pillars:

The National Company Law Tribunal (NCLT) as the adjudicating authority.

Insolvency professionals (IPs) to manage the insolvency and bankruptcy cases.

Overall Assessment

The Reserve Bank of India (RBI) has projected a further improvement in asset quality of the banking system over the next two years based on stress tests of major Scheduled Commercial Banks (SCBs).

Gross Non-Performing Assets (GNPA) Outlook

Baseline Scenario

GNPA ratio expected to improve from:

2.1% (September 2025) → 1.9% (March 2027)

Asset quality already at a multi-decade low by September 2025.

Adverse Scenarios

Under economic stress:

Medium stress: GNPA may rise to 3.2%

Severe stress: GNPA may rise to 4.2%

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RBI's Regulatory Sandbox, EASE Reforms 4.0, NDS-OM, E-Kuber Chapter - 16

Inter-operable Regulatory Sandbox (IoRS)

A Regulatory Sandbox (RS) refers to live testing of new products or services in a controlled regulatory environment, where regulators may allow temporary regulatory relaxations for experimentation.

Purpose

Promote financial innovation

Test products in real market conditions

Ensure consumer protection + systemic stability

Regulators with Regulatory Sandbox in India

Financial sector regulators having their own RS:

RBI – Reserve Bank of India (Banking, Payments)

SEBI – Securities and Exchange Board of India (Capital Markets)

IRDAI – Insurance Regulatory and Development Authority of India (Insurance)

IFSCA – International Financial Services Centres Authority (GIFT IFSC)

Note:

PFRDA – Pension Fund Regulatory and Development Authority does not have its own sandbox.

Genesis of Inter-operable Regulatory Sandbox (IoRS)

Background

An Inter-Regulatory Technical Group on FinTech (IRTG on FinTech) was set up under FSDC-SC.

FSDC-SC – Financial Stability and Development Council Sub-Committee

Objective

To handle hybrid financial products falling under multiple regulators and to frame Standard Operating Procedure (SOP) for IoRS.

Members

RBI, SEBI, IRDAI, IFSCA, PFRDA

DEA – Department of Economic Affairs

MeITY – Ministry of Electronics and Information Technology

Inter-operable Regulatory Sandbox (IoRS)

Definition: IoRS provides a single window for testing cross-sectoral financial products/services regulated by more than one regulator.

Core Idea: "One product – One application – Multiple regulators"

IoRS vs Individual Regulatory Sandbox

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Individual RS	IoRS
Single regulator	Multiple regulators
Sector-specific	Cross-sectoral
Fragmented approvals	Unified mechanism

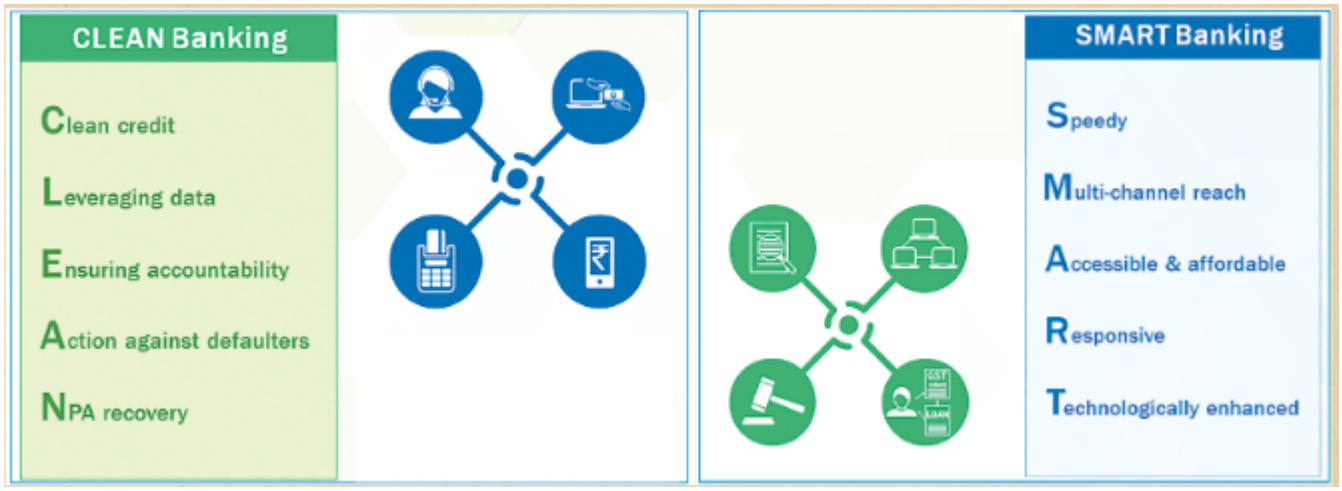
Regulators in IoRS
RBI – Banking, Payments
SEBI – Securities
IRDAI – Insurance
PFRDA – Pension (only AR)
IFSCA – GIFT IFSC

Who Can Participate?
Banks and Financial Institutions
FinTech companies
RegTech and SupTech firms
Start-ups and Innovators
Eligibility governed by Principal Regulator's RS framework.

Products Eligible under IoRS
Hybrid products such as:
InsurTech – Insurance linked with banking
WealthTech – Investment platforms
RegTech & SupTech – Compliance tech
Digital Payments
Cross-border payment systems

EASE 4.0:
EASE Reform Agenda is a common agenda for governance reforms in banks in India.
It is aimed at institutionalising CLEAN and SMART banking.
It was launched in January 2018.
It was commissioned through the Indian Banks' Association and authored by Boston Consulting Group.
It was launched in 4 stages, the latest one being EASE 4.0.

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EASE 1.0

The EASE 1.0 report showed significant improvement in PSB performance in resolution of Non-Performing Assets (NPAs) transparently.

EASE 2.0

EASE 2.0 was built on the foundation of EASE 1.0 and introduced new reform Action Points across six themes to including responsible Banking; Customer Responsiveness; Credit Off-take, PSBs as UdyamiMitra (SIDBI portal for credit management of MSMEs); Financial Inclusion & Digitalisation.

EASE 3.0

EASE 3.0 seeks to enhance ease of banking in all customer experiences, using technology viz. Dial-a-loan and PSBloansin59minutes.com, Partnerships with FinTechs and E-commerce companies, Credit@click, Tech-enabled agriculture lending, EASE Banking Outlets etc.

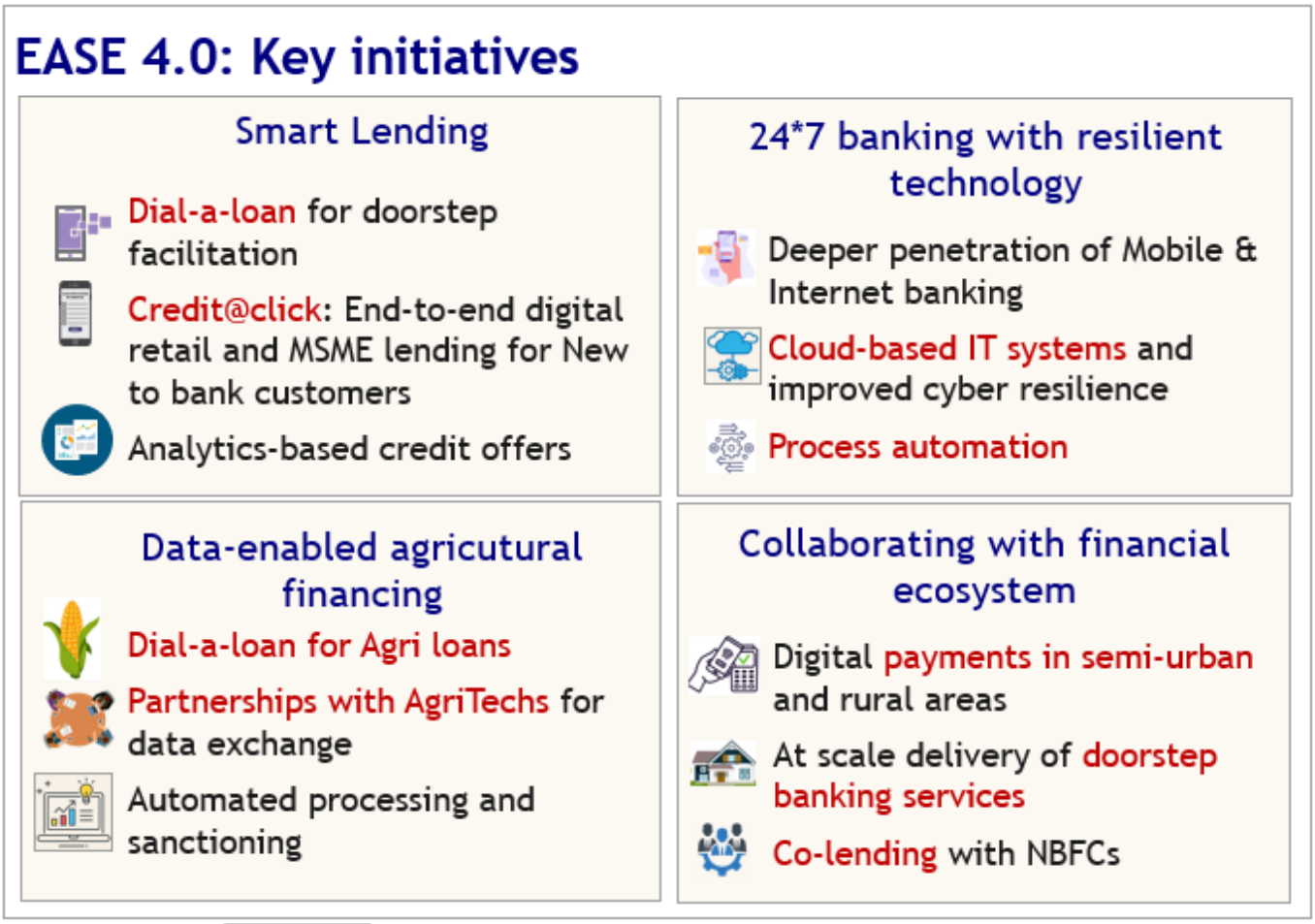
EASE 4.0

EASE 4.0 commits the Public Sector Banks (PSBs) to ensure tech-enabled, simplified and collaborative banking to further the agenda of customer-centric digital transformation.

The themes in EASE 4.0 include 24×7 Banking, Focus on North-East, Leveraging Fintech Sector, Export Promotion, Digital Loans to Agricultural Sector etc.

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Negotiated Dealing System-Order Matching (NDS-OM) Platform

Full Form: NDS-OM – Negotiated Dealing System – Order Matching

Definition: NDS-OM is an electronic trading platform operated by the Reserve Bank of India (RBI) for secondary market trading in Government Securities (G-Secs).

Background

Introduced in August 2005

Replaced telephone-based manual trading system

Objective: Improve efficiency, transparency, and price discovery

Key Features

1. Electronic Order Matching

Members place bids and offers anonymously

Automatic matching of orders

Enhances market transparency and fairness

2. Secondary Market Focus

Used for trading in:

Government bonds

Treasury Bills (T-Bills)

State Development Loans (SDLs)

Membership and Participation

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Earlier Members

Banks

Primary Dealers (PDs – Primary Dealers)

Insurance companies

Mutual Funds

Requirement: Must maintain SGL – Subsidiary General Ledger account with RBI

e-Kuber

e-Kuber is a core banking solution (CBS – Core Banking Solution) developed by the Reserve Bank of India (RBI) to manage government and inter-bank transactions.

Purpose

e-Kuber facilitates electronic settlement of payments between:

Government departments

Banks

RBI

Key Functions

1. Fund Management: Handles receipts and payments of the Government of India.
2. Real-Time Settlement: Enables fast, secure, and accurate fund transfers.
3. Reduction in Errors: Minimises manual intervention, reducing delays and mismatches.

New Rule on e-Kuber Usage (Government Payments)

What Is the New Rule?

From 16 July, all payments made by Central Government Departments exceeding ₹75 crore must be routed through the e-Kuber system of the Reserve Bank of India (RBI).

Earlier rule:

Mandatory only for payments above ₹500 crore

Revised thresholds:

General category: ₹75 crore

Certain categories: ₹100 crore

Proposed future target: ₹50 crore

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Schemes related to RBI - Sovereign Gold Bond Scheme, Gold Monetisation scheme, Pradhan MantrI Garib Kalyan Deposit Scheme
Chapter - 17

What is SGB?

Sovereign Gold Bond (SGB) is a government security denominated in grams of gold, issued by the Reserve Bank of India (RBI) on behalf of the Government of India (GoI).

It is a substitute for physical gold.

Introduced: October–November 2015

Objective:

Reduce demand for physical gold

Shift savings into financial assets

Issuance

Issued under: Government Securities (GS) Act, 2006

Issuer: RBI on behalf of GoI

Eligibility

Available to resident Indian entities only:

Individuals

Hindu Undivided Family (HUF)

Trusts

Universities

Charitable institutions

(Not allowed for NRIs)

Key Features

Denomination

In grams of gold

Minimum: 1 gram

Issue Price

Based on 999 purity (24 carat) gold price

Published by India Bullion and Jewellers Association (IBJA), Mumbai

Investment Limit (per financial year)

Individuals: 4 kg

HUF: 4 kg

Trusts: 20 kg

Tenure (Maturity)

8 years

Exit option after 5th, 6th and 7th year (on interest dates)

Interest

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2.5% per annum
Paid semi-annually
Taxable as per Income Tax Act, 1961
Tax Benefits
Capital Gains Tax on redemption: Exempt for individuals
Interest income: Taxable

Benefits
No storage or purity risk
Earn interest + gold price appreciation
Can be used as collateral for loans
Tradable on stock exchanges
Backed by sovereign guarantee

Disadvantages
Long-term lock-in (8 years)
Low liquidity in secondary market
Exit before maturity may be difficul

Where to Buy?
Through:
Scheduled Commercial Banks
Designated Post Offices
Stock Holding Corporation of India Limited (SHCIL)
National Stock Exchange (NSE)
Bombay Stock Exchange (BSE)

Gold Monetisation Scheme

What is GMS?
Gold Monetisation Scheme (GMS) is a scheme to mobilise idle gold held by individuals and institutions and bring it into the formal financial system.
Launch Year: November 2015
Earlier Scheme: Gold Deposit Scheme, 1999
Implemented by:
Ministry of Finance
Reserve Bank of India (RBI)
Scheduled Commercial Banks
Objective
Reduce gold imports
Curb Current Account Deficit (CAD)

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Monetise household and institutional gold

Categories under GMS
1. Short-Term Bank Deposit (STBD)
Tenure: 1 to 3 years
Interest: Decided by banks
2. Medium-Term Government Deposit (MTGD)
Tenure: 5 to 7 years
Interest: 2.25% (fixed by GoI)
3. Long-Term Government Deposit (LTGD)
Tenure: 12 to 15 years
Interest: 2.5% (fixed by GoI)

Key Features
Minimum deposit: 10 grams of gold
No maximum limit on deposit
Gold accepted:
Bars
Coins
Jewellery (without stones or other metals)
Interest paid in gold (grams), not rupees
Purity tested at CPTCs (Collection & Purity Testing Centres)
Interest is tax-free under Income Tax Act
Protects against currency risk

Recent Changes (Effective 26 March 2025)
MTGD and LTGD discontinued
Only STBD (1–3 years) continues
Banks may offer STBD at their discretion
No new deposits or renewals allowed
Existing deposits will continue till maturity

Pradhan MantrI Garib Kalyan Deposit Scheme
What is PMGKY?
Pradhan Mantri Garib Kalyan Yojana (PMGKY) is a welfare scheme of the Government of India to provide financial and social support to economically weaker sections during times of crisis.
Basic Details
Launch Date: 17 December 2016
Concerned Ministry: Ministry of Finance
Full Form: Pradhan Mantri Garib Kalyan Yojana
Objectives:

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Support poor and vulnerable sections of society.
Reduce income inequality and poverty.
Initially aimed at curbing black money by allowing voluntary declaration of unaccounted income.
Extended in 2020 during COVID-19 to provide relief through food, cash, insurance and employment support.
Eligibility
Below Poverty Line (BPL) families
Antyodaya Anna Yojana (AAY) households
Priority Households (PHH) identified by States/UTs
Key Features
Free food grains:
5 kg wheat/rice per person per month
1 kg chana per family
Covers 80+ crore beneficiaries
Free LPG cylinders for BPL families
Employment support: ₹50,000 crore for livelihood generation
Health insurance: ₹50 lakh insurance for frontline workers (22 lakh beneficiaries)
Black money declaration (2016):
50% tax on disclosed income
25% invested mandatorily for 4 years (interest-free)
Benefits
Ensures food security and nutrition.
Provides income support during distress.
Improves health access and insurance coverage.
Strengthens social protection for migrants, workers, farmers.
Promotes economic stability in crises (like COVID-19).

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FAQs on KYC : The Complete Discussion Chapter - 18

Know Your Customer (KYC):

It is a mandatory regulatory process through which a Regulated Entity (RE) such as a bank, financial institution, or NBFC:

Collects information about a customer's identity and address

Understands the nature of business and financial status of the customer

Verifies the submitted information using reliable documents or data

Purpose of KYC:

The main objective of KYC is to ensure that the institution knows who it is dealing with and to prevent the misuse of financial services for:

Money Laundering (ML)

Terrorist Financing (TF)

Proliferation Financing (PF)

In simple terms, KYC helps maintain the integrity and security of the financial system by ensuring transparency and accountability of customers.

Is KYC mandatory? When a RE is required to carry out KYC?

Yes, KYC is mandatorily required to be carried out:

at the time of commencement of an account-based relationship, i.e., opening any type of account with the RE; or

when a walk-in-customer carries out occasional transaction of an amount equal to or exceeding ₹50,000 (whether conducted as a single transaction or several transactions that appear to be connected); or

when a walk-in-customer carries out any international money transfer operations; or

when the RE has a doubt about the authenticity or adequacy of the customer identification data it has obtained; or

when the RE sells its own products or third party products as an agent; payment of dues of credit cards/ sale and reloading of prepaid/ travel cards and any other product for more than ₹50,000.

Does a customer have to furnish KYC documents for each account he opens with the same RE?

No, if an existing KYC compliant customer of an RE desires to open another account or avail any other product/ service from the same RE, he is not required to submit any KYC document unless there is a change in the information with respect to his identity and/ or address.

What are the documents required for opening a bank account by an individual?

(a) any one of the following Officially Valid Documents (OVDs) or the equivalent e-document thereof, containing details of his name and address, viz.,

the passport,

the driving licence,

proof of possession of Aadhaar number,

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the Voter's Identity Card issued by the Election Commission of India,
the job card issued by NREGA duly signed by an officer of the State Government, and
the letter issued by the National Population Register.
(b) the Permanent Account Number (PAN) or the equivalent e-document, thereof, or Form No. 60 as defined in Income-tax Rules, 1962; and
(c) other documents in respect of the nature of business and financial status of the customer, or the equivalent e-documents thereof, as may be required by the RE.

What is a 'Small Account'?
A Small Account is a simplified bank account that can be opened by a person who does not possess OVDs, under relaxed Know Your Customer (KYC) norms.
Opening Requirements
If a customer does not have OVDs, the bank can open a Small Account by obtaining:
Self-attested photograph of the customer
Certification by a designated bank officer that:
The customer has signed or given thumb impression
This was done in the officer's presence
Validity
Initially operational for 12 months
Can be extended if:
The customer submits proof that they have applied for OVDs

What are deemed OVDs for the purpose of proof of address?
If the Officially Valid Document (OVD) submitted by a customer does not contain current address, the customer can submit any one of the following documents (or their e-documents). These are treated as OVDs only for address proof:
Accepted Documents
Utility Bill (not older than 2 months)
Property Tax / Municipal Tax Receipt
Pension / Family Pension Payment Order (PPO)
Employer Allotment Letter / Leave & Licence Agreement
Mandatory Condition
The customer must submit a fresh OVD with current address within 3 months of submitting the above documents.

Is Aadhaar number mandatory for purposes of KYC?
No. However, in case the customer is desirous of receiving any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016), the customer shall provide the Aadhaar number. In other cases, the Aadhaar number may be provided voluntarily by the customers.

What are the different modes for onboarding individual customers by the RE?

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(a) Face-to-face onboarding:

Visit to the branch/ office of the RE;

using e-KYC authentication (OTP as well as biometric based authentication); undertaking offline verification of proof of possession of Aadhaar Number; obtaining certified copy of the OVD or equivalent e-document thereof; undertaking 'Digital KYC Process', as per paragraph 16 of the MD on KYC.

Video based Customer Identification Process (V-CIP) complying with prescribed standards and procedures.

(b) Non-face-to-face onboarding:

using Aadhaar OTP based e-KYC authentication;

using digital channels such as CKYCR, DigiLocker, equivalent e-document, etc., and non-digital modes such as obtaining copy of OVD certified by additional certifying authorities as allowed for NRIs and PIOs.

What is a KYC Identifier? How is it useful for a customer?

KYC Identifier means the unique number or code assigned to a customer of an RE by the Central KYC Records Registry (CKYCR).

If the customer approaches an RE for opening an account, he can provide his KYC Identifier and give consent to the RE to download the valid KYC data from CKYCR.

This can obviate the need for the customer to submit KYC documents again while opening an account with another RE.

How can a customer obtain his KYC Identifier issued by CKYCR?

A customer can obtain his KYC Identifier through the following ways:

In the process of opening an account, once the customer's KYC Identifier is generated by CKYCR and provided to the RE, the latter shall share the same with the concerned customer.

The customer can also access his KYC Identifier on CKYCR Portal (www.ckycindia.in).

What is Video-based Customer Identification Process (V-CIP)?

V-CIP is an alternate method of customer identification with facial recognition and customer due diligence that allows REs to obtain and verify a customer's identity information through a digital, secure, live, informed and consent-based and live audio-visual interaction between an authorised RE official and the customer to obtain identification information required for CDD purpose.

V-CIP eliminates the need for physical visit to a branch of the RE but is treated on par with face-to-face CIP.

Assisted V-CIP is also permitted when banks take help of Business Correspondents (BCs) facilitating the process only at the customer end.

Why does an RE periodically ask for KYC documents from the customer when the customer has already submitted the same during opening of account?

RE is required to update the customers' KYC records as part of ongoing due diligence process to ensure that the information or data collected under CDD is kept up to date and relevant.

The periodicity of such updation depends on the risk categorisation of the customer by the RE and such periodic updation of KYC records (at times referred to as re-KYC) shall be carried out at least once in every two years for high-risk, eight years for medium risk and ten years for low-risk customers.

However, RE may adopt any additional and exceptional measures as per its internal KYC policy which inter alia may require physical presence of the customer, periodic updation of KYC only in the branch of the RE

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where account is maintained, a more frequent periodicity of KYC updation than the minimum specified periodicity, etc.

Can a person purchase a Demand Draft/ Payment Order/ Travellers Cheque against cash?

Demand Draft/ Payment Order/ Travellers Cheques for amount less than ₹50,000 can be purchased against cash.

However, such instrument for ₹50,000 and above can be issued only by way of debiting the customer's account or against cheques.

What is the period of presenting payment instruments including cheques/ drafts/ pay orders/ banker's cheques?

Payment of cheque/ draft/ pay order/ banker's cheque, if presented beyond the period of three months from the date of issuance of such instrument, shall not be made by RE.

What is an inoperative account? What is the procedure for reactivating an inoperative account?

Inoperative Account is a savings/ current account wherein no 'customer induced transactions' has taken place for a period of over two years.

For activation of inoperative accounts, the customer can update his/ her KYC information/ data at home/ non-home branch of the RE, and also through V-CIP, subject to the facility of V-CIP being provided by the bank.

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Digital Banking : The Introduction Volume 1 : PSS Act, 2007, Types of ATMs, NEFT, RTGS, IMPS

Chapter - 19

Digital Banking

- Move to online banking where services are delivered over the internet with high process automation and web-based services. APIs enable cross-institutional service composition.
- **Advantages for Banks & Customers:**
- Convenience & Speed – 24×7 access
- Business Efficiency & Cost Savings
- Increased Accuracy & Enhanced Security
- Improved Competitiveness & Greater Agility
- Access Channels: Desktop, Mobile, ATMs.
- **Examples of Companies:**
- TagPay – Developed a digital banking system
- Stripe – Online payments for individuals
- Adyen – E-commerce payment gateway for digital companies (e.g. Facebook)
- Emerging Forms
- BaaS (Banking as a Service): Third-party integration of banking capabilities.
- BaaP (Banking as a Platform): Integration of core banking with external software.
- Cloud-based Infrastructure: Reduces reliance on internal IT staff.
- White Label Banking: Banks allow branding by other companies (e.g., co-branded credit cards).

2. Mobile Banking

- Importance:
- Mobile phones' ubiquity and network reach make them a vital medium for extending banking, especially to the unbanked.
- Example: IMPS (Immediate Payment Service).
- Definition:
- Banking transactions via mobile phones involving account access, credit or debit.
- Regulatory Framework:
- Governed by RBI Guidelines issued under Section 18 of the Payment & Settlement Systems Act, 2007.
- Applicable to all commercial banks, RRBs, Urban & State Co-op Banks, District Central Co-op Banks.
- Banks must obtain permission from RBI's Department of Payment & Settlement Systems.
- KYC, AML, CFT norms apply; Suspicious Transaction Reports (STR) must be filed to FIU-IND.
- MPIN Generation Methods
- Banks may enable customers to generate/change their Mobile Personal Identification Number (MPIN) through:
- ATM channels (own & inter-operable networks)
- USSD menu options (own or interoperable platform)
- Internet banking website with safeguards
- MPIN mailers

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- Industry-wide common website
- Transaction Limits & Security
- Up to ₹5000/- without end-to-end encryption, with adequate risk measures.
- No daily cap on purchase of goods/services, but per-transaction limits can be set by banks.
- Standard message format: ISO 8583 (with modifications).

3. POS (Point-of-Sale)

- Definition: Place/time where a retail transaction is completed.
- After receiving payment, merchant issues a receipt (printed or electronic).
- Modes of Payment: Cash, Debit/Credit cards, Mobile payments, Bitcoin, etc.
- Pay Bills Online
- Definition & Purpose:
- Technology designed to minimize paper usage and promote a green, cashless economy by enabling payment of utility and service bills (electricity, gas, phone, DTH recharge, etc.) via internet or wire transfers.
- Key Features & Benefits
- Track Accounts: Monitor monthly spending and analyze budgets.
- Plan Savings: Evaluate investment options online.
- Convenience: Payments can be made 24×7 without physical visits.

CORE (Centralized Online Real-time Exchange) Banking

- Meaning:
- Allows anywhere, anytime banking within the same bank regardless of branch location.
- How It Works:
- Banking software + network technology centralize record keeping.
- Real-time processing—no need to send cheques outstation for clearing.
- Example:
- Customer of ABCD Bank Ltd. can transact from any branch nationwide, irrespective of where the account was opened.
- Benefits:
- Saves time and cost of physical cheque clearing.
- Uniform service across all branches.

Near Field Communication (NFC)

- Definition:
- Short-range wireless link based on Radio-Frequency Identification (RFID) that transfers small amounts of data between devices held very close.
- Banking Use:
- SIM card acts as a Secure Element storing payment card details.
- Apps like Google Wallet or Apple Pay enable tap-and-pay.
- Real-World Presence:
- Access cards (hotel/office), metro cards, e-tickets, smart car keys.
- Advantages:
- Contactless, fast payments—no queues or counting cash.

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- Security: Money protected even if phone is lost (tokenization & authentication).
- Minimal transaction errors.
- Requirements:
- NFC-enabled phone + compatible app linked to bank/credit/debit/prepaid account.

4. Plastic Money

- Definition:
- Generic term for cards used as a substitute for cash. Includes debit cards, credit cards, ATM cards, and prepaid cards.
- Types & Features
- Debit Cards:
- Linked directly to user's bank account.
- Money deducted immediately upon transaction.
- Uses: shopping, fuel, groceries, ATM withdrawals.
- Credit Cards:
- Issued by banks/approved entities (as per RBI).
- Money is borrowed, to be repaid later.
- Uses: POS purchases, e-commerce, IVR, recurring payments, Mail Order/Telephone Order (MOTO).
- Advantages of Plastic Money:
- Convenience, speed, reduced need for carrying cash.
- Global acceptance for both online and offline transactions.

Automated Teller Machine (ATM)

- Definition:
- An electronic telecommunication device that allows customers to carry out financial transactions—cash withdrawal, deposits, fund transfer, balance inquiry—without interacting with bank staff.
- Key Facts:
- State with highest number of ATMs: Maharashtra
- India's first talking ATM: Ahmedabad, Gujarat

Types of ATMs

- Onsite ATM: Inside the bank branch premises.
- Offsite ATM: Located outside bank premises (malls, airports, etc.).
- White Label ATM: Set up and operated by Non-Banking Financial Companies (NBFCs); no bank branding.
- Green Label ATM: For agricultural transactions.
- Pink Label ATM: Specially for women banking (launched by SBI).
- Worksite ATM: Installed within a company/organisation for its employees.
- Orange Label ATM: For share transactions.
- Yellow Label ATM: For e-commerce transactions.
- Brown Label ATM: Hardware leased/owned by service provider; cash management & network connectivity handled by a sponsor bank.
- Cash Dispenser (CD): Only cash withdrawals, balance enquiry, mini statements.
- Mobile ATM: ATM on wheels, moves to various areas.
- Failed ATM Transaction – Customer Compensation

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- Resolution time: Within 7 working days of receiving the complaint.
- Compensation: Bank must pay ₹100 per day for delay beyond 7 working days.

Prepaid Cards

- Definition:
- Cards issued by banks or authorised non-banks against value paid in advance, storing that value electronically.
- Key Features:
- Maximum stored value: ₹50,000 at any time.
- Bank-issued open system cards:
- Can be used for ATM cash withdrawal, POS, e-commerce purchases, domestic fund transfers.
- Non-bank semi-closed cards:
- Only for POS/e-commerce purchases and domestic fund transfer, no ATM withdrawals.
- Domestic use only.

Types within Prepaid Cards:

- Prepaid Debit Card: Uses PIN for verification; debits an associated account.
- Prepaid Credit Card: Uses signature for verification; funds preloaded.
- Stored-Value Card: Monetary value recorded on the card itself; usable even without online account access.
- Other Important Cards
- a) Smart Card
- Contains an electronic chip storing cash.
- No signature or identification required; amount automatically deducted by smart card reader.
- b) Co-Branded Card
- Jointly sponsored by a bank and a retail merchant.
- Offers incentives like discounts, rebates, reward points.
- c) Rupay Card
- Indian alternative to Visa/MasterCard, launched by NPCI (National Payments Corporation of India).
- Benefits:
- Lower transaction cost & processing fee.
- Instant transaction alerts.
- d) Kisan Credit Card (KCC)
- Provides timely and flexible credit to farmers for production and ancillary needs.
- Offers Cash Credit (short-term) and Term Credit (long-term).

Legal & Regulatory Framework

- Payment and Settlement Systems Act, 2007 (PSS Act) – enacted Dec 2007.
- Regulator: Reserve Bank of India (RBI) and Board for Regulation and Supervision of Payment and Settlement Systems (BPSS).
- Major Payment & Settlement Systems

Real Time Gross Settlement (RTGS)

- Type: Gross, real-time settlement; meant for large-value payments.
- Minimum: ₹2 lakh; No upper limit.
- Credit timeline: Beneficiary bank must credit within 30 minutes.

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- Charges:
- Inward – Free.
- Outward – ₹2–5 lakh: ≤ ₹30; Above ₹5 lakh: ≤ ₹55.

National Electronic Funds Transfer (NEFT)

- Type: Deferred Net Settlement (DNS), batch-wise.
- Limit: No min/max for account holders.
- Cash deposit without a/c: Allowed, ₹50,000 cap per transaction.
- Indo-Nepal remittance: Max ₹50,000.
- Charges (Outward):
- Up to ₹10k: ₹2.50 + GST
- ₹10k–1 lakh: ₹5 + GST
- ₹1–2 lakh: ₹15 + GST
- Above ₹2 lakh: ₹25 + GST
- Inward: Free.

What is UPI?

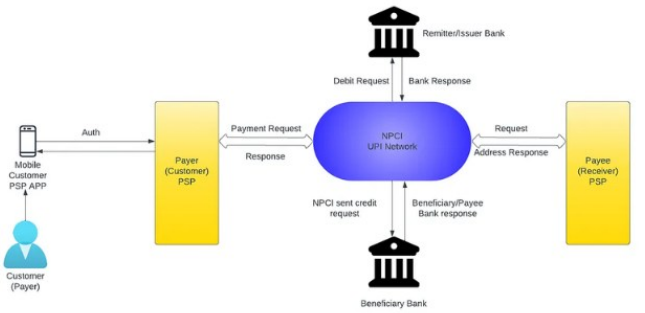
- Full form: Unified Payments Interface (UPI)
- It is a system that powers multiple bank accounts into a single mobile application (of any participating bank), merging several banking features, seamless fund routing & merchant payments into one hood.
- It also caters to the "Peer to Peer" collect request which can be scheduled and paid as per requirement and convenience.
- Launched on: 11th April 2016
- Launched by: Dr. Raghuram G Rajan, Governor, RBI
- Launched at: Mumbai, Maharashtra
- Banks have started to upload their UPI enabled Apps on Google Play store from 25th August, 2016 onwards.
- NPCI conducted a pilot launch with 21 member banks

UPI: Participants

- Participants in UPI
  - Payer PSP
  - Payee PSP
  - Remitter Bank
  - Beneficiary Bank
  - **NPCI**
  - Bank Account holders
  - Merchants

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Parameters	UPI	NEFT
Platform	App-based payments system	Online mode through net banking & application
Transaction charges	Usually free, some banks may levy charges	Some charges levied by bank based on transaction amount
Beneficiary details	Registered mobile number or UPI ID	Account number, bank name, IFSC code
Initiation of payments	Through UPI ID or QR code	By entering beneficiary details manually
Transfer type	Real-time transfer	Deferred settlement, processed in batches
Bank account	Can be linked with any bank account	Can transfer funds only from a bank account

Limit of fund transfer using UPI

Normal UPI the transaction	**Up to Rs 1 Lakh per transaction.**
For transaction in UPI like Capital Markets, Collections, Insurance, Foreign Inward Remittances	**up to 2 lakh**
For Initial Public Offering and Retail Direct Scheme	**Up to Rs 5 lakh per transaction**

UPI LITE X

- UPI LITE X, launched back in September'23, allows offline payments without internet connectivity, enhancing the existing UPI LITE functionalities in a much more effective manner.

  are the Limits for offline payments?
- Per transaction: ₹500
- Cumulative per day: ₹4,000
- Maximum available in LITE X: ₹2,000
- Minimum top-up: ₹1

  UPI Lite: New Updates
- The Reserve Bank of India (RBI) has proposed to increase the maximum transaction limit of UPI Lite from Rs 500 to Rs 1,000.
- Additionally, it has also increased the UPI Lite wallet limit from Rs 2,000 to Rs 5,000.UPI & UPI Lite: Difference

  What is UPI?
  - UPI is a 24X7 instant payment system that allows you to transfer money in real time between two bank accounts.

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- What is UPI Lite?
  - UPI Lite is an on-device wallet feature that allows users to make real-time small-value payments.**I 123**

What is UPI 123Pay ?

- UPI 123Pay is a Suite of solutions developed for Non Smart phone / feature phone users to use the UPI without internet connectivity
- Per transaction limit is Rs 5000
- Per day transactions limit is Rs 1,00,000

Code	Full Form	Key Features
IFSC	Indian Financial System Code	11 characters: first 4 = bank, 5th = 0, last 6 = branch.
MICR	Magnetic Ink Character Recognition	9-digit, bottom of cheque, for ECS & clearing.
MMID	Mobile Money Identifier	7-digit, links mobile to account for IMPS.
SWIFT/BIC	Society for Worldwide Interbank Financial Telecommunication	8 or 11 characters, for international transfers.

NPCI (National Payments Corporation of India)

- Nature: Not-for-profit, Sec 8 Co. under Companies Act 2013.
- It was set up in December 2008 with the guidance and support of the Reserve Bank of India (RBI) and Indian Banks' Association (IBA).
- Set up: Dec 2008, HQ: Mumbai.
- Promoters (10 banks): SBI, PNB, Canara, BoB, Union Bank, Bank of India, ICICI, HDFC, Citibank, HSBC.
- Current MD & CEO: Dilip Asbe.

Major NPCI Products / Platforms

- National Financial Switch (NFS) – Largest ATM network interconnect.
- IMPS – Instant interbank transfers.
- UPI – Unified mobile-based payments.
- NACH – Centralised ECS for bulk credit/debit.
- *USSD 99# – Mobile banking on feature phones; supports 10 regional languages + Hindi & English.
- AEPS – Aadhaar-based banking (cash in/out, balance enquiry, fund transfer).
- Limit: ₹50,000/day/account; simplified KYC conditions.
- Uses Issuer Identification Number (IIN) – 6 digits.
- Aadhaar Payment Bridge (APB) – Direct Benefit Transfer platform.
- Bharat Bill Payment System (BBPS) – Integrated utility bill payment.
- RuPay – Domestic card scheme (Debit/Credit/Prepaid).
- Cheque Truncation System (CTS) – Image-based cheque clearing (CTS-2010 standards).
- BHIM App – NPCI's UPI-based mobile application.
- Limit: ₹20k per transaction, ₹1 lakh/day, max 20 transactions/day.

Other Important Points

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- Settlement Agency for AEPS: Clearing Corporation of India Ltd (CCIL) on behalf of NPCI.
- BHIM Languages: 13 (including English).
- *99# Launch: Dedicated nationally on 28 Aug 2014 as part of Pradhan Mantri Jan Dhan Yojana.

Important Identification Numbers & Codes

1. Universal Account Number (UAN)

- Purpose: Single umbrella for multiple EPF Member IDs across jobs.
- Digits: 12 (e.g., 111222333444).
- Authority: Employees' Provident Fund Organisation (EPFO).
- Key Point: Remains same for lifetime of employee, irrespective of job changes.

2. International Securities Identification Number (ISIN)

- Purpose: Unique ID for securities (equity, debt, etc.) for global trading & settlement.
- Standard: ISO 6166.
- Digits: 12-character alphanumeric.
- Format:
- First 2 = Country code (letters)
- Next 9 = Security identifier (numbers/letters)
- Last 1 = Check digit.
- Example: US0004026250.
- Note: US/Canada also use CUSIP.

3. Permanent Retirement Account Number (PRAN)

- Purpose: Mandatory unique ID for subscribers of National Pension System (NPS).
- Digits: 12.
- Issuer/CRA: National Securities Depository Ltd. (NSDL).
- Accounts:
- Tier I: Non-withdrawable, retirement savings, tax benefit.
- Tier II: Voluntary savings, free withdrawals, no tax benefit.

4. Permanent Account Number (PAN)

- Purpose: Unique tax ID for individuals, families, corporates (Indian & foreign).
- Digits: 10-character alphanumeric (e.g., AAAPL1234C).
- Law: Section 139A, Income Tax Act, 1961.
- Issuer: Income Tax Dept., CBDT.
- Structure:
- First 5 letters
- Next 4 digits
- Last letter.
- Usage: Income tax filing, financial transactions, ID proof.
- Tax Deduction & Collection Account Number (TAN)
- Purpose: For entities deducting/collecting TDS/TCS.
- Digits: 10 (e.g., DELA99999B).
- Structure:
- First 3 letters = City/State code

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- 4th letter = First character of deductor's name
- Next 5 = Numbers
- Last = Letter.
- Law: Income Tax Act, 1961.
- Penalty: ₹10,000 for failure to obtain/quote TAN.
- Legal Entity Identifier (LEI)
- Purpose: Global identification of parties to financial transactions for risk management (post-2008 crisis).
- Digits: 20-character alphanumeric.
- Issued Under:
- Section 21 & 35(A), Banking Regulation Act, 1949 (for RBI directions in India).
- Use Cases: OTC derivatives, large corporate borrowings, cross-border deals.

TERMS	Numbers/ Codes	Description
Society for Worldwide Interbank Financial	8 – 11 Alphabetic Code	Identifies particular banks worldwide and to send money to overseas banks.
Indian Financial System Code	11 – Alpha Numeric Code	Uniquely identifies a bank-branch participating in the NEFT system. 1st Four Characters – Bank Name 5th character -0 (zero) Last 6 characters – Bank Branch
Magnetic Ink Character Recognition	9 – Digit Code	Uniquely identifies a bank and a branch participating in an Electronic Clearing System
Mobile Money Identifier	7– Digit Code	Uniquely linked with an Account number and helps in identifying the beneficiary details like in AEPS, APBS.
Universal Account Number	12– Digit Code	Allotted to employee who is contributing to EPF will be generated for each of the PF member by EPFO
International Securities Identification Number	12– Alpha Numeric Code	It serves for uniform identification of a security through normalization of the assigned National Number, where one exists, at trading and settlement.
Permanent Retirement Account Number	12– Digit Code	Permanent Retirement Benefit Number for a lifetime and can accessible from any location in India.
Aadhaar	12– Digit Code	Uniquely obtained information from residents of India, based on their biometric and demographic data. The data is collected by the Unique Identification Authority of India (UIDAI).
Permanent Account Number	10– Alpha Numeric Code	It acts as an identification for individuals, families and corporates (Indian and Foreign as well), especially those who pay Income Tax.
Tax Collection Account Number	10 - Alpha-Numeric Number	Issued to persons who are required to deduct or collect tax on payments made by them. Each tax deductor is uniquely identified by a TAN.
Legal Entity Identifier	20 digit alphanumeric code	Identifies distinct legal entities that engage in financial transactions.

EMV (Europay–Mastercard–Visa) Standards

- Definition
- Global specifications for chip-based payment cards and acceptance devices (POS, ATMs) to ensure interoperability and security.
- Background
- Created in 1993 by Europay, MasterCard, Visa.
- Now managed by EMVCo (owned by American Express, JCB, MasterCard, Visa).
- Objectives
- Card & terminal communicate to find common applications.
- Enforce risk control & security for global transactions.
- Based on ISO standards for integrated circuit (chip) cards.
- Versions
- EMV '96 (v3.1.1) – 1998
- EMV 2000 (v4.2) – current major release.
- Fraud Liability Shift
- Liability for certain frauds moves to the party (issuer/acquirer) not supporting EMV chip/PIN.
- Data Authentication

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- Offline (card validated at terminal)
- SDA: Static Data Authentication – protects against basic counterfeits.
- DDA: Dynamic Data Authentication – uses transaction-specific digital signature; protects against skimming.
- CDA: Combined DDA + Application Cryptogram – strongest offline method.
- Online
- Issuer confirms the card is genuine during the transaction.
- Card Security & RBI Directions
- EMV Chip & PIN cards mandated for international usage; existing mag-stripe cards used abroad to be upgraded.
- Three options considered:
- Magnetic Stripe + PIN (short-term fix, 12–18 months rollout).
- EMV Chip + PIN (long-term, protects against skimming & stolen card fraud; ~5 years migration).
- Magnetic Stripe + Biometric (Aadhaar fingerprint) (strong two-factor but cost & operational hurdles).
- Internet Banking
- Meaning
- Electronic banking via a bank's website integrated with core banking.
- Security Features
- PIN/TAN system (one-time passwords).
- Two-factor authentication using security tokens.
- SSL (≥128-bit) encryption and client certificates; disable unnecessary server services.
- Services
- Transactional: funds transfer, bill payment, loan applications.
- Non-Transactional: request cheque book, stop-payment, update contact details.
- Advantages: 24×7 global access; time-saving; instant and accurate transfers; secure with proper precautions.
- Disadvantages Needs internet; risk of hacking/phishing; server downtime; beginners may find it complex.

Digital Marketing (Banking Context)

- Definition
- Promotion of products/services through digital channels—Internet, mobile, display ads, etc.
- Key Techniques
- SEO: Boost unpaid (organic) search ranking.
- SEM: Paid advertising for higher search visibility.
- Content Marketing: Blogs, videos, infographics to attract and retain customers.
- Influencer Marketing: Use trusted personalities or industry voices.
- Content Automation: Tools to create & distribute content across platforms.
- Strategies for Banks & Financial Services
- Strong SEO to appear in searches for loans, accounts, mortgages.
- Consistent content marketing (guides, tips, announcements).
- Targeted digital advertising with measurable ROI.
- Email newsletters to maintain engagement.

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- Mobile-friendly, user-centric websites to enhance customer experience.

Feature	Magnetic Stripe + PIN	EMV Chip + PIN	Mag Stripe + Biometric
Counterfeit Protection	Moderate	Strong	Strong (domestic)
Lost/Stolen Card Protection	PIN protects	Strong	Strong
Implementation Cost	Low–Medium	High	Medium–High
Global Acceptance	High	Very High	Limited
Rollout Time	~1–1.5 years	~5 years	Varies

Bank / Institution	Major Apps & Schemes Launched
State Bank of India (SBI)	SBI Anywhere, **YONO**, State Bank Freedom, SBI No Queue, Boutique Financing Scheme, e-Forex, E-KYC, Composite Index, TAB Banking Facility, Twitter Handle Account, Youth for India, State Bank Rewardz, **Bank.sbi** (new corporate site), SBI Exclusif, Unnati Credit Card, Instant Money Transfer (IMT)
Bank of India	**UCO Pay**, UCO Suvidha Prepaid Card, mPay
UCO Bank	(merged above – UCO Pay, UCO Suvidha, mPay)
Central Bank of India	**Cent Mobile**
Dena Bank	**Dena Mobile Banking App**
Union Bank of India	**U-Mobile**, Union Selfie & m-Passbook, Union Sahyog

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Bank / Institution	Major Apps & Schemes Launched
State Bank of India (SBI)	SBI Anywhere, **YONO**, State Bank Freedom, SBI No Queue, Boutique Financing Scheme, e-Forex, E-KYC, Composite Index, TAB Banking Facility, Twitter Handle Account, Youth for India, State Bank Rewardz, **Bank.sbi** (new corporate site), SBI Exclusif, Unnati Credit Card, Instant Money Transfer (IMT)
Bank of India	**UCO Pay**, UCO Suvidha Prepaid Card, mPay
UCO Bank	(merged above – UCO Pay, UCO Suvidha, mPay)
Central Bank of India	**Cent Mobile**
Dena Bank	**Dena Mobile Banking App**
Union Bank of India	**U-Mobile**, Union Selfie & m-Passbook, Union Sahyog
Punjab National Bank (PNB)	**PNB mBanking**, PNB MobiEase, Druk PNB Mobile
Punjab & Sind Bank	**PSB mPay**
Syndicate Bank	**Synd Mobile**, Synd Saheli, Synd Bharata QR, Ananya Project
United Bank of India	**United Mobile Banking**, United Wallet, United e-Passbook
Allahabad Bank	**All Mobile**, eMPower
Oriental Bank of Commerce	**OBC mPay**, Oriental Saathi, Oriental Sahayak, Oriental Batuaa
Indian Bank	**IndPay**, Ind Mobi Easy, Bharat QR
Indian Overseas Bank	**IOB Mobile**, IOB Nanban

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Canara Bank	**Can Mobile**, eInfoBook, Canara Swipe, Canara m-Serve, Canara DIYA, m-Wallet
Bank of Baroda	**mConnect Plus**, Baroda mClip, BarodaPedia
Andhra Bank	**AB TEJ**, AB e-Vyapar, Andhra Bank Selfie Banking
Bank of Maharashtra	**Maha Millionaire**, Maha Lakhpati
RBI + NPCI	**UPI**, **BBPS** (Bharat Bill Payment System)
Government of India	**BHIM**
ICICI Bank	**POCKET**, i-Mobile (Windows), Branch on Wheel, ICICI Apathon App, Tap & Pay, Digital Village Project (Akodara), EMI on Debit Card, Transparent Credit Card, Student Travel Card, Saral Rural Housing Loan, Mera iMobile, Digital Form, InstaOD
ICICI + Vodafone	**m-Pesa**
ICICI + GOI	**e-NAM** (electronic National Agriculture Market)
ICICI + Truecaller	**Truecaller Pay**
RBL Bank	India's first credit card for golf lovers
IDFC Bank	**IDFC Bank Mobile App**
Axis Bank + Airtel	**Airtel Money**
HDFC Bank	**Chillar**, **PayZapp**, DDA Housing Scheme, Dhanchayat (awareness), **BBPS**, Humanoid Robot IRA 2.0, Chatbot Eva, **Aadhaar Pay**
Kotak Mahindra Bank	**KayPay** (Facebook fund transfer), **Kotak Bharat**, Voicebot Keya
Canara HSBC OBC Life Insurance	**iSelect**

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Laxmi Vilas Bank	LVB Mobile App, FINFIT
Axis Bank	Lime App, Asha Home Loan, Kisan Card, Shubh Arambh Scheme
Yes Bank	Yes Bank App, Yes MSME, Yes Corporate, Yes GST
Bandhan Bank	mBandhan
South Indian Bank	SIB Mirror, SIB Mirror Plus
IndusInd & Federal Bank	Video Conferencing facility
Citi Bank	Citi Bank Online, Voice Biometric Authentication
Karur Vysya Bank	FASTag Service
Paytm Payments Bank	Paytm-Ka-ATM

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Digital Banking : The Intermission Volume 2 : Card Transactions, Types of Cards, Device Based Tokenisation, Prepaid Payment Instruments
Chapter - 20

AUTOMATED TELLER MACHINES

- As of March 2025, India has over 251,000 ATMs, with a high concentration in urban areas
- An ATM is a computerised machine that provides customers of banks the facility of accessing their accounts for dispensing cash and to carry out other financial & non-financial transactions without the need to visit the bank branch.

History of ATMs

- First ATM in the World
- Installed in 1967
- Location: Barclays Bank, London
- Inventor: John Shepherd-Barron

ATMs in India

- First ATM installed in 1987
- Bank: HSBC
- Location: Mumbai

Types of ATMs

- On-Site ATM
- Off-Site ATM
- Bank Label
- Brown Label
- White Label
- Green Label
- Orange Label
- Pink Label
- Worksite ATM
- Contactless ATM
- Micro ATM

What is an On-Us and Off-Us transaction?

- A transaction carried out at an ATM of the card issuing bank is called an On-Us transaction. A transaction carried out at any other ATM is called an Off-Us transaction.
- For instance, if a card issued by bank A is used at an ATM of bank A then it is an On-Us transaction; if the card is used at a WLA or at an ATM of any other bank, the transaction is Off-Us.

Are customers entitled to any free transactions at ATMs?

- Ans. Yes, a bank must offer to its savings bank account holders a minimum number of free transactions at ATMs as under:
- Transactions at a bank's own ATM (On-Us transactions) at any location: Banks should offer their savings bank account holders a minimum of five free financial transactions in a month, irrespective of the location of ATMs. Any number of non-cash withdrawal transactions will be provided free.
- **Transactions at any other banks' ATM (Off-Us transactions) at Metro locations:**

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- In case of ATMs located in six metro locations, viz. Bengaluru, Chennai, Hyderabad, Kolkata, Mumbai, and New Delhi, banks shall offer their savings bank account holders a minimum of three free transactions (including financial and non-financial transactions) in a month.

- **Transactions at any other banks' ATM (Off-Us transactions) at non-Metro locations:**
- At any location, other than the six metro locations as above, banks must offer its savings bank account holders a minimum of five free transactions (including financial and non-financial transactions) at other bank ATMs in a month.

Is there any time limit for the card issuing bank to recredit the customer's account for a failed ATM / WLA transaction indicated under?

- Ans. In the case of a failed ATM transaction, the banks have been mandated to re-credit the customer's account within a maximum of T+5 calendar days (where 'T' is the day of transaction).

Are the customers eligible for compensation for delays beyond days of a failed transaction?

- Ans. Yes, the card issuing bank has to pay compensation of Rs. 100/- per day for delay in re-crediting the customer's amount beyond 5 calendar days from the date of the failed ATM transaction.
- The compensation has to be credited to the account of the customer without any claim being made by the customer.

What are Magnetic Stripe cards and EMV Chip & PIN cards?

- Ans. The Magnetic Stripe card stores card data on the magnetic stripe present on the card while the data in an EMV Chip & PIN card is stored in a chip.
- Effective May 1, 2025, the RBI has authorized banks to charge a maximum of ₹23 (plus taxes) per transaction for cash withdrawals exceeding the free monthly limit

Interchange Fees:

- Banks pay each other an interchange fee of ₹17 per financial transaction and ₹6 per non-financial transaction when customers use "off-us" (other bank) ATMs.
- Cardless Withdrawals: UPI-ATM (Interoperable Cardless Cash Withdrawal) services typically allow up to ₹10,000 per transaction

Mandatory Low-Denomination Targets (2025–2026)

- 75% Compliance (September 30, 2025): At least 75% of a bank's ATM network was required to dispense either ₹100 or ₹200 notes from at least one cassette.
- 90% Compliance (March 31, 2026): By this upcoming deadline, 90% of all ATMs must routinely dispense ₹100 or ₹200 banknotes.

NPCI & Products:

NPCI

- NPCI – National Payments Corporation of India
- Established: 2008
- Operational since: 2009
- Promoted by:

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- Reserve Bank of India
- Indian Banks' Association
- Headquarters: Mumbai, Maharashtra
- NPCI Subsidiaries
- NPCI International Payments Limited (NIPL), NPCI Bharat BillPay Limited (NBBL), NPCI BHIM Services Limited (NBSL),

Bharat Connect

- Rebranding: BBPS was officially rebranded as Bharat Connect at the Global Fintech Fest (GFF) in August 2024.
- Former Name: Bharat Bill Payment System (BBPS).
- Operating Subsidiary: NPCI Bharat BillPay Limited (NBBL).
- CEO of NBBL: Ms. Noopur Chaturvedi (appointed in 2021).
- Bharat Bill Payment Central Unit (BBPCU): A single authorized entity (NPCI/NBBL) that sets standards, rules, and procedures.
- Bharat Bill Payment Operating Units (BBPOUs): RBI-authorized operational entities (Banks or Non-banks

NACH

- Inception: Launched in May 2013 to consolidate multiple ECS (Electronic Clearing Service) systems across India.
- Purpose: High-volume, repetitive interbank transactions (Salaries, Pensions, Subsidies vs. SIPs, EMI, Insurance).
- Aadhaar Bridge (APBS): A unique sub-system of NACH used specifically for Government Direct Benefit Transfers (DBT). It uses the Aadhaar number as the central key for credit, rather than the IFSC/Account number.
- individual banks may set lower internal limits for security.
- Mandate Duration: While mandates can be "Until Cancelled," the maximum technical validity for a mandate is 30 years.
- NTSL Integration: As of 2026, NACH settlement reports are part of the NTSL (Net Terminal Settlement Limit) reporting cycles. It now follows 12 settlement cycles per day
- The "U" in UMRN: Every NACH transaction requires a UMRN (Unique Mandate Reference Number). It is an 18-digit alphanumeric code generated by the NACH system for every new mandate.
- Negative List (R-Block): Banks use a "R-Block" list in NACH to automatically reject transactions from blacklisted accounts or frozen entities before they even hit the core banking system.

AePs

- Launch Date: Officially launched on March 26, 2010, by the National Payments Corporation of India (NPCI)
- Purpose: To empower bank customers to access their Aadhaar-linked bank accounts through a Business Correspondent (BC) using biometric authentication.
- Standard Daily Limit: Generally capped at ₹10,000 per transaction by most banks to mitigate fraud risk.
- Monthly Limit: Most public sector banks (like SBI) limit AePS withdrawals to ₹50,000 per month or a specific number of transactions (usually 4-5).
- To perform an AePS transaction, the user must provide the Issuer Identification Number (IIN). This is a 6-digit number that identifies the customer's bank.

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- Sub-AUA vs. AUA: In the backend, entities providing AePS are called AUAs (Authentication User Agencies). Smaller fintechs that use a larger bank's gateway are called Sub-AUAs.

Card On File Tokenisation

- Card-on-File Tokenisation (CoFT)
- The process of replacing sensitive 16-digit Primary Account Number (PAN) details with a unique alternate code called a "Token".
- The mandatory requirement for merchants to purge actual card data and adopt CoFT went into effect on October 1, 2022.
- Additional Factor of Authentication (AFA): Tokenisation is not automatic. It requires explicit customer consent via AFA (usually an OTP).
- RBI has mandated a new compliance deadline of April 1, 2026, for the entire ecosystem to implement tightened Two-Factor Authentication (2FA) for digital payments.

RuPay

- Developer: Developed by the National Payments Corporation of India (NPCI) in 2012 to fulfil the RBI's vision of a domestic, open-loop, multilateral system of payments.
- For the 2026-27 fiscal year, the government has allocated ₹2,000 crore to incentivise and subsidise transactions on the RuPay and BHIM-UPI platforms to promote digital adoption.

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Digital Banking : Present Day Volume 3 : UPI and Products, TReDs, NFC, Cheque Truncation System

Chapter - 21

Prepaid Payment Instruments

- Prepaid Payment Instruments (PPIs) are instruments that store monetary value in advance and are used for purchase of goods/services, funds transfer or cash withdrawal.
- Examples:
- Mobile Wallets
- Gift Cards
- Metro Cards
- Prepaid Cards
- Closed System PPIs
  - Used only at issuing entity.
  - No RBI approval required.
  - No cash withdrawal.
  - Example: Amazon Gift Card, Metro Card.
- Open PPIs
  - Issued only by banks.
  - Can be used anywhere.
  - Cash withdrawal allowed.
  - Examples:
  - Prepaid Debit Cards

RBI Classification Based on KYC - Small PPIs

- Features:
- Limit:
- Maximum balance = ₹10,000
- Rules:
- Only purchase allowed
- No cash withdrawal
- No fund transfer

RBI Classification Based on KYC - Full-KYC PPIs

- Maximum balance = ₹2,00,000
- Facilities:
- Purchase
- Fund Transfer
- Cash withdrawal
- UPI:
- Can be linked with UPI apps

Special Types of PPIs

- Gift PPIs

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- Non-reloadable
- Limit = ₹10,000

- PPI-MTS (Mass Transit System) ★
- Used for Metro/Bus
- Limit = ₹3,000

Feature	Small PPI	Full-KYC PPI
Maximum Balance	₹10,000	₹2,00,000
Monthly Loading	₹10,000	No specified monthly cap
Annual Loading	₹1,20,000	No specified annual cap
Cash Withdrawal	Not Permitted	Permitted (up to ₹2,000/trans, ₹10,000/mo)
Fund Transfer	Not Permitted	Permitted
Interoperability	Not Mandatory	Mandatory (via UPI or Card Networks)

Important Regulations & Updates

- Internal Ombudsman (2026): New directions require non-bank PPI issuers to appoint an Internal Ombudsman, with full compliance mandated by June 30, 2026.
- UPI Transactions: Full-KYC PPIs (wallets) are authorized to conduct UPI transactions through third-party apps.
- Cash Loading Expiry: If a Small PPI (cash-loading) is not converted to Full-KYC within 24 months, no further credits are allowed, though existing balances can still be used.
- Issuance Eligibility: Banks and non-bank companies (incorporated in India with a minimum paid-up capital of ₹5 crore) can issue PPIs after RBI authorization.

TReDS: Trade Receivables Discounting System

TReDS is an institutional mechanism set up by the RBI to facilitate the discounting of trade receivables of MSMEs from corporate and other buyers, including Government Departments and Public Sector Undertakings (PSUs).

- Participants: There are three parties involved:
- Sellers: Only MSMEs.
- Buyers: Corporates, Government Departments, and PSUs.
- Financiers: Banks, NBFC-Factors, and other financial institutions as permitted by RBI.
- The Process:
- MSME uploads an invoice.
- Buyer accepts the invoice.
- Financiers bid on the invoice.
- MSME accepts the best bid and receives funds immediately (less the discount).
- RXIL (Receivables Exchange of India Ltd): Promoted by SIDBI and NSE.
- M1xchange (Mynd Solutions): Connects MSMEs with multiple financiers.
- Invoicemart (A. TReDS Ltd): Promoted by Axis Bank and mjunction services.

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- C2FO (C2treds): A global, on-demand working capital platform.
- KredX (Domestic Trade Exchange - DTX): Authorized as the fifth TReDS operator
- Compulsory Registration: The Ministry of MSME has mandated that all companies with a turnover of more than ₹500 Crore must register on a TReDS platform.
- GeM Integration: TReDS is integrated with the Government e-Marketplace (GeM) to facilitate "GeM Sahay," allowing MSMEs to get credit against orders placed on the GeM portal.
- Compulsory Registration: The Ministry of MSME has mandated that all companies with a turnover of more than ₹500 Crore must register on a TReDS platform.
- GeM Integration: TReDS is integrated with the Government e-Marketplace (GeM) to facilitate "GeM Sahay," allowing MSMEs to get credit against orders placed on the GeM portal.

2026 Budgetary & Regulatory Reform

- Mandatory CPSE Settlement: All Central Public Sector Enterprises (CPSEs) and government departments are now mandated to settle MSME invoices specifically through TReDS platforms.
- CGTMSE Credit Guarantee: A new mechanism through the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) provides a backstop for invoice discounting on TReDS, reducing the risk for banks and lowering interest rates for small players.

Other Relevant Data

- Insurance as the "Fourth Participant": While TReDS originally had three parties (Buyer, Seller, Financier), Insurance companies are now permitted as a fourth participant to provide trade credit insurance to financiers, further de-risking the auction.
- Automated NACH Mandate: Settlements are handled through the National Automated Clearing House (NACH). Buyers must provide a pre-approved auto-debit mandate, which ensures the financier is paid automatically on the due date.

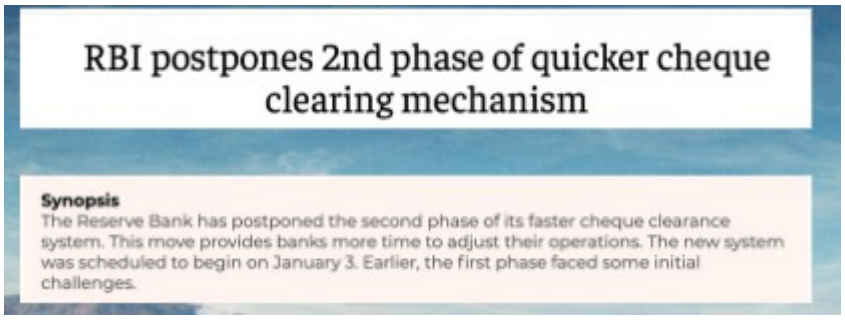
Cheque Truncation System

- Truncation is the process of stopping the flow of the physical cheque issued by a drawer at some point by the presenting bank. Instead of the physical paper, an electronic image is transmitted to the paying branch.
- Governing Act: Legalized under the Negotiable Instruments (NI) Act, 1881 (specifically Section 6 and Section 81A).
- Standardization: All cheques must follow CTS-2010 Standards (features like watermark, 'CTS INDIA', VOID pantograph, and specific ink).
- MICR Code: A 9-digit code.
- First 3 digits: City code.
- Middle 3 digits: Bank code.
- Last 3 digits: Branch code.
- Implementation Agency: Managed by the National Payments Corporation of India (NPCI).
- 2008 (Pilot Launch): RBI launched the first CTS pilot project in the National Capital Region (NCR), New Delhi.
- 2011–2013 (Grid Implementation): The system moved to a "Grid-based" approach. India was divided into three regional grids:
- Northern Grid (New Delhi)
- Western Grid (Mumbai)
- Southern Grid (Chennai)

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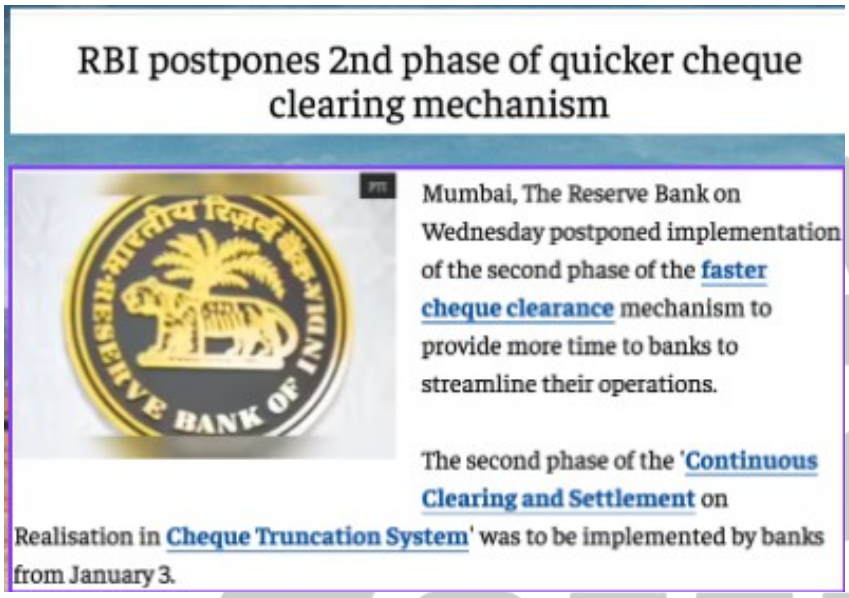


- 2020 (Positive Pay System): Introduced to prevent fraud. For cheques above ₹50,000, customers must re-confirm key details (date, amount, payee) to their bank electronically.



RBI postpones 2nd phase of quicker cheque clearing mechanism

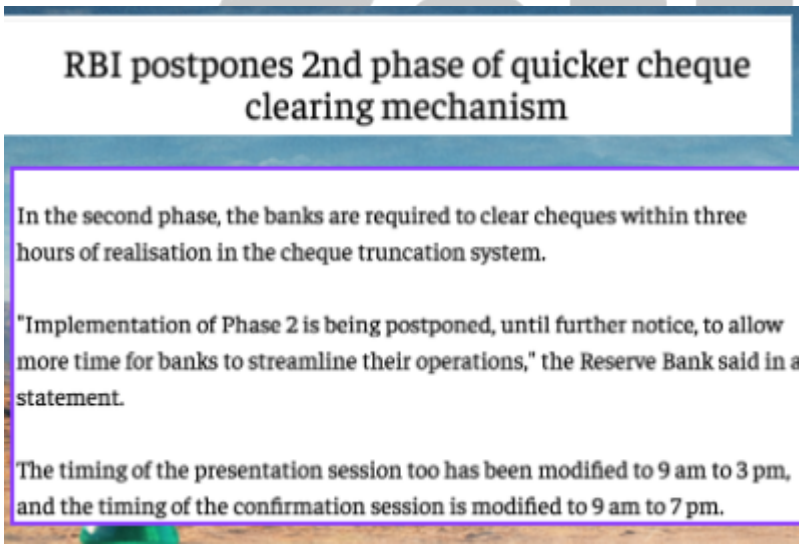
Synopsis
The Reserve Bank has postponed the second phase of its faster cheque clearance system. This move provides banks more time to adjust their operations. The new system was scheduled to begin on January 3. Earlier, the first phase faced some initial challenges.



RBI postpones 2nd phase of quicker cheque clearing mechanism

Mumbai, The Reserve Bank on Wednesday postponed implementation of the second phase of the faster cheque clearance mechanism to provide more time to banks to streamline their operations.

The second phase of the 'Continuous Clearing and Settlement on Realisation in Cheque Truncation System' was to be implemented by banks from January 3.



RBI postpones 2nd phase of quicker cheque clearing mechanism

In the second phase, the banks are required to clear cheques within three hours of realisation in the cheque truncation system.

"Implementation of Phase 2 is being postponed, until further notice, to allow more time for banks to streamline their operations," the Reserve Bank said in a statement.

The timing of the presentation session too has been modified to 9 am to 3 pm, and the timing of the confirmation session is modified to 9 am to 7 pm.

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RBI postpones 2nd phase of quicker cheque clearing mechanism

Under Phase 1, drawee banks are required to confirm (positively/negatively) cheques presented on them, latest by the end of the confirmation session (7 pm), else those will be deemed to have been approved and included for settlement.

Now, cheques are scanned, presented, and passed in a few hours and on a continuous basis during business hours.

The transition has replaced the cheque clearing cycle of up to two working days with a new and faster process, wherein cheques will be cleared within a few hours of presentation.

In Phase 2, the item expiry time of cheques was to be changed to T+3 clear hours.

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Government Securities Market : a Primer Chapter -22

G-Secs market has witnessed significant changes during the past decade.

Introduction of an electronic screen-based trading system, dematerialized holding, straight through processing, establishment of the Clearing Corporation of India Ltd. (CCIL) as the Central Counter Party (CCP) for guaranteed settlement, new instruments, and changes in the legal environment are some of the major aspects that have contributed to the rapid development of the G-Sec market.

- **What is a Bond?**
- A bond is a debt instrument in which:
- An investor lends money to an entity.
- The entity can be:
- Government
- Company (corporate)
- Municipality / State
- In return, the issuer promises to:
- Pay interest (coupon) periodically.
- Repay the principal amount on a fixed future date
- Key Features of a Bond
- Issuer
- The borrower:
- Government (e.g., Treasury bonds)
- Company (corporate bonds)
- Investor
- The lender: Becomes a creditor, not an owner.
- Interest Rate (Coupon)
- Can be:
- Fixed (same throughout)
- Variable/Floating (changes with market rates)
- Maturity: The time period after which the principal is repaid.
- Principal: The original amount invested.

- **What is a Government Security (G-Sec)?**
- A Government Security (G-Sec) is a tradable debt instrument issued by:
- Central Government, or
- State Governments
- It represents the Government's borrowing from the public.
- Short-Term G-Secs (Treasury Bills) Called T-Bills
- Original maturity: Less than 1 year
- Issued only by: Central Government
- Examples:
- 91-day T-bill
- 182-day T-bill
- 364-day T-bill

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- Treasury bills or T-bills, which are money market instruments, are short term debt instruments issued by the Government of India and are presently issued in three tenors, namely, 91 day, 182 day and 364 day.
- Treasury bills are zero coupon securities and pay no interest. Instead, they are issued at a discount and redeemed at the face value at maturity.
- For example, a 91 day Treasury bill of ₹100/- (face value) may be issued at say ₹98.20, that is, at a discount of say, ₹1.80 and would be redeemed at the face value of ₹100/-
- Long-Term G-Secs (Government Bonds / Dated Securities)
- Original maturity: 1 year or more
- Issued by:
- Central Government → Government Bonds
- State Governments → State Development Loans (SDLs)
- **(B) Cash Management Bills (CMBs)**
- Introduced in 2010.
- Maturity: < 91 days.
- Used for temporary cash needs of Govt.

In 2010, Government of India, in consultation with RBI introduced a new short-term instrument, known as Cash Management Bills (CMBs), to meet the temporary mismatches in the cash flow of the Government of India. The CMBs have the generic character of T-bills but are issued for maturities less than 91 days.
Dated G-Secs are securities which carry a fixed or floating coupon (interest rate) which is paid on the face value, on half-yearly basis. Generally, the tenor of dated securities ranges from 5 years to 40 years.

- Nomenclature of G-Securities

The Public Debt Office (PDO) of the Reserve Bank of India acts as the registry / depository of G-Secs and deals with the issue, interest payment and repayment of principal at maturity. Most of the dated securities are fixed coupon securities.

The nomenclature of a typical dated fixed coupon G-Sec contains the following features - coupon, name of the issuer, maturity year. For example, - 7.17% GS 2028 would mean:

Coupon	: 7.17% paid on face value
Name of Issuer	: Government of India
Date of Issue	: January 8, 2018
Maturity	: January 8, 2028
Coupon Payment Dates	: Half-yearly (July 08 and January 08) every year
Minimum Amount of issue/ sale	: ₹10,000

- **(C) Dated G-Secs (Government Bonds)**
- Long-term securities.
- Maturity: 1–40 years.
- Pay interest half-yearly.
- Registry maintained by Public Debt Office (PDO), RBI.

- Types of Government Bonds
- Fixed Rate Bonds
- Coupon fixed for full life.
- Most common type.

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- Floating Rate Bonds (FRBs)
- Coupon changes periodically.
- Linked to: T-Bill yields + fixed spread.
- Zero Coupon Bonds
- No interest.
- Issued at discount.
- Last issued by GoI in 1996.
- Capital Indexed Bonds
- Principal linked to inflation index.
- Protects real value of investment.
- Inflation Indexed Bonds (IIBs)
- Both principal & interest protected from inflation.
- Linked to: WPI or CPI.
- Bonds with Call / Put Options
- Call option: Govt can buy back.
- Put option: Investor can sell back.
- Special Securities
- Issued to compensate:
- Oil companies
- Fertiliser companies
- FCI
- STRIPS
- (Separate Trading of Registered Interest and Principal)
- Breaks one bond into:
- Many small zero-coupon securities.
- Each coupon & principal traded separately.
- Useful for:
- Yield curve
- Asset-Liability Management.

- **State Development Loans**
- Dated government securities issued by State Governments to raise funds from the market.
- They are the state-level equivalent of Central Government bonds.
- Special SDLs – UDAY Scheme
- Under Ujjwal Discom Assurance Yojana (UDAY):
- States issued special SDL bonds.
- Purpose:
- To take over debt of power distribution companies (DISCOMs).
- Introduced in 2015 by Ministry of Power.
- Objective: Financial turnaround of state DISCOMs.

- Statutory Importance of G-Secs
    - Urban Co-operative Banks (UCBs)
- Must maintain SLR under:
- Banking Regulation Act, 1949.

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- SLR assets include:
- Cash
- Gold
- G-Secs
    - Rural Co-operative Banks
- (State Co-op Banks & DCCBs)
- Required to maintain SLR in:
- G-Secs
- Cash / gold
- DCCBs may hold SLR via:
- State Co-op Banks.
    - Regional Rural Banks (RRBs)
- Since 2002:
- Entire SLR must be in G-Secs.
    - Provident Funds & Pension Funds
- Must invest:
- 45%–50% in:
- Central & State G-Secs
- Gilt mutual funds
- To ensure:
- Safety of retirement money.

- **How are the G-Secs issued?**
- Issuing Authority
- G-Secs are issued by the Reserve Bank of India (RBI) on behalf of the Government of India.
- Issuance is done through electronic auctions.

- Auction Platform – E-Kuber
- Auctions are conducted on E-Kuber, RBI's Core Banking Solution (CBS).
- It is an online electronic bidding system.
- Who can bid directly on E-Kuber?
- Entities having:
- Funds Account (Current Account) with RBI
- SGL Account (Subsidiary General Ledger) with RBI
- These include:
- Commercial banks
- Scheduled Urban Co-operative Banks (UCBs)
- Primary Dealers (PDs)
- Insurance companies
- Provident funds

- **How Others Participate (Non-E-Kuber Members)**
- Entities like:
- Non-scheduled UCBs
- Small institutions

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- Participate through:
- Primary Members (PMs)
- (Scheduled banks or PDs)
- They open:
- Gilt Account (Demat account for G-Secs)

Security	Auction Day	Result Time	Settlement
Dated G-Secs	Friday	2:00 PM	T+1
T-Bills	Wednesday	1:30 PM	T+1
CMBs	As needed	As notified	T+1

- Types of Auctions in Government Securities (G-Secs) & Switch/Conversion

- Types of Auctions Based on Bidding Style
    - Yield-Based Auction
- Used when new G-Sec is issued.
- How it works:
- Investors quote yield (e.g. 7.12%, 7.20%).
- Bids arranged in ascending order of yield.
- The yield at which total demand = notified amount becomes cut-off yield.
- Cut-off yield becomes the coupon rate.
- Successful bidders:
- Those who bid at or below cut-off yield.
    - Price-Based Auction
- Used when existing G-Sec is re-issued.
- How it works:
- Investors quote price per ₹100 face value.
- Bids arranged in descending order of price.
- The price at which supply matches demand is cut-off price.
- Successful bidders:
- Those who bid at or above cut-off price.

- Types of Auctions Based on Allotment Method
    - Uniform Price Auction
- All successful bidders get securities at same price/yield.
- That is the cut-off price/yield.
    - Multiple Price Auction
- Each successful bidder pays his own quoted price/yield.

- Types of Bidding
    - Competitive Bidding
- Used by:

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- Banks
- Primary Dealers
- Mutual funds
- Insurance companies
- Features:
- Investors quote exact price/yield.
- Multiple bids allowed.
- Minimum bid: ₹10,000.
    - Non-Competitive Bidding (NCB) For:
- Retail investors
- Individuals
- Provident funds
- Trusts
- RRBs & Co-operative banks
- Key Features:
- Only one bid allowed.
- Bid through Aggregator/Facilitator (banks/PDs/stock exchanges).
- Allotment at weighted average price/yield of auction.
- Reserved portion:
- 5% for G-Secs
- 10% for SDLs
- Retail Limit: Max ₹2 crore per auction (G-Secs).

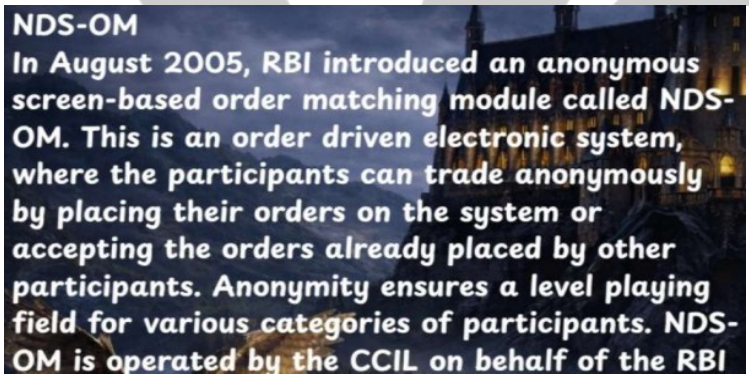
- NCB in State Development Loans (SDLs)
- Introduced in 2009.
- Reserved amount: 10% of issue size.
- Single investor limit: 1% of issue size.

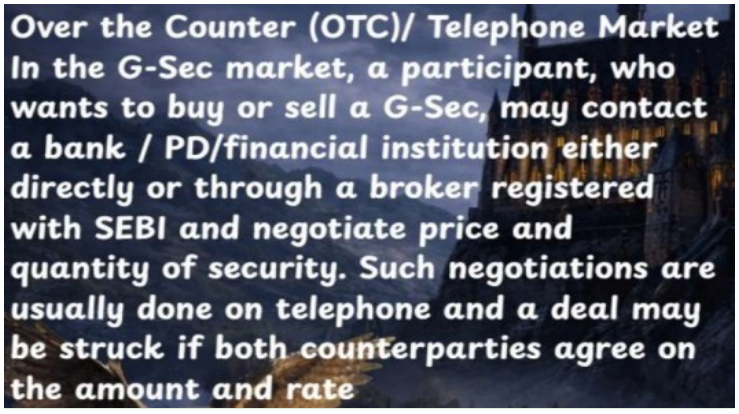
- Settlement of G-Secs
    - Primary Market Settlement
- After auction allotment, investors are informed of amount payable.
- Settlement cycle: T+1 (next working day).
- On settlement day:
- Investor's fund account is debited.
- Investor's SGL account is credited with securities.
    - Secondary Market Settlement
- All secondary trades are settled through:
- RBI accounts
- Under DvP-III (net settlement) system.
- CCIL acts as Central Counter Party (CCP) and guarantees settlement.
- Settlement cycle:
- Outright trades → T+1
- Repo trades → T+0 or T+1
- FPIs → T+1 or T+2
- Shut Period

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- Period during which trading is not allowed.
- Purpose:
- To finalize redemption and interest payments.
- Current shut period:
- 1 day before maturity (for SGL securities).
- Functions:
- Acts as Central Counter Party (CCP).
- Becomes: Buyer to seller/ Seller to buyer
- Netting of:
- Securities
- Funds
- Maintains:
- Settlement Guarantee Fund
- If any participant defaults:
- CCIL ensures successful settlement.

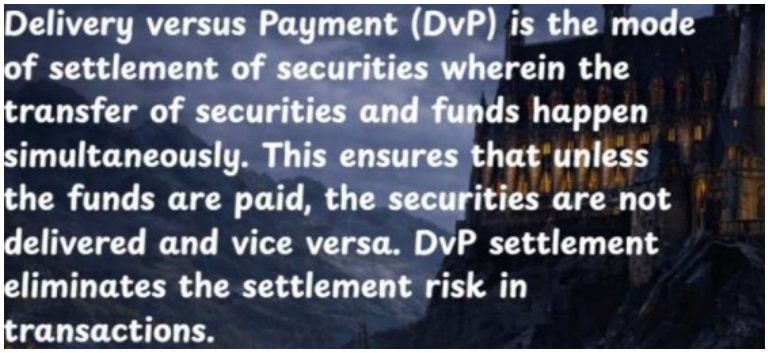




What is Delivery versus Payment (DVP) Settlement?

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Forex Exchange Market : Forex Market, SVRA, FEMA Act Rules, LRS, ECB, FDI Limits, Foreign Codes : LEI, SWIFT, Alert List of Forex Platforms
Chapter - 23

What is a Foreign Exchange Market?

The Foreign Exchange Market, commonly known as the Forex market or the currencies market, is a global marketplace where currencies are traded.

The value of currencies around the world is determined by the foreign exchange market.

The foreign exchange market is a digital system that does not have a physical location.

In the foreign exchange market, currency trading is always done in pairs, therefore the value of one of the currencies in the pair is related to the value of the others.

This global market is divided into two levels: interbank and over-the-counter.

It helps to provide international liquidity as well as relative, desired stability.

The Reserve Bank of India approved intra-day foreign exchange trading in 1978, and banks were required to maintain a "square" or "near square" position only at the end of business hours each day.

The rupee's exchange rate was officially determined by the Reserve Bank in terms of a weighted basket of currencies of India's major trading partners during this time, and the exchange rate regime was characterized by the Reserve Bank's daily announcement of its buying and selling rates to Authorised Dealers (ADs) for merchant transactions.

In 1981, the 'Guidelines for Internal Control over Foreign Exchange Business' were drafted for banks to adopt.

However, until the early 1990s, India's foreign exchange market was heavily regulated, with limitations on external transactions, entrance barriers, poor liquidity, and high transaction costs.

During this time, the exchange rate was mostly maintained to facilitate India's imports.

The Foreign Exchange Regulations Act (FERA) imposed severe controls on foreign exchange transactions, resulting in one of the world's largest and most efficient alternative foreign exchange markets, the hawala (unofficial) market.

The fundamental foundation for external sector changes was spelled forth in the Report of the High-Level Committee on Balance of Payments after the Gulf crisis in 1990-91. (Chairman: Dr. C. Rangarajan).

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The Liberalised Exchange Rate Management System (LERMS) was implemented in March 1992, originally with a dual exchange rate system, in response to the Committee's recommendations to move toward a market-determined exchange rate.

All foreign exchange receipts on current account transactions (exports, remittances, and so on) have to be surrendered in full to Authorised Dealers (ADs) under the LERMS.

The LERMS was essentially a transitional mechanism, with the official exchange rate being adjusted downward in early December 1992 and the ultimate convergence of the dual rates taking effect on March 1, 1993, leading to the adoption of a market-determined exchange rate regime.

In March 1993, the dual exchange rate system was replaced by a single exchange rate system, allowing all foreign exchange receipts to be converted at market-determined exchange rates.

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In March 1993, the dual exchange rate system was replaced by a single exchange rate system, allowing all foreign exchange receipts to be converted at market-determined exchange rates.

FEMA (Foreign Exchange Management Act)

The Foreign Exchange Management Act was enacted by the Indian Central Government to facilitate external payments and cross-border trade in India.

FEMA (Foreign Exchange Management Act) was established in 1999 to replace FERA (Foreign Exchange Regulation Act).

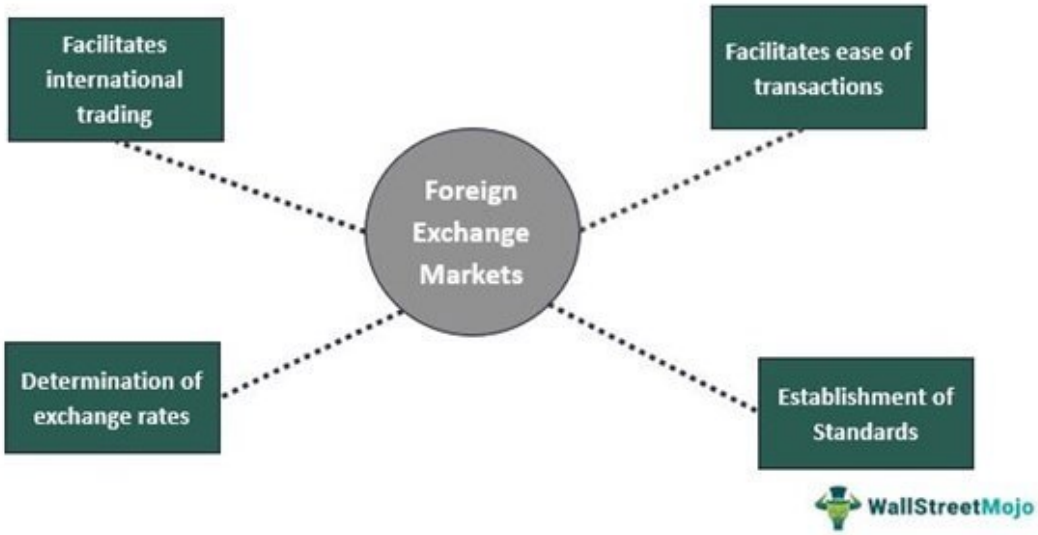
FEMA was created to address all of the flaws and shortcomings of FERA (Foreign Exchange Regulation Act), and as a result, it enacted a number of economic reforms (major reforms).

FEMA was created primarily to de-regulate and liberalize India's economy.

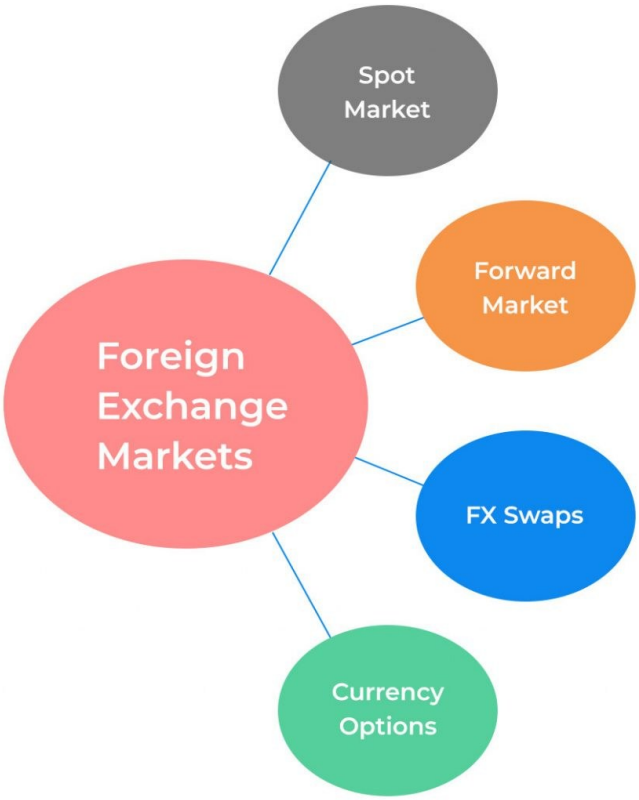
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Foreign Exchange Market Utility



Types of Foreign Exchange Markets



Spot Market

- On the spot market, transactions involving currency pairs take to occur.

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- It happens promptly and without a hitch.
- The transactions need rapid payment at the spot rate, which is the current exchange rate.

Future Market

- Futures market transactions need payment and distribution in the future at a previously agreed-upon exchange rate, referred to as the future rate.
- The transaction or agreement is more formal in nature, guaranteeing that the transaction's conditions are set in stone and cannot be altered.

Forward market

- Forward market trades are comparable to future market transactions.
- In this situation, the parties will negotiate the transaction's conditions, and the parties' agreed-upon terms can be modified and updated as needed.
- The forward market has more flexibility than the futures market.

Swap Market

- When two investors borrow and lend two distinct types of currencies at the same time, this is known as a swap transaction.
- In this scenario, one investor borrows a currency and pays the other in a different currency.

Option Market

- The investor agrees on the currency of exchange from one denomination to another at a specified rate and on a specific date in the options market.
- The investor has the option to convert the currency at a later time but is not obligated to do so.
- Call and put options are the two types of options available. A put option gives you the choice to sell, whereas a call option gives you the opportunity to buy.

Foreign Exchange Market – Benefits

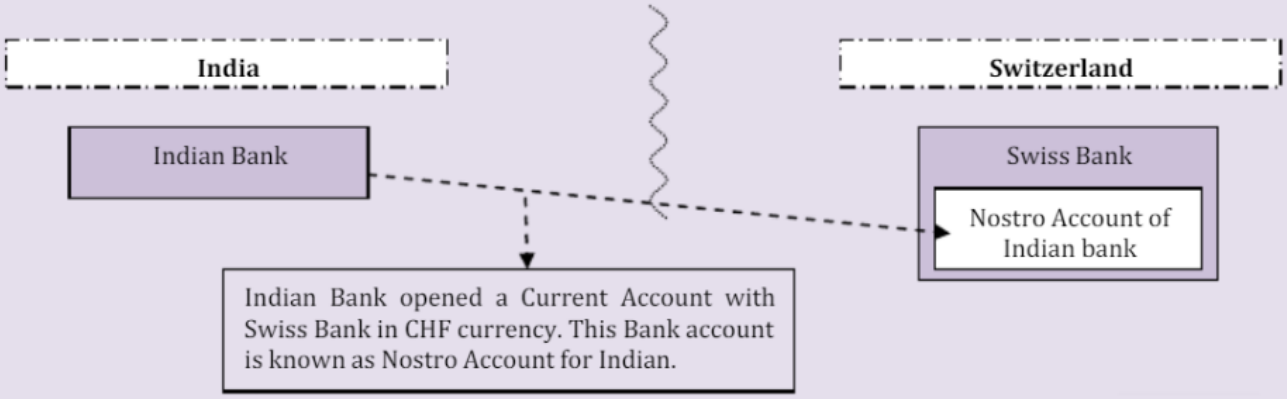
- Increased Leverage
- Low-Cost Transactions
- Exceptionally Transparent
- Accessibility of the FOREX Market
- High Liquidity
    - Special Rupee Vostro Accounts (SRVAs)
    - About: SRVAs are accounts opened by foreign entities with Indian banks. They facilitate settlement of international trade transactions in Indian Rupees.
    - SRVAs introduced in 2022, the mechanism allows exporters and importers to invoice and settle trade directly in rupees.
    - RBI Measures to Promote Rupee through SRVAs: Non-resident entities with SRVAs can now invest their rupee surplus balances in Central government securities (G-secs) and Treasury Bills.
    - Earlier authorised dealer (AD) banks required RBI's prior approval before opening SRVAs for overseas correspondent banks. Now AD banks can open SRVAs independently without seeking RBI permission.
    - This aims to quicken the operationalisation of rupee-based trade settlements.

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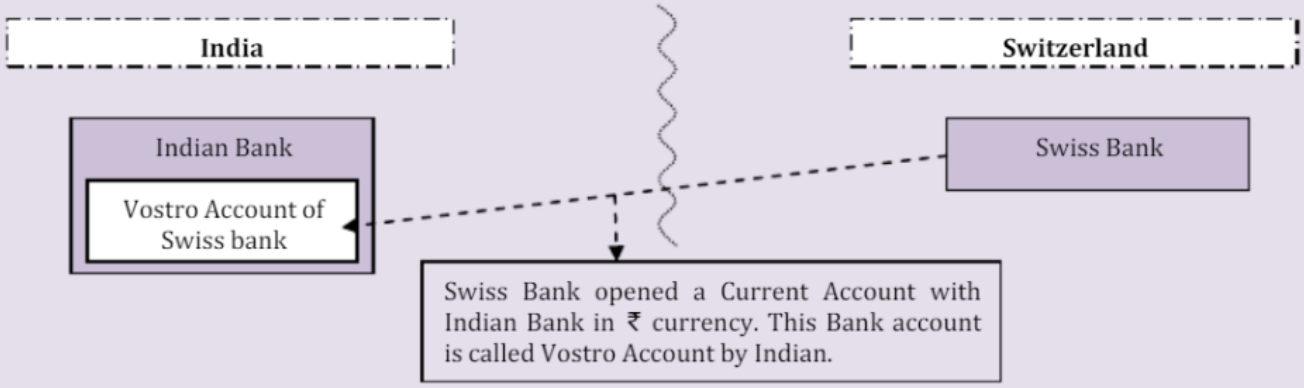
Nostro A/C: [Ours Account with You]

Nostro Account is a Current account maintained by a domestic bank/dealer with a foreign bank in foreign currency. For example, Current Account of SBI Bank (an Indian bank) with Swiss Bank in Swiss Franc (CHF) currency is a Nostro A/C.



Vostro A/C: [Yours Account with us]

Vostro A/C is a Current account maintained by a foreign bank with domestic bank in Rupee currency.
For example: Account of Swiss bank in India with SBI in Rupee (₹) Currency.



- Foreign Exchange Management (Guarantees) Regulations 2026
- The Reserve Bank of India has notified the Foreign Exchange Management (Guarantees) Regulations, 2026 under the Foreign Exchange Management Act, 1999.
- These regulations create a comprehensive regulatory framework for guarantees involving persons resident outside India.
- Objective of the New Regulations
- Unified Regulatory Framework
- Strengthening Compliance
- What is a Guarantee under FEMA?
- A guarantee is a financial commitment where one party undertakes to fulfil payment or performance obligations of another party in case of default.
- Common FEMA-linked contexts
- Cross-border trade transactions
- Foreign Direct Investment (FDI)

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- External Commercial Borrowings (ECBs)
- About Foreign Exchange Management Act (FEMA), 1999
- Purpose
- Regulates foreign exchange transactions.
- Facilitates external trade and payments.
- Promotes orderly development and maintenance of India's foreign exchange market.
- Historical Context
- Replaced Foreign Exchange Regulation Act (FERA), 1973.
- Marked a shift from restrictive control to a management-oriented and liberalised regime.
- Objectives of FEMA, 1999
- Facilitation of External Trade: Simplifies foreign trade and cross-border payments.
- Orderly Forex Market Development: Ensures stability and systematic growth.
- Balance of Payments Stability: Regulates capital flows and forex reserves.
- Key Features of FEMA, 1999
- Civil Law Framework
- Violations treated as civil offences.
- No criminal liability (unlike FERA).
- Current Account Convertibility
- Current account transactions are generally free, subject to reasonable government restrictions.
- Capital Account Regulation
- Capital account transactions allowed only to the extent permitted by RBI.
- Institutional Framework
- Reserve Bank of India
- Primary authority for implementation of FEMA.
- Frames regulations and directions.
- Central Government
- Frames rules related to current account transactions.
- Enforcement Directorate (ED)
- Investigates and adjudicates FEMA violations.
- Enforcement and Violations under FEMA
- Penalties
- Monetary penalty up to three times the amount involved or ₹2 lakh, whichever is higher.
- Continuing Offences
- Additional penalty of ₹5,000 per day for ongoing contraventions.
- Seizure of Assets
- In serious violations, properties and assets linked to offences may be seized.

- Liberalised Remittance Scheme
- Introduced in 2004 by the Reserve Bank of India.
- Initial limit: USD 25,000 per financial year.
- Present limit: USD 250,000 per financial year, per resident individual.
- Covers approved current account and capital account transactions.
- Eligibility
- Only resident individuals are eligible.
- Not permitted for:

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- Corporates
- Hindu Undivided Family (HUF)
- Partnership firms
- Trusts
- Permissible Uses (Illustrative)
- Education abroad
- Medical treatment overseas
- Travel and maintenance of close relatives
- Purchase of shares, bonds, property abroad
- Setting up Wholly Owned Subsidiaries (WOS) or Joint Ventures (JV) abroad (within limits)
- Prohibited Transactions
- Purchase of lottery tickets, sweepstakes, or banned magazines
- Remittances to FATF non-compliant countries
- Gifting foreign currency to another Indian resident's foreign account
- Any activity prohibited under FEMA or RBI guidelines
- Key Restriction
- No foreign currency accounts in India:
- Resident individuals cannot open or maintain foreign currency accounts in India under LRS.
- Foreign currency accounts can be opened only outside India, subject to conditions.

- What is External Commercial Borrowing (ECB)?
- External Commercial Borrowing (ECB) refers to loans or financial assistance raised by Indian entities from non-resident sources in the form of:
- Bank loans
- Bonds
- Debentures
- Other recognised debt instruments
- These borrowings are governed by the Reserve Bank of India under the framework of Foreign Exchange Management Act, 1999.
- Purpose of ECB
- ECBs are primarily used for:
- Expansion and modernisation of business
- Infrastructure development
- Acquisition of capital assets
- Import of machinery and equipment
- Refinancing or repayment of existing debt (subject to conditions)
- Sources of ECB
- Indian entities may raise ECBs from:
- Foreign commercial banks
- International financial institutions
- Export credit agencies
- International capital markets
- Foreign equity holders or overseas subsidiaries of Indian companies
- Forms of ECB
- Foreign currency-denominated ECB

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- Repayment in foreign currency
- Rupee-denominated ECB (Masala Bonds / INR loans)
- Repayment in Indian Rupees
- Exchange rate risk borne by lender
- Regulatory Framework
- ECBs are regulated under:
- RBI Master Direction – External Commercial Borrowings, Trade Credits and Structured Obligations
- FEMA, 1999
- Key regulatory parameters include:
- Minimum Average Maturity Period (MAMP)
- Maximum all-in-cost ceiling
- Permitted and prohibited end-uses
- Borrowing limits
- Routes for Raising ECB
- Automatic Route
- No prior approval from RBI required
- Applicable if borrower satisfies prescribed conditions related to:
- Eligible borrower
- Amount
- End-use
- Maturity period
- Most ECBs are raised through this route
- Approval Route
- Prior approval of RBI or Government required
- Applicable to:
- Specified sectors
- Non-standard end-uses
- Borrowings beyond automatic route limits

- What is FDI?
- Foreign Direct Investment (FDI) refers to an investment made by a person or company of one country into business interests located in another country, with the intention of long-term ownership, control, and management.
- In India, an investment is treated as FDI if it involves 10% or more of the post-issue paid-up equity capital of an Indian company.
- FDI differs from Foreign Portfolio Investment (FPI) as it implies managerial control, not merely trading in securities.
- Types of FDI
- Horizontal FDI
- Investor sets up the same line of business abroad as in the home country.
- Example: McDonald's opening outlets in Europe.
- Vertical FDI
- Investment in a complementary stage of the production chain.
- Example: BMW investing in auto-component manufacturing abroad.
- Conglomerate FDI

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- Investment in a completely unrelated business sector.
- Example: Apple investing in a foreign fashion or lifestyle brand.
- Legal & Institutional Framework
- Governed by Foreign Exchange Management Act
- Administered by the Reserve Bank of India
- Policy framed by Department for Promotion of Industry and Internal Trade under Ministry of Commerce and Industry
- FDI Routes in India
- Automatic Route
- No prior government or RBI approval required
- Allowed in most sectors, subject to conditions
- Government Route
- Prior approval required
- Applies to sensitive sectors like defence, media, telecom, etc.

Sector	FDI Limit
E-commerce	- 100% (automatic route) in marketplace model e-commerce. (FDI in inventory-based e-commerce is not allowed)
Civil Aviation (Maintenance, Repair, and Overhaul)	100% (automatic route)
Railway Infrastructure	100% (automatic route)
Print Media	26% (automatic route)
Private Sector Banking	49%(automatic route); Up to 74% (government approval)
Pharmaceuticals	100% (automatic route) in greenfield projects; Up to 74% in brownfield projects
Defence	74% (automatic route); Up to 100% (Government approval)

What is LEI?

Legal Entity Identifier (LEI) is a 20-digit alphanumeric code.

It uniquely identifies legal entities (non-individuals) participating in financial transactions globally.

Developed in response to the Global Financial Crisis (2008) to improve transparency.

Objective of LEI

Improve quality, accuracy, and consistency of financial data.

Enable better risk assessment and monitoring.

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Enhance systemic stability in financial markets.
Help regulators identify counterparty exposure.
RBI has been implementing LEI requirements gradually, covering:
Participants in Over-the-Counter (OTC) derivative markets
Participants in non-derivative markets
Large corporate borrowers
Now extended to large-value payment transactions
Who Issues LEI in India?
LEI in India is issued by Legal Entity Identifier India Ltd. (LEIL).
LEIL is recognised by RBI under the Payment and Settlement Systems Act, 2007.

What is SWIFT?
SWIFT is a global financial messaging network used by banks and financial institutions.
It enables secure, fast, and standardised exchange of financial transaction information.
SWIFT does NOT transfer money or hold accounts—it only transmits messages.
Key Features
Founded in 1973 by 239 banks from 15 countries
Headquarters: Belgium
SWIFT Code (BIC): 8 or 11 characters
Replaced the Telex system, which was slower and error-prone
Ensures accuracy, speed, and reliability in cross-border banking communication
Governance & Control
Controlled by G-10 central banks, the European Central Bank, and the National Bank of Belgium
Major oversight role played by central banks of:
Belgium, Canada, France, Germany, Italy, Japan
Netherlands, United Kingdom, United States
Switzerland, Sweden
SWIFTNet
A private, global IP-based network
Used for secure banking communications
Owned and managed by SWIFT
SWIFT Oversight Forum
Established in 2012
Includes central banks from:
Australia, China, Hong Kong, India
Korea, Russia, Saudi Arabia
Singapore, South Africa, Turkey
Purpose: Global regulatory coordination and oversight
SWIFT in India – SWIFT India Domestic Services
About
Known as SWIFT India

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Launched in 2014
Headquarters: Mumbai
Member-owned cooperative of Indian banks
Features
Includes major public and private sector banks
Focuses on domestic market requirements
Brings global standards and best practices to Indian banking
Alternatives to SWIFT
Russia
SPFS (System for Transfer of Financial Messages)
FMS (Financial Messaging System) of the Bank of Russia
China
CIPS (Cross-Border Interbank Payment System)
Unlike SWIFT, CIPS handles both messaging AND settlement
India
Rupee–Rial trade mechanism (Iran)
Rupee–Rouble trade arrangement (Russia)

RBI Alert List for Unauthorised Forex Entities & ETPs

The Alert List is published by the Reserve Bank of India to caution the public against unauthorised entities and platforms dealing in foreign exchange (forex).

Who is Included in the Alert List?

The list contains names of entities that are:

1. Not authorised under FEMA

Not permitted to deal in foreign exchange under the Foreign Exchange Management Act, 1999.

2. Not authorised as Electronic Trading Platforms (ETPs)

Not authorised under the RBI Master Direction – Electronic Trading Platforms Directions, 2025 (dated 16 June 2025).

3. Promoters of unauthorised activity

Platforms, websites, or entities that:

Advertise unauthorised forex dealers/ETPs

Claim to provide training, advisory, or signal services for such unauthorised entities

Why did RBI issue the Alert List?

Rising cases of:

Online forex trading scams

Illegal margin trading platforms

Misleading advertisements promising high returns

To protect:

Retail investors

Financial system integrity

Forex market stability

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Currency in Focus : Indian Currency, CBDC, E-rupi and Legal Tender Chapter - 24

Indian Currency

- Currency name: Indian Rupee (INR)
- Symbol: ₹
- Subdivision: 1 Rupee = 100 Paise
- Symbol design: Combines Devanagari "र" and Roman "R" with two horizontal lines
- **2. Legal Tender**
- Legal tender means money that must be accepted in payment of a debt.
- Coins
- Issued by Government of India under Coinage Act, 2011
- Conditions:
- Coin must not be defaced or underweight
- ₹1 and above: legal tender up to ₹1000 per transaction
- 50 paise: legal tender up to ₹10
- Voluntary acceptance beyond limits is allowed
- Banknotes
- Issued by Reserve Bank of India under RBI Act, 1934
- Guaranteed by Central Government
- Legal tender across India unless withdrawn
- ₹500 & ₹1000 (pre-2016) demonetised on 8 Nov 2016
- ₹2000 notes continue to be legal tender
- **3. Printing & Minting**
- Banknote Printing Presses
- SPMCIL (Govt owned):
- Nashik (Maharashtra)
- Dewas (Madhya Pradesh)
- BRBNMPL (RBI subsidiary):
- Mysuru (Karnataka)
- Salboni (West Bengal)
- Coin Mints (SPMCIL)
- Mumbai
- Hyderabad
- Kolkata
- Noida
- Coins are issued into circulation only through RBI.
- **4. Currency Chest**
- Storehouses authorised by RBI in scheduled banks
- Hold banknotes & rupee coins on behalf of RBI
- Supply currency to nearby bank branches
- As on Feb 28, 2025: 2691 currency chests
- **5. Small Coin Depot**
- Stores coins below ₹1

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- Supplies coins to bank branches
- As on Feb 28, 2025: 2299 depots
- **6. Role of RBI in Currency Management**
- Sole authority to issue banknotes (Section 22, RBI Act)
- Estimates denomination-wise currency demand
- Ensures circulation of clean notes (Clean Note Policy)
- Withdraws and destroys soiled/unfit notes
- Coins: RBI only distributes; GoI designs & mints
- **7. Distribution of Currency**
- RBI operates through 19 Issue Offices across India
- Currency flow:
- Presses → RBI Issue Offices → Currency Chests → Bank Branches → Public
- Coins supplied via Mint-Linked RBI Offices
- **8. "I Promise to Pay" Clause**
- Printed on banknotes
- Indicates RBI's obligation to pay the bearer
- Based on Section 26 of RBI Act, 1934
- **9. Denominations of Banknotes**
- Currently Issued
- ₹10, ₹20, ₹50, ₹100, ₹200, ₹500, ₹2000
- Discontinued but Legal Tender
- ₹2, ₹5 banknotes (now coinised)
- ₹1 notes issued by GoI
- Highest Denomination Ever
- ₹10,000 (issued in 1938 & 1954; demonetised in 1946 & 1978)
- **10. Paper & Languages**
- Banknote paper: 100% cotton
- Languages:
- Hindi (front)
- English (reverse)
- 15 languages in language panel
- **11. Types of Indian Banknotes**
- Ashoka Pillar Series
- Post-Independence
- Lion Capital watermark
- "Satyameva Jayate" added in 1970
- Mahatma Gandhi Series (1996)
- Gandhi portrait on front
- Used till 2005
- MG Series 2005
- Enhanced security features
- ₹500 & ₹1000 withdrawn in 2016
- Mahatma Gandhi (New) Series – 2016
- Smaller size, vivid colours
- Themes of heritage & science

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- Introduced ₹2000 (Mangalyaan theme)
- **14. Soiled, Mutilated & Imperfect Notes**
- Soiled: dirty due to normal use
- Mutilated: portion missing
- Imperfect: washed, altered, indecipherable
- Exchange
- All banks must accept & exchange
- Based on Note Refund Rules, 2009 (amended 2018)
- Non-payable notes are destroyed by RBI
- **15. Counterfeit Notes**
- Fake notes lacking genuine security features
- Offences under Bhartiya Nyaya Sanhita, 2023
- Punishment: 7 years to life imprisonment
- Mere possession is not punishable unless intent to use is proved
- Central Bank Digital Currency of India

- **What is Digital Rupee (e₹)?**
- Digital Rupee (e₹) is India's Central Bank Digital Currency (CBDC)
- Issued by Reserve Bank of India
- Digital form of physical Indian currency (₹)
- At par with cash and guaranteed by the Central Government
- Tagline: Cash but Digital
- Stored in e₹ wallet
- Has cash-like features:
- Finality of settlement
- RBI guarantee
- Legal tender
- No interest

- **2. Types of CBDC in India**
- India is testing CBDC under pilot mode in two segments:
- Retail CBDC (e₹-R)
- Used by general public and merchants
- For daily transactions (P2P, P2M)
- Wholesale CBDC (e₹-W)
- Used by banks and financial institutions
- For large-value and interbank settlements
- Retail CBDC (e₹-R)
- **3. How e₹ can be held and used**
- Held in e₹ wallets provided by banks / non-banks
- Used for:
- Person-to-Person (P2P)
- Person-to-Merchant (P2M)
- Payments via:
- CBDC QR code

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- UPI QR code
- **4. e₹ Wallet**
- Digital wallet on mobile device
- Stores e₹ like a physical wallet stores cash
- Available on:
- Android
- iOS
- Wallet is recoverable even if phone is lost (using same SIM)
- **5. Safety of e₹ Wallet**
- Strong cyber-security framework
- e₹ remains safe even if device is lost
- Wallet can be restored on a new device
- **6. Creation & Issuance of e₹**
- RBI creates and issues e₹ digitally
- Issued to banks and non-banks
- Banks/non-banks onboard users and provide wallets
- Retail e₹ pilot live since: 1 December 2022
- Pilot Banks Offering e₹ Wallets
- Total: 19 banks
- Includes:
- SBI
- HDFC Bank
- ICICI Bank
- Axis Bank
- PNB
- Bank of Baroda
- Union Bank of India
- IDBI Bank
- Bank of India
- Canara Bank
- And others
- Wholesale CBDC (e₹-W)
- What is Wholesale CBDC (e₹-W)?
- CBDC meant for financial institutions
- Used for:
- Inter-bank settlements
- Large-value transactions
- Operates in restricted ecosystem
- Takeaways
- e₹ is legal tender
- Issued by RBI, not private entities
- e₹ ≠ cryptocurrency
- e₹-R → public use
- e₹-W → institutional use
- No interest on e₹

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- Pilot launched in Dec 2022

- **What is e-RUPI?**
- e-RUPI is a cashless, contactless, prepaid digital voucher
- Delivered to the beneficiary as:
- SMS, or
- QR code (on feature phone or smartphone)
- It is person-specific and purpose-specific
- Can be redeemed only once at authorised service providers
- Important: e-RUPI is not a digital currency and not a CBDC

- **2. How does e-RUPI work?**
- Sponsor (Government / organisation) decides:
- Beneficiary
- Purpose
- Amount
- Partner bank issues an e-RUPI voucher
- Beneficiary receives:
- SMS or QR code on mobile
- Beneficiary goes to:
- Specified service provider (e.g. hospital)
- Voucher is scanned and redeemed
- Service provider receives real-time payment

- **3. Key Features of e-RUPI**
- One-time use voucher
- Cashless and contactless
- No card, no app, no internet banking required
- Works on basic phones
- No internet connection required at beneficiary end
- Ensures targeted delivery of benefits

- **Who developed e-RUPI?**
- Developed by National Payments Corporation of India
- In collaboration with:
- Department of Financial Services
- Ministry of Health & Family Welfare
- National Health Authority

- NPCI has partnered with 11 banks:
- Axis Bank
- Bank of Baroda
- Canara Bank
- HDFC Bank

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- ICICI Bank
- Indian Bank
- IndusInd Bank
- Kotak Mahindra Bank
- Punjab National Bank
- State Bank of India
- Union Bank of India

- **Legal Tender**
- It is a type of currency or medium of exchange.
- It is money that is valid and acceptable for the settlement of debts which must be recognized when issued.
- Almost every country uses its national currency as legal tender.
- Creditors are lawfully responsible for accepting legal tender for the repayment of debt that they have availed.
- Legal tender is constitutioned by a law that specifies the object to be utilised as legal tender and the organisation that is commissioned to create and issue the same to the public such as the Reserve Bank of India.
- In India, the authentic legal tender of the Reserve Bank of India consists of coins and notes. The creditors are supposed to accept them as a payment towards the debt.

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Capital Market : The Evolution, Vol 1 : SEBI, Primary Market, New Issues in Primary Market

Chapter - 25

What is Capital Market

Capital market transfers funds from savers to entities needing capital.

Channels resources into productive investments.

Promotes economic growth.

Supports industrial development.

Contributes to financial stability.

Types of Capital Market

Capital Market Type	Description	Examples
Commodities Market	Market for trading physical goods and raw materials	Multi Commodity Exchange (MCX), NCDEX
Debt Market	Market for debt instruments, providing fixed returns	Government Bonds, Corporate Bonds, Debentures
Derivatives Market	Market for trading contracts derived from underlying assets	Futures, Options, Swaps
Equity Market	Market for buying and selling company ownership shares	NSE, BSE

Capital Market Type	Description	Examples
Foreign Exchange Market	Market for trading global currencies	Forex Market, Interbank Market
Money Market	Market for short-term borrowing and lending	Treasury Bills, Certificates of Deposit
Mortgage Market	Market for mortgage-related securities	Mortgage-Backed Securities (MBS)
Primary Market	Market where new securities are issued	IPOs, Rights Issues
Secondary Market	Market for trading existing securities	Stock Exchanges, OTC Markets

Capital Market Instruments

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Meaning	Meaning
Bonds	Fixed-income securities issued by governments and corporations.
Debentures	Long-term instruments with fixed interest returns.
Equity Shares	Represent ownership in companies, offering dividends and voting rights.
Mutual Funds	Pooled funds invested in diversified securities.
ETFs	Exchange-traded investment baskets that mirror indices.
Preference Shares	Provide fixed dividends and priority in liquidation.

Meaning	Meaning
Commercial Paper	Short-term corporate borrowing instruments.
Derivatives	Risk management tools like futures, options, and swaps.
REITs and InvITs	Investment in real estate and infrastructure projects.
Treasury Bills	Short-term government securities.

Capital Market Functions
Capital Mobilization
Investment Opportunities
Liquidity Provision
Price Determination
Risk Management
Efficient Allocation of Resources
Wealth Generation
Corporate Governance
Capital Market of India Historical Background
1875:
Bombay Stock Exchange (BSE) established – India's first stock exchange.
1988:
Securities and Exchange Board of India (SEBI) created as a regulatory body.
1992:
National Stock Exchange of India (NSE) launched; SEBI granted statutory powers and electronic trading introduced.
1996:

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Depositories Act, 1996 enacted, leading to the creation of National Securities Depository Limited (NSDL) and Central Depository Services Limited (CDSL) and enabling dematerialisation.

2000s onwards:

Trading reforms liberalised, online trading introduced, and foreign institutional investors integrated.

SEBI

Securities and Exchange Board of India (SEBI) is the regulatory authority of the securities market in India.

Established in 1988; given statutory powers under the SEBI Act, 1992.

Objective: Protect investors, regulate the securities market, and promote its development.

Historical Background

Before SEBI, the market was regulated by the Controller of Capital Issues (CCI) under the Capital Issues (Control) Act, 1947.

Rapid market growth and rising malpractices led to SEBI's creation in 1988.

The Harshad Mehta Scam 1992 exposed regulatory loopholes, leading to statutory powers for SEBI in 1992.

Organisational Structure

SEBI Board consists of:

Chairman nominated by the Union Government.

2 members from the Union Ministry of Finance.

1 member from the Reserve Bank of India (RBI).

5 members nominated by the Union Government (at least 3 full-time members).

Powers of SEBI

Powers similar to a civil court under the Code of Civil Procedure, 1908.

Can summon individuals and examine them under oath.

Inspect books, registers, and documents of market participants.

Suspend trading of securities on stock exchanges.

Restrict individuals/entities from accessing the securities market.

Impound proceeds or securities related to suspicious transactions.

Securities Appellate Tribunal (SAT)

Securities Appellate Tribunal (SAT) established under Section 15K of the SEBI Act.

Hears appeals against SEBI's orders.

Presiding officer: Supreme Court judge / Chief Justice / High Court judge with ≥7 years service.

Further appeal can be made to the Supreme Court of India within 60 days.

Primary Market

Market where securities are issued for the first time to investors.

Used by companies and government to raise capital.

Securities issued through IPO (Initial Public Offering) via stock exchanges.

Main participants: Company (issuer), Investors, Underwriters.

Underwriters decide issue price and facilitate the offering.

Regulated by the Securities and Exchange Board of India (SEBI).

Examples of securities: Shares, Government Bonds, Corporate Bonds, Notes, Bills.

Functions of Primary Market

The functions of such a market are manifold –

New Issue Offer

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Underwriting Services
Distribution of New Issue
Types of Primary Market Issuance
1. Public Issue
Securities offered to the general public through Initial Public Offering (IPO).
Converts a private company into a public company.
Shares are listed on stock exchanges for trading.
Regulated by Securities and Exchange Board of India (SEBI).
Used for business expansion, infrastructure improvement, and debt repayment.
2. Private Placement
Securities offered to a small group of selected investors.
Investors may include institutions, banks, or High Net Worth Individuals (HNIs).
Less regulation, lower cost, and faster than IPO.
Commonly used by start-ups and early-stage companies.
3. Preferential Issue
Shares or convertible securities issued to a selected group of investors.
Faster method of raising capital for listed and unlisted companies.
Preference shareholders receive dividends before ordinary shareholders.
4. Qualified Institutional Placement (QIP)
Securities issued by listed companies to Qualified Institutional Buyers (QIBs).
QIBs include Mutual Funds, Banks, Insurance Companies, Pension Funds, FIIs, AIFs.
Simpler and quicker than other issue methods.
5. Rights Issue
Company offers additional shares to existing shareholders at a discounted price.
Shareholders get the right to buy shares within a specified period.
Helps maintain ownership control of existing shareholders.
6. Bonus Issue
Company issues free additional shares to existing shareholders.
Given as a reward from accumulated reserves.
Does not bring fresh capital into the company.
Primary Market Reforms In India
Abolition of Controller of Capital Issues (CCI)
Capital Issues (Control) Act, 1947 regulated capital issues in India.
Implemented by the Controller of Capital Issues (CCI).
Narasimham Committee (1991) recommended abolishing CCI.
Regulatory powers transferred to Securities and Exchange Board of India (SEBI).
Government abolished CCI and repealed the Act.
Companies can now raise capital from the market without prior government approval, subject to SEBI clearance of offer documents.
FIIs Permitted to Operate in the Indian Market
Accessing Global Funds Market
Intermediaries under the Purview of SEBI

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Credit Rating Agencies

Various credit rating agencies such as Credit Rating Information Services of India Ltd. (CRISIL – 1988), Investment Information and Credit Rating Agency of India Ltd. (ICRA – 1991), Cost Analysis and Research Ltd. (CARE – 1993) and so on were set up to meet the emerging needs of capital market.

Methods of Floatation in Primary Market

1. Public Issue

Securities offered to the general public.

Helps companies raise capital from a large number of investors.

Types

Initial Public Offering (IPO): First time an unlisted company offers shares to the public.

Further Public Offering (FPO): Listed company issues additional shares to raise more capital.

2. Private Placement

Securities issued to a selected group of investors (≤50 people or as prescribed).

Faster and less regulated than public issue.

Types

Preferential Allotment: Shares issued to a specific group of investors.

Qualified Institutional Placement (QIP): Shares issued only to institutional investors.

3. Rights Issue

Shares offered only to existing shareholders in a fixed proportion.

Usually offered at a discounted price.

4. Bonus Issue

Free shares issued to existing shareholders from company reserves.

No new capital is raised.

5. ESOP

Employee Stock Option Plan (ESOP) allows employees to buy company shares at a predetermined price.

Used to reward and retain employees.

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Capital Market : The Change : Stock Market, Stock Market Terms and Current Scenario Chapter - 26

PREFERENTIAL ISSUE

Preference Shares give their holders only a share in the earnings/profits of the company, but no voting rights.

The dividends paid to the holders of preference shares are fixed.

Preference Shares are named so because in case the company is winding up, these shares have the preferential right to get back the capital paid, before Equity Shareholders.

Types:

Cumulative Preference Shares

Non-Cumulative Preference Shares

Participatory Preference Shares

Convertible Preference Shares

RIGHT ISSUES

A rights issue is a mechanism by which companies can raise additional capital from existing shareholders.

It is different from public issue (Initial Public Offer) and private placement.

QUALIFIED iNSTITUTIONAL PLACEMENT

Shares offered tospecific category of investors who are deemed to be financially sophisticated and capable of making informed investment decisions.

QIB : Mutual funds, Venture capital funds,Foreign institutional investors registered with SEBI, Insurance companies, Banks, Provident funds, Pension funds

Shares offered tospecific category of investors who are deemed to be financially sophisticated and capable of making informed investment decisions.

QIB : Mutual funds, Venture capital funds,Foreign institutional investors registered with SEBI, Insurance companies, Banks, Provident funds, Pension funds

SECONDARY MARKET

The secondary market is where investors buy and sell securities.

Trades take place on the secondary market between other investors and traders rather than from the companies that issue the securities.

STOCK EXCHANGE

Stock markets are venues where buyers and sellers meet to exchange equity shares of public corporations.

India has two stock exchanges – the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).

SEBI is the regulator of the securities market in India.

securities are bought and sold by investors among one another on the secondary market after they are first sold on the primary market.

As such, most people call the secondary market the stock market.

NSE

It was setup in 1992.

Committee : M.J. Ferwani Committee

India's first demutualised stock exchange.

Benchmark : NIFTY 50

It became a national level stock exchange in 2002.

Almost 75% of the stocks traded in India are in BSE

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FOUR INDEXES : Sensex, BSE 200, BSE 500, National Index, IndoNext
OTCEI
It was setup in 1989
India's first fully computerised stock exchange.
Companies with a paid up capital of 30 lakhs to 5 crores trade here.
Important terms in Stock Market
Bear and Bull
Book Building
Badla and Undha Badla
Depositories
Kerb Dealings
Greenshoe Option
Circuit Breaker
Insider Trading
Delisting
EBITDA : Earnings Before Interest & Taxes
Share at Par/Premium/Discount
Upper & lower circuit
Short selling
Scrip and Sweat Share

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Capital Market : Present Day : MF, Derivatives, Commodities and others
Chapter - 27

SEBI Mutual Fund Reforms 2026

What is MF?

A Mutual Fund (MF) is a collective investment vehicle that pools money from many investors and invests it in a diversified portfolio of assets such as equities (shares), bonds, and money market instruments.

It is managed by professional fund managers who invest the pooled funds to generate returns for investors.

Key Features

Diversification – Investment spread across multiple securities.

Professional Management – Managed by experienced portfolio managers.

Liquidity – Investors can buy or redeem units easily (in most funds).

Affordability – Allows small investors to access diversified investments.

Transparency – Regular disclosure of portfolio and performance.

Types of Mutual Funds Based on Asset Class

1. Equity Funds

Invest primarily in shares of companies.

Aim for capital appreciation.

Higher risk but higher return potential.

Types:

Large Cap Funds – Invest in well-established large companies.

Mid Cap Funds – Invest in medium-sized companies.

Small Cap Funds – Invest in smaller companies with high growth potential.

2. Debt Funds

Invest in fixed-income securities like bonds and treasury bills.

Provide stable income with lower risk.

Examples:

Government Bond Funds

Corporate Bond Funds

Treasury Bill Funds

3. Hybrid Funds

Invest in both equity and debt instruments.

Aim to provide growth with stability.

Example:

Balanced Funds

Types of Mutual Funds Based on Investment Goals

1. Growth Funds

Focus on capital appreciation.

Invest mainly in high-growth companies.

Suitable for long-term investors.

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2. Income Funds
Aim to provide regular income.
Invest in bonds and dividend-paying stocks.
3. Liquid Funds
Invest in short-term debt instruments.
Provide high liquidity and low risk.
Suitable for short-term parking of funds.
4. Tax Saving Funds (ELSS)
ELSS – Equity Linked Savings Scheme
Offers tax deduction under Section 80C of the Income Tax Act, 1961.
Invest mainly in equities.
Lock-in period: 3 years.
5. Pension Funds
Designed for retirement planning.
Invest in a mix of equity and debt instruments.
Build a retirement corpus.
Types of Mutual Funds Based on Structure
1. Open-ended Funds
Investors can buy or redeem units anytime.
No fixed maturity period.
Highly liquid.
2. Closed-ended Funds
Have a fixed maturity period.
Units are available only during the New Fund Offer (NFO).
Usually traded on stock exchanges.
3. Interval Funds
Combination of open-ended and closed-ended funds.
Investors can buy or redeem units only during specific intervals.
SEBI Changes Mutual Fund Categorisation Norms (2026)
On 26 February 2026, the Securities and Exchange Board of India announced major revisions in mutual fund categorisation norms to provide greater flexibility to fund houses, improve transparency, and streamline scheme structures.
Key Highlights of the Revised Framework
1. Equity Funds Allowed 35% Allocation to Other Assets
Equity mutual funds can now allocate up to 35% of their non-core portion to:
Gold and Silver
InvITs (Infrastructure Investment Trusts)
Debt instruments
Earlier, non-core allocation was mostly restricted to debt instruments.
This change allows greater diversification within equity schemes.
2. Portfolio Overlap Limit for Sectoral/Thematic Funds

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Sectoral and thematic equity schemes must ensure that portfolio overlap with other equity schemes does not exceed 50%.

Exception: Large-cap schemes are exempt from this rule.

Existing schemes have been given 3 years to comply.

Additional requirement:

Mutual funds must disclose monthly portfolio overlap data for:

Equity funds

Debt funds

Hybrid funds

Purpose:

Increase transparency and differentiation among schemes.

3. Value and Contra Funds Allowed Together

Asset Management Companies (AMCs) can now launch both Value Funds and Contra Funds simultaneously.

However, portfolio overlap between the two must remain below 50%.

This ensures clear distinction between the investment strategies.

4. Solution-Oriented Schemes Discontinued

The earlier solution-oriented category has been removed.

Schemes affected:

Retirement Funds

Children's Funds

These schemes will now:

Be merged with other schemes having similar asset allocation and risk profiles.

5. Introduction of Life Cycle Funds

A new category called Life Cycle Funds has been introduced.

Key features:

Minimum tenure: 5 years

Maximum tenure: 30 years

Tenure must be in multiples of 5 years (5, 10, 15, 20, 25, 30).

A mutual fund house can offer up to 6 life cycle schemes at a time.

Purpose: Provide long-term investment options with structured timelines.

6. Introduction of Sectoral Debt Funds

A new fixed-income category called Sectoral Debt Funds has been introduced.

These funds will invest in debt instruments of specific sectors, such as:

Financial services

Energy

Infrastructure

Housing

Real estate

Purpose:

Allow targeted exposure to specific sectors in the debt market.

About Derivatives

Financial contracts whose value depends on an underlying asset, index, or rate.

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Used for hedging risks, speculation, and portfolio diversification.

Common underlying assets: Stocks, bonds, commodities, currencies, interest rates, and market indexes.

Types of Derivatives

Derivative Type	Definition	Example
Futures	Contract to buy/sell an asset at a fixed price on a future date.	Commodity traders hedging against price fluctuations.
Options	Gives the right (but not obligation) to buy (call) or sell (put) an asset at a set price before a deadline.	Stock options in equity markets.
Swaps	Agreements to exchange cash flows based on financial metrics.	Interest rate swaps to reduce borrowing costs.
Forwards	Private agreements (OTC) to buy/sell assets at a future date.	Currency forward contracts for importers/exporters.

Commodity Derivatives

1. Meaning of Commodity

Commodities are basic tangible goods used for daily consumption or industrial purposes.

Examples:

Agricultural products – wheat, rice, pulses

Metals – gold, copper

Energy – crude oil, natural gas

These goods are traded in commodity markets.

Commodity Market

Commodity markets are regulated platforms where buyers and sellers trade commodities.

Main functions:

Facilitate buying and selling of commodities

Enable price discovery

Help market participants manage price risks

Commodity Derivatives

Meaning

A Commodity Derivative is a derivative contract where the underlying asset is a commodity.

It allows traders to:

Trade price movements of commodities

Manage price risk

Avoid physical handling of commodities

Under the Securities Contracts (Regulation) Act, 1956, derivatives trading is permitted for 91 commodities in India.

Types of Commodity Derivatives (Based on Commodity Category)

1. Agricultural Commodity Derivatives

Derived from agricultural products.

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Examples:
Cereals – Wheat, Rice
Pulses – Chana, Tur
Spices – Pepper, Jeera
Oilseeds – Soybean, Castor
2. Non-Agricultural Commodity Derivatives
Derived from non-agricultural goods.
Examples:
Bullion and gems – Gold, Silver
Energy – Crude oil, Natural gas
Metals – Copper, Aluminium
Other metals – Lead, Zinc, Nickel
Trading of Commodity Derivatives in India
Commodity derivatives are traded on recognised exchanges through electronic platforms.
Major exchanges:
Multi Commodity Exchange of India
National Commodity and Derivatives Exchange
Steps to trade:
Open a trading account with a SEBI-registered broker.
Deposit initial margin.
Access exchange trading platforms.
Buy or sell futures or options contracts.
Regulatory Framework of Commodity Derivatives Market
The system works under a three-tier regulatory structure.
1. Central Government
Functions:
Determines commodities eligible for trading
Frames market policies
Can suspend exchange operations
Can prohibit undesirable speculation
Authority derived from:
Securities Contracts (Regulation) Act, 1956
2. SEBI
Role:
Regulates commodity derivative markets
Protects investor interests
Supervises market intermediaries
Enforces disclosure requirements
3. Commodity Exchanges
Role:
Provide trading platforms

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Ensure compliance with SEBI regulations
Maintain market integrity

SEBI Eases Capacity Norms for Commodity Derivatives Segment

The Securities and Exchange Board of India has relaxed capacity planning requirements for stock exchanges and clearing corporations in the commodity derivatives segment.

The objective is to align infrastructure requirements with actual system demand while maintaining market stability and investor protection.

1. Reduction in Installed Capacity Requirement

Earlier Rule:

Trading systems had to maintain installed capacity at least 4 times the peak order load.

Revised Rule:

Exchanges and clearing corporations must now maintain installed capacity at least 2 times the projected peak load.

Significance:

Reduces the infrastructure burden on Market Infrastructure Institutions (MIIs).

Reflects lower utilisation levels in the commodity derivatives segment.

Improves operational efficiency without compromising stability

2. 75% Utilisation Trigger Retained

Although the baseline capacity requirement has been reduced, SEBI retained a performance-based safeguard.

Rule:

If system utilisation exceeds 75% of installed capacity, immediate corrective measures must be taken.

Possible corrective actions:

Optimising system resources

Fine-tuning applications

Increasing system capacity

Oversight:

These measures must be implemented under supervision of the Standing Committee on Technology (SCOT).

3. Mandatory Policy Integration

SEBI has directed MIIs to formally incorporate the 75% utilisation trigger into their:

Capacity Planning Policy

Real-Time Performance Monitoring Policy

Purpose:

Ensure structured and proactive monitoring of system performance.

Enable timely intervention before system overload occurs.

4. Extension of Framework to Commodity Derivatives Segment

The regulator has extended the existing framework on capacity planning and real-time monitoring to the commodity derivatives market with two main modifications:

Installed capacity requirement reduced to 2× projected peak load

75% utilisation trigger retained

5. Implementation Timeline

Stock exchanges and clearing corporations must submit their policies to SEBI within 3 months.

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Policies must be approved by:
Standing Committee on Technology (SCOT)
Governing Board of the MII
Effective Date:
The revised framework will come into effect on 11 May 2026.

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Basel Norms Chapter - 28

Basel Norms

Basel Norms (Basel Accords) are international banking regulations issued by the Basel Committee on Banking Supervision to strengthen the global banking system.

These norms aim to:

Ensure capital adequacy of banks

Improve risk management

Maintain financial stability

They coordinate banking regulations across countries to reduce the risk of bank failures and financial crises.

Basel Committee on Banking Supervision (BCBS)

The BCBS is the main global standard-setting body for banking regulation.

Key facts:

Established in 1974 by the Central Bank Governors of G10 countries

Operates under the Bank for International Settlements

Headquarters: Basel, Switzerland

Current membership: 45 members from 28 jurisdictions

Functions:

Develops global banking regulatory standards

Promotes cooperation among banking supervisors

Improves quality of banking supervision worldwide

Why Basel Norms Were Introduced

Banks lend money to different borrowers and face risk of default.

Sources of bank funds:

Public deposits

Market borrowings (equity and debt)

Because loans may not always be repaid, banks must maintain capital reserves to absorb potential losses.

Basel norms require banks to maintain minimum capital against risks to ensure stability of the financial system.

Why the Name "Basel"

The norms are named after Basel, a city in Switzerland.

Basel is the headquarters of the Bank for International Settlements, which hosts the Basel Committee.

The BIS was established in 1930 to promote cooperation among central banks.

Basel I (1988)

Basel I focused mainly on credit risk.

Credit Risk

The risk that a borrower fails to repay a loan or interest.

Main Features

Introduced Capital Adequacy Ratio (CAR)

Minimum CAR requirement: 8% of Risk Weighted Assets (RWA)

Risk Weighted Assets (RWA)

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Assets are assigned risk weights depending on their risk level.
Example:
Secured loan → Lower risk
Personal loan → Higher risk
India implemented Basel I in 1999.

Basel II (2004)
Basel II expanded risk management and introduced three pillars.
Pillar 1 – Capital Adequacy
Banks must maintain minimum capital of 8% of Risk Weighted Assets.
Pillar 2 – Supervisory Review
Banks must adopt advanced systems to monitor three major risks:
Credit Risk
Market Risk
Operational Risk
Pillar 3 – Market Discipline
Banks must disclose important information such as:
Capital adequacy ratio
Risk exposure
Financial position
Purpose: Improve transparency and accountability.

Basel III (2010)
Basel III was introduced after the 2008 global financial crisis to strengthen the banking system.
It focuses on capital strength, leverage control, and liquidity management.
Key Components of Basel III
1. Capital Requirements
Total capital requirement increased to 12.9% of Risk Weighted Assets.
Break-up:
Tier 1 Capital: 10.5%
Tier 2 Capital: 2%
Additional buffers:
Capital Conservation Buffer (CCB): 2.5%
Countercyclical Capital Buffer (CCCB): 0–2.5%
2. Leverage Ratio
Minimum Leverage Ratio = 3%
Formula:
Leverage Ratio = Tier 1 Capital / Total Consolidated Assets
Purpose: Prevent excessive borrowing by banks.
3. Liquidity Standards
Basel III introduced two liquidity ratios.

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Liquidity Coverage Ratio (LCR)

Banks must maintain enough high-quality liquid assets to survive 30 days of financial stress.

Purpose: Prevent bank runs.

Net Stable Funding Ratio (NSFR)

Banks must maintain stable funding sources for at least one year.

Minimum requirement:

NSFR = 100%

Difference:

LCR → short-term liquidity (30 days)

NSFR → medium-term stability (1 year)

Implementation of Basel III in India

Basel III implementation in India was scheduled for March 2019, later extended to March 2020.

Due to the COVID-19 pandemic, the Reserve Bank of India extended the implementation timeline.

Important Concepts

Bank Run

A bank run occurs when many depositors withdraw money simultaneously due to fear that the bank may collapse.

This can lead to bank insolvency.

Countercyclical Capital Buffer (CCCB)

CCCB requires banks to maintain extra capital during economic growth periods.

Purpose:

Build capital buffers during good times

Use them during economic downturns

Although proposed by RBI in 2015, the CCCB requirement for Indian banks has remained at 0% so far.

Tier 1 Capital (Core Capital)

Includes:

Features:

Highest quality capital

Absorbs losses during financial stress

Tier 2 Capital (Supplementary Capital)

Includes:

Undisclosed reserves

Subordinated debt

Hybrid capital instruments

Features:

Less reliable than Tier 1 capital

Used as additional loss-absorbing capital.

RBI's Basel III norms to lower banks' capital requirement from 2027

The Reserve Bank of India has announced that revised Basel III capital adequacy norms for commercial banks will be implemented from 1 April 2027.

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The new framework is expected to reduce capital requirements for certain sectors and improve banks' capital efficiency.

Key Highlights

Implementation Timeline

Revised Basel III capital adequacy norms will come into effect from 1 April 2027.

The RBI will soon release a draft on the Standardised Approach for Credit Risk.

Lower Risk Weights for Key Sectors

Under the proposed norms, risk weights on certain loan segments may be reduced, particularly:

MSME loans

Residential real estate / housing loans

Lower risk weights mean banks will need to keep less capital for these loans, improving capital utilisation.

Impact on Capital Adequacy

Analysts estimate that the reforms could lead to 10–50 basis points (bps) improvement in Common Equity Tier 1 (CET1) capital across banks.

What is CET1?

Common Equity Tier 1 (CET1) is the highest quality capital of a bank, consisting mainly of:

Equity capital

Retained earnings

Other disclosed reserves

It is a key measure used under Basel III to assess a bank's financial strength.

Effect on Banks

Improved Capital Efficiency

Lower risk weights will reduce the capital banks must set aside for loans, allowing them to lend more while maintaining regulatory requirements.

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International Economic Organisations and India Chapter - 29

International Economic Organizations (IEOs) are institutions formed by multiple countries to manage and coordinate global economic activities.

Purpose

Promote international economic cooperation.

Facilitate global trade and investment.

Support economic development and financial stability.

Set rules, standards and policies for the global economy.

Objectives

Encourage sustainable economic growth.

Provide financial assistance to countries.

Promote regional and global economic development.

Address global economic challenges.

Major International Economic Organizations

Bretton Woods Institutions

World Bank Group (WBG)

International Monetary Fund (IMF)

Other Important Institutions

New Development Bank (NDB) – BRICS Bank

Asian Development Bank (ADB)

Asian Infrastructure Investment Bank (AIIB)

Bretton Woods Institutions

Established in 1944 at the United Nations Monetary and Financial Conference.

Conference held at Bretton Woods, New Hampshire (USA).

Delegates from 43 countries participated.

Purpose

Rebuild the global economy after World War II.

Promote international economic cooperation.

Create a stable international monetary system.

Prevent competitive currency devaluations.

Promote global economic growth and financial stability.

Major Outcome

Creation of two key institutions:

IMF – International Monetary Fund

World Bank (initially IBRD – International Bank for Reconstruction and Development)

Bretton Woods Twins: IMF and World Bank together are called Bretton Woods Institutions or Bretton Woods Twins.

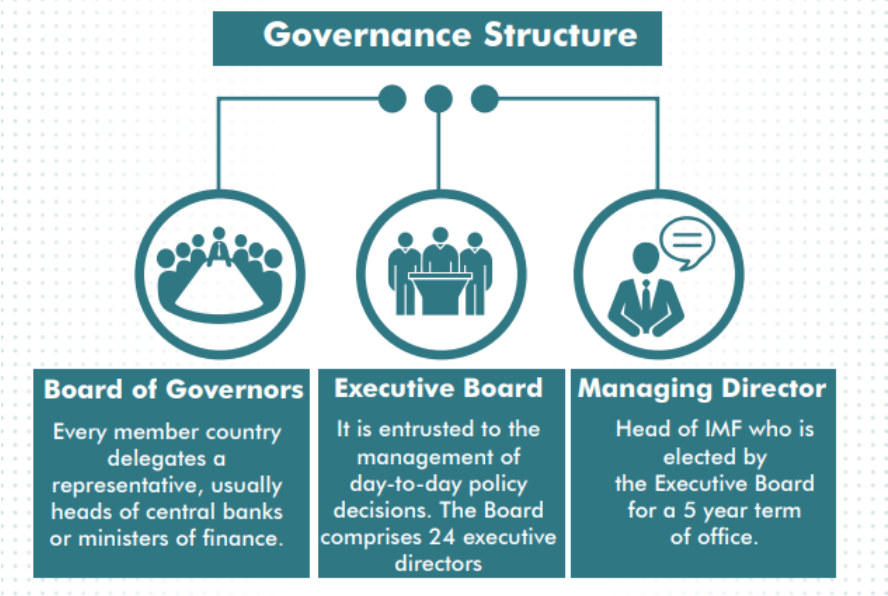
INTERNATIONAL MONETARY FUND (IMF)

It was created in 1945.

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It is a specialized agency of the United Nations.
191 countries.
India is a founder member of IMF
HQ: Washington, D.C.



Primary Aims (IMF / Bretton Woods System) – Promote international monetary cooperation.
Facilitate expansion and balanced growth of international trade.
Promote exchange rate stability.
Establish a multilateral system of international payments.
Provide financial assistance to member countries facing Balance of Payments (BoP) problems.
IMF Quotas
Quotas are the capital contributions made by member countries to the IMF.
They reflect a country's relative position in the global economy.
Quota Calculation Formula
Based on weighted average of:
GDP – 50%
Openness – 30%
Economic Variability – 15%
International Reserves – 5%
Quota Contribution
25% paid in SDRs (Special Drawing Rights) or widely accepted currencies
US Dollar, Euro, Yen, Pound Sterling.
75% paid in member country's own currency.
Quota Review
Conducted by Board of Governors.
Reviews held at least once every 5 years.
Quota Change Rules
Requires 85% majority of total voting power.
A country's quota cannot be changed without its consent.

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Voting Power

A country's voting power in IMF depends on its quota.

Vote Share (Approx.)

United States: ~16.52%

China: ~6%

India: ~2.6%

Special Drawing Rights (SDR)

SDR – Special Drawing Rights is an international reserve asset created by the IMF in 1969.

Used to supplement the official reserves of member countries.

Nature

Interest-bearing reserve asset.

Can be exchanged for freely usable currencies among IMF members.

Allocation: SDRs are allocated to countries in proportion to their IMF quota.

Value of SDR

Based on a basket of five major currencies: US Dollar, Euro, Chinese Renminbi (Yuan), Japanese Yen, British Pound Sterling

Criteria for Inclusion in SDR Basket

Country must be among the top global exporters.

Currency must be "freely usable" as determined by the IMF.

Currency	Weights determined in the 2022 review	Fixed number of units of currency for a 5 year period *Starting Aug 1, 2022*
US dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Renminbi	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.080870

IMF Lending

Amount a country can borrow from IMF depends on its quota.

Reserve Tranche (Gold Tranche)

First 25% of a member country's quota.

Can be withdrawn easily to address Balance of Payments (BoP) problems.

Key Features

No conditions attached.

No interest charged on the first credit tranche.

Repayment period: about 3–5 years.

Beyond Reserve Tranche

Additional borrowing available in credit tranches.

Requires IMF approval.

Subject to limits and policy conditions.

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World Bank

Founded in 1944 as International Bank for Reconstruction and Development (IBRD).
Soon became popularly known as the World Bank.
Later expanded into 5 institutions, together called the World Bank Group (WBG).
Headquarters: Washington D.C., United States.
The term World Bank mainly refers to IBRD and IDA
Institutions of the World Bank Group

International Bank for Reconstruction and Development (IBRD)

Members: 189
Provides loans to middle-income and creditworthy poor countries.
Initially focused on reconstruction of Europe after World War II.
Works as the main lending arm of the World Bank.

International Development Association (IDA)

Founded in 1960.
Members: 173
Provides support to the poorest countries.
Loans are given as credits (interest-free or very low interest).

International Finance Corporation (IFC)

Founded in 1956.
Members: 185
Promotes private sector investment in developing countries.
Invests in capital markets and supports privatization of public enterprises.

Multilateral Investment Guarantee Agency (MIGA)

Members: 182

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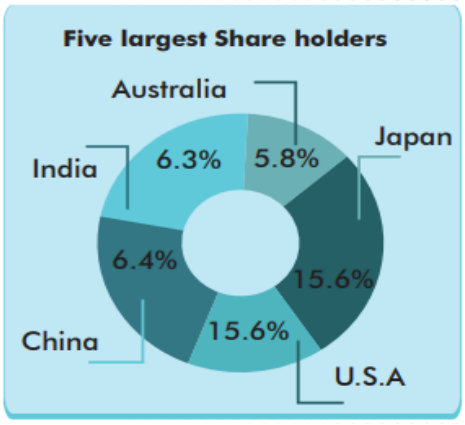
Provides political risk insurance for investments in developing countries.
Protects investors from risks like political instability or conflict.

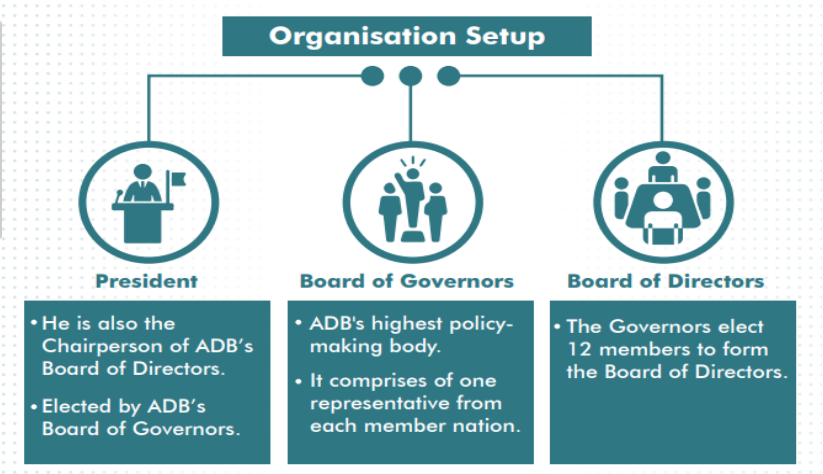
International Centre for Settlement of Investment Disputes (ICSID)

Members: 155
Resolves disputes between foreign investors and host countries.
India is not a member.
Membership Rules
A country must first join the International Monetary Fund (IMF) to join the World Bank.
Membership in IDA, IFC, and MIGA requires membership in IBRD.
Governance
Governed by Board of Governors and Board of Executive Directors.
President of the World Bank traditionally comes from the United States, the largest shareholder.

Asian Development Bank (ADB)

Established in 1966.
Aim: Promote economic growth and regional cooperation in Asia and the Far East.
Members: 68 countries.
49 members from the Asia–Pacific region.
Headquarters: Manila, Philippines.
Status: Official Observer at the United Nations (UN).



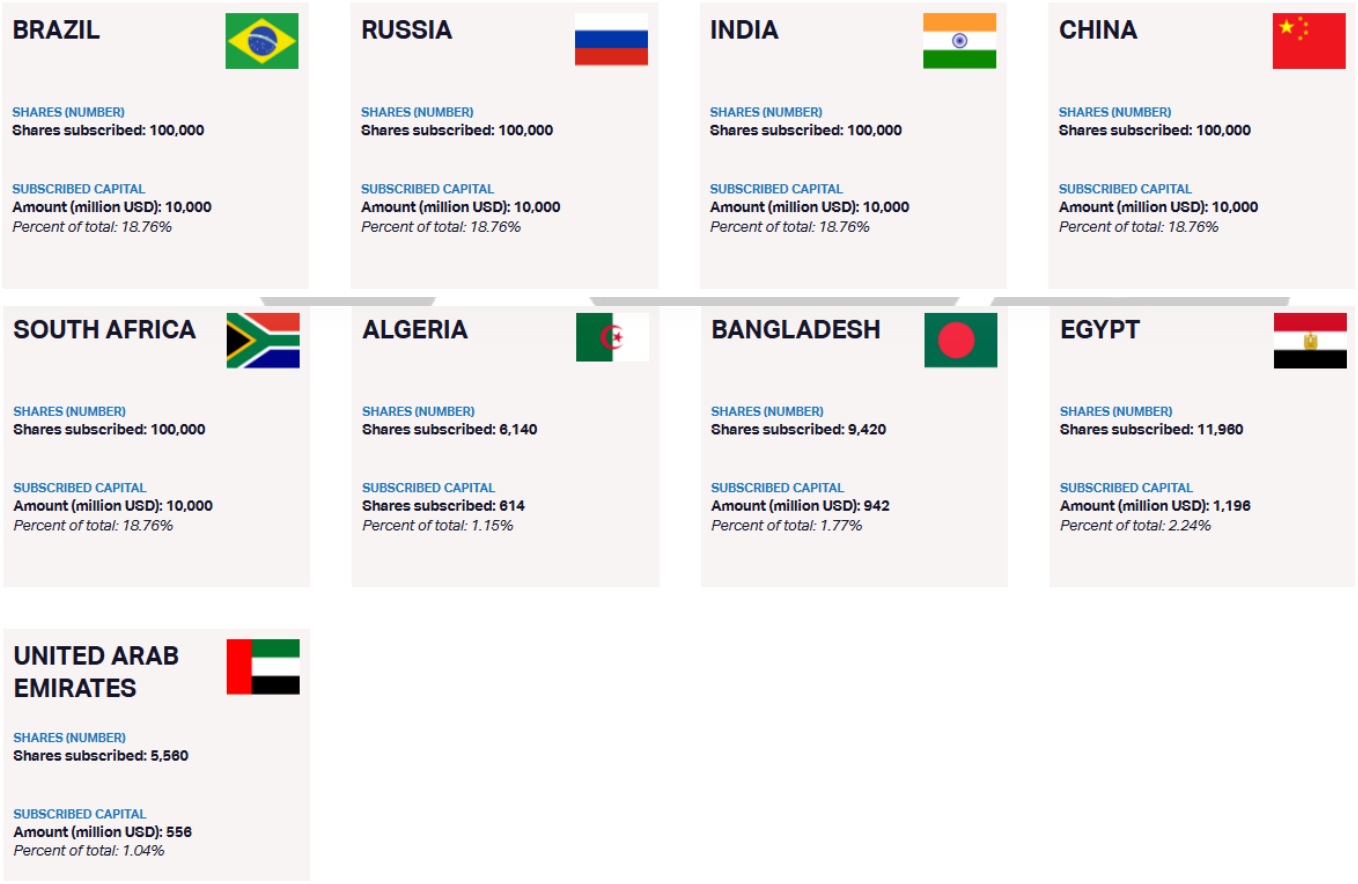


New Development Bank (NDB)

A multilateral development bank established by BRICS countries (Brazil, Russia, India, China, South Africa).
Created to mobilize funds for infrastructure and sustainable development in emerging economies.
Considered an alternative to Western-dominated institutions like the World Bank and IMF.
Establishment
Agreement signed: 15 July 2014 at BRICS Fortaleza Summit.
Officially established: 21 July 2015.
Headquarters: Shanghai, China.
Regional Offices: South Africa and Brazil.
Membership

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Founding Members: Brazil, Russia, India, China, South Africa.
New Members: Bangladesh, UAE, Egypt, Uruguay, Algeria (2025).
Membership open to all UN member states, but BRICS must hold at least 55% shareholding.
Governance Structure
Board of Governors: Finance Ministers of member countries.
Board of Directors: Handles strategic decisions and operations.
President: Rotates among BRICS countries.
Current President: Dilma Rousseff (Brazil).
Voting power: Based on equity contribution.
Capital Structure
Authorized capital: USD 100 billion.
Initial subscribed capital: USD 50 billion.

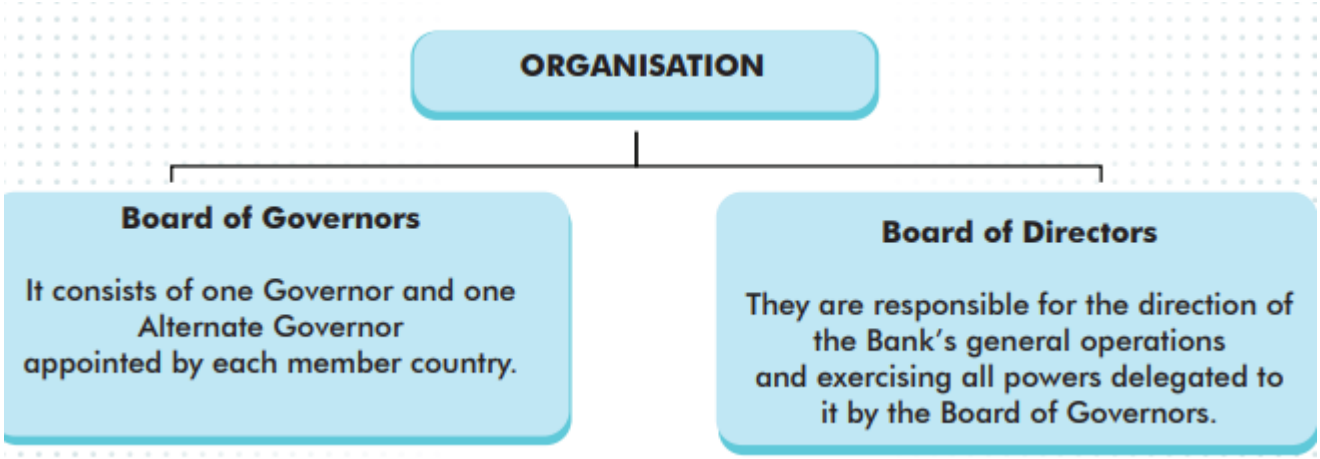


Asian Infrastructure Investment Bank (AIIB)

A multilateral development bank focused on infrastructure development in Asia.
Has members from across the world, not only Asia.
Established through the AIIB Articles of Agreement.
Members: 97 countries.
India is a founding member of the Asian Infrastructure Investment Bank (AIIB), having joined in 2016.
Headquarters: Beijing, China.

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African Development Bank (AfDB)

A multilateral development bank that provides finance to African governments and private companies investing in member countries.

Aim: Promote economic development and social progress in Africa.

Key Facts

Founded: 1964.

Members: 81 countries.

India: Member.

Headquarters: Abidjan, Côte d'Ivoire.

European Bank for Reconstruction and Development (EBRD)

Initially created to support transition of former Eastern Bloc countries to market economies.

Later expanded to support 30+ countries from Central Europe to Central Asia.

Key Facts

Founded: 1991.

Members: 69 countries.

India: Joined as the 69th member in 2018.

Headquarters: London, United Kingdom.

Islamic Development Bank Group (IsDB)

A multilateral development bank based on Islamic finance principles.

Provides funding for development projects in member countries.

Key Facts

Founded: 1975.

Members: 57 countries.

Largest shareholder: Saudi Arabia.

India: Not a member.

Headquarters: Jeddah, Saudi Arabia.

Development Bank of Latin America (CAF)

Also called Corporación Andina de Fomento – Banco de Desarrollo de América Latina.

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Supports economic development and regional integration in Latin America.

Key Facts

Founded: 1968.

Members: 17 countries.

India: Not a member.

Headquarters: Caracas, Venezuela.

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Jan Samarth Portal and its Schemes — Chapter - 30

What is Jan Samarth Portal ?

A one-stop digital portal for government credit-linked schemes (loan schemes).
Launch Date: 6 June 2022
Launched by: Ministry of Finance
Main Purpose:
Connect beneficiaries directly with banks/lenders
Make loan process simple, fast and transparent
Key Features:
Single platform for loan application + processing
Covers multiple government schemes (10+ schemes)
Digital system → reduces paperwork and delays

Who benefits?

Students (education loans)
Farmers (agriculture loans)
Businessmen & MSMEs (Micro, Small and Medium Enterprises)
Start-ups & entrepreneurs
Importance:
Promotes financial inclusion
Supports economic growth
Helps in easy access to credit for all sectors
Overall Idea: "One Nation – One Platform for Government Loans"
Credit Guarantee Scheme for Exporters (CGSE)
Ministry: Ministry of Finance (Department of Financial Services)
Implemented by: NCGTC (National Credit Guarantee Trustee Company Ltd.)

What is CGSE?

Government scheme providing 100% guarantee on loans given to exporters
Helps exporters get easy and cheaper credit
Focus on MSMEs (Micro, Small and Medium Enterprises)
Purpose
Reduce risk for banks/lenders
Ensure more loans (liquidity) for exporters
Support exporters facing global trade challenges
Duration
Till ₹20,000 crore loans are guaranteed OR
31 March 2026 (whichever is earlier)
Eligible Applicants
1. Direct Exporters

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MSMEs: At least 5% turnover from exports
Non-MSMEs: At least 20% turnover from exports
Must have active export loan account
Account should be standard (not NPA)
2. Indirect Exporters
MSMEs supplying 30%+ goods to exporters
Must have domestic working capital loan
Other Conditions
MSMEs must have Udyam Registration
Account should not be NPA
Key Features
Loan Support: Up to 20% of working capital limit
Maximum Loan: ₹50 crore per borrower
Tenure: 4 years (including 1-year moratorium)
Interest Rate:
1% lower than normal rate
Max: 10% (Banks/FIs), 14% (NBFCs)
Guarantee Cover: 100% (full guarantee)
Fees:
Processing Fee: Nil
Guarantee Fee: Nil
Collateral:
No extra collateral required
No new personal/corporate guarantee
Eligible Lenders
Banks (SCBs)
Urban Cooperative Banks (SUCBs)
All India Financial Institutions (AIFIs)
NBFCs (Non-Banking Financial Companies)
Claim Settlement
75% amount: Paid within 30 days after NPA
Remaining 25%: After recovery
In OTS (One Time Settlement): Guarantee reduces to 90%
Exclusions
Not allowed if:
Already covered under another scheme/insurance
Not following RBI/Government rules
e-NWR Financing (e-Kisan Upaj Nidhi)
Farmers can take loans using stored crops as security
Based on e-NWR (electronic Negotiable Warehouse Receipt)
What is e-NWR?

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A digital receipt for crops stored in a warehouse
Issued by WDRA (Warehousing Development and Regulatory Authority) registered warehouses
Works like a proof of ownership of stored goods
Purpose
Provide easy credit to farmers
Avoid distress sale of crops
Ensure better price realization
Eligibility
Farmers storing crops in WDRA-approved warehouses
Must have a valid e-NWR
e-NWR issued by:
NERL (National E-Repository Ltd.)
CCRL (Central Registry of Receipts Ltd.)
Key Features
Loan Type: Secured loan against stored crops
Lenders: Banks / Financial Institutions
Loan Tenure:
Based on shelf life of crop
Maximum 12 months
Margin Requirement:
25% margin (farmer contributes part value)
Validity of e-NWR:
Valid till commodity exists in warehouse
Expires after withdrawal of goods
Home Loan Scheme (EWS, LIG, MIG – Urban Areas)
Ministry: Ministry of Housing and Urban Affairs
Launched: November 2025
Initiative by: Department of Financial Services (DFS)

What is the Scheme?
Provides home loans to urban families
Covers even people with low or no formal income proof
Uses digital footprints (bank/UPI transactions)
Main Objective
Ensure every urban family gets a “Pucca House”
House with basic facilities: water, toilet, electricity
Income Categories
EWS (Economically Weaker Section): up to ₹3 lakh/year
LIG (Lower Income Group): ₹3–6 lakh/year
MIG (Middle Income Group): ₹6–9 lakh/year
Overall Income Limit: up to ₹9 lakh/year

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Eligibility
Must live in urban area
Should not own a house (or own only one)
Includes:
Small traders, shopkeepers
Workers in unorganized sector
SHG members
Beneficiaries of schemes like PM SVANidhi, MUDRA, etc.
Must have bank/UPI transaction history:
Normally 24 months (can be reduced to 12 months)
Loan Details
For New House
Metro Cities:
Loan up to ₹35 lakh
Max project cost: ₹45 lakh
Other Cities:
Loan up to ₹25 lakh
Max project cost: ₹30 lakh
For Repair/Renovation
Metro: ₹10 lakh
Other areas: ₹6 lakh
Key Features
Credit Guarantee:
70% guarantee by NCGTC
Applicable for loans up to ₹20 lakh (EWS & LIG)
Repayment Period:
Maximum 25 years
Must finish before borrower turns 70 years
Co-applicants Allowed:
Spouse + earning children (max 4)
Kisan Credit Card (KCC) Scheme
Ministry: Ministry of Agriculture & Farmers' Welfare
Partners: NABARD (National Bank for Agriculture and Rural Development) & MANAGE

What is KCC?
A scheme providing easy and timely loans to farmers
Helps farmers meet agriculture and related expenses
Loan can be taken whenever needed
Eligibility
Farmers (owner cultivators)
Key Features

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Loan Amount:
Based on cropping pattern, land size (acreage), Scale of Finance (SOF)
Interest Benefit:
Interest subvention (lower interest) for timely repayment
Validity: 5 years (with yearly review)
Annual Review:
Can lead to:
Continuation
Increase in limit
Cancellation (if performance is poor)
Collateral Rules
Up to ₹2 lakh:
No collateral required
No margin
Above ₹2 lakh:
Collateral may be required

The Reserve Bank of India has issued revised draft norms for the Kisan Credit Card (KCC) scheme, proposing inclusion of expenses on agri-tech initiatives such as soil testing, weather forecasting and organic certification within eligible farm loan components.

The draft allows waiver of collateral and margin requirements for agricultural and allied loans up to 2 lakh rupees per borrower. Drawing limits under KCC have been aligned with crop-wise scale of finance, while a flexible credit limit of 10,000-50,000 rupees has been proposed for marginal farmers holding up to one hectare.

The RBI has standardised crop tenures at 12 months for short-duration crops and 18 months for long-duration crops, and extended KCC validity to six years. Feedback on the draft can be submitted by March 6, 2026.

Agri-Clinic & Agribusiness Centres Scheme (ACABC)
Ministry: Ministry of Agriculture & Farmers' Welfare
Partners: NABARD & MANAGE (National Institute of Agricultural Extension Management)

What is ACABC?
A scheme to promote agri-entrepreneurship
Provides training + subsidy + loans to agriculture graduates
Helps set up Agri-Clinics & Agri-Business Centres
Types of Centres
1. Agri-Clinics
Provide expert advice to farmers on:
Soil health
Cropping practices

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Plant protection
Crop insurance
Post-harvest technology
Animal care, fodder, market prices
2. Agri-Business Centres
Provide services & business support like:
Sale of seeds, fertilizers, inputs
Farm equipment hiring
Agriculture-related services
Subsidy
44% subsidy: Women, SC/ST, NE & Hill states
36% subsidy: All other categories
Eligibility
Must complete training from MANAGE
Eligible candidates include:
Agriculture graduates
Graduates in allied fields (horticulture, dairy, veterinary, etc.)
Postgraduates in agriculture
Diploma/Degree holders (with agriculture content)
12th (with agriculture, 55% marks)
Note: Retired officials → No subsidy (but can start business with own funds)
Key Features
Free Training: For agriculture graduates
Training Agency: MANAGE through Nodal Training Institutes (NTIs)
Project Cost Limit (for subsidy):
Individual: ₹20 lakh (up to ₹25 lakh in special cases)
Group Project: ₹100 lakh (minimum 5 persons)
Agriculture Infrastructure Fund (AIF
Ministry/Department: Department of Agriculture, Cooperation & Farmers' Welfare

What is AIF?
A scheme providing long-term loans
For building post-harvest infrastructure in agriculture
Main Objective
Reduce post-harvest losses
Improve storage, transport & marketing
Help farmers get better prices
Examples of Infrastructure
Warehouses & cold storage
Supply chain & logistics
Processing units

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Grading & packaging units
Eligible Applicants
PACS (Primary Agricultural Credit Societies)
FPOs (Farmer Producer Organizations)
Farmers
SHGs (Self Help Groups)
JLGs (Joint Liability Groups)
Cooperative societies
Agri-entrepreneurs & Startups
Government/PPP projects
Key Features
Interest Subvention:
3% interest subsidy
On loans up to ₹2 crore
Duration of Benefit: Up to 7 years
Loan Limit:
Subsidy only applicable up to ₹2 crore
Above that → no extra subsidy
Credit Guarantee:
Available under CGTMSE scheme
For loans up to ₹2 crore
Prime Minister's Employment Generation Programme (PMEGP)
Type: Central Sector Scheme
Ministry: Ministry of Micro, Small & Medium Enterprises (MSME)
Nodal Agency: KVIC (Khadi and Village Industries Commission)
What is PMEGP?
A scheme to provide loans + subsidy
For setting up new micro-enterprises (non-farm sector)
Main Objective
Generate employment in rural & urban areas
Promote self-employment
Reduce migration from villages to cities
Key Benefits
Bank Loan + Subsidy (Margin Money)
Subsidy Rate:
15% to 35% of project cost
Project Cost Limit:
Manufacturing: up to ₹50 lakh
Service: up to ₹20 lakh
Special Categories (SC/ST/Women/Minorities etc.):
35% (rural), 25% (urban) subsidy

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Eligibility
Any individual above 18 years
No income limit
Education Requirement
Not required for:
Manufacturing projects up to ₹10 lakh
Service projects up to ₹5 lakh
Minimum 8th pass required for higher project cost
Other Eligible Groups
Self Help Groups (SHGs)
Registered societies
Cooperative societies
Charitable trusts
Not Eligible
Existing units already taking government subsidy
Units under PMRY / REGP or other schemes
Implementation Agencies
KVIC (National level)
KVIB, DICs, Coir Board (State/District level)
Weavers Mudra Scheme (WMS)
Ministry: Ministry of Textiles
Type: Business Loan Scheme for handloom sector
What is Weaver MUDRA Scheme?
Provides financial assistance (loans) to handloom weavers
Given through:
Weaver Credit Card
Term Loan
Purpose
Support weavers with easy credit
Help in buying tools, raw materials & equipment
Improve weaving business and income
Uses of Loan
Working capital (day-to-day expenses)
Purchase of tools & equipment
Investment in plant & machinery
Eligible Applicants
Handloom weavers
Weaver entrepreneurs
Self Help Groups (SHGs)
Joint Liability Groups (JLGs)
Handloom cooperative societies

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Producer companies/consortia of weavers
Key Features
Margin Support:
Govt provides 20% of project cost
Maximum ₹25,000
Remaining margin by borrower
Interest Rate:
Around 6% loan interest
Interest subsidy up to 7%
Collateral:
Covered under CGTMSE/CGFMU guarantee schemes
Assets are hypothecated (kept as security)
Pradhan Mantri Mudra Yojana
Pradhan Mantri Mudra Yojana (PMMY)
Launched on 8 April 2015.
Implemented by Department of Financial Services (DFS), Ministry of Finance.
Objective
Provide collateral-free loans to micro and small enterprises.
Promote self-employment and entrepreneurship.
Loan Limit
Loans up to ₹20 lakh through:
SCBs – Scheduled Commercial Banks
NBFCs – Non-Banking Financial Companies
MFIs – Micro Finance Institutions
Eligible Activities
Manufacturing sector
Trading sector
Service sector
Agriculture-allied activities
Small businesses and traditional enterprises
Loan Categories
Shishu: up to ₹50,000
Kishor: above ₹50,000 to ₹5 lakh
Tarun: above ₹5 lakh to ₹10 lakh
Tarun Plus: above ₹10 lakh to ₹20 lakh
Tarun Plus Category
Introduced in 2024-25.
For borrowers who have successfully repaid Tarun category loans.
Provides collateral-free loans up to ₹20 lakh.
Benefits
Supports small entrepreneurs, artisans and micro businesses.

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Helps women entrepreneurs who often lack collateral or credit history.
Digital Support
Jan Samarth Portal allows applicants to apply for 15 credit-linked schemes through self or assisted mode.
PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi)
Ministry: Ministry of Housing & Urban Affairs
Type: Micro-credit (small loan) scheme
What is PM SVANidhi?
A scheme to provide small loans to street vendors
Helps them restart or expand their business after COVID-19
Main Objective
Provide affordable working capital loans
Promote self-reliance (AtmaNirbhar)
Encourage digital transaction
Key Features
Loan Amount (1st Tranche):
Up to ₹10,000 (1-year tenure)
No Collateral:
Collateral-free loan
Interest Subsidy:
7% subsidy on timely repayment
Digital Incentive:
Cashback up to ₹100/month for digital payments
Higher Loan on Repayment:
2nd loan: ₹20,000
3rd loan: ₹50,000
Eligibility
Street vendors with:
Certificate of Vending / ID card from ULB
Also eligible:
Vendors identified in survey but no ID
Vendors with Letter of Recommendation (LoR)
Vendors in peri-urban/rural areas within ULB limits
National Action for Mechanized Sanitation Ecosystem (NAMASTE)
Type: Central Sector Scheme
Ministries:
Ministry of Social Justice & Empowerment (MoSJE)
Ministry of Housing & Urban Affairs (MoHUA)

What is NAMASTE?
A scheme to end unsafe manual sanitation work
Promotes mechanized cleaning of sewers & septic tanks

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Focus on safety, dignity & rehabilitation of workers
Eligible Beneficiaries
Manual scavengers

Septic tank & sewer workers (SSWs)
Workers in unsafe sanitation conditions
Family members/dependents (for training & support)
Identified through ULB surveys and given Occupational ID Cards
Key Benefits
1. Rehabilitation Support
One-time grant per family
2. Skill Development
Training for new jobs
₹3,000/month stipend during training
3. Subsidy for Self-Employment
For Individuals
Up to ₹5 lakh → 50% subsidy
₹5–15 lakh → ₹2.5 lakh + 25% of remaining cost
For Group Projects
Up to ₹50 lakh (max ₹10 lakh per person)
Subsidy similar to individuals
Max ₹3.75 lakh per person
4. Interest Rates
Up to ₹1 lakh → 5% (4% for women)
Above ₹1 lakh → 6%
Extra interest subsidy if bank charges higher rate
5. Repayment Period
Up to ₹5 lakh → 5 years
Up to ₹15 lakh → 7 years
Includes moratorium up to 6 months

Loan for Startups (START)
Scheme Name: START (Loan for Startups)
Under: Start-up India initiative
Target: DPIIT-recognized Startups

What is START Scheme?
Provides financial support (loans) to startups
Helps in innovation, business expansion & job creation
Main Objective
Promote entrepreneurship & innovation

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Support scaling of startups
Boost employment & economic growth
Eligibility
Must be a DPIIT-recognized Startup
Type of Entities
Private Limited Company
LLP (Limited Liability Partnership)
Registered Partnership Firm
Conditions
Startup age ≤ 10 years
Turnover ≤ ₹100 crore
Not Eligible
HUFs
Reconstructed/split businesses
NPA/default startups
Loan Support (Nature of Assistance)
Term Loan
Working Capital (WC)
Non-fund based limits (like guarantees)
Forex hedging facilities
Key Features
Maximum Loan: Up to ₹20 crore
Credit Guarantee: Covered under CGSS (Credit Guarantee Scheme for Startups)
Margin Requirement: Minimum 25%
Pan India Scheme

Deendayal Antyodaya Yojana-National Rural Livelihoods Mission (DAY-NRLM)
Type: Centrally Sponsored Scheme
Ministry: Ministry of Rural Development
What is DAY-NRLM?
A scheme to reduce rural poverty
Focus on forming and supporting Self Help Groups (SHGs)
Main Objective
Organize 8–10 crore rural poor households into SHGs
Provide financial & livelihood support
Improve income and quality of life
Eligible Applicants
Self Help Groups (SHGs)
Conditions
Active for at least 6 months
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Regular meetings
Regular savings
Inter-loaning
Timely repayment
Proper accounts
Must meet NABARD grading norms
Revived SHGs also eligible (active for 3 months)
Key Features
1. Financial Support
Revolving Fund
Community Investment Fund (CIF)
→ Helps SHGs build credit history
2. Loan & Interest Benefits
In 250 backward districts:
Loan up to ₹3 lakh
Interest rate: 7%
Prompt repayment benefit:
Extra 3% subsidy → effective 4% interest
In other districts:
Interest reduced to 7% through subsidy
3. Collateral Rules
No collateral or margin required up to ₹10 lakh

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Flagship Schemes and Small Savings Schemes Chapter - 31

Pradhan Mantri Jan Dhan Yojana (PMJDY)

Launched on 28 August 2014

Full Form: Pradhan Mantri Jan Dhan Yojana

Mission: National Mission for Financial Inclusion (NMFI)

Ministry: Ministry of Finance

Objective

Promote financial inclusion

Provide affordable access to:

Banking / Savings Accounts

Remittance services

Credit

Insurance

Pension

Eligibility

Must be an Indian citizen

Age:

18–59 years (for full benefits like overdraft & insurance)

Minors (10+ years) can open accounts with guardian support

Jan Dhan Account (BSBD Account)

Full Form: Basic Savings Bank Deposit (BSBD) Account

Can be opened at:

Bank branch

Bank Mitra (Business Correspondent - BC)

Zero balance account

Cheque book requires maintaining minimum balance

Key Features / Scheme Highlights

Zero Balance Account

No minimum balance required

RuPay Debit Card

Free card

Usable at ATMs

Includes accident insurance

Insurance Benefits

Accident Insurance: Up to ₹2 lakh

Life Insurance: ₹30,000 (for eligible early account holders)

Overdraft Facility

Up to ₹10,000

Available after satisfactory operation

Earlier provision: ₹5,000 (important for prelims traps)

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Financial Inclusion Reach
66.6% accounts in rural & semi-urban areas
55.6% account holders are women
Banking Accessibility: 99.95% villages have banking within 5 km radius

Pradhan Mantri Suraksha Bima Yojana (PMSBY)
Launched in 2015
Full Form: Pradhan Mantri Suraksha Bima Yojana
Type: One-year Personal Accident Insurance Scheme
Renewable: Every year
Implemented through:
Public Sector General Insurance Companies (PSGICs)
Other approved insurers
Banks & Post Offices
Eligibility
Age: 18–70 years
Must have:
Active bank/post office account
Conditions:
Auto-debit consent mandatory
Only one account per person
Renewable every year
Coverage / Benefits
Accidental Death: ₹2 lakh paid to nominee
Total Permanent Disability: ₹2 lakh
Examples:
Loss of both eyes / both hands / both feet
One eye + one limb
Partial Permanent Disability
₹1 lakh
Example:
Loss of one eye / one hand / one foot
Natural Calamities Covered
Floods, earthquakes, storms etc.
Premium: ₹20 per year (auto-debit)
No additional charges
Coverage Period: 1 June – 31 May (1 year)
Termination Conditions
Age exceeds 70 years
Bank account closed
Insufficient balance for premium

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Auto-debit failure

Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)

Launched in May 2015
Full Form: Pradhan Mantri Jeevan Jyoti Bima Yojana
Ministry: Ministry of Finance
Type: Life Insurance Scheme
Linked with Savings Bank Account
Renewable: Every year
Eligibility
Age: 18–50 years
Coverage continues up to 55 years (with annual renewal)
Must have:
Savings bank account
Auto-debit consent
Key Features
Life Insurance Cover: ₹2 lakh on death (any cause)
Risk Coverage
Covers:
Natural death
Accidental death
Premium: ₹436 per year
Auto-debited from bank account
Coverage Period: 1 June – 31 May
Implementation Through:
Public & Private Life Insurance Companies
In tie-up with banks
Enrollment
Voluntary scheme
Simple process (bank + Aadhaar linkage)

Atal Pension yojana (APY)

Launched in 2015
Full Form: Atal Pension Yojana
Regulator: PFRDA (Pension Fund Regulatory and Development Authority)
Type: Pension Scheme
Target Group: Unorganised sector workers
Eligibility
Age: 18–40 years
Must be an Indian citizen
Must have:

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Savings bank account
Auto-debit facility
Key Features
Guaranteed Pension: ₹1,000 to ₹5,000 per month
Starts at age 60 years
Contribution: Monthly contribution (depends on age & pension chosen)
Auto-debited from bank account
Government Co-Contribution
Applicable for early subscribers: Period: 1 June 2015 – 31 March 2016
Contribution: 50% of subscriber contribution or ₹1,000/year (whichever lower)
For 5 years
Tax Benefits: Under Section 80C of Income Tax Act
Account remains active even after:
Change of job, Change of location, Nominee Facility, Nominee receives benefits after subscriber's death

Stand Up India Scheme (SUPI)
Launched on 5 April 2016
Full Form: Stand Up India Scheme
Type: Entrepreneurship Promotion Scheme
Target Group:
SC/ST (Scheduled Castes / Scheduled Tribes)
Women entrepreneurs
Key Features
Loan Amount: ₹10 lakh to ₹1 crore
Composite loan (covers term loan + working capital)
Eligibility
Age: 18 years and above
Target:
SC/ST
Women entrepreneurs
Type of Projects
Only for Greenfield projects (first-time ventures)
Sectors:
Manufacturing
Services
Trading
Allied agriculture
Loan & Repayment
Repayment period: Up to 7 years
Moratorium: Up to 18 months
Margin Money

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Up to 15% support (via convergence with govt schemes)
Borrower must contribute:
Minimum 10% of project cost
Implementation Through:
Scheduled Commercial Banks (SCBs)
Support Mechanism
Portal:
Stand-Up Mitra Portal (www.standupmitra.in)
Also linked with: JanSamarth Portal

Public Provident Fund (PPF) Scheme
Introduced in 1968
Launched by: Ministry of Finance
Through National Savings Institute (NSI)
Type: Long-term small savings scheme
Backed by Government of India (sovereign guarantee)
Objective
Encourage small savings
Provide safe investment with assured returns
Promote long-term financial security
Key Features
Tenure: 15 years
Extendable in blocks of 5 years
Interest Rate
Currently 7.1% per annum (subject to periodic revision)
Investment Limits
Minimum: ₹500 per year
Maximum: ₹1.5 lakh per year
Safety
Fully government-backed
Considered one of the safest investment options
Eligibility: Any Indian citizen
Rules:
Only one account per person
Joint accounts not allowed
Nomination facility available
Tax Benefits
Covered under:
Section 80C of Income Tax Act (ITA)
Tax treatment:
EEE (Exempt–Exempt–Exempt)

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Investment: Tax-free
Interest: Tax-free
Maturity: Tax-free

Sukanya Samriddhi Yojana (SSY)
Launched on 22 January 2015
Part of Beti Bachao Beti Padhao (BBBP) initiative
Type: Small Savings Scheme for Girl Child
Implemented through:
Post Offices
Authorised Banks
Objective
Promote:
Welfare of girl child
Education & financial security
Address issues like:
Gender discrimination
Low participation of girls
Eligibility
Account can be opened:
In the name of a girl child
Up to 10 years of age
Only one account per girl child
Parent/guardian operates the account
Key Features
Deposit Limits
Minimum: ₹250 per year
Maximum: ₹1.5 lakh per year
Tenure
Matures after 21 years from account opening
Withdrawal Allowed for:
Higher education expenses
Partial withdrawal permitted after certain age (important concept)
Premature Closure
Allowed in case of:
Marriage after 18 years
Transfer Facility
Can be transferred anywhere in India
Tax Benefits Under:
Section 80C of Income Tax Act
Interest:

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Tax-free (Section 10)
Status:
EEE (Exempt–Exempt–Exempt)

National Savings Certificate
Type: Fixed-income savings scheme
Launched by: Government of India
Available at: Post Offices
Target Group: Low & middle-income investors
Objective
Promote:
Savings habit
Tax saving investments
Provide safe and assured returns
Key Features
Interest Rate
Fixed interest (revised quarterly by Government)
Compounded annually
Maturity Period: 5 years
Investment Limit
No maximum limit
Minimum investment applicable (important concept)
Tax Benefits
Principal eligible under:
Section 80C (up to ₹1.5 lakh)
Interest (reinvested) also qualifies for deduction (except final year)
Premature Withdrawal
Generally not allowed
Allowed only in cases of:
Death of investor
Court order
Forfeiture by pledgee (Gazetted Officer)
Eligibility
Only Resident Indian individuals
Not eligible:
NRIs (Non-Resident Indians)
HUFs (Hindu Undivided Families)
Trusts / Companies
No age limit

NPS Vatsalya Scheme

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Full Form: National Pension System (NPS) Vatsalya Scheme
Regulator: PFRDA (Pension Fund Regulatory and Development Authority)
Type: Contributory pension / long-term savings scheme
Target: Minors (below 18 years)
Latest Update: Guidelines issued in 2025
Objective
Promote early financial planning
Provide long-term financial security for children
Encourage retirement savings habit from an early age
Eligibility Open to:
All Indian citizens
NRI (Non-Resident Indian) / OCI (Overseas Citizen of India)
Age: Below 18 years
Account Operation
Account opened in the name of the minor
Operated by: Parent / Legal Guardian
Key Features
Contribution: Minimum: ₹250 per year and No maximum limit
Contributions can be:
Made by guardian, Gifted by relatives/friends, Pension Fund Choice
Guardian can select: Any Pension Fund registered with PFRDA
Partial Withdrawal
Allowed after 3 years
Limit: Up to 25% of own contribution (excluding returns)
Purpose: Education, Medical treatment, Disability-related needs, Withdrawal Frequency
Allowed:
Twice before 18 years
Twice between 18–21 years (subject to conditions)

Senior Citizens' Savings Scheme

To provide senior citizens in the country a regular source of income after they turn 60 years old.
Eligibility -
Indian citizens above 60 years of age
Retirees in the age of 55-60 years who have opted for a Voluntary Retirement Scheme (VRS) or Superannuation
Retired defense personnel between 50-60 years of age.
Maturity period of five years, which can be extended for another three years.
Minimum deposit - Rs. 1,000; Maximum deposit limit increased to Rs. 30 lakhs in the Union Budget 2023-24.
Premature withdrawal is allowed after one year of opening the account.
Deposits in SCSS also qualify for deduction under Section 80-C of the Income Tax Act.

Kisan Vikas Patra (KVP)

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Governed by the Government Savings Certificates Act 1959 (an SSI offered by India Post).
Originally launched in 1988 and relaunched in 2014.
Available to resident Indians and trusts.
Tenure - 124 months, but not fixed.
Minimum investment amount - Rs. 1,000; No upper limit.
Interest rate reviewed by the government every quarter.
Mahlia Samman Savings Certificate
A one-time new small savings scheme for women or girls
Available for a two-year period up to March 2025
Deposit facility up to Rs 2 lakh (fixed interest rate of 7.5%)
Partial withdrawal option

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Non-Banking/Economic Government Schemes Chapter - 32

Pradhan Mantri Ujjwala Yojana

Pradhan Mantri Ujjwala Yojana (PMUY) – 9 Years of Clean Energy Empowerment

Launched: May 2016

Completion of 9 Years: 1st May 2025

Objective:

To provide deposit-free LPG connections to adult women from poor households.

Replace traditional cooking fuels (e.g., firewood, cow-dung cakes) with clean LPG, promoting:

Health

Environmental sustainability

Women empowerment

Ujjwala 2.0 – Expanding the Reach

Launched: August 2021

Aim: To cover remaining poor households not covered under the original PMUY.

Key Milestones:

Target: 1 crore additional PMUY connections

Achieved: January 2022

Special Provision:

For migrant families:

Can avail new LPG connection via self-declaration,

No need for Proof of Address or Ration Card

As on 1st March 2025, the total number of active domestic LPG consumers in India stands at 32.94 crore, including 10.33 crore beneficiaries of the Pradhan Mantri Ujjwala Yojana (PMUY).

Support for Marginalized Individuals for Livelihood and Enterprise

SMILE Scheme

(Support for Marginalized Individuals for Livelihood and Enterprise)

Launched by: Ministry of Social Justice and Empowerment

Launch Date: 12 February 2022

The Ministry has allocated Rs. 365 Crore for the scheme from 2021-22 to 2025-26.

Objective:

To provide comprehensive rehabilitation and welfare support for:

Transgender persons

Persons engaged in the act of begging

Sub-Schemes under SMILE:

Central Sector Scheme for Comprehensive Rehabilitation for Welfare of Transgender Persons

Central Sector Scheme for Comprehensive Rehabilitation of Persons Engaged in the Act of Begging

Key Features:

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Focus on rehabilitation, medical facilities, counseling, education, skill development, and economic empowerment

Implementation with support from:

State Governments/UTs

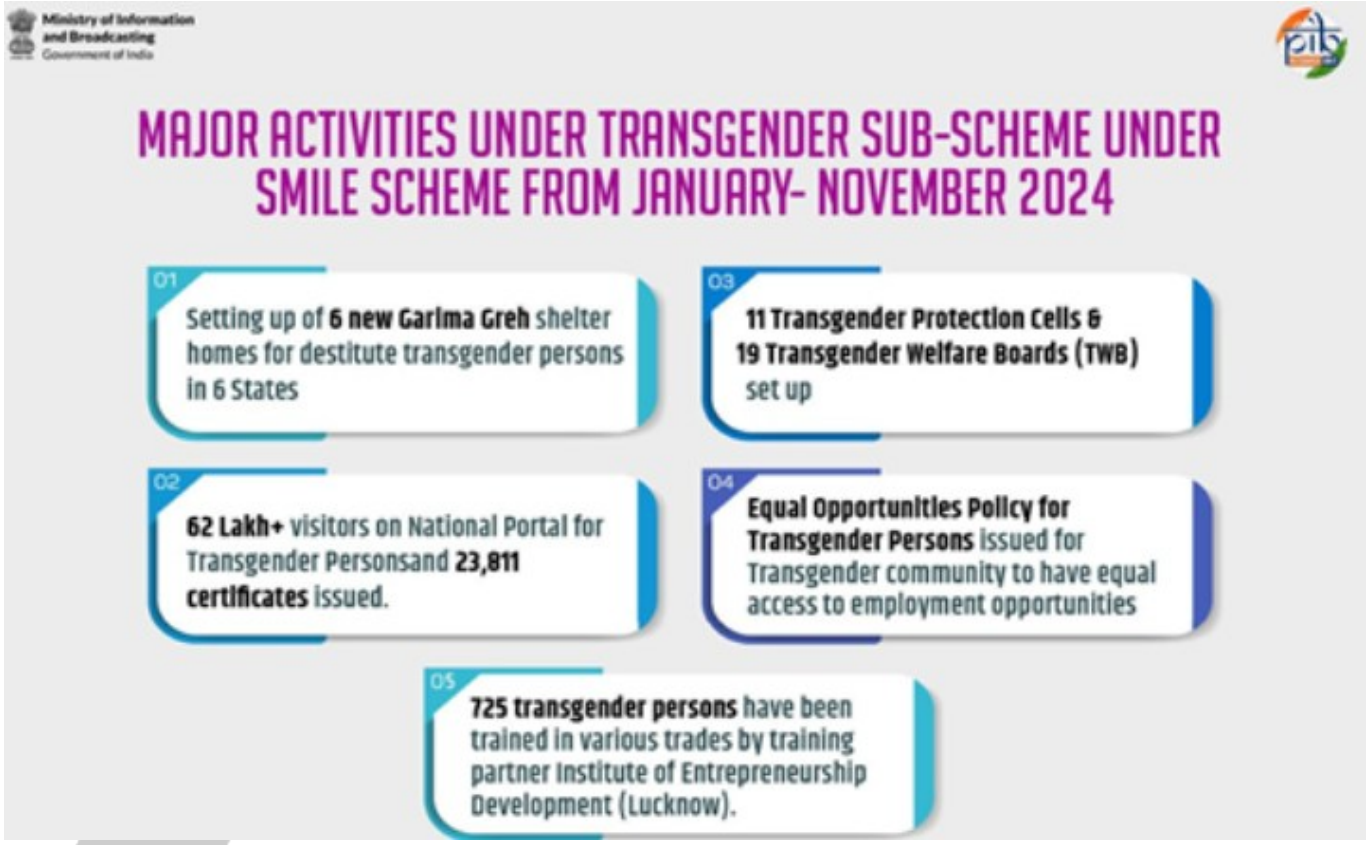
Local Urban Bodies

Voluntary Organizations

Community Based Organizations (CBOs)

Other relevant institutions

Goal: To ensure social inclusion, dignified life, and sustainable livelihood for marginalized groups.



UDAN Scheme

UDAN Scheme – "Ude Desh ka Aam Nagrik"

Launched on: October 21, 2016

First Flight: April 27, 2017 (Shimla to Delhi)

8 Years Completed: April 27, 2025

Implemented by: Ministry of Civil Aviation

Part of: National Civil Aviation Policy (NCAP) 2016

Objective:

Make air travel affordable and accessible for the common citizen

Enhance regional air connectivity, especially in Tier-2 and Tier-3 cities

Fulfill the vision: “Even a person wearing slippers should be able to fly”

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UDAN 1.0 (2017)

Launch Milestone: First UDAN flight took off on April 27, 2017 (Shimla–Delhi).
Coverage: 5 airline operators awarded 128 routes to 70 airports, including 36 new airports.

UDAN 2.0 (2018)

Expanded the scheme to include 73 underserved and unserved airports.
For the first time, helipads were also connected into the UDAN network.

UDAN 3.0 (2019)

Introduced Tourism Routes in coordination with the Ministry of Tourism.
Incorporated Seaplane operations to connect Water Aerodromes.
Several routes in the North-East Region came under the ambit of the scheme.

UDAN 4.0 (2020)

Focused on hilly regions, North-Eastern States, and island territories.
Enhanced emphasis on helicopter and seaplane service.

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SVAMITVA

SVAMITVA:

Survey of Villages and Mapping with Improvised Technology in Village Areas (SVAMITVA)

Central sector scheme

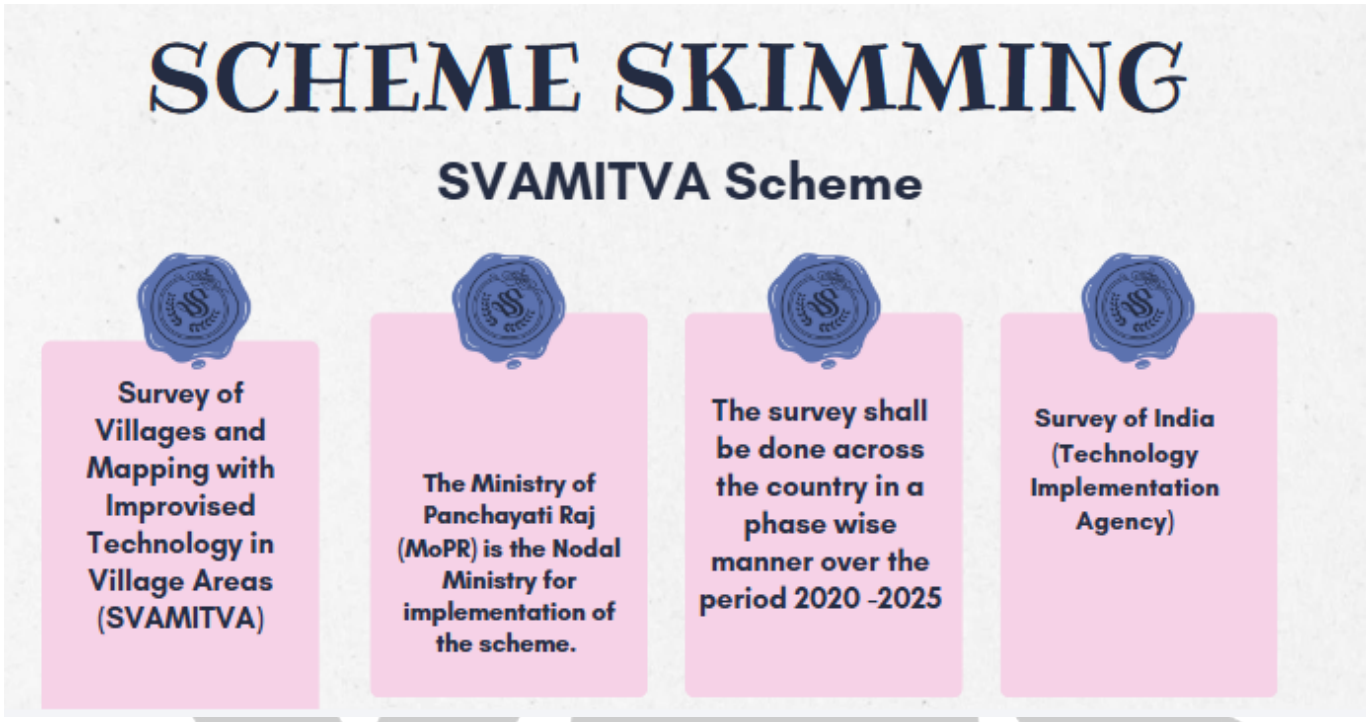
Launched in 2020

It was launched with a vision to enhance the economic progress of rural India by providing 'Record of Rights' to households possessing houses in inhabited areas in villages through the latest surveying drone technology.

The Ministry of Panchayati Raj (MoPR) is the Nodal Ministry for implementation of the scheme.

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Sugamya Bharat Abhiyan

Sugamya Bharat Abhiyan, also known as the Accessible India Campaign, is celebrating its 9th anniversary 3rd December 2024

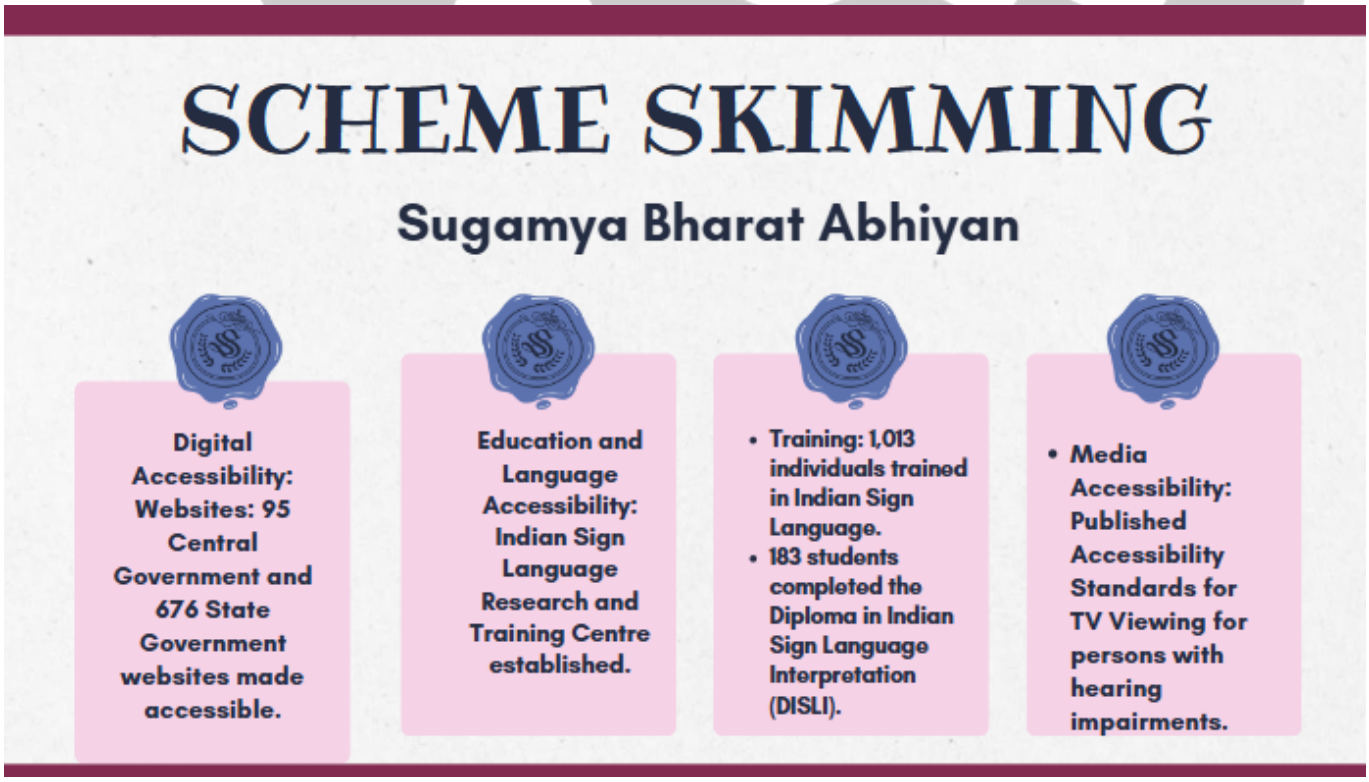
It is a transformative initiative aimed at creating an accessible and inclusive India for persons with disabilities.

This campaign focuses on improving infrastructure, transportation, and public spaces to make them more accessible

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All 35 international airports and 55 out of 69 domestic airports are equipped with ramps, accessible toilets, helpdesks, lifts with Braille and auditory systems, along with aerobridges at international and customs airports.





Beti Bachao Beti Padhao (BBBP)

Ministry: Ministry of Women & Child Development implements BBBP

It was launched in Panipat, Haryana (2015).

BBBP is a centrally sponsored scheme with 100% funding from the central government under the Sambal vertical of Mission Shakti

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Aim: Improve SRB, eliminate gender-biased sex selection, and empower girls.



Pradhan Mantri Poshan Shakti Nirman (PM POSHAN)

PM Poshan Shakti Nirman Scheme

Earlier known as: Mid-Day Meal Scheme

Type: Centrally Sponsored Scheme

Implemented by Ministry of Education

Coverage

Provides one hot cooked meal per school day

Beneficiaries:

Balvatika (pre-primary)

Classes 1 to 8

Covers:

Government schools

Government-aided schools

No discrimination:

Gender

Social class

Nutritional Norms

Balvatika & Primary

Pulses: 20g

Vegetables: 50g

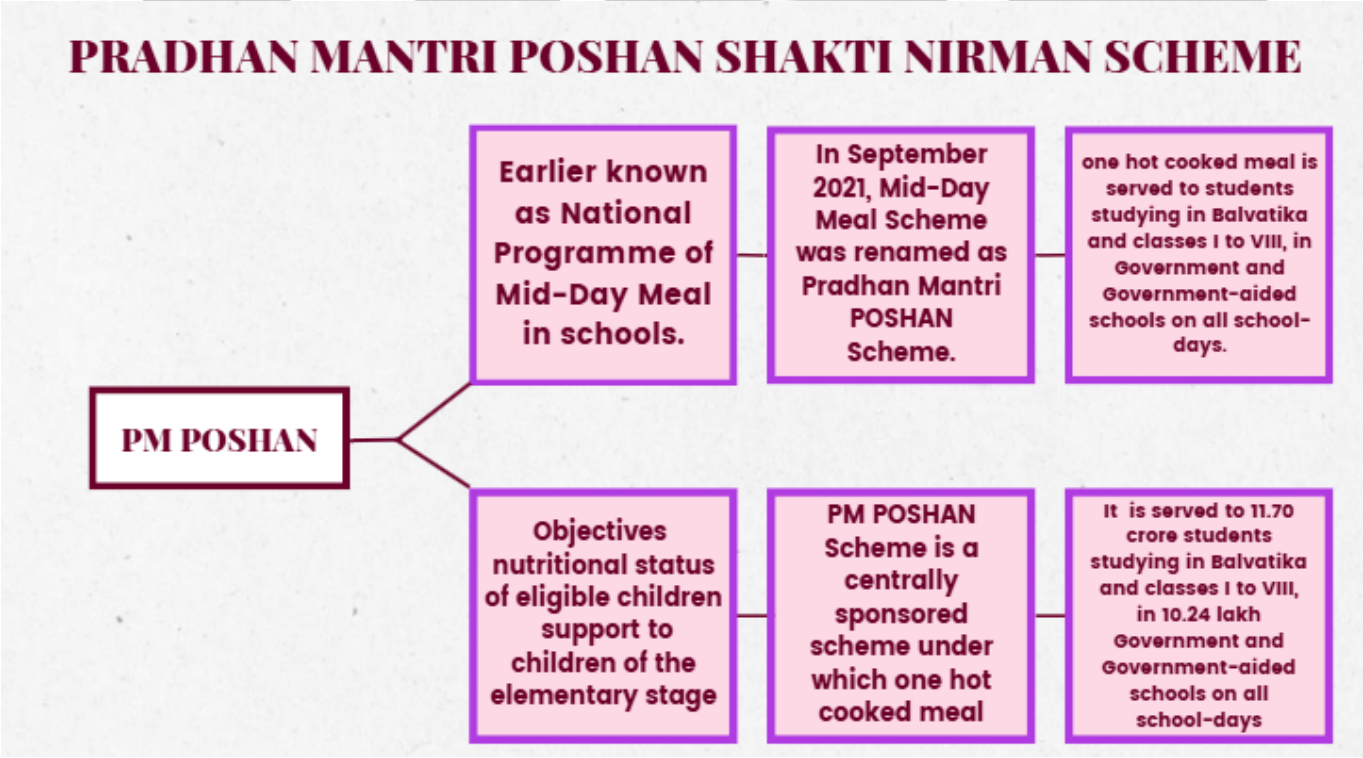
Oil: 5g

Upper Primary

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Pulses: 30g
Vegetables: 75g
Oil: 7.5g
Price & Inflation Tracking
Done by Labour Bureau
Uses:
CPI-RL (Consumer Price Index for Rural Labourers)
Data collected from:
600 villages in 20 states
Funding Pattern
60:40 → Centre : States/UTs (with legislature)
90:10 → North-East & Himalayan states
100% → UTs (without legislature)



UJALA

UJALA Scheme – Unnat Jyoti by Affordable LEDs for All
Launched On: 5th January 2015
Launched By: Prime Minister Narendra Modi
Original Name: Domestic Efficient Lighting Programme (DELP)
Rebranded As: UJALA
Implementing Bodies
Energy Efficiency Services Limited (EESL)
DISCOMs
Under the Ministry of Power

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Key Objectives

Promote energy-efficient lighting solutions (LED bulbs, tube lights, fans).

Make affordable energy-saving technologies accessible to Indian households.

Reduce high electrification costs.

Cut down carbon emissions.

Smart Cities Mission

Smart Cities Mission (SCM)

Launched On: 25th June 2015

Launched By: Prime Minister Narendra Modi

Coverage: 100 cities selected across India

Mission Objectives

Enhance quality of life in cities through:

Smart, sustainable, and inclusive solutions

Efficient services and robust infrastructure

Economic growth, social development, and environmental sustainability

Transform urban spaces into adaptable, model cities addressing:

Housing, Transport, Education, Healthcare, Recreation

Pradhan Mantri Matru Vandana Yojana

Pradhan Mantri Matru Vandana Yojana (PMMVY)

Launch & Implementation

Launched: 1st January 2017.

Nodal Ministry: Ministry of Women and Child Development.

Part of Mission Shakti (umbrella programme for women's empowerment).

Aim of the Scheme

Provide maternity benefit to improve maternal and child health outcomes.

Ensure women get financial support during pregnancy & post-delivery, allowing:

Better nutrition.

Proper rest.

Time for exclusive breastfeeding during first 6 months.

Umbrella & Sub-Scheme

Part of Mission Shakti (Government of India's umbrella programme for women's empowerment).

Comes under the Samarthya sub-scheme → focuses on economic empowerment & holistic development of women.

Legal Backing: Provides benefits to pregnant and lactating women under the National Food Security Act (NFSA), 2013.

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Evolution of the Scheme

PMMVY 1.0 (2017)

Launched: 1 January 2017.

Target group: Pregnant women & lactating mothers for their first living child.

Cash incentive: ₹5,000 in 3 instalments (linked with antenatal care, institutional delivery, and child immunization).

PMMVY 2.0 (April 2022 onwards)

Extended coverage to:

First living child (as before).

Second living child, if girl → to promote girl child & improve Sex Ratio at Birth (SRB).

Strengthens linkages with Mission Shakti institutional mechanisms at national, state & district levels.

Eligibility Criteria & Exclusions

Who Is Eligible?

Criteria	Details
Age	Pregnant women between 18 years 7 months to 55 years.
Applicable To	- First child (for PMMVY) - Second child only if it is a girl (under PMMVY 2.0)
Timeline for Application	Must apply within 90 days of pregnancy from LMP & 270 days from child birth as recorded in the Mother and Child Protection (MCP) card

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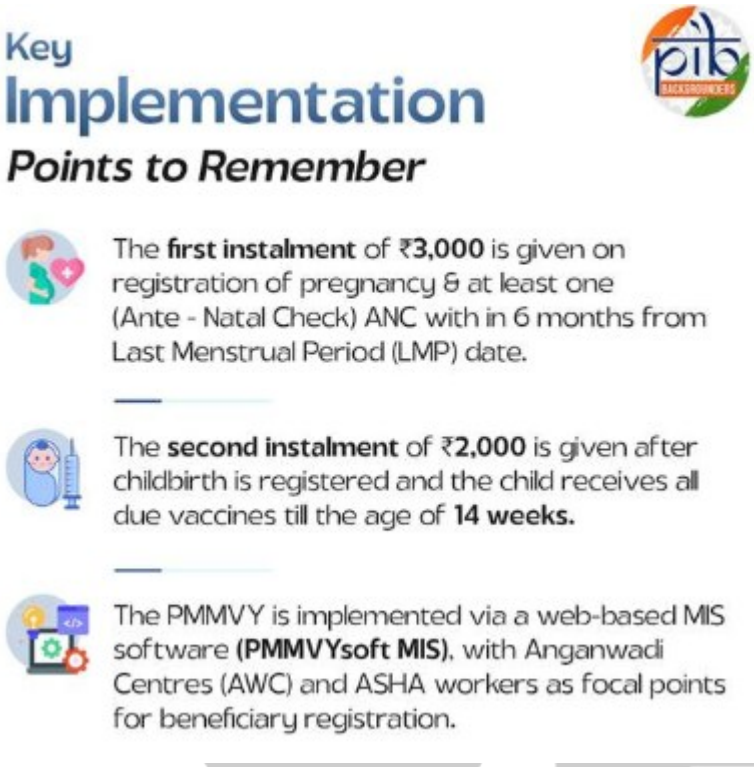


Feature	PMMVY (Since 01.01.2017 till 31.03.2022)	PMMVY 2.0 (Since 01.04.2022)
Objective	₹5,000 cash incentive for first living child to offset wage loss and improve maternal health-seeking behaviours	In addition to previous objectives, promotes girl child welfare by extending incentives to the second child if a girl
Eligible Children	First Child only	First Child; Second Child if girl
Benefit Amount & Installments	₹5,000 paid in three installments: ₹1,000 ⟶ on early registration. ₹2,000 ⟶ after ≥1 antenatal checkup. ₹2,000 ⟶ after birth & first immunisation	First child: ₹5,000–2 installments- Second girl-child: ₹6,000 in a single payout
Conditionalities	Pregnancy registered by 150 days Last Menstrual Period (LMP)- ≥1 Antenatal check (ANC) after 6 months- Birth registered & baby's immunisation done	Mirrors original conditionalities for first child; for second girl-child, condition is simply childbirth, gender confirmation and immunization
Inclusion of JSY Benefit	JSY (Janani Suraksha Yojana) amount counted towards total–bringing average benefit to ₹6,000	Same integration applies
DBT Mode	Direct Benefit Transfer to bank/post office account	Continued via PMMVYsoft MIS and DBT (Aadhar Payment bridge system)

Category	Inclusion Basis
Scheduled Castes (SC) & Scheduled Tribes (ST)	Caste certificate
Women with disabilities	Partial (≥40%) or full disability certificate
BPL Ration Card holders	Below Poverty Line identification
PM-JAY Beneficiaries (Ayushman Bharat)	Ayushman Bharat ID
e-Shram card holders	Registered under Ministry of Labour
Farmers under PM-Kisan	Beneficiary under PM-Kisan Samman Nidhi
MGNREGA job card holders	Active job card
Income-based eligibility	Annual family income < ₹8 lakh
FLWs (AWWs, AWHs, ASHAs)	Proof of engagement as frontline worker
NFSA Ration Card holders	Coverage under National Food Security Act
Other vulnerable groups	As notified by Central Government

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PM Viksit Bharat Rozgar Yojana (PM-VBRY)'

PM Viksit Bharat Rozgar Yojana (PM-VBRY)

Launch Date: Comes into effect from 1st August 2025

Formerly Known As: Employment Linked Incentive (ELI) Scheme

Objective: Promote inclusive and sustainable employment under the Viksit Bharat initiative

Scheme Overview

Total Outlay: ₹99,446 crore

Job Creation Target: 3.5 crore jobs over 2 years (Aug 2025 – July 2027)

Includes 1.92 crore first-time employees

Eligible Period for Job Creation: 1st August 2025 – 31st July 2027

Scheme Structure

Part A – Incentive to First-Time Employees

Target Group: First-time EPFO-registered employees

Eligibility: Salary up to ₹1 lakh/month

Benefit: One-month EPF wage (up to ₹15,000), in two installments

1st installment: After 6 months of continuous service

2nd installment: After 12 months of service and completion of a financial literacy program

Mode of Payment: DBT via Aadhar Bridge Payment System (ABPS)

Part B – Support to Employers

Target Group: Employers hiring additional employees

Eligibility Criteria:

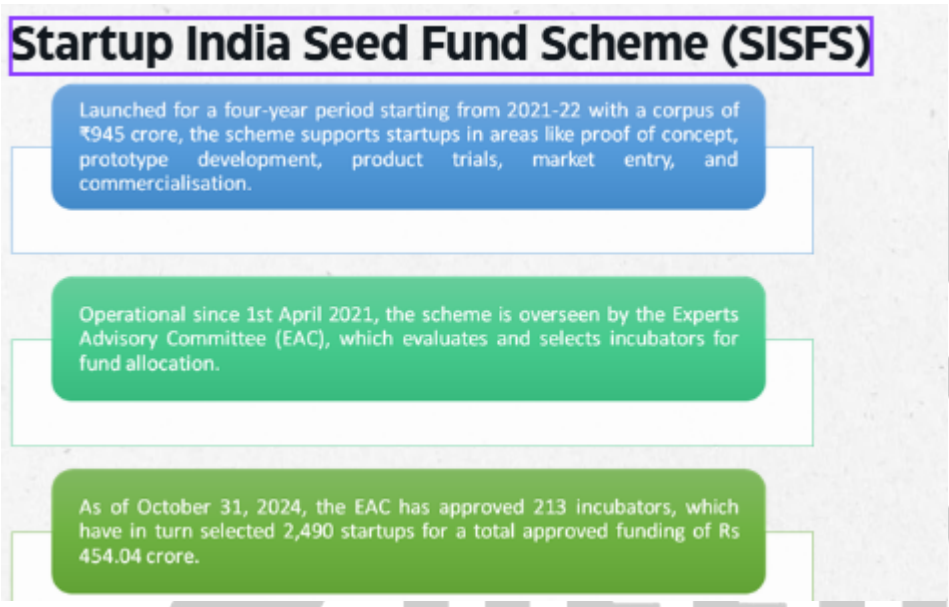
Salary cap: ₹1 lakh/month

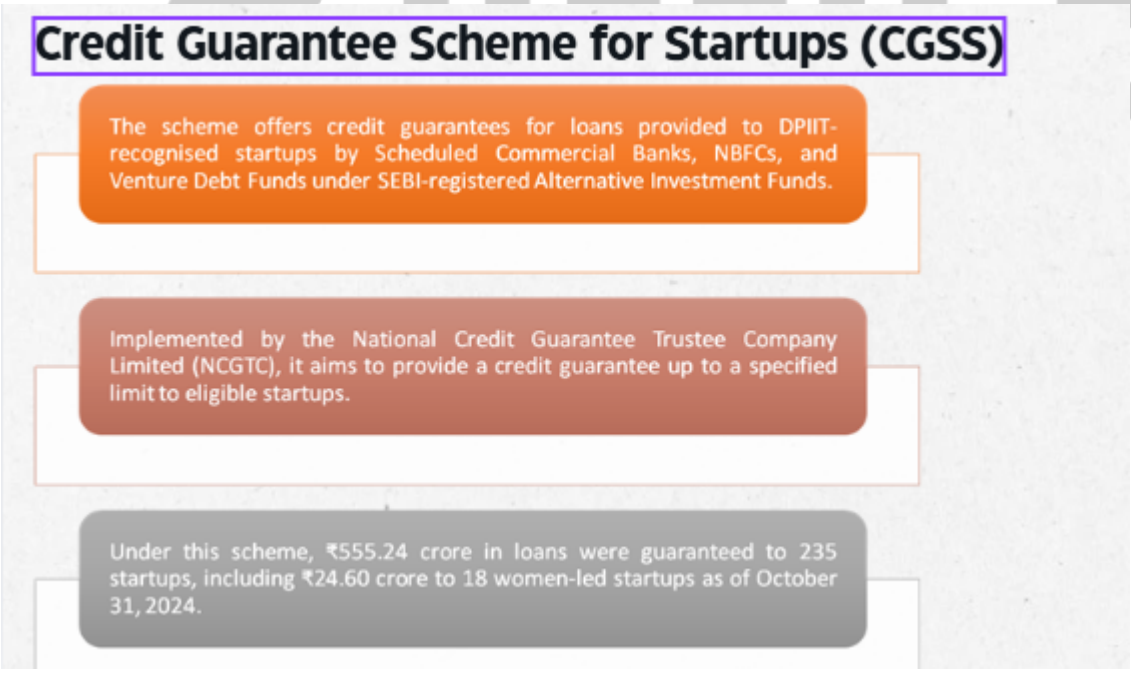
Minimum hiring requirement:

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At least 2 additional employees (for firms with < 50 workers)
At least 5 additional employees (for firms with ≥ 50 workers)
Employment must be sustained for at least 6 months
Incentive: Up to ₹3,000/month per employee for 2 years
For manufacturing sector, incentives will also be extended for 3rd and 4th years
Mode of Payment: Direct credit to PAN-linked bank accounts of employers
Startup India
Startup India – 9 Years (2016–2025)
Observed as: National Startup Day – January 16, 2025
Marks 9 years of the Startup India initiative launched in 2016





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Fund of Funds for Startups (FFS) Scheme

Introduced in June 2016 with a corpus of ₹10,000 crore, the Fund of Funds for Startups (FFS) aims to enhance access to domestic capital for Indian startups and boost the entrepreneurial ecosystem.

The scheme, managed by SIDBI, does not invest directly in startups but provides funding to SEBI-registered Alternative Investment Funds (AIFs), which further invest in startups through equity and equity-linked instruments.

By 2024, ₹11,148 crore was committed, catalyzing investments of ₹21,221.36 crore in 1,165 startups.

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Insurance : Introduction : History of Insurance in India Chapter - 33

Introduction to Insurance

Definition: Insurance is a promise of compensation for specific future potential losses in exchange for a periodic payment (premium).

Purpose: Protects the financial well-being of individuals, companies, or entities against unexpected losses.

History of Insurance in India

1818 – Oriental Life Insurance Company established in Calcutta (first life insurance company in India).

1829 – Madras Equitable began life insurance business in Madras Presidency.

1850 – Triton Insurance Company Ltd (first general insurance company) established in Calcutta.

1870 – British Insurance Act enacted.

Bombay Mutual (1871), Oriental (1874), Empire of India (1897) established in Bombay Presidency.

1907 – Indian Mercantile Insurance Ltd set up (first to transact all classes of general insurance).

1912 – Indian Life Assurance Companies Act (first statutory measure regulating life insurance).

1928 – Indian Insurance Companies Act enacted (collection of statistics on life & non-life business of Indian and foreign insurers).

1938 – Insurance Act amended with comprehensive provisions for protecting policyholders and controlling insurers.

1956 – Life insurance sector nationalised.

1957 – General Insurance Council framed a code of conduct for fair business practices.

1968 – Insurance Act amended (investment regulations, minimum solvency margins, Tariff Advisory Committee set up).

Insurance Reforms

1993 – Government set up RN Malhotra Committee (former RBI Governor as Chairman) to recommend reforms.

1994 – Committee submitted its report with key suggestions:

Private sector to be allowed entry.

Foreign companies may enter via joint ventures with Indian partners.

1999 – Insurance Regulatory and Development Authority (IRDA) constituted as an autonomous body to regulate and develop the industry.

IRDAI

Nature: Independent and autonomous statutory body.

Incorporated: April 2000.

Constituted under: Insurance Regulatory and Development Authority Act, 1999.

Jurisdiction: Regulates the insurance industry in India.

Foreign investment: Permitted up to 49% in insurance companies.

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Regulatory Power: Can frame regulations under Section 114A of the Insurance Act, 1938.
Since 2000, has issued regulations on:
Registration of companies,
Protection of policyholders' interests,
Conduct of insurance business.
Functions of IRDAI (Section 14, IRDAI Act, 1999)
Registration & Licensing
Issue, renew, modify, suspend, withdraw or cancel certificates of registration.
Policyholder Protection
Safeguard policyholders' interests in:
Assignment of policy,
Nomination,
Settlement of claims,
Surrender value,
Other contract terms.
Inspection & Regulation
Call for information,
Conduct inspections, audits, enquiries & investigations of insurers and intermediaries.
Regulation of General Insurance
Control & regulate rates, terms and conditions of general insurance (except where Tariff Advisory Committee regulates).
Qualification & Training
Specify qualifications, code of conduct, training requirements for agents and intermediaries.
Financial Regulation
Regulate investment of funds by insurers.
Maintain solvency margins of companies.
Supervision: Supervise the Tariff Advisory Committee.
Dispute Resolution: Adjudicate disputes between insurers and intermediaries.
Promotion of Professional Bodies: Specify % of premium income to fund professional insurance organisations.
Rural & Social Sector Obligations: Specify % of life and general insurance business to be undertaken in rural/social sector.

Life Insurance Company (Public Sector)
Establishment:
Only public sector life insurance company in India.
Parliament of India passed the Life Insurance Corporation Act on 19 June 1956.
LIC was created on 1 September 1956.
Initial capital contribution: ₹5 Crore from the Government of India.

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Objectives

To spread life insurance widely, especially in rural areas.

To cover all insurable persons in the country.

To provide adequate financial cover at a reasonable cost.

Organisational Setup (in 1956)

8 Zonal Offices

113 Divisional Offices

General Insurance (Public Sector) in India

General Insurance (Public Sector) in India

Nationalisation of General Insurance

General Insurance Business (Nationalisation) Act, 1972 (GIBNA) → Nationalised the general insurance business in India.

General Insurance Corporation of India (GIC):

Formed under Section 9(1) of GIBNA.

Incorporated on 22 November 1972 under the Companies Act, 1956.

Established to superintend, control, and carry on general insurance business.

After a process of mergers among Indian insurance companies, four companies were left as fully owned subsidiary companies of GIC:

National Insurance Company Ltd.

New India Assurance Company Ltd.

Oriental Insurance Company Ltd.

United India Insurance Company Ltd.

In 2000, IRDA Act amendments ended GIC's supervisory role → GIC became the Indian Reinsurer.

GIC Subsidiary

GIC Re South Africa Ltd – First 100% owned subsidiary, operational from 1 Jan 2015 in Johannesburg.

Public Sector General Insurance Companies

1. Oriental Insurance Company Ltd.

Incorporated: 12 September 1947 in Bombay.

Initially a wholly owned subsidiary of Oriental Government Security Life Assurance Co. Ltd.

Specialises in large projects insurance: power, petrochemical, steel, chemical plants.

Network: 31 Regional Offices + overseas operations in Nepal, Kuwait, Dubai.

2. United India Insurance Company Ltd.

Incorporated: 18 February 1938.

After nationalisation: 12 Indian companies + 4 cooperative societies + 5 foreign insurers (Indian operations) + LIC's southern general insurance operations merged with it.

3. New India Assurance Company Ltd.

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Founded: 1919 by Sir Dorabji Tata.
First overseas office: 1920 in London.
Overseas presence: Representative office in Yangon (Myanmar).
Co-promoter of:
Agricultural Insurance Company of India
GIC Housing Finance Ltd.
Health India TPA Insurance Services Ltd. (with other PSUs).

4. National Insurance Company Ltd. (NIC)
Oldest general insurance company in India.
Incorporated: 5 December 1906.
First Indian insurer to form strategic alliances with major auto companies like Maruti & Hero MotoCorp.
Agriculture Insurance Company of India Ltd. (AICIL)
Incorporated: 20 December 2002, operations from 1 April 2003.
Authorised Share Capital: ₹1500 Crores
Paid-up Share Capital: ₹200 Crores
Shareholding Structure:
GIC – 35%
NABARD – 30%
NIC, New India Assurance, Oriental Insurance, United India Insurance – 8.75% each.

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Types of Insurance in India Chapter - 34

1. Life Insurance

Definition: A contract promising lump sum payment to nominees on the death of the policyholder.

Exclusions: Death due to alcohol/drug abuse, war, terrorism, suicide, gross negligence.

2. General Insurance

Covers all losses except death.

Examples: house, car, health, travel.

3. Health Insurance

Definition: Covers medical/surgical expenses due to illness or injury; offers cashless treatment or reimbursement.

Types:

Individual Health Insurance – covers one person.

Family Health Insurance – covers all family members under one policy.

Senior Citizen Health Insurance – for age 60–65 years.

Exclusions: War, terminal illnesses, cosmetic surgery, dental/eye surgery, pre-existing conditions during waiting period, non-allopathic therapies, unconfirmed diagnostic charges.

4. Motor Insurance

Mandatory in India for vehicles.

Types:

Car Insurance – covers accidental loss/damage to own car/third party.

Comprehensive Car Insurance – covers all damages and liabilities.

Third Party Insurance – covers only third-party damages/injuries.

Covered Risks: Riot, strike, fire, burglary, terrorism, earthquake, landslide, flood, storm, cyclone.

Exclusions: Driving under influence, illegal activities, invalid license, damage outside India.

5. Travel Insurance

Covers financial losses due to medical/non-medical emergencies during travel.

Types:

Single Trip – covers a trip under 180 days.

Annual Multi-Trip – covers multiple trips in a year.

Covered Risks: Loss of baggage, medical emergencies, passport loss, hijacking, delayed flights, trip cancellation.

Exclusions: Travel against physician advice, baggage delay <24 hours, psychological illness, war, hazardous sports.

6. Home Insurance

Covers damage to home due to natural/man-made risks.

Types:

Standard Fire & Special Perils Policy – natural and man-made disasters.

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Home Structure Insurance – protects structure and permanent fixtures.
Public Liability Coverage – compensates damage to others' property.
Content Insurance – covers household contents.
Exclusions: Wilful demolition, wear & tear, nuclear war, cash loss, electronic equipment damage due to overuse.

7. Fire Insurance
Covers damage to property/goods due to fire.
Types: Valued, Floating, Comprehensive, Specific, Valuable policies.
Covered Risks: Lightning, explosion, aircraft damage, terrorism, riot, natural disasters, water tank overflow.

8. Marine Insurance
Covers cargo, ships, terminals, and transport during transit.
Types:
Cargo Insurance – freight loss/damage.
Hull Insurance – damage to boats/ships.
Liability Insurance – legal claims from injuries/damage.
Policy Forms: Time Insurance, Voyage Policy, Valued Policy, Mixed Policy, Port Risk Policy, Wager Policy.

9. Critical Illness Insurance
Provides lump sum payment on diagnosis of critical illnesses (cancer, heart attack, paralysis, etc.).

10. Trade Credit Insurance
Covers payment risk from delivery of goods/services due to insolvency, political risks, or default.

11. Flood Insurance
Covers water damage due to flooding.
May require separate rider for sewer backup.

12. Personal Accident Insurance
Covers medical costs, accidental death, permanent/temporary disablement.
Includes: hospital cash, ambulance, repatriation, broken bones, burns, family transport, education/loan protection, adaptation allowance.

13. Crop Insurance
Covers loss of crop yield or revenue.
Types:
Crop Yield Insurance – protects expected harvest volume.
Crop Revenue Insurance – protects expected revenue due to market price fluctuations

Types of Life Insurance Plans
1. Term Life Insurance Policy
Provides death risk cover for a specified period.

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Pay-out: Lump sum to nominee if life assured dies during policy term.
No pay-out if life assured survives the term (except TROPS – Term Plan with Return of Premium).
Types:
Level Term – Constant premium & death benefit.
Decreasing Term – Premium constant, death benefit decreases (e.g., mortgage redemption).
Increasing Term – Coverage & premium increase over time.
Benefits: High coverage at low premium, optional rider benefits, flexible payout, tax benefits under Section 80C.

2. Endowment Policy
Dual benefit: Life coverage + maturity benefit if insured survives.
Rider benefits: Critical illness, accidental death, waiver of premium.
Bonus: Terminal bonus and reversionary bonus.
Tax benefit: Section 80C.

3. Money Back Policy
Pays periodic survival benefits during policy tenure.
Remaining sum assured + bonuses on maturity.

4. Retirement Plan
Combines investment + insurance.
Regular contributions accumulate over tenure.
Benefits: Tax deduction up to ₹1.5 Lakh under 80C, monthly pension after vesting age.

5. Unit Linked Insurance Plan (ULIP)
Insurance + investment: Cash value varies with net asset value (NAV) of chosen funds.
Types based on risk:
Equity Funds – High risk
Income/Bond Funds – Medium risk
Cash Funds – Low risk
Balanced Funds – Mix of equity & fixed-income
Types based on death benefit:
Type I – Higher of sum assured or fund value
Type II – Sum assured + fund value
Benefits: Fund switching, partial withdrawals (after 5 years), tax benefits, minimum mortality & health cover.
ULIP Charges: Premium allocation, mortality, fund management (max 1.35% p.a.), policy administration, partial withdrawal, fund switching, premium redirection, surrender charges.
Loans: Max 40–50% of net asset value depending on equity/debt ratio.

6. Whole Life Insurance Policy

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Life coverage until death (maturity age usually 100).
Pay-out: Sum assured to nominee if death occurs before maturity.
Tax benefits and loans available.

7. Child Plan
Insurance + investment to build corpus for child's education/marriage.
Provides sum assured to child if insured dies.

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Principles of Insurance Chapter - 35

1. Principle of Utmost Good Faith (Uberrimae Fidei)
Both parties (insurer and insured) must disclose all material facts, whether asked or not.
No fraud, non-disclosure, or misrepresentation is allowed.

2. Principle of Indemnity
The insured is compensated for the actual loss, not exceeding the policy amount.
Ensures the insured is restored financially, but cannot profit from insurance.

3. Principle of Insurable Interest
The insured must benefit from the existence of the subject matter.
There is loss if death or damage occurs to the insured subject.

4. Principle of Causa Proxima (Proximate Cause)
The insurer is liable only for loss caused directly by the peril insured against.
The proximate cause is the main, natural, unbroken cause of the loss.

5. Principle of Mitigation of Loss
The insured must take all reasonable steps to minimize loss, even if the property is insured.

6. Principle of Subrogation
After compensation, the right to the damaged property passes to the insurer.
Applied mainly in fire and marine insurance.
Derived from the principle of indemnity.

7. Principle of Contribution
If multiple insurers cover the same risk, each insurer pays proportionally to the insured sum.
If one insurer pays the full loss, they can claim contribution from others.
Also derived from the principle of indemnity.

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Insurance Terms

- Accidental Death Benefit & Dismemberment – Additional payout if policyholder dies or loses limb/sight due to accident.
- Actuaries – Experts in economics, statistics, and mathematics who assess risk and calculate premiums.
- Actual Cash Value – Market value of damaged property immediately before loss.
- Affirmative Warranty – Statement by insured verifying certain facts relevant to policy issuance.
- Annualized Premium Equivalent (APE) – Sum of annualized regular premiums + 10% of first single premiums.
- Arbitration – Settlement of a claim dispute by a third-party agreement.
- Assignor & Assignment – Assignor transfers contract rights to an assignee; assignment can be conditional or absolute.
- Bancassurance – Selling insurance products through banks in partnership with insurers.
- Business Insurance – Covers loss to a business due to key employee disability or death.
- Capital Asset Pricing Model (CAPM) – Model describing relationship between expected risk and return for assets.
- Coinsurance – Percentage of claim the insured must pay after meeting deductible (e.g., insurer pays 80%, insured 20%).
- Collision Coverage – Pays for vehicle damages from collisions with another vehicle/object.
- Concealment – Hiding material facts from the insurer, intentionally or unintentionally.
- Contingent Beneficiary – Receives policy proceeds if the primary beneficiary dies simultaneously with insured.
- Credit Wrap – Financial guarantee insurance covering a specific debt or financial transaction.
- Defeasance – Extent of bondholder risk; fully defeased → full risk of principal & interest.
- Deferment Period – Period between subscription and first pension installment in insurance-cum-pension plan.
- Embezzlement – Fraudulent taking of property/money entrusted to one's care.
- Estoppel – Legal principle preventing a party from contradicting prior actions if relied upon by others.
- Franchise Insurance – Individual policies for employees/members under collective arrangement.
- Facultative Reinsurance – Reinsurer can accept or reject individual risks offered by insurer.
- Grace Period – Extra time after premium due date to pay without policy lapse.
- Indemnity – Compensation for loss suffered by insured.
- Keyman Insurance – Life insurance on a key employee critical to a business.
- Lapsed Policy – Policy terminated due to non-payment of premiums.
- Life Annuity – Insurance product providing lifetime payments after retirement.
- Mutual Fund – Investment company pooling funds to buy securities.
- Moral Hazard – Risk factors affecting insurer's decision to accept risk.

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- Occurrence Policy – Covers claims for incidents occurring during policy period, irrespective of claim timing.
- Perils – Specific risks causing loss (fire, theft, flood).
- Penetration Rate – Ratio of total insurance premiums to GDP; indicates sector development.
- Policyholder – Purchaser and owner of policy; may not be the insured.
- Reinstatement – Restoration of lapsed policy by paying overdue premiums.
- Reinsurance – Insurance for insurers; reinsurer takes on part/all of insurer's risk for a premium.
- Retention Limit – Maximum risk retained by insurer; excess ceded to reinsurer.
- Surrender Value – Amount paid to policyholder if policy is terminated before maturity.
- Survival Benefit – Instalments paid to policyholder under a money-back policy.
- Subrogation – Insurer's right to claim against third parties after compensating insured.
- Unearned Premiums – Premium collected for future coverage not yet provided.
- Usual, Reasonable & Customary (URC) – Maximum amount insurer will pay for covered medical expenses.
- Vesting Age – Age at which pension payments begin in insurance-cum-pension plan.
- Whole Life Coverage – Coverage lasting for insured's entire life, given all premiums are paid.

Abbreviation	Term	Definition
ACV	Actual Cash Value	Amount equal to the replacement cost minus depreciation of a damaged or stolen property at the time of the loss.
AD&D	Accidental Death and Dismemberment	Policy that pays benefits to the beneficiary if the cause of death is an accident.
ADB	Accidental Death Benefit	Payment due to the beneficiary of an accidental death insurance policy, often a clause or rider connected to a life insurance policy.
ALOP	Advance Loss of Profit	Provides coverage for financial losses due to delays in construction and infrastructure projects.
AP	Additional Premium	Premium on an insurance policy over and above the initial premium imposed at the beginning of the policy.

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BPF	Basic Premium Factor	Acquisition expenses, underwriting expenses, and profit, adjusted for insurance charge for a policy.
CAC	Combined Additional Coverage	An obsolete auto physical damage coverage term used to refer to hazards other than fire and theft.
CAPM	Capital Asset Pricing Model	Used for pricing risky securities and generating expected returns for assets given the risk of those assets and cost of capital.
CARG	Compounded Annual Growth Rate	Rate of return required for an investment to grow from its beginning balance to its ending balance, assuming profits were reinvested annually.
CDS	Credit Default Swap	Financial derivative or contract allowing an investor to "swap" or offset credit risk with another investor.

CGL	Commercial General Liability	Type of insurance policy providing liability insurance for general business risks.
CPL	Comprehensive Personal Liability	Component of a homeowner's or umbrella insurance policy that protects against claims from injuries or damage to others or their property.
DAB	Double Accident Benefit	In the event of insured's death due to accident, insurers pay legal heirs double the sum assured.
DAC	Deferred Acquisition Cost	When a company defers costs associated with acquiring a new customer over the term of the insurance contract.
EAP	Estimated Annual Premium	Estimation of premium based on projected employer payroll at the end of policy period.
ECI	Export Credit Insurance	Protects an exporter against the risk of non-payment by a foreign buyer.

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EP	Earned Premium	Premium collected for the portion of a policy that has expired.
EPLI	Employment Practices Liability Insurance	Liability insurance covering wrongful acts arising from employment processes.
FRV	Fair Rental Value	Amount property owner could reasonably expect to receive from renting the property under similar conditions.
FUP	First Unpaid Premium	Date of first unpaid premium if premium payment is missed.

GAP	Guaranteed Auto Protection	Covers the difference between auto loan balance and insurance payout if the vehicle is stolen, damaged, or totalled.
GDP	Gross Domestic Product	Total value of goods and services produced in a country during one year.
GDPI	Gross Direct Premium Income	Growth of a company's insurance business including direct written premiums during a given period.
GWP	Gross Written Premium	Total premium (direct and assumed) written by an insurer before deductions for reinsurance and ceding commissions.

IBNR	Incurred But Not Reported	The amount owed by an insurer to all valid claimants who have had a covered loss but have not yet reported it.
IGCC	IRDA Grievance Call Centre	Cell for redressal of grievances of policyholders.
IGMS	Integrated Grievance Management System	Online consumer complaints registration system created by IRDA. All insurance companies have integrated their online complaint logging systems to the IGMS.
III	Insurance Institute of India	Education society established in 1955 in Mumbai for imparting insurance education to persons engaged or interested in insurance.
LAE	Loss Adjustment Expense	Expense associated with investigating and settling an insurance claim.
NLG	No Lapse Guarantees	Amount that must be paid to ensure the policy will stay in force for a set number of years, regardless of actual policy performance.

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NPV	Net Present Value	Difference between the present value of cash inflows and the present value of cash outflows over a period of time.
NSP	Net Single Premium	Present value of the future death benefit.
OCA	Outstanding Claims Account	Provision made in the balance sheet of an insurance company for all claims that have been made and for which the insurer is liable but have not been settled at the balance sheet date.
ORM	Operational Risk Management	Continual cyclic process including risk assessment, decision making, and implementation of risk controls, resulting in acceptance, mitigation, or avoidance of risk.
PIA	Primary Insurance Account	Amount of Social Security benefits paid to a retiree at full retirement age. The Average Indexed Monthly Earnings (AIME) must first be calculated before the PIA can be determined.
PML	Probable Maximum Loss	Maximum loss that an insurer would be expected to incur on a policy.
PWB	Premium Waiver Benefit	Benefit wherein the future premium payments by the insured are waived under certain conditions.
RAM	Reverse Annuity Mortgage	Loan secured against the value of your home.
RBC	Risk Based Capital	Rule that establishes minimum regulatory capital for financial institutions.
ROE	Return on Equity	Measure of financial performance calculated by dividing net income by shareholders' equity.
ROI	Return on Investment	Performance measure used to evaluate the efficiency of an investment or compare the efficiency of multiple investments.
RP	Return Premium	Amount due to the insured if the actual cost of a policy is less than what the insured has previously paid.
TDA	Tax Deferred Annuity	Investment vehicle used by an individual planning retirement income.
TDB	Temporary Disability Benefits	Provides cash benefits to workers who suffer an illness, injury, or disability preventing them from working.
TPA	Third Party Administrator	Company providing operational services such as claims processing and employee benefits management under contract to another company.
UNL	Ultimate Net Loss	Amount actually paid or payable for settlement of a claim for which the reinsured is liable, after deductions for recoveries and certain reinsurance.
UP	Unearned Premium	Premium amount that corresponds to the time period remaining on an insurance policy.
YTM	Yield to Maturity	Total return anticipated on a bond if the bond is held until maturity.

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Practice Questions

1. The Imperial Bank of India came into existence in 1920 by merging which of the following institutions?

निम्नलिखित में से किस संस्था के विलय से 1920 में इंपीरियल बैंक ऑफ इंडिया अस्तित्व में आया?

(a) Bank of Bengal, Bank of Bombay and Bank of Madras

(b) Punjab National Bank, Allahabad Bank and Bank of Baroda

(c) Reserve Bank of India and Presidency Banks

(d) State Bank of India and Associate Banks

(e) Central Bank of India and Bank of India

Answer: A

Explanation

- The Imperial Bank of India was formed in **1921** through the amalgamation of the three **Presidency Banks**, namely the **Bank of Bengal, the Bank of Bombay, and the Bank of Madras.**
- These banks had been established during British rule to serve regional commercial interests in their respective presidencies.
- Their merger created a large, centralized banking institution with nationwide presence.
- The Imperial Bank performed key functions such as commercial banking, government banking, and limited central banking roles until 1955, when it was **reconstituted as the State Bank of India Act.**

2. How many commercial banks were nationalized in the first phase of bank nationalization in 1969?

1969 में बैंक राष्ट्रीयकरण के पहले चरण में कितने वाणिज्यिक बैंकों का राष्ट्रीयकरण किया गया था?

(a) 10
(b) 12
(c) 14
(d) 16
(e) 20

Answer: C

Explanation

- In the first phase of bank nationalisation in India, **fourteen** major commercial banks were nationalised in July **1969.**
- This policy decision was taken by the Government of India to align banking operations with national priorities such as agricultural development, small industry growth, and financial inclusion.
- The nationalised banks were selected based on having deposits **exceeding ₹50 crore**.
- Nationalisation expanded branch networks in rural areas, increased credit flow to priority sectors, reduced concentration of economic power, and strengthened public sector dominance in the Indian banking system during the post-independence era.

3. Which expert panel, constituted in the backdrop of the 1991 economic reforms, laid the foundation for liberalisation and structural restructuring of India's banking system through its recommendations?

1991 के आर्थिक सुधारों की पृष्ठभूमि में गठित किस विशेषज्ञ पैनल ने अपनी सिफारिशों के माध्यम से भारत की बैंकिंग प्रणाली के उदारीकरण और संरचनात्मक पुनर्गठन की नींव रखी?

(a) Bimal Jalan Committee
(b) Urjit Patel Committee
(c) M. Narasimham Committee
(d) Vaghul Committee
(e) Rangarajan Committee

Answer: C

Explanation

- The **M. Narasimham Committee**, set up in **1991** against the backdrop of India's economic reforms, played a pivotal role in shaping the liberalisation and structural restructuring of the Indian banking system.
- Headed by former RBI Governor **M. Narasimham**, the committee examined the weaknesses of the existing banking framework and recommended wide-ranging reforms.
- Its suggestions included reducing statutory pre-emptions, improving asset quality through

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prudential norms, strengthening capital adequacy, enhancing operational autonomy of banks, and promoting competition.

- These recommendations laid the foundation for a more efficient, resilient, and market-oriented banking system in India.

4. Which among the following banks holds the historic distinction of being the first banking institution in India to be established and administered exclusively by Indians, without European management influence?

निम्नलिखित में से किस बैंक को यह ऐतिहासिक गौरव प्राप्त है कि वह भारत का पहला बैंकिंग संस्थान है जिसकी स्थापना और प्रशासन पूरी तरह से भारतीयों द्वारा किया गया था, और जिसमें यूरोपीय प्रबंधन का कोई प्रभाव नहीं था?

(a) Allahabad Bank
(b) Bank of India
(c) Central Bank of India
(d) Punjab National Bank
(e) Canara Bank

Answer: D

Explanation

- **Punjab National Bank (PNB)** holds the historic distinction of being the **first banking institution in India established and managed entirely by Indians**, without any European control or management involvement.
- Founded in **1894** in Lahore, PNB was a milestone in the development of indigenous banking.
- It symbolised economic self-reliance during the colonial period and played a crucial role in mobilising Indian capital and supporting Indian enterprise, distinguishing it from earlier banks that operated under significant European influence.

5. The policy decision to create a distinct category of banks aimed at strengthening institutional credit delivery in rural India—known today as Regional Rural Banks—was implemented in which year?

ग्रामीण भारत में संस्थागत ऋण वितरण को मजबूत करने के उद्देश्य से बैंकों की एक अलग श्रेणी बनाने का नीतिगत निर्णय—जिसे आज क्षेत्रीय ग्रामीण बैंक के रूप में जाना जाता है—किस वर्ष में लागू किया गया था?

(a) 1969
(b) 1971
(c) 1975
(d) 1980
(e) 1991

Answer: C

Explanation

- Regional Rural Banks (RRBs) were introduced in India to strengthen the institutional credit framework in rural and semi-urban areas.
- Conceptualised following banking reform recommendations, the first RRB, **Prathama Bank**, commenced operations on **2 October 1975**.
- RRBs were later governed under the **Regional Rural Banks Act, 1976**. These banks are jointly owned by the Central Government, State Governments, and sponsoring commercial banks.
- Their primary objective is to extend affordable banking, credit, and financial services to small farmers, artisans, rural entrepreneurs, and weaker sections, thereby reducing regional and social financial imbalances.

6. Which of the following entities would NOT qualify as a Non-Banking Financial Company (NBFC) even if it is registered under the Companies Act, 2013?

निम्नलिखित में से कौन सी एंटिटी नॉन-बैंकिंग फाइनेंशियल कंपनी (NBFC) के तौर पर योग्य नहीं होगी, भले ही वह कंपनी एक्ट, 2013 के तहत रजिस्टर्ड हो?

(a) A company primarily engaged in providing loans and advances
(b) A company mainly involved in leasing and hire-purchase activities
(c) A company whose principal business is the purchase and sale of government securities
(d) A company primarily engaged in agricultural activities
(e) A company acquiring shares and debentures as its core business

Answer: D

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Explanation

A **Non-Banking Financial Company (NBFC)** is a company registered under the Companies Act, 1956 or 2013 that carries out **financial activities as its principal business**, such as:

- Providing loans and advances
- Acquisition of shares, stocks, bonds, debentures, or other marketable securities
- Leasing and hire-purchase operations

However, even if registered under the Companies Act, a company is **not classified as an NBFC** if its principal business is:

- Agricultural activities
- Industrial activities
- Purchase or sale of goods (other than securities)
- Provision of non-financial services
- Sale, purchase, or construction of immovable property

7. Arrange the following developments in the correct chronological order:

1. Emergence of NBFCs in India
2. Recommendation of uniform chit fund legislation
3. Inclusion of NBFCs under the RBI Act, 1934
4. Chakravarty Committee

Select the correct answer using the code below:

निम्नलिखित घटनाओं को सही कालानुक्रमिक क्रम में व्यवस्थित करें:

1. भारत में एनबीएफसी का उदय
2. यूनिफॉर्म चिट फंड कानून की सिफारिश
3. एनबीएफसी को भारतीय रिजर्व बैंक एक्ट, 1934 के तहत शामिल करना
4. चक्रवर्ती समिति

नीचे दिए गए कोड का उपयोग करके सही उत्तर चुनें:

(a) 1 – 2 – 3 – 4
(b) 1 – 3 – 2 – 4
(c) 2 – 1 – 3 – 4
(d) 1 – 2 – 4 – 3
(e) 3 – 1 – 2 – 4

Answer: B

Explanation

- **Emergence of NBFCs in India**: NBFCs began operating as financial intermediaries before a formal regulatory framework was in place.
- **Inclusion of NBFCs under the RBI Act, 1934**: NBFCs were brought under RBI's regulatory purview through amendments, strengthening supervision.
- **Recommendation of uniform chit fund legislation**: To address risks and inconsistencies in the chit fund sector, uniform legislation was recommended.
- **Chakravarty Committee:** Evaluation of banking–NBFC interlinkages

8. Despite being regulated by the Reserve Bank of India, Non-Banking Financial Companies (NBFCs) are not accorded bank status primarily due to which of the following operational limitations?

रिज़र्व बैंक ऑफ़ इंडिया द्वारा रेगुलेट किए जाने के बावजूद, नॉन-बैंकिंग फाइनेंशियल कंपनियों (NBFCs) को मुख्य रूप से इनमें से किस ऑपरेशनल लिमिटेशन की वजह से बैंक का दर्जा नहीं दिया जाता है?

(a) Absence of RBI regulation
(b) Inability to issue cheques drawn on themselves
(c) Charging relatively higher interest rates on loans
(d) Concentration on niche customer segments
(e) Offering a comparatively narrower range of financial products

Answer: B

Explanation

Although **NBFCs are regulated by the RBI** under the **RBI Act, 1934**, they are not granted bank status because they **cannot accept demand deposits** and are **excluded from the payment and settlement system**. A direct consequence of this exclusion is their **inability to issue cheques drawn on themselves**, which is a core banking function governed by the **Banking Regulation Act, 1949**.

This operational limitation prevents NBFCs from acting as payment intermediaries, clearly distinguishing them from banks, which facilitate cheque-based transactions and allow deposits withdrawable on demand.

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9. A company registered as an NBFC extends credit for education, housing and working capital, but does not mainly invest in securities or finance specific asset purchases. It will be categorised as:
एक कंपनी जो NBFC के तौर पर रजिस्टर्ड है, वह शिक्षा, हाउसिंग और वर्किंग कैपिटल के लिए क्रेडिट देती है, लेकिन मुख्य रूप से सिक्योरिटीज में निवेश नहीं करती या खास एसेट खरीदने के लिए फाइनेंस नहीं करती। इसे इस कैटेगरी में रखा जाएगा:

(a) Asset Finance Company
(b) Investment Company
(c) Loan Company
(d) Core Investment Company
(e) Infrastructure Finance Company

Answer: C

Explanation

NBFCs are classified by the RBI based on their **principal business activity**.
A company that provides **general-purpose credit**—such as **education loans, housing loans, and working capital finance**—without primarily financing **specific physical assets** or **investing in securities** is categorised as a **Loan Company**.

- **Loan Company (LC):** At least 50% of assets and income are from loans and advances not linked to the acquisition of specific assets.
- **Asset Finance Company:** Focuses on financing tangible assets like machinery or vehicles (not applicable here).
- **Investment Company / Core Investment Company:** Primarily invest in shares and securities (excluded).
- **Infrastructure Finance Company:** Specialised lending to infrastructure projects only.

10. The classification of a Non-Banking Financial Company (NBFC) as Systemically Important under RBI regulations is determined mainly with reference to which of the following criteria?
RBI रेगुलेशन के तहत किसी नॉन-बैंकिंग फाइनेंशियल कंपनी (NBFC) को सिस्टमेटिकली इम्पोर्टेंट के तौर पर क्लासिफाई करना मुख्य रूप से नीचे दिए गए किन क्राइटेरिया के आधार पर तय किया जाता है?

(a) Asset size of the NBFC
(b) Type of financial functions undertaken
(c) Nature of deposits mobilised by the entity
(d) Sectoral distribution of its loan portfolio
(e) Registration status with the Reserve Bank of India

Answer: A

Explanation

Under RBI regulations, a **Non-Banking Financial Company** is classified as **Systemically Important** mainly on the basis of its **asset size**, as reflected in its latest audited balance sheet.
Non-deposit taking NBFCs with **total assets of ₹500 crore or more** are designated as **NBFC-ND-SI**, since their scale of operations can pose **systemic risks** to the financial system.

- This classification is **not based** on the nature of deposits, type of activity, sectoral loan exposure, or mere registration status.
- NBFCs below this asset threshold are treated as **Non-Systemically Important** and are subject to relatively lighter regulatory norms.

11. Which of the following categories is exempted from compulsory registration as an NBFC with RBI due to regulation under the securities market framework?
निम्नलिखित में से कौन सी कैटेगरी सिक्योरिटीज़ मार्केट फ्रेमवर्क के तहत रेगुलेशन के कारण RBI के साथ NBFC के तौर पर अनिवार्य रजिस्ट्रेशन से छूट प्राप्त है?

(a) Core Investment Companies
(b) Infrastructure Finance Companies
(c) Alternative Investment Funds
(d) Housing Finance Companies
(e) NBFC–Micro Finance Institutions

Answer: C

Explanation

Alternative Investment Funds (AIFs) are exempted from compulsory registration as NBFCs with the RBI because they are **regulated under the securities market framework by SEBI**. AIFs are registered and governed under the **SEBI (Alternative Investment Funds) Regulations, 2012**, which provide a comprehensive regulatory structure covering registration, operations, disclosures, and investor protection. To avoid **dual regulation**, the **proviso to Section 45-IA of the**

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RBI Act, 1934, read with relevant RBI notifications, exempts SEBI-regulated entities such as **AIFs (Categories I, II, and III)** from NBFC registration requirements.

12. For a company seeking registration with the Reserve Bank of India as a Non-Banking Financial Company (NBFC) under the RBI Act, 1934, what is the minimum Net Owned Fund (NOF) that must be maintained at the time of registration?

जो कंपनी रिज़र्व बैंक ऑफ़ इंडिया एक्ट, 1934 के तहत नॉन-बैंकिंग फाइनेंशियल कंपनी (NBFC) के तौर पर रिज़र्व बैंक ऑफ़ इंडिया से रजिस्ट्रेशन करवाना चाहती है, उसे रजिस्ट्रेशन के समय कम से कम कितना नेट ओन्ड फंड (NOF) बनाए रखना होगा?

(a) ₹2 crore
(b) ₹10 crore
(c) ₹20 crore
(d) ₹50 crore
(e) ₹100 crore

Answer: B

Explanation

As per the **RBI's Scale-Based Regulation (SBR) framework, 2021**, a **standard NBFC** must have a **minimum Net Owned Fund (NOF) of ₹10 crore** to obtain registration from the Reserve Bank of India. This requirement applies **at the time of application** and is verified through the **latest audited balance sheet**, in accordance with **Section 45-IA of the RBI Act, 1934**.

While **existing NBFCs** are permitted a **glide path** to comply with the enhanced NOF requirement, **new applicants must meet the ₹10 crore threshold upfront**. Therefore, the correct answer is **₹10 crore**.

13. Under the Reserve Bank of India's regulations governing acceptance of public deposits by Non-Banking Financial Companies (NBFCs), what is the maximum permissible rate of interest that such companies are currently allowed to offer to depositors?

भारतीय रिज़र्व बैंक के नॉन-बैंकिंग फाइनेंशियल कंपनियों (NBFCs) द्वारा पब्लिक डिपॉज़िट स्वीकार करने से जुड़े नियमों के तहत, ऐसी कंपनियाँ अभी डिपॉज़िटर्स को ज़्यादा से ज़्यादा कितना ब्याज़ दर दे सकती हैं?

(a) 10% per annum
(b) 11.5% per annum
(c) 15% per annum
(d) 12.5% per annum
(e) 13% per annum

Answer: D

Explanation

Under the **RBI's Master Directions governing acceptance of public deposits by NBFCs**, the **maximum permissible rate of interest** that **deposit-taking NBFCs (NBFC-D)** can offer is **12.5% per annum**. This ceiling applies **uniformly across tenures and credit ratings** and is prescribed under **Chapter III-B of the RBI Act, 1934** to contain excessive risk-taking and protect depositors.

14. Under the Reserve Bank of India's regulatory framework, certain NBFCs are classified as Systemically Important because of the potential systemic risk arising from their size. Which of the following NBFCs would be placed in this category?

रिज़र्व बैंक ऑफ़ इंडिया के रेगुलेटरी फ्रेमवर्क के तहत, कुछ NBFCs को उनके साइज़ से होने वाले संभावित सिस्टमिक रिस्क की वजह से सिस्टमैटिकली इम्पोर्टेंट के तौर पर क्लासिफाई किया गया है। इनमें से कौन सी NBFCs इस कैटेगरी में आएंगी?

(a) An NBFC having a net owned fund of ₹100 crore
(b) A deposit-taking NBFC irrespective of asset size
(c) An NBFC whose total assets are ₹500 crore or more as per its latest audited balance sheet
(d) An NBFC engaged exclusively in infrastructure lending
(e) Any NBFC registered under Section 45-IA of the RBI Act, 1934

Answer: C

Explanation

Under the **RBI's regulatory framework**, **non-deposit taking NBFCs (NBFC-ND)** are classified as **Systemically Important (NBFC-ND-SI)** when their **total assets are ₹500 crore or more**, based on the **latest audited balance sheet**. This classification is driven purely by **size**, as large

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NBFCs can pose **systemic and contagion risks** to the financial system.

Such NBFCs are subject to **enhanced prudential norms**, including stricter capital adequacy, leverage, and governance requirements. The classification is **not dependent on net owned fund, activity type, or mere registration**, making **asset size** the decisive criterion.

15. The Reserve Bank of India in June 2025 revised the qualifying asset requirement for NBFC–Micro Finance Institutions (NBFC-MFIs). What is the new minimum threshold prescribed?

रिज़र्व बैंक ऑफ़ इंडिया ने हाल ही में NBFC–माइक्रो फाइनेंस इंस्टीट्यूशंस (NBFC-MFIs) के लिए क्वालिफाइंग एसेट की ज़रूरत को रिवाइज किया है। नई तय की गई न्यूनतम सीमा क्या है?

(a) 40% of total assets
(b) 50% of total assets
(c) 55% of total assets
(d) 60% of total assets
(e) 90% of total assets

Answer: D

Explanation

The Reserve Bank of India revised the **qualifying asset requirement for NBFC–Micro Finance Institutions (NBFC-MFIs)** by reducing the threshold from **75% to 60% of total assets (net of intangible assets)**. This change was notified through **RBI Circular dated June 6, 2025** and applies on an ongoing basis. The revision aims to provide NBFC-MFIs greater **portfolio diversification flexibility** while retaining their core microfinance character. Qualifying assets are aligned with RBI's definition of microfinance loans. Failure to maintain the 60% threshold for four consecutive quarters requires submission of a remediation plan to RBI.

16. The inability of commercial banks to aggressively engage in long-term, project-based finance is best explained by which balance-sheet consideration that All India Financial Institutions (AIFIs) are structurally better positioned to handle?

कमर्शियल बैंकों का लॉन्ग-टर्म, प्रोजेक्ट-बेस्ड फाइनेंस में तेज़ी से शामिल न हो पाना, बैलेंस-शीट की किस बात से सबसे अच्छी तरह समझाया जा सकता है, जिसे एआईएफआई स्ट्रक्चर के हिसाब से बेहतर तरीके से संभाल सकते हैं?

(a) Asset–liability maturity mismatch
(b) Credit concentration norms
(c) Capital adequacy volatility
(d) Priority sector sub-target rigidity
(e) Refinancing dependency

Answer: A

Explanation

Commercial banks predominantly fund their balance sheets through **short-term deposits**, while **long-term, project-based loans** have extended and inflexible repayment horizons. This creates a pronounced **asset–liability maturity mismatch**, exposing banks to **liquidity stress**, **interest rate risk**, and **ALM imbalances**, thereby constraining aggressive long-tenor lending.

In contrast, **All India Financial Institutions (AIFIs)** are structurally designed for **long-term finance** and raise resources through **long-maturity bonds**, **government-backed funding**, and **multilateral borrowings**. This enables superior **maturity alignment** between assets and liabilities, making AIFIs better suited for **infrastructure and development finance** compared to deposit-funded commercial banks.

17.Which of the following pairs is incorrectly matched with its institutional classification as per the organizational structure?

संगठनात्मक संरचना के अनुसार निम्नलिखित में से कौन सा जोड़ा अपने संस्थागत वर्गीकरण से गलत तरीके से मेल खाता है?

(a) EXIM Bank — Specialized Financial Institution
(b) LIC — Investment Institution
(c) NABARD — Refinance Institution
(d) SIDBI — Investment Institution
(e) NHB — Refinance Institution

Answer: D

Explanation

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EXIM Bank is classified as a Specialized Financial Institution, focusing on export-import financing under RBI oversight. LIC operates as an Investment Institution via its long-term insurance fund deployments. NABARD and NHB function as Refinance Institutions, providing wholesale refinancing to banks for agriculture and housing. SIDBI, however, is a Development Financial Institution dedicated to MSME credit and promotion, not primarily an Investment Institution like mutual funds or LIC.

18. Which shared functional characteristic explains why UTI (1964), LIC (1956) and GIC along with its subsidiaries (1972) are classified together under the same institutional category in the financial system framework?

वह कौन सी साझा फंक्शनल विशेषता है जो यह बताती है कि UTI (1964), LIC (1956) और GIC को उसकी सब्सिडियरी कंपनियों (1972) के साथ फाइनेंशियल सिस्टम फ्रेमवर्क में एक ही इंस्टीट्यूशनल कैटेगरी में क्यों रखा गया है?

(a) Engagement in long-term industrial lending

(b) Refinancing of banks and NBFCs

(c) State-level operational jurisdiction

(d) Mobilization and investment of long-term contractual savings

(e) Export-oriented financing

Answer: D

Explanation

UTI (1964), **LIC (1956)**, and **GIC with its subsidiaries (1972)** are grouped together as **Investment Institutions** within India's financial system. Their unifying characteristic is the **mobilisation of long-term contractual savings**—such as **insurance premia** in the case of LIC and GIC, and **unit-based investments** in UTI—which are then deployed into **long-term assets** including **government securities, bonds, equities, and infrastructure projects**.

They do not primarily undertake industrial lending, refinancing activities, or export finance, nor are they confined to state-level operations. Their role is fundamentally centered on **long-term fund mobilization and investment**, justifying their common classification.

19. A financial institution not created through a Parliamentary statute and not directly set up by the Government of India can still be classified as a Development Financial Institution provided it is:

एक फाइनेंशियल संस्था जो पार्लियामेंट के कानून से नहीं बनी है और जिसे सीधे भारत सरकार ने स्थापित नहीं किया है, उसे भी डेवलपमेंट फाइनेंशियल संस्था के तौर पर क्लासिफाई किया जा सकता है, बशर्ते वह ये शर्तें पूरी करती हो:

(a) Licensed by RBI under Section 29 of the NaBFID Act, 2021

(b) Registered under the Companies Act

(c) Recognised by SEBI as a market intermediary

(d) Refinance-supported by NABARD

(e) Categorised as a systemically important NBFC

Answer: A

Explanation

A financial institution need not be established through a **Parliamentary enactment** or directly promoted by the **Government of India** to qualify as a **Development Financial Institution (DFI)**. Under the **NaBFID Act, 2021**, entities may be designated as DFIs if they are **licensed by the Reserve Bank of India under Section 29** of the Act.

This provision enables **private or non-statutory institutions** to operate as DFIs, subject to **RBI supervision**, prudential norms, and a **long-term development finance mandate**. Mere registration under the Companies Act, SEBI recognition, refinance access, or NBFC systemic importance does not confer DFI status.

20. The Industrial Finance Corporation of India (IFCI), established in 1948, is institutionally distinguished from later development institutions primarily because it was:

इंडस्ट्रियल फाइनेंस कॉर्पोरेशन ऑफ़ इंडिया (IFCI), जिसकी स्थापना 1948 में हुई थी, बाद के डेवलपमेंट संस्थानों से संस्थागत रूप से अलग है, मुख्य रूप से क्योंकि यह था:

(a) Set up as a non-statutory government company

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(b) Established as a statutory corporation to provide term finance

(c) Created as a World Bank–assisted private institution

(d) Licensed by RBI as a DFI

(e) Initially owned by private industrialists

Answer: B

Explanation

The **Industrial Finance Corporation of India (IFCI)**, set up in **1948**, is institutionally distinct from later development institutions because it was **established through a Parliamentary statute**—the **IFCI Act, 1948**—as a **statutory corporation**. Its primary mandate was to extend **medium- and long-term finance** to the industrial sector, marking India's **first development financial institution**.

Subsequent DFIs were often created as **companies under the Companies Act**, restructured entities, or institutions licensed under newer regulatory frameworks. Hence, IFCI's **statutory origin and term-lending mandate** set it apart historically and institutionally.

21. The Tarun Plus category under the Pradhan Mantri Mudra Yojana (PMMY) enhanced loan offering introduced following the Union Budget 2024-25, increasing the maximum Mudra loan limit from ₹_____ lakh to ₹_____ lakh.

केंद्रीय बजट 2024-25 के बाद प्रधानमंत्री मुद्रा योजना (PMMY) के तहत तरुण प्लस श्रेणी में लोन की पेशकश को बढ़ाया गया है, जिससे मुद्रा लोन की अधिकतम सीमा ₹_____ लाख से बढ़कर ₹_____ लाख हो गई है।

(a) 5,10

(b) 10,15

(c) 15,20

(d) 10,20

(e) 20,30

Answer: D

Explanation

The Tarun Plus category under the Pradhan Mantri Mudra Yojana (PMMY) is a new, enhanced loan offering introduced following the Union Budget 2024-25, which increases the maximum Mudra loan limit from ₹10 lakh to ₹20 lakh. This category is specifically designed to aid the expansion and growth of established micro-enterprises.

Loan Amount: Above ₹10 lakh and up to ₹20 lakh.

Eligibility: This loan is exclusively for entrepreneurs who have already availed and successfully repaid previous loans under the "Tarun" category (which was up to ₹10 lakh).

22. Shishu Loan (Up to ₹50,000)

23. Kishore Loan (₹50,000 to ₹5 lakh)

24. Tarun Loan (₹5 lakh to ₹10 lakh)

25. Tarun Plus Category (₹10 lakh to ₹20 lakh)

26. A loan of ₹7 lakh for a non-agricultural micro-enterprise would fall under which Pradhan Mantri MUDRA Yojana (PMMY) category?

एक गैर-कृषि माइक्रो-एंटरप्राइज के लिए ₹7 लाख का लोन PM मुद्रा योजना की किस कैटेगरी में आएगा?

(a) Tarun

(b) Kishore

(c) Shishu

(d) Composite MSME loan

(e) SIDBI-assisted loan

Answer: A

Explanation

Under **Pradhan Mantri Mudra Yojana (PMMY)**, loans to **non-farm micro-enterprises** are classified strictly by **sanctioned amount and business stage**: **Shishu** (up to ₹50,000), **Kishore** (₹50,001–₹5 lakh), and **Tarun** (₹5–₹10 lakh). A **₹7 lakh loan** clearly exceeds the upper limit of **Kishore** and falls within the **Tarun** bracket, which is intended for **established micro units seeking expansion capital**. Categories such as **Composite MSME loans** are outside PMMY's framework, while **SIDBI-assisted loans** relate to refinancing or institutional support, not Mudra classification.

27.The establishment of The National Bank for Financing Infrastructure and Development (NaBFID) under the National Bank for Financing Infrastructure and Development Act, 2021 primarily signifies that it is:

नेशनल बैंक फॉर फाइनेंसिंग इंफ्रास्ट्रक्चर एंड डेवलपमेंट एक्ट, 2021 के तहत NaBFID की स्थापना का मुख्य मतलब यह है कि यह:

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(a) A universal commercial bank with infrastructure focus

(b) A refinance institution for banks and NBFCs

(c) An infrastructure-focused Development Financial Institution

(d) A statutory regulator of infrastructure finance

(e) A specialised investment intermediary

Answer: C

Explanation

The **National Bank for Financing Infrastructure and Development (NaBFID)** was established under the **NaBFID Act, 2021** as a **statutory Development Financial Institution (DFI)** with a **core mandate to finance long-term infrastructure projects**. Its creation reflects the revival of the **DFI model** to address India's **infrastructure financing gap**, especially for projects requiring **long-tenor funding** beyond the risk appetite of commercial banks.

NaBFID is neither a universal bank nor a regulator. While it may undertake **refinancing and market development**, its **primary identity** is that of an **infrastructure-focused DFI**, distinct from investment intermediaries or deposit-taking banks.

28. Based on the recommendations of the Committee to Review Arrangements for Institutional Credit for Agriculture and Rural Development (CRAFICARD), under _____, NABARD was established.

कृषि और ग्रामीण विकास के लिए संस्थागत ऋण की व्यवस्था की समीक्षा करने वाली समिति (क्राफीकार्ड) की सिफारिशों के आधार पर, _____ के तहत, नाबार्ड की स्थापना की गई थी।

(a) Y.K Alagh

(b) B. Sivaraman

(c) Y V Reddy

(d) C. Rangarajan

(e) Bimal Jalan

Answer: B

Explanation

The **National Bank for Agriculture and Rural Development (NABARD)** was established in **1982** based on the recommendations of the **B. Sivaraman Committee** as the **apex institution for rural credit** in India.

The establishment was based on the recommendations of the Committee to Review Arrangements for Institutional Credit for Agriculture and Rural Development (CRAFICARD). It was established to know the credit needs of rural areas and to contribute to broader development initiatives in the rural economy.

Its primary role was not limited to direct lending or agricultural production finance, but to provide **policy formulation, planning, supervision, and operational guidance** for the entire **rural and agricultural credit system**, including **cooperative banks and regional rural banks**.

Regulatory functions, payment systems management, and direct farmer lending are either shared or secondary, whereas **system-level oversight of rural credit** defines NABARD's apex mandate.

29. Which of the following is NOT one of the subsidiary of NABARD (National Bank for Agriculture and Rural Development)?

(a) NABKISAN Finance Limited (NABKISAN)

(b) NABFINS Limited (NABFINS)

(c) NABARD Consultancy Services (NABCONS)

(d) NABARD Agro (NABAGRO)

(e) NABSAMRUDDHI Finance Limited (NSFL)

Answer: D

Explanation

- NABARD Subsidiaries

To augment its reach and impact, NABARD has set up a number of subsidiaries that focus on various aspects of rural development:

- NABKISAN Finance Limited (NABKISAN)

It offers credit for the development, diversification and commercialization of enterprises in agriculture, allied and rural non-farm activities. It has extended financial support for and to numerous Farmer Producer Organisations (FPOs) across several states.

- NABSAMRUDDHI Finance Limited (NSFL)

It provides credit facilitation to legal entities for promotion, extension, commercialization, and

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modernization of activities undertaken in non-farm activities in microfinance, MSME, housing, education, and transport sectors.

- NABFINS Limited (NABFINS)

NABFINS is a subsidiary of NABARD engaged in providing Microfinance services to self-help groups (SHGs) and small borrowers. The institution's goal is to provide affordable credit to underserved communities, fostering financial inclusion.

- NABARD Consultancy Services (NABCONS)

NABCONS is a wholly owned subsidiary providing high-quality consultancy services in agriculture, rural development and infrastructure. It advises a range of governments, banks, and international institutions in areas such as rural finance, project management, and policy development.

30. After the reorganization of NABARD's shareholding was fully effected by 2019, which option correctly captures NABARD's ownership position within India's financial institutional structure?

2019 तक नाबार्डकी शेयरहोल्डिंग का रीऑर्गेनाइज़ेशन पूरी तरह से हो जाने के बाद, कौन सा ऑप्शन भारत के फाइनेंशियल इंस्टीट्यूशनल स्ट्रक्चर में नाबार्डकी ओनरशिप पोजीशन को सही ढंग से दिखाता है?

(a) NABARD operates independently of government control

(b) NABARD is wholly owned by the Central Government

(c) NABARD functions as an RBI-owned institution

(d) NABARD is jointly owned by Centre and States

(e) NABARD is privately held

Answer: B

Explanation

By **2019**, the reorganisation of **NABARD's shareholding** was fully completed, with the **Reserve Bank of India transferring its entire stake to the Government of India**. Consequently, **NABARD became a 100% Central Government–owned institution**, strengthening its position as the **apex development bank for agriculture and rural development** under sovereign ownership. It is therefore **not independent of government control**, **no longer RBI-owned**, **not jointly held with States**, and **not privately owned**.

31. The year 1982 marks a structural shift in India's trade-finance architecture with the setting up of EXIM Bank mainly to:

वर्ष 1982 में भारत के व्यापार-वित्त ढांचे में एक संरचनात्मक बदलाव आया, जिसमें मुख्य रूप से एक्जिम बैंक की स्थापना की गई:

(a) Act as a refinancing arm of RBI

(b) Replace commercial banks in trade finance

(c) Take over the international financing operations of IDBI

(d) Regulate export credit agencies

(e) Finance only overseas subsidiaries of Indian firms

Answer: C

Explanation

The establishment of the **Export–Import Bank of India (EXIM Bank)** in **1982** represented a major institutional shift in India's **trade and export finance framework**. EXIM Bank was created primarily to **take over the international and export–import financing functions of IDBI**, thereby providing a **dedicated, specialised institution** for handling **overseas lending, buyer's and supplier's credit, and export credit support**. It did not replace commercial banks in trade finance, function as an RBI refinance arm, act as a regulator, or restrict itself only to overseas subsidiaries of Indian firms.

32. The recommendation to establish NHB as an autonomous housing finance institution was made by a high-level group chaired by:

एनएचबी को एक ऑटोनॉमस हाउसिंग फाइनेंस इंस्टीट्यूशन के तौर पर बनाने की सिफारिश एक हाई-लेवल ग्रुप ने की थी, जिसके चेयरमैन थे:

(a) C. Rangarajan

(b) Bimal Jalan

(c) Raghuram Rajan

(d) Urjit Patel

(e) Y. V. Reddy

Answer: A

Explanation

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The recommendation to establish the **National Housing Bank (NHB)** as an **autonomous housing finance institution** was made by a **high-level group chaired by C. Rangarajan**. Acting on this recommendation, NHB was subsequently set up in **1988** under the **NHB Act, 1987** as the **apex institution for housing finance** in India, with responsibilities covering **regulation, refinancing, and development of the housing finance system**.

The other listed economists and former RBI Governors were associated with later monetary and financial sector reforms, not with the original proposal leading to NHB's establishment.

33. In the context of banking institutions, which of the following most accurately captures the core economic function that differentiates a bank from other financial intermediaries?
बैंकिंग संस्थानों के संदर्भ में, निम्नलिखित में से कौन सा बैंक के मुख्य आर्थिक कार्य को सबसे सटीक रूप से बताता है जो एक बैंक को दूसरे फाइनेंशियल इंटरमीडियरी से अलग करता है?

(a) Offering advisory and portfolio management services
(b) Accepting public deposits and transforming them into loans
(c) Facilitating only payment and settlement systems
(d) Providing insurance and risk mitigation products
(e) Acting solely as an investment mobilisation agency

Answer: B

Explanation

A **bank** is fundamentally distinguished by its legal authority to **accept deposits from the public** and deploy these funds as **loans and advances**. This **financial intermediation** role enables banks to convert idle savings into productive capital, supporting economic activity. Unlike NBFCs or investment firms, banks can create credit based on deposits, making **deposit acceptance** the defining feature. Income is primarily generated through **interest charged on loans**, reflecting this transformation process. While banks also provide **payment services, investment options, and advisory functions**, these are ancillary. The **deposit–credit linkage** remains the core economic function separating banks from other financial institutions.

34. Which of the following lending instruments allows a borrower to withdraw funds in excess of the account balance up to a sanctioned limit?
निम्नलिखित में से कौन सा लेंडिंग इंस्ट्रूमेंट किसी उधारकर्ता को अकाउंट बैलेंस से ज़्यादा, एक तय लिमिट तक पैसे निकालने की अनुमति देता है?

(a) Discounting of bills
(b) Fixed deposit loan
(c) Bank overdraft
(d) Long-term loan
(e) Recurring deposit advance

Answer: C

Explanation

A **bank overdraft** is a lending facility that allows a borrower to **withdraw funds beyond the available account balance**, up to a **pre-sanctioned limit** approved by the bank. It is commonly linked to a **current account** and is meant to meet **short-term liquidity needs**. Interest is charged **only on the amount actually overdrawn**, not on the entire sanctioned limit. Other options like **discounting of bills**, **fixed deposit loans**, or **recurring deposit advances** are secured against specific instruments and do not permit unrestricted excess withdrawals from an account.

35. Which feature most clearly establishes PMJDY-linked BSBDA accounts as a financial inclusion tool rather than a profit-oriented deposit product?
कौन सी खासियत पीएमजेडीवाई -लिंक्ड बुनियादी बचत बैंक जमा खाता(BSBDA) अकाउंट्स को प्रॉफिट-ओरिएंटेड डिपॉजिट प्रोडक्ट के बजाय फाइनेंशियल इनक्लूजन टूल के तौर पर सबसे साफ तौर पर दिखाती है?

(a) Availability of RuPay debit card
(b) Provision of accident insurance cover
(c) Absence of minimum balance requirement
(d) Access to overdraft facility
(e) Nationwide bank branch connectivity

Answer: C

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Explanation

The **absence of a minimum balance requirement** is the defining feature that positions **BSBDA under PMJDY** as a **financial inclusion instrument**. This provision allows economically weaker sections to access formal banking without the fear of penalties or account closure due to low balances. While facilities like **RuPay cards**, **insurance cover**, and **overdraft** enhance usability, they are supplementary benefits. Removing the minimum balance barrier ensures universal accessibility, especially for first-time account holders. This feature directly supports the core objective of **bringing the unbanked population into the formal financial system**, making banking affordable, inclusive, and sustainable.

36. Which of the following combinations accurately aligns the launch year and maximum overdraft ceiling applicable to PMJDY-linked BSBDA accounts?

निम्नलिखित में से कौन सा कॉम्बिनेशन PMJDY से जुड़े बुनियादी बचत बैंक जमा खातों पर लागू लॉन्च वर्ष और अधिकतम ओवरड्राफ्ट लिमिट को सही ढंग से दिखाता है?

(a) Launched in 2012; overdraft ₹5,000
(b) Launched in 2014; overdraft up to ₹10,000
(c) Launched in 2016; overdraft ₹20,000
(d) Launched in 2014; overdraft ₹5,000
(e) Launched in 2018; overdraft ₹2,000

Answer: B

Explanation

The **Pradhan Mantri Jan Dhan Yojana (PMJDY)** was launched in **2014** as India's **largest financial inclusion initiative**. Accounts opened under PMJDY are **Basic Savings Bank Deposit Accounts (BSBDA)**, which require **no minimum balance**, ensuring universal accessibility. A key credit inclusion feature is the **overdraft facility of up to ₹10,000**, available to **eligible account holders**. This combination of **zero-balance access**, a clearly defined **overdraft ceiling**, and a specific **launch year** reflects PMJDY's objective of integrating low-income households into the formal banking system while also offering limited credit support.

37. Which feature most directly explains how an Exchange Earners' Foreign Currency (EEFC) account helps reduce transaction costs for exporters and other foreign exchange earners?

कौन सा फ़ीचर सबसे सीधे तौर पर बताता है कि एक्सचेंज अर्नर्स फॉरेन करेंसी (EEFC) अकाउंट एक्सपोर्टर्स और दूसरे फॉरेन एक्सचेंज कमाने वालों के लिए ट्रांजैक्शन कॉस्ट कम करने में कैसे मदद करता है?

(a) Mandatory conversion of 50% foreign earnings into INR
(b) Credit of 100% foreign exchange earnings with repeated INR conversion
(c) Credit of 100% foreign exchange earnings without conversion into INR
(d) Interest payment on foreign currency balances
(e) Fixed-tenure deposit in foreign currency

Answer: C

Explanation

An **EEFC account** permits **100% of foreign exchange earnings** to be credited and retained **in foreign currency**, eliminating the need to convert funds into **Indian Rupees and back again**. This directly reduces **transaction and conversion costs**, including exchange margins and bank charges. Exporters and other foreign exchange earners often make repeated foreign payments, and retaining funds in the same currency improves **operational efficiency**. Although the account does not pay interest, the cost savings achieved through avoided currency conversion make the EEFC account a **practical cash-management tool** for resident foreign exchange earners.

38. In the context of deposit accounts, which parameter creates the clearest functional separation between saving accounts and current accounts?

डिपॉजिट अकाउंट्स के मामले में, कौन सा पैरामीटर सेविंग अकाउंट्स और करंट अकाउंट्स के बीच सबसे साफ़ फंक्शनल अंतर पैदा करता है?

(a) Transaction convenience
(b) Withdrawal flexibility
(c) Interest applicability
(d) Branch accessibility
(e) Account variants

Answer: C

Explanation

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The **clearest differentiating feature** between a **saving account** and a **current account** is the **payment of interest**. Saving accounts are designed to encourage individuals to **save a portion of their income**, and therefore banks pay **interest on the balance maintained**, even though the rate is usually low. In contrast, current accounts are meant for **business and commercial transactions**, where funds are frequently deposited and withdrawn; hence **no interest is paid**. Other features such as cheque facilities, digital banking, or branch access may be common to both, but **interest applicability** creates the most fundamental distinction.

39. Which deposit product requires the account holder to make regular monthly contributions until a predetermined maturity date?

किस डिपॉज़िट प्रोडक्ट में अकाउंट होल्डर को पहले से तय मैच्योरिटी डेट तक रेगुलर मंथली कंट्रीब्यूशन करना होता है?

(a) Fixed Deposit
(b) Callable Fixed Deposit
(c) Demand Deposit
(d) Recurring Deposit
(e) Non-Callable Fixed Deposit

Answer: D

Explanation

A **Recurring Deposit (RD)** is designed to promote **systematic and disciplined savings** by requiring the depositor to contribute a **fixed amount every month** until a predetermined **maturity date**. Unlike Fixed Deposits, which involve a **lump-sum investment**, RDs cater to individuals with **regular income but limited surplus**. The compulsory monthly contribution ensures consistency in saving behaviour. Interest is accumulated over the tenure, making RDs suitable for **goal-oriented savings**. This structure differentiates RDs from callable or non-callable FDs, which focus on capital parking rather than periodic accumulation.

40. With reference to bank Fixed Deposits, which option accurately states the tenure span permitted under standard deposit norms?

बैंक फिक्स्ड डिपॉज़िट के संबंध में, कौन सा ऑप्शन स्टैंडर्ड डिपॉज़िट नियमों के तहत अनुमत अवधि को सही ढंग से बताता है?

(a) 1 day – 5 years
(b) 7 days – 10 years
(c) 30 days – 15 years
(d) 1 year – 20 years
(e) 14 days – 7 years

Answer: B

Explanation

Under standard banking norms, a **Fixed Deposit (FD)** can be opened for a **minimum tenure of 7 days** and a **maximum tenure of 10 years**. Deposits for periods shorter than 7 days are generally not accepted, while tenures beyond 10 years are not permitted under prevailing deposit regulations. This defined range allows banks to manage liquidity and interest rate risk effectively, while providing depositors with flexibility to choose short-term or long-term investment horizons. Hence, the tenure span of **7 days to 10 years** correctly represents the permissible duration for bank Fixed Deposits.

41. According to the RBI's revised fixed deposit norms for NBFCs, what is the maximum amount permitted for premature withdrawal for public deposits other than tiny deposits and critical illness cases?

भारतीय रिजर्व बैंक के एनबीएफसीके लिए रिवाइज्ड फिक्स्ड डिपॉज़िट नियमों के अनुसार, छोटे डिपॉज़िट और गंभीर बीमारी के मामलों को छोड़कर, पब्लिक डिपॉज़िट के लिए समय से पहले पैसे निकालने की ज़्यादा से ज़्यादा कितनी रकम की अनुमति है?

(a) 25% of deposit or ₹2 lakh, whichever is lower
(b) 50% of deposit or ₹10 lakh, whichever is lower
(c) 100% of principal without interest
(d) 50% of deposit or ₹5 lakh, whichever is lower
(e) ₹10,000 only

Answer: D

According to the RBI's revised norms for NBFCs effective from Jan 1, 2025, for individual public deposits other than tiny deposits and critical illness cases, the maximum amount permitted for premature withdrawal within three months is **50%** of the principal amount or **₹5 lakh**, whichever is lower. No interest is accrued on this

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premature withdrawal.

42. Which aspect best explains why NSDL is regarded as a landmark institution in the evolution of India's securities market infrastructure?
कौन सा पहलू सबसे अच्छे से बताता है कि एनएसडीएल को भारत के सिक्योरिटीज़ मार्केट इंफ्रास्ट्रक्चर के विकास में एक लैंडमार्क संस्था क्यों माना जाता है?

(a) It allows holding of securities in certificated form
(b) It was the first electronic securities depository with nationwide coverage
(c) It facilitates trading through stock exchanges
(d) It operates as a clearing corporation
(e) It was established after liberalisation of capital markets

Answer: B

Explanation

National Securities Depository Limited (NSDL) holds landmark importance because it was the **first electronic securities depository in India**, established on **8 November 1996**. It introduced the **dematerialisation system** with **nationwide coverage**, fundamentally transforming the securities settlement process. Prior to NSDL, trading relied heavily on physical certificates, which involved risks like delay, forgery, and loss. By enabling **electronic holding and transfer of securities**, NSDL strengthened market efficiency and investor confidence. Its establishment on the recommendation of a national economic development institution underscores its strategic role. Thus, NSDL laid the foundation for a **modern, transparent, and secure capital market system** in India.

43. Which option correctly captures the permissible form of operation and earnings characteristic of an Exchange Earners' Foreign Currency (EEFC) account?
कौन सा ऑप्शन एक्सचेंज अर्नर्स फॉरेन करेंसी (EEFC) अकाउंट के ऑपरेशन और कमाई की अनुमत फॉर्म को सही ढंग से बताता है?

(a) It is maintained as a savings account with interest
(b) It is held as a current account without interest
(c) It is a term deposit in foreign currency
(d) It is a recurring deposit with flexible tenure
(e) It is a demand deposit with interest payable

Answer: B

Explanation

An **EEFC account** can be maintained **only in the form of a current account**, and **no interest is payable** on the balances held. This structure aligns with the account's purpose of facilitating **frequent foreign currency transactions** rather than savings or investment. Since funds may be used regularly for imports, payments, or other trade-related needs, interest payment is not permitted. The account focuses on **liquidity and operational convenience**, not returns. Therefore, the EEFC account combines the transactional flexibility of a current account with foreign currency retention, reinforcing its role as a **trade-supporting banking facility**.

44. When an Indian bank maintains an account with a foreign bank in the foreign country's currency, the account is classified as:
जब कोई भारतीय बैंक किसी विदेशी बैंक में उस विदेशी देश की करेंसी में अकाउंट रखता है, तो उस अकाउंट को इस तरह क्लासिफाई किया जाता है:

(a) Vostro account
(b) Loro account
(c) Current account
(d) Nostro account
(e) Escrow account

Answer: D

Explanation

A **Nostro account**, derived from the Latin word **"Nostro" meaning "Ours"**, refers to an account maintained by a **domestic bank with a foreign bank in the foreign bank's currency**. This arrangement is commonly used when the domestic bank **does not have a branch in that foreign country**. Nostro accounts facilitate **international trade settlements, foreign currency transactions, and cross-border payments**. From the domestic bank's perspective, the funds held abroad belong to "us," hence the term Nostro. Such accounts enable smoother international banking

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operations by allowing customers to deposit and transfer money internationally without physical presence.

45. Which of the following sequences most accurately represents the operational flow of funds in an escrow account arrangement?

निम्नलिखित में से कौन सा सीक्वेंस एस्क्रो अकाउंट अरेंजमेंट में फंड के ऑपरेशनल फ्लो को सबसे सही तरीके से दिखाता है?

(a) Seller receives funds → buyer confirms delivery
(b) Buyer deposits funds → escrow holds → seller receives funds
(c) Escrow credits interest → buyer withdraws funds
(d) Seller deposits funds → escrow refunds buyer
(e) Buyer and seller jointly operate the account

Answer: B

Explanation

The functional sequence of an **escrow account** begins when the **buyer deposits funds** into the escrow account. These funds are then **held securely by the escrow agent**, ensuring neither party can misuse them. Once the seller fulfills the agreed conditions—such as delivering goods or completing services—the escrow agent **transfers the funds to the seller's account**. This structured flow ensures fairness, transparency, and security. The buyer gains confidence that payment is conditional, while the seller is assured of payment upon compliance. Thus, the buyer–escrow–seller flow accurately represents the **operational logic of escrow accounts**.

46. An NRI wishes to deposit rent and dividend income earned in India, with limited repatriation and applicable Indian taxes. Which account is most appropriate?

एक एनआरआई भारत में कमाए गए किराए और डिविडेंड की इनकम को, सीमित रिपेट्रिएशन और लागू इंडियन टैक्स के साथ जमा करना चाहता है। कौन सा अकाउंट सबसे सही रहेगा?

(a) NRE Savings Account
(b) FCNR Fixed Deposit
(c) EEFC Account
(d) NRO Account
(e) RFC Account

Answer: D

Explanation

The most appropriate account is the **Non-Resident Ordinary (NRO) Account** because it is specifically designed to manage **income earned in India** by NRIs, such as **rent, pension, dividends, and interest**. Funds deposited in an NRO account may originate in **foreign currency**, but they are **converted into INR** at the prevailing exchange rate. The **interest earned is taxable in India**, in line with domestic tax laws. **Repatriation is permitted but subject to limits and RBI guidelines**, making it suitable where outward remittance is restricted.

47. Under banking regulations, a term (fixed) deposit is categorised as an unclaimed deposit when the matured amount remains unclaimed for which of the following durations?

बैंकिंग नियमों के तहत, एक टर्म (फिक्स्ड) डिपॉज़िट को तब अनक्लेम्ड डिपॉज़िट माना जाता है जब मैच्योरिटी की रकम निम्नलिखित में से किस अवधि तक क्लेम नहीं की जाती है?

(a) 5 years from the date of opening
(b) 7 years from the date of maturity
(c) 10 years from the date of opening
(d) 10 years from the date of maturity
(e) 12 years from the date of renewal

Answer: D

Explanation

A term or fixed deposit is classified as an unclaimed deposit when the depositor fails to claim the matured amount for a continuous period of **ten years** from the date of maturity. The critical reference point is the maturity date, not the date of opening or renewal of the deposit. Even if the deposit stops earning interest or reminders are issued by the bank, non-claim for ten years leads to this classification. This rule applies uniformly across banks under Reserve Bank of India guidelines. Once categorised as unclaimed, the amount is transferred to the Depositor Education and Awareness Fund, though the depositor, nominee, or legal heir retains the right to claim the deposit from the bank at any time.

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48. Once bank deposits are moved to the Depositor Education and Awareness (DEA) Fund after remaining unclaimed, which of the following correctly identifies the persons eligible to recover the amount from the concerned bank?

एक बार जब बैंक डिपॉजिट बिना क्लेम किए रहने के बाद डिपॉजिटर एजुकेशन एंड अवेयरनेस (DEA) फंड में ट्रांसफर कर दिए जाते हैं, तो इनमें से कौन सा विकल्प उन लोगों की सही पहचान करता है जो संबंधित बैंक से रकम वापस पाने के हकदार हैं?

(a) Only the original depositor
(b) Only nominees registered at account opening
(c) Only legal heirs through court orders
(d) Depositors, nominees, or legal heirs
(e) Only RBI through authorised channels

Answer: D

Explanation

Unclaimed deposits transferred to the DEA Fund do not extinguish the rights of depositors. Depositors, nominees, or legal heirs can claim the amount at any time from the concerned bank, even after transfer to the DEA Fund. The bank makes payment to the claimant and later seeks reimbursement from the DEA Fund maintained by the RBI. Importantly, interest is also paid, wherever applicable, on interest-bearing deposits. This mechanism ensures depositor protection while allowing RBI to centralise dormant funds without depriving rightful claimants of their money.

49.The recommendation for the establishment of a Central Bank for India was formally made by which of the following in 1926?

भारत के लिए सेंट्रल बैंक बनाने की सिफारिश 1926 में फॉर्मली किसने की थी?

(a) Indian Statutory Commission
(b) Royal Commission on Indian Currency and Finance
(c) Hilton Young Commission on Trade
(d) Central Banking Enquiry Committee
(e) White Paper on Indian Constitutional Reforms

Answer: B

Explanation

- The recommendation was made in **1926** by the **Royal Commission on Indian Currency and Finance**.
- The Commission is popularly known as the **Hilton Young Commission** (named after its Chairman, Lord Hilton Young).
- It was constituted by the **British Government** to examine India's currency and financial system.
- The Commission strongly recommended the establishment of a **Central Bank for India** to regulate currency and credit.
- It observed that currency management by the Government lacked institutional autonomy and required a specialized authority.
- The recommendation laid the foundation for the eventual enactment of the **RBI Act, 1934**.
- Based on these recommendations, a bill was introduced in **1927**, though it was initially withdrawn due to lack of consensus.
- The recommendation ultimately led to the establishment of the **Reserve Bank of India on 1 April 1935**.

50. Which of the following correctly states the time limit for claiming unclaimed deposits under the Depositor Education and Awareness (DEA) Fund Scheme, 2014?

निम्नलिखित में से कौन सा डिपॉज़िटर एजुकेशन एंड अवेयरनेस (DEA) फंड स्कीम, 2014 के तहत बिना क्लेम किए गए डिपॉज़िट का क्लेम करने की समय सीमा को सही बताता है?

(a) 5 years
(b) 7 years
(c) 10 years
(d) 12 years
(e) No time limit

Answer: E

Explanation

The Depositor Education and Awareness Fund Scheme, 2014 does not prescribe any time limit for claiming unclaimed deposits. Depositors or their

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legal heirs can submit a claim to the concerned bank at any time, irrespective of how long the amount has remained unclaimed. This open-ended claimability reinforces depositor protection and prevents permanent loss of customer funds. Even after transfer to the DEA Fund, ownership rights remain unaffected. Banks are obligated to process valid claims and make payments accordingly. The absence of a limitation period reflects RBI's intent to prioritise depositor rights over administrative convenience or regulatory timelines.

51. What is the maximum deposit insurance coverage provided by DICGC per depositor (including accrued interest) in the same right and capacity?

जमा बीमा और क्रेडिट गारंटी निगम द्वारा प्रति जमाकर्ता (जमा हुए ब्याज सहित) एक ही अधिकार और क्षमता में दी जाने वाली अधिकतम जमा बीमा कवरेज कितनी है?

(a) ₹1 lakh
(b) ₹2 lakh
(c) ₹3 lakh
(d) ₹5 lakh
(e) ₹10 lakh

Answer: D

Explanation

Under the Deposit Insurance and Credit Guarantee Corporation (DICGC) framework, deposits are insured up to a maximum of ₹5 lakh per depositor, including accrued interest, in the same right and capacity. This insurance limit applies uniformly even when the bank is under liquidation. For unclaimed deposits transferred to the DEA Fund, the insured portion continues to be governed by this ₹5 lakh cap. Any claim settlement through the Liquidator first considers this insurance ceiling before addressing any excess amount.

52. The Investor Education and Protection Fund Authority (IEPFA) was established in 2016 under which Act?

इन्वेस्टर एजुकेशन एंड प्रोटेक्शन फंड अथॉरिटी (IEPFA) की स्थापना 2016 में किस एक्ट के तहत की गई थी?

(a) RBI Act, 1934
(b) SEBI Act, 1992
(c) Companies Act, 1956
(d) Companies Act, 2013
(e) Securities Contracts (Regulation) Act, 1956

Answer: D

Explanation

The Investor Education and Protection Fund Authority was established in 2016 under the Companies Act, 2013, which provides the statutory framework for corporate governance and investor protection in India. The Act mandates the creation of mechanisms to safeguard investor interests and handle unclaimed corporate funds. Under this legislation, the IEPFA was constituted to administer the Investor Education and Protection Fund, ensure refunds of unclaimed dividends, shares, and matured deposits, and promote investor awareness. The Companies Act, 2013 replaced the earlier Companies Act, 1956, and strengthened regulatory oversight. Hence, the legal foundation of IEPFA is firmly rooted in the Companies Act, 2013.

53. Amounts are credited to the Investor Education and Protection Fund (IEPF) when they remain unclaimed for a minimum period of:

इन्वेस्टर एजुकेशन एंड प्रोटेक्शन फंड (IEPF) में रकम तब जमा की जाती है, जब वह कम से कम इतने समय तक बिना क्लेम के रहती है:

(a) 5 years
(b) 6 years
(c) 7 years
(d) 10 years
(e) 12 years

Answer: C

Explanation

Amounts such as unpaid dividends, matured deposits, matured debentures, and application money due for refund are transferred to the Investor Education and Protection Fund after remaining unclaimed for a continuous period of seven years. **This seven-year** threshold is prescribed under the Companies Act, 2013 and related rules. The intent is to provide companies sufficient time to trace investors and settle claims before transferring funds. Once transferred, investors can still claim refunds through IEPFA by

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following prescribed procedures. The seven-year period balances administrative efficiency with investor rights. It ensures that long-unclaimed corporate funds are centrally managed while preserving investors' entitlement to reclaim them at any time.

54. The portal designed to provide a unified gateway for accessing information on unclaimed bank deposits is known by the acronym UDGAM, which expands to:

अनक्लेम्ड बैंक डिपॉजिट्स के बारे में जानकारी एक्सेस करने के लिए एक यूनिफाइड गेटवे देने के लिए डिज़ाइन किए गए पोर्टल को उद्गम (UDGAM)नाम से जाना जाता है, जिसका फुल फॉर्म है:

(a) Unified Deposits Gateway for Account Monitoring
(b) Unclaimed Deposits – Gateway to Access inforMation
(c) Universal Deposits Grievance and Monitoring
(d) Unified Digital Gateway for Account Management
(e) Unidentified Deposits Grievance Access Mechanism

Answer: B

Explanation

The correct expansion of the acronym UDGAM is **Unclaimed Deposits – Gateway to Access inforMation**. The name reflects the core objective of the portal, which is to act as a single, unified gateway for accessing information related to unclaimed bank deposits. The emphasis is on information access rather than direct claim settlement or grievance handling. Other options suggest monitoring, grievance redressal, or account management functions, which are not the primary purpose of UDGAM. By focusing on access to information, the portal helps depositors, nominees, and legal heirs identify unclaimed deposits across banks in a centralised manner.

55. The UDGAM portal, aimed at providing a unified search facility for unclaimed deposits, has been developed and launched by which of the following institutions?

अनक्लेम्ड डिपॉज़िट के लिए एक यूनिफाइड सर्च सुविधा देने के मकसद से बनाया गया उद्गम पोर्टल, इनमें से किस संस्थान ने डेवलप और लॉन्च किया है?

(a) Ministry of Finance
(b) Indian Banks' Association
(c) Ministry of Corporate Affairs
(d) Deposit Insurance and Credit Guarantee Corporation
(e) Reserve Bank of India

Answer: E

Explanation

The UDGAM portal has been developed and launched by the Reserve Bank of India to address the long-standing issue of fragmented information on unclaimed deposits across banks. RBI, as the central banking authority and regulator of the banking system, is best positioned to create a centralised platform aggregating data from multiple banks. The objective of UDGAM is not claim settlement but enabling depositors, nominees, or legal heirs to easily search unclaimed deposits at one place. Neither the Ministry of Finance nor the Indian Banks' Association performs this regulatory and technological coordination role. Hence, the Reserve Bank of India is the institution responsible for conceptualising, developing, and operationalising the UDGAM portal nationwide.

56. The Unclaimed Deposit Reference Number (UDRN), assigned to each unclaimed account or deposit, is generated by banks through which of the following systems?

हर अनक्लेम्ड अकाउंट या डिपॉज़िट को दिया जाने वाला अनक्लेम्ड डिपॉज़िट रेफरेंस नंबर (UDRN), बैंक इनमें से किस सिस्टम के ज़रिए जेनरेट करते हैं?

(a) RBI reporting portal
(b) UDGAM platform
(c) Core Banking Solution (CBS)
(d) DICGC system
(e) SEBI depository framework

Answer: C

Explanation

The Unclaimed Deposit Reference Number is generated by banks through their Core Banking

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Solution systems. The Core Banking Solution is the centralised technology platform used by banks to manage customer accounts, transactions, and internal records. Since unclaimed deposits originate from banks' own account databases, CBS is the most appropriate system for generating and maintaining unique reference numbers such as UDRN. This ensures accuracy, traceability, and uniformity across branches. Neither the UDGAM portal nor external institutions generate UDRNs; they only use the reference number for search and identification.

57. The MITRA portal, which facilitates identification of unclaimed and inactive mutual fund investments, is hosted on which of the following platforms?

मित्रा पोर्टल, जो बिना क्लेम वाले और इनएक्टिव म्यूचुअल फंड इन्वेस्टमेंट की पहचान करने में मदद करता है, निम्नलिखित में से किस प्लेटफॉर्म पर होस्ट किया गया है?

(a) SEBI SCORES
(b) NSDL
(c) AMFI Portal
(d) MF Central
(e) CAMS Online

Answer: D

Explanation

The MITRA portal is hosted on **MF Central**, which serves as a unified digital platform for mutual fund investors. MF Central integrates services provided by Registrars and Transfer Agents and enables investors to access consolidated information across fund houses. Hosting MITRA on MF Central allows investors to trace unclaimed and inactive mutual fund investments efficiently using standardised search parameters. Other platforms such as SEBI SCORES, NSDL, AMFI, or CAMS Online serve different regulatory or service functions and are not designed for centralised tracing of unclaimed mutual fund investments. Therefore, MF Central is the appropriate and designated platform for hosting the MITRA portal.

58. The RBI's scheme titled Facilitating Accelerated Payout – Inoperative Accounts and Unclaimed Deposits will remain operational for a period of one year and is scheduled to conclude on which of the following dates?

भारतीय रिजर्व बैंक की "फैसिलिटेटिंग एक्सेलरेटेड पेआउट – इनऑपरेटिव अकाउंट्स और अनक्लेम्ड डिपॉजिट्स" नाम की स्कीम एक साल की अवधि के लिए चालू रहेगी और यह निम्नलिखित में से किस तारीख को खत्म होने वाली है?

(a) 31 March 2026
(b) 30 June 2026
(c) 30 September 2026
(d) 31 December 2026
(e) 31 March 2027

Answer: C

Explanation

The RBI's scheme Facilitating Accelerated Payout – Inoperative Accounts and Unclaimed Deposits has a fixed tenure of one year and is scheduled to conclude on 30 September 2026. The scheme starts from the date of its announcement and is designed as a time-bound initiative to encourage reactivation of inoperative accounts and settlement of unclaimed deposits. By clearly defining the end date, RBI aims to create urgency among banks and depositors to complete pending claims within the stipulated period. Therefore, combining both duration and timeline, the correct end date of the one-year scheme **is 30 September 2026.**

59. In the context of banking and financial systems, which of the following best explains the concept of a loan?

बैंकिंग और फाइनेंशियल सिस्टम के संदर्भ में, निम्नलिखित में से कौन सा लोन के कॉन्सेप्ट को सबसे अच्छी तरह समझाता है?

(a) A non-repayable financial grant
(b) Money received without any obligation
(c) Funds borrowed with obligation to repay principal with interest
(d) Amount received only for investment purposes
(e) Deposit accepted by banks from customers

Answer: C

Explanation

A loan refers to funds borrowed by an individual, business, or organisation from a bank or financial

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institution with a clear and legally enforceable obligation to repay the amount. The borrower is required to return the principal along with interest as per agreed terms and within a specified time period. Unlike grants or deposits, a loan creates a debtor–creditor relationship and represents a credit exposure for the lender. The purpose of the loan may vary, but repayment remains mandatory irrespective of usage.

60. A loan granted by a bank to an individual or business is classified under which category in banking terminology?

बैंकिंग शब्दावली में किसी बैंक द्वारा किसी व्यक्ति या बिज़नेस को दिए गए लोन को किस कैटेगरी में क्लासिफाई किया जाता है?

(a) Deposit liability
(b) Credit instrument
(c) Investment security
(d) Payment obligation
(e) Off-balance-sheet item

Answer: B

Explanation

A loan granted by a bank to an individual or business is classified as a **credit instrument** in banking terminology. This is because the bank extends credit to the borrower with a legally enforceable obligation to repay the principal along with interest within an agreed time period. Such transactions create a debtor–creditor relationship between the bank and the borrower. Loans form a major component of a bank's assets and generate interest income for the bank. They are distinct from deposits, which are liabilities, and from investment securities, which involve ownership claims.

61. In banking and financial terminology, principal in a loan agreement refers to which of the following components?

बैंकिंग और फाइनेंशियल शब्दावली में, लोन एग्रीमेंट में प्रिंसिपल का मतलब निम्नलिखित में से किस कॉम्पोनेंट से होता है?

(a) Total repayment amount including interest
(b) Interest charged over the loan period
(c) Monthly instalment paid by the borrower
(d) Original amount borrowed on which interest is calculated
(e) Processing fee charged by the lender

Answer: D

Explanation

In banking and financial terminology, **principal** refers to the original amount of money borrowed by the borrower from the lender under a loan agreement. It is the base amount on which interest is calculated throughout the loan tenure. The principal does not include interest, processing fees, or any other charges levied by the bank. Monthly instalments consist of both principal and interest components, but they are not the principal itself. Since interest calculations and repayment schedules are derived from this base amount, identifying the principal is essential in understanding loan cost and structure.

62. Which of the following sets of loans are secured loans, as they are backed by collateral?

निम्नलिखित में से कौन से लोन सिक्योर्ड लोन हैं, क्योंकि वे कोलैटरल द्वारा समर्थित हैं?

(a) Personal loan, education loan, credit card loan
(b) Home loan, gold loan, loan against property, loan against fixed deposit
(c) Consumer durable loan, payday loan, microfinance loan
(d) Education loan, personal loan, unsecured business loan
(e) Credit card loan, overdraft, clean loan

Answer: B

Explanation

Secured loans are those loans that are backed by collateral, which the lender can legally seize and sell in case the borrower fails to repay. In India, common examples of secured loans include home loans, gold loans, loans against property, and loans against fixed deposits. In each case, a tangible asset such as property, gold jewellery, or an existing fixed deposit is pledged as security. The presence of collateral reduces the credit risk for banks and generally allows borrowers to access funds at lower interest rates compared to unsecured loans.

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63. Which of the following features most distinctly differentiates a demand loan from a term loan in banking practice?
बैंकिंग प्रैक्टिस में निम्नलिखित में से कौन सी विशेषता डिमांड लोन को टर्म लोन से सबसे अलग करती है?

(a) Presence of collateral
(b) Lower interest rate
(c) Fixed repayment tenure
(d) Government interest subsidy
(e) Repayable on demand without prior notice

Answer: E

Explanation

A demand loan is distinctly different from a term loan primarily because it is **repayable on demand without prior notice**. In a demand loan, the lender has the right to recall the loan at any time, and the borrower must repay the outstanding amount immediately upon demand. In contrast, term loans have a fixed repayment schedule with a defined tenure and instalment structure. Factors such as collateral, interest rate, or government subsidy may vary across both types of loans and are not defining features.

64. Concessional loans are generally offered at reduced interest rates with the primary objective of promoting which of the following?
रियायती लोन आम तौर पर कम ब्याज दरों पर दिए जाते हैं, जिनका मुख्य उद्देश्य निम्नलिखित में से किसे बढ़ावा देना होता है?

(a) Short-term speculative activities
(b) Maximisation of bank profitability
(c) High-value consumer spending
(d) Inter-bank liquidity management
(e) Priority and development sectors such as agriculture and MSMEs

Answer: E

Explanation

Concessional loans are offered at reduced interest rates primarily to promote priority and development sectors such as agriculture, small businesses, and micro, small and medium enterprises. The objective of concessional lending is to support economic development, encourage productive activities, and improve access to affordable credit for sectors that are vital for employment generation and inclusive growth. Unlike commercial loans, concessional loans are not aimed at maximising bank profitability or financing speculative activities. Instead, they align with policy goals and development priorities. By lowering the cost of borrowing, such loans help strengthen priority sectors and contribute to sustainable economic growth.

65. Which of the following combinations correctly matches the secured loan with its defining characteristic?
निम्नलिखित में से कौन सा कॉम्बिनेशन सिक्योर्ड लोन को उसकी खास विशेषता के साथ सही ढंग से मैच करता है?

(a) Home Loan – Repayable on demand without fixed tenure
(b) Gold Loan – Short-term loan secured by easily liquidated collateral
(c) Loan Against Property – Unsecured loan for consumption purposes
(d) Loan Against Fixed Deposit – Loan exceeding the value of the deposit
(e) Home Loan – Loan without any asset backing

Answer: B

Explanation

In banking practice, gold loans are backed by pledged gold jewellery or coins, whose value can be quickly assessed and realised by the lender. This high liquidity enables faster sanction, minimal documentation, and relatively short tenures compared to home loans or loans against property. Home loans have long, fixed repayment tenures and are backed by residential property, not repayable on demand. Loans against property are secured, not unsecured, while loans against fixed deposits are limited to a percentage of deposit value.

66. In the context of banking and finance, unsecured loans are fundamentally different from secured loans mainly because they:
बैंकिंग और फाइनेंस के मामले में, अनसिक्योर्ड लोन सिक्योर्ड लोन से बिल्कुल अलग होते हैं, मुख्य रूप से इसलिए क्योंकि वे:

(a) They generally have shorter repayment tenures

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(b) They are offered exclusively by NBFCs
(c) They are invariably supported by government subsidies
(d) They do not involve interest payments
(e) They are sanctioned without collateral and depend entirely on borrower creditworthiness

Answer: E

Explanation

Unsecured loans are fundamentally different from secured loans because they are **sanctioned without any collateral and rely entirely on the borrower's creditworthiness**. In such loans, banks and financial institutions assess factors like income stability, credit score, repayment history, and overall financial capacity before approval. Since no tangible asset is pledged as security, the lender bears higher credit risk compared to secured loans, where recovery can be made through sale of collateral. As a result, unsecured loans generally carry higher interest rates. They are not limited to NBFCs, are not subsidy-driven by default, and always involve interest payments.

67. With reference to the SME Credit Card scheme, which of the following correctly specifies the maximum repayment periods applicable to the term loan and cash credit components?

एसएमई क्रेडिट कार्ड स्कीम के संबंध में, निम्नलिखित में से कौन सा टर्म लोन और कैश क्रेडिट कंपोनेंट पर लागू होने वाली अधिकतम रीपेमेंट अवधि को सही ढंग से बताता है?

(a) Term loan up to 3 years; cash credit up to 5 years
(b) Term loan up to 5 years; cash credit up to 3 years
(c) Both term loan and cash credit up to 1 year
(d) Term loan up to 10 years
(e) No fixed repayment period is prescribed

Answer: B

Explanation

Under the SME Credit Card scheme, the maximum repayment period differs by facility type. When the credit is structured as a term loan, repayment is permitted for a longer horizon, extending up to five years, allowing small enterprises to spread instalments comfortably. In contrast, when the facility is provided as cash credit, it is meant for short-term working capital needs and therefore carries a shorter maximum repayment period of three years. This differentiation reflects the nature of usage and risk profile of each component. Other options are incorrect because they either reverse the tenures, prescribe unrealistic durations, or ignore clearly defined limits.

68. As per the Reserve Bank of India (Pre-payment Charges on Loans) Directions, 2025, which of the following loans cannot attract prepayment penalties if sanctioned or renewed?

रिज़र्व बैंक ऑफ़ इंडिया (लोन पर प्री-पेमेंट चार्जेस) निर्देश, 2025 के अनुसार, अगर मंज़ूर या रिन्यू किए गए हों, तो इनमें से किस लोन पर प्री-पेमेंट पेनल्टी नहीं लग सकती?

(a) Fixed-rate loans to corporates
(b) Floating-rate loans to individuals and MSMEs
(c) Business loans to large enterprises
(d) Term loans to non-individual borrowers
(e) Fixed-rate working capital loans

Answer: B

Explanation

The Reserve Bank of India (Pre-payment Charges on Loans) Directions, 2025, prohibit prepayment penalties on floating-rate loans granted to individuals (for business or non-business purposes) and Micro, Small, and Medium Enterprises (MSMEs), regardless of co-obligants or repayment source, when sanctioned or renewed on or after January 1, 2026.

This applies specifically to lenders like scheduled commercial banks (excluding Small Finance Banks, RRBs, LABs), Tier 4 Primary (Urban) Co-operative Banks, NBFC-Upper Layer, and All India Financial Institutions.

69. As per the December 2025 Master Circular for Urban Co-operative Banks, at least what percentage of advances must be small-value loans by March 2026?

अर्बन कोऑपरेटिव बैंकों के लिए दिसंबर 2025 के मास्टर सर्कुलर के अनुसार, मार्च 2026 तक कम से कम कितने प्रतिशत एडवांस छोटे-वैल्यू वाले लोन होने चाहिए?

(a) 30%
(b) 40%

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(c) 50%
(d) 60%
(e) 75%

Answer: C

Explanation

As per the December 2025 Master Circular issued for Urban Co-operative Banks, at least **50% of total advances** must consist of small-value loans by **March 2026**. This requirement has been introduced to encourage greater focus on retail and small borrowers and to reduce excessive concentration of credit. By mandating a higher share of small-value loans, the Reserve Bank of India aims to strengthen financial inclusion, improve risk diversification, and align Urban Co-operative Banks more closely with their community-based banking role. The directive also reinforces prudent lending practices while supporting priority segments of the economy.

70. Which of the following entities are covered under the RBI ban on pre-payment charges for eligible floating-rate loans?

योग्य फ्लोटिंग-रेट लोन पर प्री-पेमेंट चार्ज पर RBI के बैन के तहत इनमें से कौन सी एंटिटीज़ कवर होती हैं?

(a) Scheduled Commercial Banks
(b) NBFCs and Housing Finance Companies
(c) Co-operative banks and Regional Rural Banks
(d) Commercial banks, co-operative banks, NBFCs and All India Financial Institutions
(e) Only lenders regulated under the Banking Regulation Act

Answer: D

Explanation

The RBI ban on pre-payment charges for eligible floating-rate loans applies broadly across the regulated lending ecosystem. It covers Scheduled Commercial Banks, co-operative banks, Non-Banking Financial Companies (NBFCs), and All India Financial Institutions. The wide coverage ensures uniform borrower protection and prevents regulatory arbitrage across different lender categories. By extending the prohibition beyond banks to NBFCs and AIFIs, RBI aims to promote fair competition, enhance borrower mobility, and remove restrictive clauses that discourage refinancing or lender switching.

71. Priority Sector Lending (PSL) is fundamentally different from other forms of directed credit because it:

प्रायोरिटी सेक्टर लेंडिंग (PSL) डायरेक्टेड क्रेडिट के दूसरे रूपों से मौलिक रूप से अलग है क्योंकि यह:

(a) Fixes interest rates by RBI
(b) Mandates credit allocation irrespective of borrower risk
(c) Targets structurally credit-deficient but development-critical sectors
(d) Is financed through government guarantees
(e) Applies only to public sector banks

Answer: C

Explanation

Priority Sector Lending is distinct from other forms of directed credit because it focuses on addressing structural gaps in access to institutional finance rather than imposing rigid administrative controls. PSL channels bank credit towards sectors that are development-critical but historically underserved, such as agriculture, MSMEs, education, housing, and social infrastructure. It does not involve fixation of interest rates by RBI, nor does it compel banks to ignore credit risk or depend on government guarantees. PSL applies across bank categories and seeks inclusive growth while preserving commercial decision-making.

72. The Rural Infrastructure Development Fund (RIDF), linked with Priority Sector Lending shortfalls, is operated by:

प्रायोरिटी सेक्टर लेंडिंग की कमियों से जुड़ा रूरल इंफ्रास्ट्रक्चर डेवलपमेंट फंड (RIDF) किसके द्वारा चलाया जाता है:

(a) NABARD
(b) Ministry of Finance
(c) Reserve Bank of India
(d) SIDBI
(e) State Governments

Answer: A

Explanation

The Rural Infrastructure Development Fund (RIDF), which is linked to Priority Sector Lending

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shortfalls, is operated by the **National Bank for Agriculture and Rural Development (NABARD)**. RIDF was created to channel funds from banks that fail to meet their PSL targets into rural infrastructure projects such as irrigation, roads, and social infrastructure. NABARD manages these funds and deploys them through loans to state governments and state-owned corporations, thereby ensuring that unmet priority sector obligations are redirected toward rural development objectives.

73. In the framework of Priority Sector Lending, which institution serves as the principal agency for financing and development of Micro, Small and Medium Enterprises (MSMEs)?

प्रायोरिटी सेक्टर लेंडिंग के फ्रेमवर्क में, माइक्रो, स्मॉल और मीडियम एंटरप्राइजेज (MSMEs) की फाइनेंसिंग और डेवलपमेंट के लिए कौन सी संस्था मुख्य एजेंसी के तौर पर काम करती है?

(a) NABARD
(b) RIDF
(c) SIDBI
(d) AIF
(e) SDF

Answer: C

Explanation

The institution most closely associated with **Micro, Small and Medium Enterprise (MSME) financing** under the Priority Sector Lending framework is **SIDBI**. The **Small Industries Development Bank of India (SIDBI)** is the apex financial institution dedicated to the promotion, financing, and development of MSMEs. It provides direct credit, refinancing to banks and NBFCs, and developmental support to strengthen MSME credit flow. In contrast, NABARD focuses on agriculture and rural development, while RIDF, AIF, and SDF serve different policy objectives.

74. Which of the following best explains why Non-Performing Assets (NPAs) are excluded while computing Adjusted Net Bank Credit?

निम्नलिखित में से कौन सा सबसे अच्छी तरह बताता है कि एडजस्टेड नेट बैंक क्रेडिट की गणना करते समय नॉन-परफॉर्मिंग एसेट्स (NPA) को क्यों बाहर रखा जाता है?

(a) NPAs earn no interest
(b) NPAs represent non-recoverable credit exposure
(c) NPAs are government-guaranteed
(d) NPAs are already refinanced
(e) NPAs belong to priority sector only

Answer: B

Explanation

Non-Performing Assets are excluded while computing **Adjusted Net Bank Credit (ANBC)** because they represent **credit exposure that is no longer productive or recoverable in normal course**. Since NPAs do not generate effective credit flow to the economy, including them would overstate a bank's actual lending capacity. Excluding NPAs ensures that Priority Sector Lending targets are calculated on the basis of **performing, usable credit**, thereby reflecting the true ability of banks to support priority and development-oriented sectors.

75. As per the new rule effective from 16 July 2025(recent update), all Central Government Department payments exceeding _____ must be routed through e-Kuber:

16 जुलाई से लागू नए नियम (हालिया अपडेट) के अनुसार, केंद्र सरकार के सभी डिपार्टमेंट में _____ से ज़्यादा के पेमेंट ई-कुबेर के ज़रिए ही किए जाने चाहिए:

(a) ₹50 crore
(b) ₹75 crore
(c) ₹100 crore
(d) ₹500 crore
(e) ₹1,000 crore

Answer: B

Explanation

- New rule (from 16 July 2025 recent update): > ₹75 crore mandatory via e-Kuber.
- Applies to all Central Government Department payments.
- Earlier threshold was ₹500 crore.
- Aims to reduce manual intervention for high-value transactions.
- Certain categories have ₹100 crore threshold.

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- Future target proposed even lower (₹50 crore).

76. Which of the following is NOT a key sector covered under Priority Sector Lending (PSL)?
निम्नलिखित में से कौन सा प्रायोरिटी सेक्टर लेंडिंग (PSL) के तहत कवर किया गया मुख्य सेक्टर नहीं है?

(a) Agriculture
(b) Micro, Small and Medium Enterprises (MSME)
(c) Education
(d) Capital Market Investments
(e) Renewable Energy

Answer: D

Explanation

The sector **not covered** under Priority Sector Lending is **Capital Market Investments**. PSL focuses on directing institutional credit to development-oriented and underserved sectors such as agriculture, MSMEs, education, and renewable energy. Capital market investments are speculative and market-driven in nature, aimed at wealth creation rather than inclusive development, and therefore fall outside the scope of Priority Sector Lending.

77. For Domestic Commercial Banks (excluding RRBs and SFBs), the overall Priority Sector Lending target is fixed at:
घरेलू कमर्शियल बैंकों (RRB और SFB को छोड़कर) के लिए, कुल प्रायोरिटी सेक्टर लेंडिंग टारगेट तय किया गया है:

(a) 32% of ANBC
(b) 40% of ANBC or CEOBSE, whichever is higher
(c) 75% of ANBC or CEOBSE, whichever is higher
(d) 18% of ANBC
(e) 12% of ANBC

Answer: B

Explanation

For **Domestic Commercial Banks** (excluding Regional Rural Banks and Small Finance Banks), the **overall Priority Sector Lending (PSL) target** is fixed at **40% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent of Off-Balance Sheet Exposure (CEOBSE), whichever is higher**. This benchmark ensures that a substantial portion of bank credit is directed towards priority and development-oriented sectors such as agriculture, MSMEs, education, housing, and social infrastructure.

78. Which category of banks has a Priority Sector Lending target of 75% of ANBC, making it the highest among all bank types?
किस कैटेगरी के बैंकों का प्रायोरिटी सेक्टर लेंडिंग टारगेट एएनबीसी का 75% है, जो सभी तरह के बैंकों में सबसे ज़्यादा है?

(a) Foreign Banks with more than 20 branches
(b) Foreign Banks with less than 20 branches
(c) Domestic Commercial Banks
(d) Regional Rural Banks
(e) Payments Banks

Answer: D

Explanation

The bank category with the **highest Priority Sector Lending target of 75% of ANBC** is **Regional Rural Banks (RRBs)**. RRBs are specifically designed to serve rural and semi-urban areas, with a strong mandate to support agriculture, MSMEs, and weaker sections. To reflect their developmental role and local focus, RBI prescribes a substantially higher PSL target for RRBs compared to domestic commercial banks and foreign banks.

79. A loan becomes a Non-Performing Asset (NPA) when interest and/or principal remains overdue for more than:
कोई लोन नॉन-परफॉर्मिंग एसेट (NPA) तब बन जाता है जब ब्याज और/या मूलधन इससे ज़्यादा समय तक बकाया रहता है:

(a) 30 days
(b) 60 days
(c) 75 days
(d) 90 days
(e) 120 days

Answer: D

Explanation

- A loan is treated as a Non-Performing Asset when scheduled repayments are not made on time.
- The RBI has prescribed a specific time limit to identify persistent default.

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- If interest and/or principal remains unpaid **beyond 90 days**, the account is classified as NPA.
- Short-term delays like 30 or 60 days fall under stress categories, not NPA.
- The 90-day norm ensures uniform asset classification across banks.

80. The establishment of the first Asset Reconstruction Company (ARC) in India under the SARFAESI Act was based on the recommendations of which committee, and which entity became that first ARC?

सरफेसी एक्ट के तहत भारत में पहली एसेट रिकंस्ट्रक्शन कंपनी (ARC) की स्थापना किस कमिटी की सिफारिशों पर आधारित थी, और कौन सी एंटिटी वह पहली एसेट रिकंस्ट्रक्शन कंपनी (ARC) बनी?

(a) Rangarajan Committee – NARCL
(b) Kelkar Committee – PARA
(c) Malegam Committee – IDRCL
(d) Narasimham Committee – ARCIL
(e) Urjit Patel Committee – SBI ARC

Answer: D

Explanation

- Asset Reconstruction Companies (ARCs) were conceptualised to tackle the growing problem of **Non-Performing Assets (NPAs)** in the banking system.
- The **Narasimham Committee (1998)** on Banking Sector Reforms recommended the creation of ARCs.
- The objective was to allow banks and financial institutions to **transfer bad loans** and clean up their balance sheets.
- This recommendation was implemented through the **SARFAESI Act, 2002**, which provided a legal framework for ARCs.
- Under the SARFAESI Act, the **first ARC in India was set up in 2002**.
- The first ARC was **Asset Reconstruction Company (India) Limited (ARCIL)**.
- ARCIL was promoted jointly by **State Bank of India (SBI), ICICI Bank, Punjab National Bank (PNB), and IDBI Bank**.

81. Under Priority Sector Lending, the overall agriculture lending target for applicable banks is fixed at:

प्रायोरिटी सेक्टर लेंडिंग के तहत, लागू बैंकों के लिए कुल कृषि लेंडिंग टारगेट तय किया गया है:

(a) 12% of ANBC
(b) 15% of ANBC
(c) 18% of ANBC
(d) 20% of ANBC
(e) 25% of ANBC

Answer: C

Explanation

Under **Priority Sector Lending**, the **overall agriculture lending target** for applicable banks is fixed at **18% of Adjusted Net Bank Credit (ANBC)**. This target is intended to ensure adequate flow of institutional credit to agriculture and allied activities, which remain critical for rural livelihoods and economic stability. Within this overall target, specific sub-targets—such as lending to Small and Marginal Farmers—further strengthen inclusiveness and balanced agricultural credit distribution.

82. Under Agriculture Infrastructure within Priority Sector Lending, the maximum aggregate exposure per borrower permitted from the banking system is:

प्रायोरिटी सेक्टर लेंडिंग के तहत एग्रीकल्चर इंफ्रास्ट्रक्चर में, बैंकिंग सिस्टम से प्रति उधारकर्ता अधिकतम कुल एक्सपोज़र की अनुमति है:

(a) ₹50 crore
(b) ₹75 crore
(c) ₹90 crore
(d) ₹100 crore
(e) No prescribed ceiling

Answer: D

Explanation

Under **Agriculture Infrastructure** within the Priority Sector Lending framework, the **maximum aggregate exposure per borrower** permitted from the banking system is **₹100 crore**. This relatively higher ceiling is intended to support capital-intensive investments in agricultural infrastructure such as warehouses, cold storage,

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logistics, and processing facilities, which are essential for strengthening the agricultural value chain and reducing post-harvest losses.

83.Under Priority Sector Lending, Farm Credit to Corporate Farmers / FPOs / FPCs / partnerships / co-operatives is eligible subject to which maximum loan limit per borrowing entity?

प्रायोरिटी सेक्टर लेंडिंग के तहत, कॉर्पोरेट किसानों / FPOs / FPCs / पार्टनरशिप / को-ऑपरेटिव्स को फार्म क्रेडिट दिया जा सकता है, जिसके लिए प्रति उधार लेने वाली इकाई अधिकतम लोन लिमिट कितनी है?

(a) ₹2.5 crore
(b) ₹4 crore
(c) ₹7.5 crore
(d) ₹10 crore
(e) No upper limit

Answer: B

Explanation

Under Priority Sector Lending, **Farm Credit to Corporate Farmers, FPOs, FPCs, partnership firms, and co-operatives of farmers** is eligible subject to a **maximum loan limit of ₹4 crore per borrowing entity**. This ceiling ensures that priority sector benefits remain focused on supporting agricultural production, pre- and post-harvest activities, and allied operations of farmer-based collectives, rather than large commercial agribusinesses. The limit helps balance the objective of scaling farm operations through collective entities while preserving the developmental and inclusive intent of agricultural credit under the PSL framework.

84. Under Priority Sector Lending norms, education loans eligible for classification are restricted to a maximum amount of:

प्रायोरिटी सेक्टर लेंडिंग नियमों के तहत, क्लासिफिकेशन के लिए एलिजिबल एजुकेशन लोन की अधिकतम राशि सीमित है:

(a) ₹10 lakh
(b) ₹15 lakh
(c) ₹20 lakh
(d) ₹25 lakh
(e) No upper limit

Answer: D

Explanation

Under Priority Sector Lending norms, **education loans eligible for PSL classification are restricted to a maximum amount of ₹25 lakh**. This cap applies to loans granted to individuals for educational purposes, including vocational and professional courses, whether pursued in India or abroad. The limit ensures that priority sector benefits are targeted toward students from middle- and lower-income backgrounds who face constraints in accessing institutional finance. By prescribing a clear ceiling, RBI balances the objective of promoting human capital formation with prudent credit allocation, preventing high-value education loans from diluting the developmental intent of PSL.

85. For repairs to damaged dwelling units located in centres with population of 50 lakh and above, the maximum PSL-eligible loan amount is:

50 लाख और उससे ज़्यादा आबादी वाले शहरों में खराब हुए घरों की मरम्मत के लिए, ज़्यादा से ज़्यादा पीएसएल-योग्य लोन की रकम यह है:

(a) ₹10 lakh
(b) ₹12 lakh
(c) ₹15 lakh
(d) ₹50 lakh
(e) ₹63 lakh

Answer: C

Explanation

For repairs to damaged dwelling units located in centres with a **population of 50 lakh and above**, the **maximum PSL-eligible loan amount is ₹15 lakh**. This limit ensures that priority sector housing support in large metropolitan areas remains focused on essential repairs and improvements rather than extensive renovation or luxury upgrades. Along with population-based thresholds, this ceiling helps RBI align repair loans with the objective of affordable housing and basic living conditions, while preventing misuse of Priority Sector Lending benefits in high-value urban real estate markets.

86. Loans extended by banks to government agencies for construction of dwelling units or slum clearance and rehabilitation qualify under PSL only

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when the carpet area per dwelling unit does not exceed:

सरकारी एजेंसियों को बैंकों द्वारा घर बनाने या झुग्गी-झोपड़ी हटाने और पुनर्वास के लिए दिए गए लोन PSL के तहत तभी माने जाएंगे, जब प्रति घर का कारपेट एरिया इससे ज़्यादा न हो:

(a) 75 sq. m
(b) 60 sq. m
(c) 50 sq. m
(d) 45 sq. m
(e) No limit

Answer: B

Explanation

Loans extended by banks to **government agencies** for **construction of dwelling units or slum clearance and rehabilitation** qualify under **Priority Sector Lending** only when the **carpet area per dwelling unit does not exceed 60 square metres**. This condition ensures that such lending supports **affordable housing** and rehabilitation of economically weaker sections rather than larger or premium housing units. By prescribing a carpet area ceiling, RBI aligns PSL housing benefits with social welfare objectives and prevents misuse of priority sector classification for non-inclusive urban housing projects.

87. Loans to individual women beneficiaries qualify under Weaker Sections up to ₹2 lakh per borrower, except when extended by:

व्यक्तिगत महिला लाभार्थियों को दिए गए लोन, प्रति उधारकर्ता ₹2 लाख तक वीकर सेक्शन के तहत आते हैं, सिवाय जब वे इनके द्वारा दिए गए हों:

(a) Public Sector Banks
(b) Private Sector Banks
(c) Regional Rural Banks
(d) Small Finance Banks
(e) Urban Co-operative Banks

Answer: E

Explanation

Loans to **individual women beneficiaries** qualify under the **Weaker Sections** category of Priority Sector Lending up to **₹2 lakh per borrower**, **except when extended by Urban Co-operative Banks (UCBs)**. For UCBs, this monetary ceiling is not applicable, reflecting a differentiated regulatory treatment aligned with their cooperative structure and localised operations. The general ₹2 lakh cap ensures that weaker section benefits remain focused on small-value, inclusion-oriented lending. This provision strengthens gender-focused financial inclusion while allowing UCBs greater flexibility in supporting women borrowers within their specific regulatory framework.

88. Which of the following best describes the institutional position of the Reserve Bank of India in the Indian financial system?

निम्नलिखित में से कौन सा भारतीय वित्तीय प्रणाली में रिज़र्व बैंक ऑफ़ इंडिया की संस्थागत स्थिति का सबसे अच्छा वर्णन करता है?

(a) A commercial bank owned by the Government
(b) A statutory regulatory authority under SEBI
(c) The apex monetary authority and central bank of India
(d) A development finance institution
(e) An autonomous cooperative body

Answer: C

Explanation

The Reserve Bank of India occupies the position of the **apex monetary authority and central bank** of the Indian financial system. Unlike commercial banks, it does not accept public deposits or lend for profit. Instead, RBI is responsible for **formulating and implementing monetary policy**, regulating and supervising banks, managing currency issuance, and maintaining overall financial stability. It controls money supply and credit conditions to achieve macroeconomic objectives such as price stability and growth. RBI also manages foreign exchange reserves and oversees payment and settlement systems. Hence, its institutional role is that of a central bank, not a development finance institution, cooperative body, or regulator under SEBI.

89. The statutory provision for the establishment of the Reserve Bank of India was made under which of the following Acts?

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रिज़र्व बैंक ऑफ़ इंडिया की स्थापना के लिए वैधानिक प्रावधान निम्नलिखित में से किस अधिनियम के तहत किया गया था?

(a) Banking Regulation Act, 1949
(b) Reserve Bank of India Act, 1934
(c) Reserve Bank of India Act, 1935
(d) Government of India Act, 1935
(e) Companies Act, 1932

Answer: B

Explanation

The statutory basis for the establishment of the Reserve Bank of India is provided under the **Reserve Bank of India Act, 1934**. This Act laid down the legal framework for setting up India's central bank, defining its objectives, functions, governance structure, and powers. Although RBI commenced operations in 1935, the enabling legislation was enacted a year earlier. Other Acts such as the Banking Regulation Act, 1949 deal with commercial banks, while the Government of India Act, 1935 addressed constitutional governance. Therefore, the RBI Act, 1934 remains the foundational law governing the creation and functioning of the Reserve Bank of India.

90. On which of the following dates did the Reserve Bank of India commence its operations as India's central banking institution?

निम्नलिखित में से किस तारीख को रिज़र्व बैंक ऑफ़ इंडिया ने भारत के सेंट्रल बैंकिंग संस्थान के तौर पर अपना काम शुरू किया था?

(a) 1 April 1935
(b) 1 January 1934
(c) 15 August 1947
(d) 1 January 1949
(e) 26 January 1950

Answer: A

Explanation

The Reserve Bank of India **commenced its operations on 1 April 1935**, marking the beginning of central banking in India. Although the RBI Act was passed in 1934, the institution became operational a year later. This date is significant as it distinguishes the **enactment of legislation from the start of functioning**. RBI began performing core central banking roles such as currency issuance, banker to government, and regulation of the banking system from this date. Other dates like 1947 and 1950 relate to Independence and the Constitution, while 1949 marks nationalisation. Hence, 1 April 1935 is the correct operational commencement date.

91. By operating the credit and currency system of the country to its advantage, the Reserve Bank of India primarily seeks to:

देश के क्रेडिट और करेंसी सिस्टम को अपने फायदे के लिए ऑपरेट करके, रिज़र्व बैंक ऑफ़ इंडिया मुख्य रूप से ये चाहता है:

(a) Promote private sector lending
(b) Eliminate foreign exchange risk
(c) Maximise government profits
(d) Achieve monetary and financial stability
(e) Regulate capital markets

Answer: D

Explanation

By operating the credit and currency system of the country, the Reserve Bank of India primarily aims to achieve **monetary and financial stability**. RBI regulates the supply of money and credit to ensure that economic growth is not accompanied by excessive inflation or instability. A stable credit and currency system supports confidence in the financial system, ensures smooth functioning of banks, and promotes sustainable growth. The objective is not to maximise profits or regulate capital markets directly, which fall under other authorities like SEBI. Thus, managing currency issuance and credit flow helps RBI maintain stability across the financial and economic system.

92. The establishment of the Reserve Bank of India was preceded by the recommendations of which of the following bodies?

भारतीय रिज़र्व बैंक की स्थापना से पहले निम्नलिखित में से किस संस्था की सिफारिशें की गई थीं?

(a) Radcliffe Committee
(b) Royal Commission on Indian Currency and Finance
(c) Banking Commission of India

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(d) Narasimham Committee
(e) Chamberlain Commission

Answer: B

Explanation

The establishment of the Reserve Bank of India was preceded by the recommendations of the **Royal Commission on Indian Currency and Finance**, constituted in 1926. This commission examined India's monetary system and highlighted the need for a central banking institution to regulate currency and credit. Based on its recommendations, the Reserve Bank of India Act, 1934 was enacted, leading to the establishment of RBI in 1935. Other commissions listed either dealt with constitutional or administrative reforms or came later. Hence, the Royal Commission on Indian Currency and Finance played the most crucial role in laying the foundation for India's central bank.

93. Which of the following role–function pairings of a central bank is incorrectly matched?
सेंट्रल बैंक के निम्नलिखित रोल-फंक्शन पेयरिंग में से कौन सा गलत तरीके से मैच किया गया है?

(a) Monetary Authority – Price stability
(b) Financial Supervision – Depositor protection
(c) Foreign Exchange Management – Orderly foreign exchange markets
(d) Currency & Payment Systems – Fiscal policy formulation
(e) Banker to Government – Maintenance of government accounts

Answer: D

Explanation

The incorrectly matched role–function pairing is **Currency & Payment Systems – Fiscal policy formulation**. Fiscal policy formulation is the responsibility of the government, not the central bank. The central bank's role in currency and payment systems involves issuing currency, ensuring adequate supply of clean notes, and maintaining secure and efficient payment mechanisms. Other pairs are correctly matched: monetary authority focuses on price stability, financial supervision aims at depositor protection, foreign exchange management ensures orderly forex markets, and banker to government involves maintaining government accounts.

94.When the Reserve Bank of India commenced its operations, the office of the Governor was first held by _____, while the distinction of being the first Indian Governor of the RBI belongs to _____.
जब रिज़र्व बैंक ऑफ़ इंडिया ने अपना काम शुरू किया, तो गवर्नर का पद सबसे पहले _____ ने संभाला था, जबकि भारतीय रिजर्व बैंक के पहले भारतीय गवर्नर होने का गौरव _____ को मिला।

(a) James Taylor; Raghuram Rajan
(b) James Taylor; C. D. Deshmukh
(c) Osborne Smith; Bimal Jalan
(d) Osborne Smith; C. D. Deshmukh
(e) Raghuram Rajan; Urjit Patel

Answer: D

Explanation

When the Reserve Bank of India commenced operations in 1935, **Osborne Smith** was appointed as its first Governor, reflecting the colonial administrative structure of that period. He was a British banker and served during the early formative years of RBI. The distinction of being the **first Indian Governor** of the RBI belongs to **C. D. Deshmukh**, who assumed office in 1943. His appointment marked an important transition toward Indian leadership in key financial institutions before Independence. Options mentioning later governors or incorrect personalities are factually wrong. Hence, the correct pairing is Osborne Smith as the first Governor and C. D. Deshmukh as the first Indian Governor.

95. The Reserve Bank of India has four zonal offices representing different regions of the country. Which of the following correctly lists these offices?
भारतीय रिज़र्व बैंक के देश के अलग-अलग क्षेत्रों को रिप्रेजेंट करने वाले चार ज़ोनल ऑफिस हैं। इनमें से कौन सा ऑप्शन इन ऑफिसों की सही लिस्ट बताता है?

(a) Delhi, Chennai, Mumbai, Kolkata
(b) Mumbai, Kolkata, Hyderabad, Delhi
(c) Chennai, Bengaluru, Delhi, Mumbai

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(d) Kolkata, Mumbai, Jaipur, Chennai
(e) Delhi, Mumbai, Pune, Kolkata

Answer: A

Explanation

The Reserve Bank of India has **four zonal offices** to administer and supervise its functions across different regions of the country. These are located at **Kolkata (East), Mumbai (West), Delhi (North), and Chennai (South)**. This zonal structure helps RBI decentralise operations while maintaining effective regional oversight. Other options incorrectly include cities such as Hyderabad, Bengaluru, Jaipur, or Pune, which are not zonal headquarters.

96.Ways and Means Advances (WMA) provided by the Reserve Bank of India to the Central and State Governments are best described as:

रिज़र्व बैंक ऑफ़ इंडिया द्वारा केंद्र और राज्य सरकारों को दिए जाने वाले वेज़ एंड मीन्स एडवांसेज़ (WMA) को सबसे अच्छे तरीके से इस तरह बताया जा सकता है:

(a) Long-term loans for financing fiscal deficit
(b) Permanent monetisation of government expenditure
(c) Market borrowings raised through treasury bills
(d) Grants given to governments without repayment obligation
(e) Temporary advances to bridge short-term mismatches in receipts and payments

Answer: E

Explanation

Ways and Means Advances (WMA) are **temporary advances** extended by the Reserve Bank of India to the Central and State Governments to bridge **short-term mismatches between receipts and expenditures**. These advances are meant to ensure smooth government cash management and avoid payment disruptions. WMAs are short-term in nature, generally repayable within **three months**, and are provided within prescribed limits at interest rates linked to the repo rate. They replaced the earlier system of ad-hoc treasury bills. Importantly, WMAs are **not instruments of deficit financing**, as they do not permanently increase money supply and must be repaid within a short period, maintaining fiscal and monetary discipline.

97. The Repo Rate is best defined as the rate at which the Reserve Bank of India:

रेपो रेट को सबसे अच्छे तरीके से इस तरह से समझा जा सकता है कि यह वह रेट है जिस पर भारतीय रिज़र्व बैंक:

(a) Borrows funds from commercial banks by selling government securities
(b) Lends short-term funds to commercial banks against government securities under a repurchase agreement
(c) Provides long-term credit to financial institutions for development purposes
(d) Accepts deposits from banks to absorb excess liquidity
(e) Fixes interest rates for government borrowings

Answer: B

Explanation

The Repo Rate is the **interest rate at which the Reserve Bank of India lends short-term funds to commercial banks** against government securities under a **repurchase agreement**. In this arrangement, banks sell government securities to the RBI with an agreement to repurchase them at a predetermined price on a future date. The repo rate is a crucial monetary policy tool used to regulate liquidity and control inflation. When the repo rate is lowered, borrowing becomes cheaper for banks, leading to lower lending rates and EMIs. Conversely, an increase in repo rate tightens liquidity and curbs inflationary pressures in the economy.

98.The Central Board of Directors of the Reserve Bank of India is appointed or nominated by which authority?

रिज़र्व बैंक ऑफ़ इंडिया के सेंट्रल बोर्ड ऑफ़ डायरेक्टर्स को किस अथॉरिटी द्वारा नियुक्त या नॉमिनेट किया जाता है?

(a) Parliament of India
(b) Reserve Bank of India
(c) Ministry of Corporate Affairs
(d) Government of India
(e) President of India independently

Answer: D

Explanation

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The **Central Board of Directors of the Reserve Bank of India** is appointed or nominated by the **Government of India**, in accordance with the provisions of the Reserve Bank of India Act. This ensures public accountability and alignment of the central bank's governance with national economic objectives. While RBI functions independently in monetary policy matters, the appointment power rests with the government to maintain institutional oversight. Parliament, RBI itself, or individual constitutional authorities like the President do not independently appoint the board. The board comprises official directors, non-official directors nominated by the government, and representatives from local boards, reflecting a structured and statutory governance framework.

99. Members of the Central Board of Directors of the Reserve Bank of India are appointed or nominated by the Government of India for a tenure of:

रिज़र्व बैंक ऑफ़ इंडिया के सेंट्रल बोर्ड ऑफ़ डायरेक्टर्स के सदस्यों को भारत सरकार द्वारा इतने समय के लिए नियुक्त या नॉमिनेट किया जाता है:

(a) 2 years
(b) 3 years
(c) 4 years
(d) 5 years
(e) 6 years

Answer: C

Explanation

Members of the Central Board of Directors of the Reserve Bank of India are appointed or nominated by the Government of India for a **tenure of four years**. This fixed tenure provides continuity and stability in the governance of the central bank while allowing periodic renewal of leadership and expertise. The tenure applies to both official and non-official directors, subject to provisions of the RBI Act. A four-year term strikes a balance between independence and accountability, ensuring that policy decisions are not influenced by frequent changes in leadership.

100. The Deposit Insurance and Credit Guarantee Corporation (DICGC), which functions as a wholly owned subsidiary of the Reserve Bank of India for providing deposit insurance to bank depositors, is headed by which of the following authorities?

डिपॉजिट इंश्योरेंस एंड क्रेडिट गारंटी कॉर्पोरेशन (DICGC), जो बैंक जमाकर्ताओं को डिपॉजिट इंश्योरेंस देने के लिए भारतीय रिज़र्व बैंक की पूरी तरह से स्वामित्व वाली सहायक कंपनी के रूप में काम करता है, उसका प्रमुख इनमें से कौन सा अधिकारी होता है?

(a) Governor of the Reserve Bank of India
(b) Finance Secretary, Government of India
(c) Deputy Governor of the Reserve Bank of India
(d) Chairman nominated by the Parliament
(e) Chief Executive Officer of a public sector bank

Answer: C

Explanation

The **Deposit Insurance and Credit Guarantee Corporation (DICGC)** is a **wholly owned subsidiary of the Reserve Bank of India (RBI)** and plays a crucial role in protecting bank depositors by providing deposit insurance coverage. The **head of the DICGC is a Deputy Governor of the Reserve Bank of India**, who functions as its Chairperson. This arrangement ensures close coordination between the RBI and DICGC in matters relating to banking stability and depositor protection. The Governor of RBI does not directly head the corporation, nor is it led by the Finance Secretary, Parliament-nominated chairman, or a public sector bank executive.

101. Under the Deposit Insurance and Credit Guarantee Corporation (DICGC) scheme, the maximum amount insured per depositor (including principal and interest) is:

डिपॉजिट इंश्योरेंस एंड क्रेडिट गारंटी कॉर्पोरेशन (DICGC) स्कीम के तहत, प्रति जमाकर्ता (मूलधन और ब्याज सहित) अधिकतम बीमित राशि है:

(a) ₹2 lakh
(b) ₹2.5 lakh
(c) ₹3 lakh
(d) ₹5 lakh
(e) ₹10 lakh

Answer: D

Explanation

Under the **Deposit Insurance and Credit Guarantee Corporation (DICGC)** scheme, the

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maximum amount insured per depositor is ₹5 lakh, which includes both **principal and accrued interest**. This insurance limit applies **per depositor per bank**, irrespective of the number of deposit accounts held in the same bank. The objective of this coverage is to protect small and retail depositors and maintain public confidence in the banking system. The insurance becomes payable in case a bank fails or is liquidated. Earlier, the coverage limit was ₹1 lakh, which was enhanced to ₹5 lakh to strengthen depositor protection.

102. With reference to the Deposit Insurance coverage provided by the Deposit Insurance and Credit Guarantee Corporation (DICGC), which of the following categories of banks does NOT fall within the scope of insured banks, as per the provisions of the DICGC Act?

डिपॉजिट इंश्योरेंस एंड क्रेडिट गारंटी कॉर्पोरेशन (DICGC) द्वारा दिए गए डिपॉजिट इंश्योरेंस कवरेज के संबंध में, डिपॉजिट इंश्योरेंस एंड क्रेडिट गारंटी कॉर्पोरेशन (DICGC) एक्ट के प्रावधानों के अनुसार, बैंकों की इनमें से कौन सी कैटेगरी इंश्योर्ड बैंकों के दायरे में नहीं आती है?

(a) Commercial banks
(b) Regional Rural Banks
(c) Local Area Banks
(d) Eligible cooperative banks
(e) State Land Development Banks

Answer: E

Explanation

Under the **Deposit Insurance and Credit Guarantee Corporation (DICGC) Act**, deposit insurance coverage is extended to **commercial banks, Regional Rural Banks (RRBs), Local Area Banks, and eligible cooperative banks** operating in India. However, **State Land Development Banks (SLDBs)** do **not** fall within the scope of insured banks under the DICGC framework. Deposits of SLDBs, particularly those maintained with State cooperative banks, are specifically excluded from insurance coverage. This exclusion is based on the specialised nature and operational structure of these institutions.

103. The Reserve Bank Innovation Hub (RBIH), established to strengthen innovation and technological expertise within the RBI ecosystem, is headquartered at:

रिज़र्व बैंक इकोसिस्टम में इनोवेशन और टेक्नोलॉजिकल विशेषज्ञता को मज़बूत करने के लिए स्थापित रिज़र्व बैंक इनोवेशन हब (RBIH) का मुख्यालय यहाँ है:

(a) Mumbai
(b) Hyderabad
(c) Bengaluru
(d) Chennai
(e) Pune

Answer: C

Explanation

The **Reserve Bank Innovation Hub (RBIH)** was established by the **Reserve Bank of India in 2022** to promote innovation, foster applied research, and build advanced technological capabilities within the RBI ecosystem. The hub plays a key role in supporting fintech innovation, digital public infrastructure, and technology-driven solutions for the financial sector. The **headquarters of RBIH is located in Bengaluru**, a city widely recognised as India's technology and innovation hub. Locating RBIH in Bengaluru enables close collaboration with technology firms, startups, and research institutions.

104. The Unified Lending Interface (ULI) introduced by the Reserve Bank of India is best described as a:

भारतीय रिज़र्व बैंक द्वारा पेश किए गए यूनिफाइड लेंडिंग इंटरफ़ेस (ULI) को सबसे अच्छे तरीके से इस तरह बताया जा सकता है:

(a) Digital public infrastructure for facilitating credit delivery
(b) Supervisory technology platform for banks
(c) Digital payment settlement system
(d) Core banking replacement framework
(e) Credit guarantee mechanism for MSMEs

Answer: A

Explanation

The **Unified Lending Interface (ULI)** introduced by the **Reserve Bank of India** is best described as a **digital public infrastructure designed to**

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facilitate seamless credit delivery. Its primary objective is to enable **frictionless and secure flow of borrower data** among lenders, service providers, and data sources, thereby improving credit access, especially for **farmers and MSMEs**. ULI does not function as a payment system, supervisory tool, core banking platform, or credit guarantee mechanism. Instead, it acts as a common technological framework that reduces information asymmetry, lowers transaction costs, and speeds up loan processing.

105. Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL) manages currency note printing presses at which of the following locations?

भारतीय रिज़र्व बैंक नोट मुद्रण प्राइवेट लिमिटेड (BRBNMPL) इनमें से किन जगहों पर करेंसी नोट प्रिंटिंग प्रेस का मैनेजमेंट करती है?

(a) Nashik and Dewas
(b) Salboni and Dewas
(c) Mysore and Salboni
(d) Nashik and Mysore
(e) Dewas and Mysore

Answer: C

Explanation

Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL) is a wholly owned subsidiary of the **Reserve Bank of India** responsible for printing Indian currency notes. To carry out this function, BRBNMPL operates **two currency note printing presses**, one located at **Mysore in Karnataka** and the other at **Salboni in West Bengal**. These presses were established to augment the currency printing capacity of the country and reduce dependence on older government presses.

106. Which of the following subsidiaries of the Reserve Bank of India are headquartered in Mumbai?

रिज़र्व बैंक ऑफ़ इंडिया की इनमें से किन सब्सिडियरी कंपनियों का हेडक्वार्टर मुंबई में है?

(a) BRBNMPL only
(b) ReBIT only
(c) IFTAS only
(d) ReBIT and IFTAS
(e) BRBNMPL and ReBIT

Answer: D

Explanation

Among the subsidiaries of the **Reserve Bank of India (RBI)**, both **Reserve Bank Information Technology Private Limited (ReBIT)** and **Indian Financial Technology and Allied Services (IFTAS)** are **headquartered in Mumbai**. ReBIT, established in 2016, provides IT and cybersecurity support to the RBI and the broader financial system, while IFTAS, set up in 2014, delivers technology and allied services to RBI and its regulated entities. In contrast, **Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL)** is headquartered in **Bengaluru**, not Mumbai.

107. Which of the following options correctly differentiates the Security Printing and Minting Corporation of India Limited (SPMCIL) from Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL)?

निम्नलिखित में से कौन सा ऑप्शन सिक्योरिटी प्रिंटिंग एंड मिंटिंग कॉर्पोरेशन ऑफ इंडिया लिमिटेड (SPMCIL) और भारतीय रिज़र्व बैंक नोट मुद्रण प्राइवेट लिमिटेड (BRBNMPL) के बीच सही अंतर बताता है?

(a) Both are subsidiaries of the Reserve Bank of India
(b) SPMCIL functions under the Ministry of Finance, while BRBNMPL is under the Reserve Bank of India
(c) SPMCIL is under the Department of Financial Services, while BRBNMPL is under the Department of Economic Affairs
(d) Both are under the Coin and Currency Division of the Ministry of Finance
(e) BRBNMPL is a Government of India PSU, while SPMCIL is an RBI subsidiary

Answer: B

Explanation

The **Security Printing and Minting Corporation of India Limited (SPMCIL)** and **Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL)** differ mainly in terms of **ownership and administrative control**. **SPMCIL** is a

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Government of India public sector undertaking functioning under the **Ministry of Finance**, specifically the **Coin and Currency Division of the Department of Economic Affairs**, and is responsible for printing and minting activities for the Government of India. In contrast, **BRBNMPL** is a **wholly owned subsidiary of the Reserve Bank of India**, established to print banknotes on behalf of the RBI.

108. Which of the following sets of locations correctly identifies the four mints operated under the Security Printing and Minting Corporation of India Limited (SPMCIL)?

निम्नलिखित में से कौन सा लोकेशन का सेट सिक्योरिटी प्रिंटिंग एंड मिंटिंग कॉर्पोरेशन ऑफ इंडिया लिमिटेड (SPMCIL) के तहत चलाए जा रहे चार मिंट्स की सही पहचान करता है?

(a) Mumbai, Kolkata, Hyderabad and Noida
(b) Mumbai, Chennai, Hyderabad and Noida
(c) Kolkata, Chennai, Hyderabad and Bengaluru
(d) Mumbai, Kolkata, Noida and Bengaluru
(e) Delhi, Kolkata, Hyderabad and Noida

Answer: A

Explanation

The **Security Printing and Minting Corporation of India Limited (SPMCIL)** operates **four mints** that are responsible for the production of coins for circulation in India. These mints are strategically located to ensure efficient coin distribution across the country. The four operational mints of SPMCIL are situated at **Mumbai (Maharashtra), Kolkata (West Bengal), Hyderabad (Telangana), and Noida (Uttar Pradesh)**. These facilities function under the administrative control of the **Ministry of Finance, Government of India**, and play a crucial role in meeting the nation's coinage requirements.

109. At which of the following locations does the Security Printing and Minting Corporation of India Limited (SPMCIL) operate its security paper mill for the production of paper used in banknotes, non-judicial stamps, and passports?

निम्नलिखित में से किस जगह पर सिक्योरिटी प्रिंटिंग एंड मिंटिंग कॉर्पोरेशन ऑफ इंडिया लिमिटेड (SPMCIL) बैंकनोट, नॉन-ज्यूडिशियल स्टैम्प और पासपोर्ट में इस्तेमाल होने वाले कागज़ के प्रोडक्शन के लिए अपनी सिक्योरिटी पेपर मिल चलाता है?

(a) Dewas, Madhya Pradesh
(b) Salboni, West Bengal
(c) Mysuru, Karnataka
(d) Narmadapuram, Madhya Pradesh
(e) Nashik, Maharashtra

Answer: D

Explanation

The **Security Printing and Minting Corporation of India Limited (SPMCIL)** operates a **Security Paper Mill at Narmadapuram in Madhya Pradesh**. This facility plays a critical role in India's currency and security printing ecosystem by producing **security-grade paper** used for **banknotes, non-judicial stamp papers, and passport documents**. Established in **1968**, the mill ensures a secure and reliable supply of specialised paper required for sensitive government documents. Locations such as Dewas, Salboni, Mysuru, and Nashik are associated with other printing presses or mints, not the security paper mill.

110. Which of the following correctly differentiates the authority responsible for issuing coins from that issuing banknotes in India?

निम्नलिखित में से कौन भारत में सिक्के जारी करने वाली अथॉरिटी को बैंकनोट जारी करने वाली अथॉरिटी से सही ढंग से अलग करता है?

(a) Both coins and banknotes are issued by RBI
(b) Coins are issued by RBI, banknotes by Government of India
(c) Coins are issued by Government of India, banknotes by RBI
(d) Both coins and banknotes are issued by Government of India
(e) Coins are issued by SPMCIL, banknotes by RBI

Answer: C

Explanation

In India, the **authority responsible for issuing coins is different from that issuing banknotes**, as defined under separate legal provisions. **Coins are issued by the Government of India** under the **Coinage Act, 2011**, which empowers the Central

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Government to mint and declare coins as legal tender. On the other hand, **banknotes are issued exclusively by the Reserve Bank of India (RBI)** under **Section 22 of the RBI Act, 1934**, giving RBI the sole right to issue currency notes in the country. This clear division ensures institutional clarity in currency management.

111. According to the Reserve Bank of India, the total number of currency chests authorised for stocking and distribution of banknotes and rupee coins was _____ as on February 28, 2025.

भारतीय रिज़र्व बैंक के अनुसार, 28 फरवरी, 2025 तक बैंकनोट और रुपये के सिक्कों को स्टॉक करने और बांटने के लिए अधिकृत करेंसी चेस्ट की कुल संख्या _____ थी।

(a) 2,450
(b) 2,575
(c) 2,691
(d) 2,750
(e) 2,825

Answer: C

Explanation

According to the **Reserve Bank of India**, the total number of **currency chests authorised for the stocking and distribution of banknotes and rupee coins** stood at **2,691 as on February 28, 2025**. Currency chests are established by selected scheduled banks and function as storehouses of RBI currency, facilitating efficient distribution of cash to bank branches within their operational areas. They play a vital role in ensuring adequate availability of clean and genuine currency across the country. The figure reflects RBI's extensive cash management infrastructure aimed at maintaining smooth currency circulation.

112. Small Coin Depots authorised by the Reserve Bank of India primarily deal with which category of coins?

रिज़र्व बैंक ऑफ़ इंडिया द्वारा अधिकृत छोटे सिक्का डिपो मुख्य रूप से किस श्रेणी के सिक्कों का लेन-देन करते हैं?

(a) Coins of ₹1 and above
(b) Commemorative coins only
(c) Coins of value below ₹1
(d) Coins withdrawn from circulation
(e) Foreign coins

Answer: C

Explanation

Small Coin Depots authorised by the **Reserve Bank of India (RBI)** are established to ensure the adequate availability and smooth distribution of **small-denomination coins** across the banking system. These depots primarily handle **coins of value below one rupee**, such as 50 paise and other sub-rupee denominations. The coins stocked in these depots are distributed to bank branches within their area of operation to meet day-to-day transactional requirements of the public. Small Coin Depots do **not** deal with higher-denomination coins, commemorative coins, foreign coins, or coins withdrawn from circulation.

113. The provision relating to the approval of the design, form, and material of banknotes is contained in which section of the RBI Act, 1934?

बैंकनोट के डिज़ाइन, रूप और मटीरियल की मंज़ूरी से जुड़ा प्रावधान RBI एक्ट, 1934 की किस धारा में दिया गया है?

(a) Section 22
(b) Section 23
(c) Section 24
(d) Section 25
(e) Section 26

Answer: D

Explanation

The **approval of the design, form, and material of banknotes** issued in India is governed by **Section 25 of the Reserve Bank of India Act, 1934**. This section provides that the **Central Government** approves the design, form, and material of banknotes **after considering the recommendations made by the Central Board of the Reserve Bank of India**. While **Section 22** deals with the RBI's sole right to issue banknotes and **Section 24** specifies the denominations of banknotes, **Section 25** exclusively addresses their physical characteristics.

114. Which authority is responsible for formulating and implementing Monetary Policy in India?

भारत में मॉनेटरी पॉलिसी बनाने और लागू करने के लिए कौन सी अथॉरिटी ज़िम्मेदार है?

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(a) Reserve Bank of India
(b) NITI Aayog
(c) Ministry of Finance
(d) Securities and Exchange Board of India
(e) Planning Commission

Answer: A

Explanation

In India, the **Reserve Bank of India (RBI)** is the authority responsible for **formulating and implementing Monetary Policy**. The RBI regulates the supply of money and credit in the economy to achieve macroeconomic objectives such as **price stability, economic growth, and financial stability**. While bodies like the Ministry of Finance, NITI Aayog, or SEBI have important roles in fiscal policy, planning, and capital market regulation, they do not frame or execute Monetary Policy.

115. Contractionary Monetary Policy is generally adopted by the Central Bank with the objective of:

संकुचनकारी मौद्रिक नीति आम तौर पर सेंट्रल बैंक द्वारा इस उद्देश्य से अपनाई जाती है:

(a) Expanding credit during economic slowdown
(b) Controlling inflation by reducing excess liquidity
(c) Lowering the cost of borrowing in the economy
(d) Encouraging higher bank lending
(e) Promoting investment through easy money

Answer: B

Explanation

Contractionary Monetary Policy is adopted by the Central Bank when inflationary pressures emerge due to excess money supply in the economy. The primary objective is to **reduce surplus liquidity** so that rising prices can be controlled and macroeconomic stability is maintained. This is achieved through measures such as increasing policy interest rates, raising reserve requirements, and selling government securities. These actions make borrowing costlier, discourage excessive credit growth, and slow down demand. Unlike expansionary policy, it is not intended to promote easy credit, investment, or higher lending, but rather to restrain inflation and ensure long-term economic stability.

116. The purchase of government securities by the central bank in the open market is primarily associated with:

ओपन मार्केट में सेंट्रल बैंक द्वारा सरकारी सिक्योरिटीज की खरीद मुख्य रूप से इससे जुड़ी है:

(a) Neutral monetary policy
(b) Contractionary monetary policy
(c) Expansionary monetary policy
(d) Fiscal consolidation
(e) Exchange rate management

Answer: C

Explanation

The purchase of government securities by the central bank in the open market is a key instrument of **Expansionary Monetary Policy**. When the central bank buys government bonds, it injects liquidity into the banking system by paying banks and financial institutions for these securities. This increases the availability of funds with banks, enhances their lending capacity, and lowers interest rates in the economy. As credit becomes cheaper and more accessible, investment and consumption tend to rise, supporting economic growth, especially during periods of slowdown or recession. Such operations are part of **Open Market Operations (OMO)** and are not related to fiscal consolidation or exchange rate management.

117. Which of the following can be considered ultimate objectives of monetary policy?

1. Price stability
2. Full employment
3. Exchange rate stability
4. Fiscal deficit reduction

निम्नलिखित में से किसे मौद्रिक नीति के अंतिम उद्देश्य माना जा सकता है?

1. कीमतों में स्थिरता
2. पूर्ण रोज़गार
3. विनिमय दर में स्थिरता
4. राजकोषीय घाटे में कमी

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(a) 1 and 2 only
(b) 1 and 4 only
(c) 2 and 4 only
(d) 1, 2 and 3 only
(e) 1, 2, 3 and 4

Answer: D

Explanation

The **ultimate objectives of Monetary Policy** relate to achieving overall macroeconomic stability in an economy. **Price stability** is a core objective, as controlling inflation helps preserve purchasing power and ensures economic certainty. **Full employment** is another key goal, since stable monetary conditions support sustainable growth and job creation. **Exchange rate stability** is also considered an important objective because it promotes external sector stability and balanced trade. However, **fiscal deficit reduction** is not an objective of Monetary Policy; it falls under the domain of fiscal policy and government budgeting.

118.Which of the following is a Quantitative Credit Control instrument used by the Central Bank?
निम्नलिखित में से कौन सा सेंट्रल बैंक द्वारा इस्तेमाल किया जाने वाला एक क्वांटिटेटिव क्रेडिट कंट्रोल इंस्ट्रूमेंट है?

(a) Moral suasion
(b) Direct action
(c) Rationing of credit
(d) Publicity
(e) Open Market Operations

Answer: E

Explanation

Open Market Operations (OMO) are a key **Quantitative Credit Control instrument** used by the Central Bank to regulate the overall money supply and liquidity in the economy. Through the purchase and sale of government securities in the open market, the Central Bank can either inject liquidity (by buying securities) or absorb excess funds (by selling securities). This tool has a broad, economy-wide impact and directly influences interest rates and credit conditions. In contrast, measures like moral suasion, direct action, rationing of credit, and publicity are **qualitative credit control instruments**, as they focus on selective regulation and guidance rather than overall monetary expansion or contraction.

119. djusting the margin of loans and regulating the rate on consumption loans fall under:
लोन के मार्जिन को एडजस्ट करना और कंजम्पशन लोन पर रेट को रेगुलेट करना इसके अंतर्गत आता है:

(a) Quantitative Credit Control
(b) Fiscal Policy tools
(c) Qualitative Credit Control
(d) Open Market Operations
(e) Liquidity Adjustment Facility

Answer: C

Explanation

Adjusting the margin of loans and regulating interest rates on consumption loans are classified under **Qualitative Credit Control** measures. These tools are used by the Central Bank to **selectively regulate the flow of credit** to specific sectors or uses rather than influencing the total volume of credit in the economy. By changing margin requirements, the central bank can control speculative activities, while regulating consumption loan rates helps curb excessive consumer spending. Unlike quantitative tools such as CRR or Open Market Operations, qualitative credit controls focus on the **direction and purpose of credit allocation**, ensuring that credit supports productive and priority sectors of the economy and contributes to financial stability.

120. Under the Liquidity Adjustment Facility (LAF), the Central Bank manages liquidity primarily through which of the following instruments?
लिक्विडिटी एडजस्टमेंट फैसिलिटी (LAF) के तहत, सेंट्रल बैंक मुख्य रूप से इनमें से किस इंस्ट्रूमेंट के ज़रिए लिक्विडिटी को मैनेज करता है?

(a) Bank Rate and Cash Reserve Ratio
(b) Repo and Reverse Repo operations
(c) Open Market Operations and Moral Suasion
(d) Statutory Liquidity Ratio and Marginal Standing Facility
(e) Direct Action and Rationing of Credit

Answer: B

Explanation

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Under the **Liquidity Adjustment Facility (LAF)**, the Central Bank manages short-term liquidity conditions in the banking system primarily through **Repo and Reverse Repo operations**. Repo operations involve the injection of liquidity by lending funds to banks against government securities, while reverse repo operations absorb excess liquidity by allowing banks to park surplus funds with the Central Bank. These instruments help the Central Bank steer overnight interest rates and ensure smooth monetary policy transmission. LAF is a flexible and market-based tool used for day-to-day liquidity management. Other instruments like CRR, SLR, or moral suasion are not part of the LAF framework, making repo and reverse repo the correct choice.

121. Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) are referred to as statutory reserve requirements because they are mandated under:

कैश रिज़र्व रेशियो (CRR) और स्टैच्यूटरी लिक्विडिटी रेशियो (SLR) को स्टैच्यूटरी रिज़र्व रिक्वायरमेंट कहा जाता है क्योंकि ये इनके तहत अनिवार्य हैं:

(a) RBI Act, 1934 and Banking Regulation Act, 1949
(b) Negotiable Instruments Act
(c) RBI's discretionary powers
(d) Companies Act
(e) Fiscal Responsibility and Budget Management Act

Answer: A

Explanation

Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) are called **statutory reserve requirements** because banks are legally required to maintain them under specific laws. **CRR** is mandated under the **Reserve Bank of India Act, 1934**, which empowers the RBI to prescribe the minimum cash reserves that banks must keep with it. **SLR**, on the other hand, is governed by the **Banking Regulation Act, 1949**, requiring banks to hold a certain portion of their net demand and time liabilities in liquid assets such as cash, gold, or approved securities. Since both requirements are fixed by law, they are termed statutory in nature.

122. Injection of funds by the Central Bank through quantitative monetary policy instruments generally leads to which of the following outcomes?

सेंट्रल बैंक द्वारा क्वांटिटेटिव मॉनेटरी पॉलिसी इंस्ट्रूमेंट्स के ज़रिए फंड डालने से आमतौर पर इनमें से कौन से नतीजे निकलते हैं?

(a) Decrease in money supply
(b) Absorption of surplus liquidity
(c) Increase in liquidity in the banking system
(d) Increase in reserve requirements
(e) Restriction on bank lending

Answer: C

Explanation

Injection of funds by the Central Bank through **quantitative monetary policy instruments** leads to an **increase in liquidity in the banking system**. When the central bank injects money—through tools such as open market purchases of government securities, repo operations, or reduction in reserve requirements—banks receive additional funds. This enhances their capacity to extend credit, lowers borrowing costs, and supports higher levels of investment and consumption in the economy. Such measures are typically adopted under an **expansionary monetary policy** stance, especially during periods of economic slowdown. The objective is not to absorb liquidity or restrict lending, but to ensure adequate money supply and smooth functioning of the financial system.

123. In the context of monetary policy instruments, Net Demand and Time Liabilities (NDTL) of a bank refers to:

मॉनेटरी पॉलिसी इंस्ट्रूमेंट्स के संदर्भ में, किसी बैंक की नेट डिमांड और टाइम लायबिलिटीज़ (NDTL) का मतलब है:

(a) Total assets minus total liabilities
(b) Deposits minus withdrawals
(c) Deposits plus capital funds
(d) Loans and advances outstanding
(e) Currency in circulation plus reserves

Answer: B

Explanation

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In the context of monetary policy instruments, **Net Demand and Time Liabilities (NDTL)** of a bank refer to its **deposit liabilities**, which broadly include **demand deposits and time deposits**, adjusted for certain inter-bank items as per RBI guidelines. NDTL forms the base on which statutory reserve requirements such as **Cash Reserve Ratio (CRR)** and **Statutory Liquidity Ratio (SLR)** are calculated. It does not represent assets, loans, capital funds, or currency in circulation.

124. According to the prevailing monetary policy rates, what is the current Policy Repo Rate fixed by the Reserve Bank of India?

मौजूदा मॉनेटरी पॉलिसी रेट्स के अनुसार, रिज़र्व बैंक ऑफ़ इंडिया द्वारा तय किया गया मौजूदा पॉलिसी रेपो रेट क्या है?

(a) 5.00%
(b) 5.25%
(c) 5.50%
(d) 5.75%
(e) 6.00%

Answer: B

Explanation

The current **Policy Repo Rate** fixed by the Reserve Bank of India stands at **5.25 per cent**, as per the prevailing monetary policy rates. The repo rate is the key policy instrument through which the RBI lends short-term funds to commercial banks against approved securities. Changes in the repo rate influence overall liquidity, borrowing costs, and credit conditions in the economy. By adjusting this rate, the RBI seeks to manage inflation while supporting economic growth and ensuring financial stability. A repo rate of 5.25 per cent reflects the RBI's calibrated approach to balancing growth and inflation objectives.

125. Moral suasion, as a qualitative credit control tool of the Central Bank, primarily refers to which of the following actions?

सेंट्रल बैंक के एक क्वालिटेटिव क्रेडिट कंट्रोल टूल के तौर पर, मोरल सुएशन का मुख्य रूप से मतलब इनमें से किस एक्शन से है?

(a) Statutory enforcement through penalties
(b) Fixing credit ceilings for banks
(c) Persuasion and informal requests to banks
(d) Sale of government securities
(e) Increasing reserve requirements

Answer: C

Explanation

Moral suasion is a **qualitative tool of monetary policy** used by the central bank to influence the behaviour of banks through **persuasion rather than coercion**. Under this approach, the central bank issues **informal requests, advisories, or guidance** to commercial banks, urging them to align their lending and investment decisions with broader policy objectives. Unlike direct action, moral suasion does not involve legal compulsion or penalties. It relies on the **credibility, authority, and relationship** of the central bank with financial institutions to ensure cooperation in maintaining monetary stability and orderly credit growth.

126. Which of the following correctly distinguishes Cash Reserve Ratio (CRR) from Statutory Liquidity Ratio (SLR)?

निम्नलिखित में से कौन सा कैश रिज़र्व रेशियो (CRR) और स्टैच्यूटरी लिक्विडिटी रेशियो (SLR) के बीच सही अंतर बताता है?

(a) CRR and SLR are both maintained only in cash with RBI
(b) CRR is maintained in cash, while SLR is maintained in cash, gold or approved securities
(c) CRR is maintained in government securities, while SLR is maintained in cash
(d) Both CRR and SLR can be maintained in gold
(e) CRR applies only to foreign banks, while SLR applies to domestic banks

Answer: B

Explanation

Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) are key **quantitative tools of monetary policy** used by the Reserve Bank of India. **CRR** refers to the proportion of a bank's net demand and time liabilities that must be maintained **only in cash with the RBI**, primarily to control liquidity in the economy. In contrast, **SLR** requires banks to maintain a specified portion of their liabilities in the form of **cash, gold, or approved government securities**. While CRR

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directly reduces banks' lendable funds, SLR also ensures solvency and the ability to meet withdrawal demands.

127. An increase in the Cash Reserve Ratio (CRR) is most likely to result in which of the following outcomes in the banking system?

कैश रिज़र्व रेशियो (CRR) में बढ़ोतरी से बैंकिंग सिस्टम में इनमें से कौन सा नतीजा होने की सबसे ज़्यादा संभावना है?

(a) Decrease in the amount of money available for lending

(b) Increase in the lending capacity of banks

(c) Fall in interest rates

(d) Increase in bank profitability

(e) Expansionary monetary policy

Answer: A

Explanation

An increase in the **Cash Reserve Ratio (CRR)** requires banks to keep a higher proportion of their deposits **as cash with the Reserve Bank of India**, leaving them with **fewer funds available for lending**. This directly reduces liquidity in the banking system and curtails the ability of banks to extend credit. As a result, lending becomes tighter and interest rates may harden rather than fall. The measure is typically used as part of a **contractionary monetary policy** to control excess liquidity and inflation, rather than to expand credit or improve bank profitability.

128.The Bank Rate is defined as the rate at which the Reserve Bank of India:

बैंक रेट को वह रेट माना जाता है जिस पर रिज़र्व बैंक ऑफ़ इंडिया:

(a) Provides overnight liquidity to banks

(b) Accepts deposits from commercial banks

(c) Extends long-term loans to commercial banks

(d) Conducts open market operations

(e) Supplies liquidity against SLR securities

Answer: C

Explanation

The **Bank Rate** is the rate at which the **Reserve Bank of India extends long-term loans to commercial banks**. It is a traditional instrument of monetary policy used to influence the overall **cost of borrowing and credit conditions** in the economy. Changes in the bank rate signal the RBI's policy stance and affect lending rates of banks over the longer term. Unlike short-term liquidity facilities such as the repo or MSF, the bank rate is not meant for overnight funding and is not linked to day-to-day liquidity management operations.

129. The Marginal Standing Facility (MSF) rate refers to the rate at which:

मार्जिनल स्टैंडिंग फैसिलिटी (MSF) दर उस दर को कहते हैं जिस पर:

(a) RBI provides long-term funding support to banks

(b) RBI rediscounts commercial bills

(c) Banks access liquidity through repo auctions

(d) Scheduled commercial banks borrow overnight funds from the RBI

(e) RBI lends to non-banking financial companies

Answer: D

Explanation

The **Marginal Standing Facility (MSF) rate** is the rate at which **scheduled commercial banks borrow overnight funds from the Reserve Bank of India** to meet short-term liquidity mismatches. This facility is available against the pledge of approved government securities, including those held under the SLR, within prescribed limits. The MSF acts as a **last-resort liquidity window** for banks and forms the upper bound of the policy rate corridor. Since it is priced higher than the repo rate, it discourages frequent use and promotes disciplined liquidity management in the banking system.

130.With reference to liquidity operations conducted by the RBI, which of the following correctly states the minimum bidding amount under LAF and MSF respectively?

भारतीय रिजर्व बैंक द्वारा किए गए लिक्विडिटी ऑपरेशंस के संबंध में, निम्नलिखित में से कौन सा तरलता समायोजन सुविधा (LAF) और मार्जिनल स्टैंडिंग फैसिलिटी (MSF) के तहत न्यूनतम बिडिंग राशि को सही ढंग से बताता है?

(a) ₹1 crore under LAF and ₹5 crore under MSF

(b) ₹5 crore under LAF and ₹1 crore under MSF

(c) ₹10 crore under both LAF and MSF

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(d) ₹1 crore under both LAF and MSF
(e) No minimum bidding amount is prescribed

Answer: B

Explanation

Under the **Reserve Bank of India's liquidity operations**, different minimum bidding requirements apply to the **Liquidity Adjustment Facility (LAF)** and the **Marginal Standing Facility (MSF)**. Under the **LAF**, which is used for regular short-term liquidity management through repo and reverse repo auctions, the **minimum bidding amount is ₹5 crore**. In contrast, the **MSF**, designed as an emergency overnight liquidity window for scheduled commercial banks, allows borrowing with a **lower minimum amount of ₹1 crore**. This distinction reflects the MSF's role as a last-resort facility, providing flexibility during acute liquidity stress.

131. Which of the following statements best explains a key operational distinction between the Liquidity Adjustment Facility (LAF) and the Marginal Standing Facility (MSF)?

निम्नलिखित में से कौन सा स्टेटमेंट लिक्विडिटी एडजस्टमेंट फैसिलिटी (LAF) और मार्जिनल स्टैंडिंग फैसिलिटी (MSF) के बीच एक मुख्य ऑपरेशनल अंतर को सबसे अच्छी तरह समझाता है?

(a) Banks can use SLR securities under MSF but not under LAF
(b) Banks cannot use SLR securities under either facility
(c) Banks can use SLR securities under both LAF and MSF
(d) Banks can use SLR securities only under LAF
(e) SLR securities are irrelevant for both facilities

Answer: A

Explanation

The **Liquidity Adjustment Facility (LAF)** and the **Marginal Standing Facility (MSF)** differ mainly in their treatment of **Statutory Liquidity Ratio (SLR) securities**. Under the **LAF**, banks can borrow or park funds with the RBI but **cannot use government securities that are part of their SLR holdings** as collateral. In contrast, the **MSF** allows scheduled commercial banks to **use SLR securities to borrow overnight funds**, subject to prescribed limits. This makes MSF a **last-resort liquidity window**, designed to address acute short-term liquidity stress when other avenues are unavailable.

132.Which of the following correctly describes the composition of the Monetary Policy Committee (MPC)?

निम्नलिखित में से कौन मॉनेटरी पॉलिसी कमेटी (MPC) की संरचना का सही वर्णन करता है?

(a) All members nominated by RBI
(b) All members appointed by the Central Government
(c) RBI Governor, Deputy Governor (Monetary Policy), one RBI nominee, and three Government nominees
(d) RBI Governor and five Deputy Governors
(e) Only external experts

Answer: C

Explanation

The **Monetary Policy Committee (MPC)** is constituted under the amended **RBI Act, 1934** to ensure balanced and credible monetary policy decision-making. Its composition reflects a mix of internal and external representation. The MPC consists of **six members**: the **RBI Governor** (Chairperson), the **Deputy Governor in charge of monetary policy**, **one officer of the RBI nominated by the Central Board**, and **three external members nominated by the Central Government**. This structure ensures institutional expertise from the RBI along with independent perspectives, promoting transparency, accountability, and balanced policy decisions in managing inflation and growth.

133. As per the existing framework of the Monetary Policy Committee (MPC), how often does the Reserve Bank of India conduct MPC meetings in a year?

मॉनेटरी पॉलिसी कमिटी (MPC) के मौजूदा फ्रेमवर्क के अनुसार, रिज़र्व बैंक ऑफ़ इंडिया एक साल में कितनी बार MPC की मीटिंग करता है?

(a) At least four times
(b) Quarterly

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(c) Five times
(d) Once every month
(e) Six bi-monthly meetings

Answer: E

Explanation

As per the existing monetary policy framework, the **Reserve Bank of India conducts six meetings of the Monetary Policy Committee (MPC) each year**, scheduled on a **bi-monthly basis**. These meetings are held roughly once every two months to review macroeconomic conditions, assess inflation and growth trends, and decide the policy repo rate and stance. The fixed frequency ensures **predictability, transparency, and timely policy responses** to evolving economic conditions. In exceptional circumstances, the RBI may convene additional meetings, but under the normal framework, **six bi-monthly MPC meetings** form the standard annual cycle.

134. The policy rate corridor under the current monetary framework is defined by which of the following rates?

मौजूदा मॉनेटरी फ्रेमवर्क के तहत पॉलिसी रेट कॉरिडोर को निम्नलिखित में से किस रेट से परिभाषित किया जाता है?

(a) Repo Rate and Bank Rate
(b) Fixed Reverse Repo Rate and Repo Rate
(c) Standing Deposit Facility (SDF) and Marginal Standing Facility (MSF)
(d) CRR and SLR
(e) Bank Rate and Reverse Repo Rate

Answer: C

Explanation

The **policy rate corridor** under the current monetary policy framework of the **Reserve Bank of India** is defined by the **Standing Deposit Facility (SDF)** as the **lower bound** and the **Marginal Standing Facility (MSF)** as the **upper bound**. The **repo rate** operates within this corridor as the central policy rate. The SDF allows the RBI to absorb surplus liquidity without collateral, while the MSF provides overnight liquidity to banks against government securities at a penal rate. This corridor helps guide short-term money market rates and ensures effective transmission of monetary policy signals.

135. Which of the following correctly defines a mortgage in banking and finance?

बैंकिंग और फाइनेंस में निम्नलिखित में से कौन मॉर्गेज को सही ढंग से परिभाषित करता है?

(a) A short-term unsecured loan given to individuals
(b) A legal agreement where movable property is pledged as security
(c) A legal agreement in which an immovable property is pledged as security to obtain a loan
(d) A loan granted only for agricultural purposes
(e) An agreement involving only commercial banks and governments

Answer: C

Explanation

A mortgage is a formal legal arrangement between a borrower and a lender in which an **immovable property**—such as a house, land, or commercial building—is offered as security to obtain a loan. While ownership of the property generally remains with the borrower, the lender acquires a legal interest until the loan is fully repaid. In case of default, the lender has the right to recover dues by enforcing the security. Mortgages are secured loans and therefore usually carry lower interest rates compared to unsecured loans.

136. Which of the following statements correctly distinguishes a mortgage loan from an unsecured loan?

निम्नलिखित में से कौन सा कथन मॉर्गेज लोन और अनसिक्योर्ड लोन के बीच सही अंतर बताता है?

(a) Mortgage loans generally offer lower interest rates
(b) Mortgage loans require no documentation
(c) Mortgage loans are riskier for lenders
(d) Mortgage loans have shorter tenures
(e) Mortgage loans are available only to individuals

Answer: A

Explanation

A mortgage loan is secured by an immovable property, such as a house or land, which significantly reduces the credit risk faced by the lender. Because the lender has a tangible asset as

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collateral and a legal right to recover dues in case of default, mortgage loans are considered safer compared to unsecured loans. This lower risk allows lenders to charge **lower interest rates** and offer longer repayment tenures. In contrast, unsecured loans lack collateral, carry higher default risk, and therefore usually attract higher interest rates to compensate for that risk.

137. The typical loan tenure offered under a mortgage arrangement generally extends between:

मॉर्टगेज अरेंजमेंट के तहत दी जाने वाली आम लोन अवधि आमतौर पर इनके बीच होती है:

(a) 1 to 5 years
(b) 5 to 10 years
(c) 10 to 30 years
(d) 30 to 50 years
(e) Less than 1 year

Answer: C

Explanation

The statement **"Mortgage loans have shorter tenures"** is **incorrect**. Mortgage loans are secured loans backed by immovable property and therefore usually have **longer repayment tenures**, commonly ranging from **10 to 30 years**. The extended tenure helps borrowers manage large loan amounts through affordable EMIs. In contrast, **unsecured loans** such as personal loans typically have much shorter tenures, often between **1 to 5 years**, due to higher risk for lenders. The secured nature of mortgage loans allows lenders to offer longer repayment periods along with lower interest rates.

138. The SARFAESI Act, 2002 primarily empowers banks and financial institutions to:

सरफेसी(SARFAESI) एक्ट, 2002 मुख्य रूप से बैंकों और फाइनेंशियल संस्थानों को ये अधिकार देता है:

(a) Waive housing loan interest
(b) Convert secured loans into unsecured loans
(c) Recover loan dues without court intervention
(d) Issue housing bonds
(e) Regulate real estate prices

Answer: C

Explanation

The **SARFAESI Act, 2002** empowers banks and financial institutions to recover non-performing assets (NPAs) **without the need for court intervention**. Under this Act, lenders can enforce security interests by taking possession of secured assets, managing them, or selling them to recover outstanding dues. The objective is to improve the health of the banking system by enabling faster recovery of bad loans and reducing delays associated with judicial proceedings. The Act applies mainly to secured loans and strengthens creditor rights in India.

139. Which of the following statements correctly distinguishes an Adjustable-Rate Mortgage from a fixed-rate mortgage?

निम्नलिखित में से कौन सा कथन एडजस्टेबल-रेट मॉर्गेज को फिक्स्ड-रेट मॉर्गेज से सही ढंग से अलग करता है?

(a) ARM interest rates remain constant throughout the loan
(b) Fixed-rate mortgages are linked to RBI's repo rate
(c) Fixed-rate loans have no EMIs
(d) ARM interest rates vary with changes in benchmark rates
(e) ARM loans are unsecured

Answer: D

Explanation

An Adjustable-Rate Mortgage (ARM) is distinguished from a fixed-rate mortgage by the **variability of its interest rate**. In an ARM, the interest rate is periodically adjusted based on changes in an underlying benchmark or reference rate, such as a policy or market-linked rate. As a result, the **borrower's EMI may increase or decrease over time**. In contrast, a fixed-rate mortgage carries a constant interest rate throughout the loan tenure, offering stability and predictability in repayments.

140. Which of the following Ombudsman schemes were merged to form the RB-Integrated Ombudsman Scheme, 2021?

1. Banking Ombudsman Scheme, 2006
2. Ombudsman Scheme for NBFCs, 2018
3. Ombudsman Scheme for Digital Transactions, 2019

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Select the correct answer using the code below:
निम्नलिखित में से कौन सी ओम्बड्समैन योजनाओं को मिलाकर RB-एकीकृत ओम्बड्समैन योजना, 2021 बनाई गई?

1. बैंकिंग ओम्बड्समैन योजना, 2006
2. एनबीएफसी के लिए ओम्बड्समैन योजना, 2018
3. डिजिटल लेनदेन के लिए ओम्बड्समैन योजना, 2019

नीचे दिए गए कोड का उपयोग करके सही उत्तर चुनें:

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1 only
(e) 1, 2 and 3

Answer: E

Explanation

- The **Reserve Bank – Integrated Ombudsman Scheme (RB-IOS), 2021** was introduced to create a **single, unified grievance redressal framework**.
- Under this scheme, the **Banking Ombudsman Scheme, 2006** was merged to cover complaints against banks.
- The **Ombudsman Scheme for Non-Banking Financial Companies (NBFCs), 2018** was also integrated to address grievances related to NBFCs.
- Additionally, the **Ombudsman Scheme for Digital Transactions, 2019** was subsumed to handle complaints arising from digital payment systems.
- The merger eliminated sector-wise silos and ensured an **institution-neutral approach**.

141. Which of the following entities are covered under the RBI (Internal Ombudsman) Directions, 2026?

1. Commercial Banks
2. Small Finance Banks
3. Payment Banks
4. NBFCs
5. Non-bank PPI Issuers
6. Credit Information Companies

Codes:

निम्नलिखित में से कौन सी संस्थाएं RBI (इंटरनल ओम्बड्समैन) निर्देश, 2026 के तहत आती हैं?

1. कमर्शियल बैंक
2. स्मॉल फाइनेंस बैंक
3. पेमेंट बैंक
4. गैर-बैंकिंग वित्तीय कंपनियाँ
5. नॉन-बैंक पीपीआई जारी करने वाले
6. क्रेडिट इन्फॉर्मेशन कंपनियां

कोड:

(a) 2, 3 and 5 only
(b) 1, 4, 5 and 6 only
(c) 1, 3, 4 and 6 only
(d) 5 and 6 only
(e) All of the above

Answer: E

Explanation

- The **RBI (Internal Ombudsman) Directions, 2026** apply to a **wide range of regulated entities** to strengthen internal grievance redressal mechanisms.
- The coverage includes **Commercial Banks**, **Small Finance Banks**, and **Payment Banks**, reflecting the core banking system.
- It also extends to **Non-Banking Financial Companies (NBFCs)**, which have significant customer interaction.
- **Non-bank Prepaid Payment Instrument (PPI) Issuers** are covered due to their role in digital payments.
- **Credit Information Companies (CICs)** are included because of their impact on credit access and consumer rights.

142. Which of the following entity–criterion pair is correctly matched in the context of coverage under the RBI–Integrated Ombudsman Scheme (RB-IOS)?
आरबीआई–इंटीग्रेटेड ओम्बड्समैन स्कीम (RB-IOS) के तहत कवरेज के संदर्भ में निम्नलिखित में से कौन सा एंटिटी-क्राइटेरियन जोड़ा सही ढंग से मेल खाता है?

(a) Regional Rural Banks – Covered only if asset size exceeds ₹100 crore
(b) Housing Finance Companies – Covered if authorised to accept deposits

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(c) Payment System Participants – Covered irrespective of deposit size or asset size
(d) Credit Information Companies – Covered only if classified as systemically important
(e) Non-Banking Financial Companies – Covered only if listed on stock exchanges

Answer: C

Explanation

- Under the **RBI–Integrated Ombudsman Scheme (RB-IOS), 2021**, **Payment System Participants (PSPs)** are covered based on their **functional role**, not financial size.
- PSPs include entities involved in **cards, wallets, UPI, and other payment systems** regulated by RBI.
- Their coverage is **irrespective of deposit size or asset size**, unlike banks and NBFCs which have threshold conditions.
- This is because PSPs handle **high-volume customer transactions** and are prone to payment-related grievances.
- Other options are incorrect as RRBs are not asset-size based, HFCs are excluded, CICs are covered without such classification, and NBFCs are not required to be listed.

143. An individual appointed as an Internal Ombudsman (IO) under the RBI (Internal Ombudsman) Directions, 2026 must have:
भारतीय रिजर्व बैंक (इंटरनल ओम्बुड्समैन) डायरेक्शंस, 2026 के तहत इंटरनल ओम्बुड्समैन (IO) के तौर पर नियुक्त व्यक्ति के पास ये होना चाहिए:

(a) 5 years' experience; age ≤65
(b) 7 years' experience; age ≤70
(c) 10 years' experience; age ≤68
(d) 7 years' experience; age ≤72
(e) 6 years' experience; age ≤70

Answer: B

Explanation

- As per the **RBI (Internal Ombudsman) Directions, 2026**, an individual appointed as an **Internal Ombudsman (IO)** must satisfy specific **experience and age criteria**.
- The eligible person should be a **retired or serving officer** from a regulated entity or a financial sector regulatory body.
- A **minimum professional experience of 7 years** is mandatory to ensure adequate domain expertise.
- The Directions also prescribe that the individual **shall not be above 70 years of age before completion of tenure**.
- These conditions aim to balance **experience, independence, and functional effectiveness** of the IO.

144. As per the proposed future direction under the revised e-Kuber usage guidelines for Central Government payments, the targeted lower threshold for mandatory routing through the e-Kuber system is:
केंद्र सरकार के पेमेंट के लिए रिवाइज़्ड ई-कुबेर इस्तेमाल की गाइडलाइंस के तहत आगे के प्रस्तावित डायरेक्शन के अनुसार, ई-कुबेर सिस्टम के ज़रिए ज़रूरी रूटिंग के लिए टारगेटेड लोअर थ्रेशहोल्ड यह है:

(a) ₹50 crore
(b) ₹65 crore
(c) ₹75 crore
(d) ₹100 crore
(e) ₹500 crore

Answer: A

Explanation

- Proposed future target: lower threshold to ₹50 crore.
- Current general threshold is ₹75 crore (post-July change).
- Earlier was ₹500 crore; gradual reduction planned.
- Aims for almost all significant government payments via e-Kuber.
- ₹35 crore not mentioned; ₹100 crore is for certain categories now.
- ₹500 crore is the old (superseded) level.

145. In the context of structural reforms in India's Government Securities (G-Sec) market over the past decade, which of the following entities was

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designated as the Central Counter Party (CCP) to guarantee settlement of trades?

पिछले दशक में भारत के गवर्नमेंट सिक्योरिटीज (G-Sec) मार्केट में स्ट्रक्चरल सुधारों के संदर्भ में, ट्रेड्स के सेटलमेंट की गारंटी के लिए इनमें से किस एंटिटी को सेंट्रल काउंटर पार्टी (CCP) के रूप में नामित किया गया था?

(a) National Payments Corporation of India (NPCI)
(b) Securities and Exchange Board of India (SEBI)
(c) Clearing Corporation of India Ltd. (CCIL)
(d) National Securities Depository Ltd. (NSDL)
(e) Reserve Bank of India (RBI)

Answer: C

Explanation

- **CCIL** was set up in **2001** to provide clearing and settlement infrastructure for Government Securities, forex and money market segments.
- It functions as a **Central Counter Party (CCP)** in the G-Sec market.
- As CCP, CCIL becomes the **buyer to every seller and seller to every buyer**, eliminating counterparty credit risk.
- It guarantees settlement through the **Delivery versus Payment (DvP)** mechanism.
- CCIL maintains a **Settlement Guarantee Fund (SGF)** to manage default risk.
- Operates platforms like **NDS-OM (Negotiated Dealing System–Order Matching)** for secondary market trading.
- Strengthens **financial stability and systemic risk management** in India's debt market.
- Works under the regulatory oversight of the **Reserve Bank of India (RBI)**.

146. A bond is best described as which of the following financial instruments?

बॉन्ड को इनमें से किस फाइनेंशियल इंस्ट्रूमेंट के तौर पर सबसे अच्छे से बताया गया है?

(a) Equity instrument giving ownership rights
(b) Derivative contract based on an underlying asset
(c) Debt instrument representing a loan to the issuer
(d) Hybrid instrument with voting rights
(e) Contingent liability of the government

Answer: C

Explanation

A **bond is a debt instrument** through which an investor lends money to the issuer (government or corporation).

The issuer has a **legal obligation to repay the principal (face value)** at maturity.

Bonds usually carry a **fixed or floating coupon rate**, paid periodically (generally half-yearly in India for G-Secs).

Bondholders are **creditors**, not owners — hence they do not get voting rights (unlike equity shareholders).

In case of liquidation, bondholders have **priority over equity shareholders** in repayment.

Bonds are issued in both **primary markets (auctions/private placement)** and traded in secondary markets.

Government bonds are considered **sovereign-backed with negligible default risk** (gilt-edged securities).

From a balance sheet perspective, bonds appear as **liabilities for the issuer and financial assets for the investor**.

147. In India, which of the following instruments issued by the State Governments are classified as Government Securities (G-Secs)?

भारत में, राज्य सरकारों द्वारा जारी किए गए इनमें से कौन से इंस्ट्रूमेंट्स को गवर्नमेंट सिक्योरिटीज़ (G-Secs) के तौर पर क्लासिफ़ाई किया जाता है?

(a) Treasury Bills only
(b) State Development Loans (SDLs)
(c) Ways and Means Advances
(d) Cash Management Bills
(e) Municipal Bonds

Answer: B

Explanation

State Development Loans (SDLs) are dated securities issued by **State Governments** to raise funds from the market.

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SDLs are treated as **Government Securities (G-Secs)** at the state level, similar to Central Government dated securities.

They are issued through **RBI auctions** on behalf of State Governments.

SDLs generally carry **maturity of one year or more** and pay half-yearly coupons.

They qualify for **Statutory Liquidity Ratio (SLR)** investment for banks.

SDL yields are typically **higher than Central G-Secs** due to marginally higher perceived risk.

Treasury Bills and Cash Management Bills are issued by the **Central Government**, not States.

Ways and Means Advances (WMA) are short-term credit facilities from RBI to States, not marketable securities.

148. Treasury Bills (T-Bills) issued by the Central Government are classified as short-term securities because their original maturity is:

केंद्र सरकार द्वारा जारी ट्रेजरी बिल (T-Bills) को शॉर्ट-टर्म सिक्योरिटीज़ के रूप में क्लासिफ़ाई किया जाता है क्योंकि उनकी ओरिजिनल मैच्योरिटी है:

(a) Less than 30 days
(b) Less than 91 days
(c) Less than 182 days
(d) Less than one year
(e) Exactly one year

Answer: D

Explanation

Treasury Bills (T-Bills) are short-term debt instruments issued by the **Government of India**.

They are classified as **Money Market instruments** because their **original maturity is less than one year**.

In India, T-Bills are currently issued in **91-day, 182-day, and 364-day** tenors.

They are **zero-coupon securities**, issued at a discount and redeemed at face value.

Since maturity is below one year, they help the Government manage **short-term liquidity mismatches**.

T-Bills are eligible for **SLR investment by banks**.

They are auctioned by RBI through the **e-Kuber platform**.

Unlike dated G-Secs, they do not carry periodic interest payments.

149. In India, the market borrowing programme of the Central Government through issuance of Government Securities is managed by:

भारत में, गवर्नमेंट सिक्योरिटीज़ जारी करके केंद्र सरकार का मार्केट बॉरोइंग प्रोग्राम मैनेज किया जाता है:

(a) Reserve Bank of India
(b) Securities and Exchange Board of India
(c) Ministry of Finance
(d) Clearing Corporation of India Ltd.
(e) Public Debt Management Agency

Answer: A

Explanation

The **Reserve Bank of India (RBI)** manages the **market borrowing programme** of the Central Government.

RBI acts as the **Banker and Debt Manager to the Government of India** under the RBI Act, 1934.

It conducts auctions of **Treasury Bills and Dated Government Securities** through the **e-Kuber platform**.

RBI prepares and executes the **annual borrowing calendar** in consultation with the Ministry of Finance.

It also undertakes **switch auctions, buybacks, and debt consolidation operations**.

Settlement of primary issuance is handled via RBI's **Public Debt Office (PDO)**.

Though a **Public Debt Management Agency (PDMA)** has been proposed, public debt management is presently with RBI.

SEBI regulates capital markets, and CCIL provides clearing & settlement, but neither manages government borrowing.

150. Treasury Bills (T-Bills) issued by the Government of India are currently available in which of the following maturity combinations?

भारत सरकार द्वारा जारी ट्रेजरी बिल (T-Bills) अभी इनमें से किस मैच्योरिटी कॉम्बिनेशन में उपलब्ध हैं?

(a) 30, 90 and 180 days
(b) 91, 182 and 364 days
(c) 90, 180 and 365 days

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(d) 60, 182 and 364 days
(e) 91, 180 and 365 days

Answer: B

Explanation

Treasury Bills (T-Bills) are short-term debt instruments issued by the **Government of India**.

Currently, they are issued in **three standard maturities: 91-day, 182-day, and 364-day**.

These maturities ensure that T-Bills qualify as **money market instruments (less than one year)**.

T-Bills are **zero-coupon securities**, issued at discount and redeemed at face value.

Auctions are conducted weekly by RBI via the **e-Kuber platform**.

91-day T-Bills are typically auctioned every week, while 182-day and 364-day T-Bills follow a notified schedule.

They are eligible investments for **SLR compliance by banks**.

Maturities such as 90, 180, or 365 days are commonly confused but are **not officially used tenors**.

151. Which of the following correctly distinguishes Cash Management Bills (CMBs) from Treasury Bills (T-Bills)?

इनमें से कौन सा कैश मैनेजमेंट बिल (CMBs) को ट्रेजरी बिल (T-Bills) से सही ढंग से अलग करता है?

(a) CMBs carry coupon; T-Bills are zero-coupon
(b) CMBs are non-marketable instruments
(c) CMBs are long-term instruments up to 5 years
(d) CMBs are issued only by State Governments
(e) CMBs are issued for maturities less than 91 days

Answer: E

Explanation

Treasury Bills (T-Bills) are short-term debt instruments issued by the **Government of India**.

Currently, they are issued in **three standard maturities: 91-day, 182-day, and 364-day**.

These maturities ensure that T-Bills qualify as **money market instruments (less than one year)**.

T-Bills are **zero-coupon securities**, issued at discount and redeemed at face value.

Auctions are conducted weekly by RBI via the **e-Kuber platform**.

91-day T-Bills are typically auctioned every week, while 182-day and 364-day T-Bills follow a notified schedule.

They are eligible investments for **SLR compliance by banks**.

Maturities such as 90, 180, or 365 days are commonly confused but are **not officially used tenors**.

152. In India, market borrowings of the Government through issuance of Treasury Bills and Dated Government Securities are conducted by the RBI in its capacity as:

भारत में, ट्रेजरी बिल और डेटेड गवर्नमेंट सिक्योरिटीज़ जारी करके सरकार के मार्केट लोन RBI अपनी कैपेसिटी में इस तरह से लेता है:

(a) Monetary Policy Authority
(b) Banker to Banks
(c) Banker and Debt Manager to Government of India
(d) Regulator of Capital Markets
(e) Custodian of Foreign Exchange

Answer: C

Explanation

RBI conducts issuance of **Treasury Bills and Dated Government Securities** on behalf of the Government of India.

It performs this function in its capacity as **Banker and Public Debt Manager** to the Government under the RBI Act, 1934.

RBI prepares the **annual borrowing calendar** in consultation with the Ministry of Finance.

It conducts auctions through the **e-Kuber electronic platform**.

RBI also undertakes **debt management operations** such as switch auctions and buybacks.

This role is distinct from its function as **Monetary Policy Authority** (repo rate, CRR, SLR decisions).

RBI is not the capital market regulator — that role belongs to **SEBI**.

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The proposed **Public Debt Management Agency (PDMA)** has not replaced RBI; debt management remains with RBI.

153. In the case of Floating Rate Bonds (FRBs) issued by the Government of India, the coupon rate is typically linked to:

भारत सरकार द्वारा जारी फ्लोटिंग रेट बॉन्ड (FRBs) के मामले में, कूपन रेट आम तौर पर इससे जुड़ा होता है:

(a) CPI inflation only
(b) Policy repo rate only
(c) Call money rate without spread
(d) T-Bill yields plus a fixed spread
(e) G-Sec 10-year yield only

Answer: D

Explanation

Floating Rate Bonds (FRBs) issued by the Government of India have a coupon that **resets periodically**.

The coupon is typically linked to a **benchmark Treasury Bill (T-Bill) yield** (commonly 182-day T-Bill).

A **fixed spread (margin)** is added over the benchmark yield, determined at the time of issuance.

The reset generally happens **half-yearly**, aligning with coupon payment frequency.

This structure protects investors from **interest rate risk** compared to fixed-rate bonds.

FRBs are part of the Government's strategy to **diversify debt instruments** and manage interest cost risk.

Unlike Inflation-Indexed Bonds, FRBs are **not directly linked to CPI/WPI**.

FRBs are eligible for **SLR investment by banks**, similar to other G-Secs.

154. Which of the following features most accurately defines Zero Coupon Bonds issued by the Government in the context of interest payment and issuance structure?

इनमें से कौन सी खासियत सरकार द्वारा जारी किए गए ज़ीरो कूपन बॉन्ड को ब्याज पेमेंट और जारी करने के स्ट्रक्चर के मामले में सबसे सही तरीके से बताती है?

(a) No periodic interest and issue at discount
(b) Floating coupon reset mechanism
(c) Issue at premium with periodic interest
(d) Half-yearly coupon payments
(e) Mandatory conversion into equity

Answer: A

Explanation

Zero Coupon Bonds (ZCBs) do not carry any periodic interest (coupon) payments during their tenure.

They are issued at a **discount to their face (par) value** and redeemed at full face value on maturity.

The investor's return is the **difference between issue price and redemption value**.

Since there are no interim cash flows, ZCBs have **higher duration and greater interest rate sensitivity**.

In Government Securities, instruments created under **STRIPS** operate as zero-coupon securities.

ZCBs are suitable for investors seeking a **lump-sum payment at a specific future date**.

For the issuer, ZCBs defer interest payment burden until maturity.

They are classified as **debt instruments**, not equity or hybrid securities.

155. Inflation Indexed Bonds in India are generally linked to which of the following price indices?

भारत में इन्फ्लेशन इंडेक्स्ड बॉन्ड आमतौर पर इनमें से किस प्राइस इंडेक्स से जुड़े होते हैं?

(a) GDP Deflator
(b) CPI or WPI
(c) Core inflation
(d) Wholesale fuel index
(e) Repo rate

Answer: B

Explanation

Inflation Indexed Bonds (IIBs) are designed to protect investors against inflation risk.

In India, they have been linked to **Wholesale Price Index (WPI)** earlier and later to **Consumer Price Index (CPI)**.

The inflation indexation ensures that **principal and/or coupon payments adjust with inflation**.

CPI-based IIBs were introduced to provide better inflation protection aligned with retail inflation.

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These bonds help investors preserve the **real value of their investment**.

IIBs are part of the Government's market borrowing programme and issued through **RBI auctions**.

They differ from Floating Rate Bonds, which are linked to **T-Bill yields**, not inflation.

GDP Deflator, core inflation, and repo rate are not directly used as index benchmarks for IIBs.

156. In Government bonds with embedded call and put options, a "call option" implies that:

एम्बेडेड कॉल और पुट ऑप्शन वाले सरकारी बॉन्ड में, "कॉल ऑप्शन" का मतलब है कि:

(a) Investor can demand early repayment
(b) RBI can alter coupon rate
(c) Bond must be traded on exchange
(d) Investor can convert bond into equity
(e) Government can repurchase the bond before maturity

Answer: E

Explanation

A **call option** in a Government bond gives the **issuer (Government)** the right to redeem or repurchase the bond before its scheduled maturity.

This option is typically exercised when **market interest rates decline**, allowing the issuer to refinance at a lower cost.

The call option date(s) and terms are **specified at the time of issuance**.

Upon exercise, investors receive the **face value (or pre-specified call price)**.

It introduces **reinvestment risk** for investors, as funds may need to be reinvested at lower yields.

A call option is different from a **put option**, where the investor has the right to seek early redemption.

Callable bonds generally offer **slightly higher coupon rates** to compensate investors for call risk.

Such bonds are part of active **public debt management strategy** to manage interest burden and maturity profile.

157. In the Government Securities market, a dated Government Security can be broken into multiple zero-coupon instruments by separating its coupon payments and principal under the STRIPS facility. The acronym STRIPS stand for:

गवर्नमेंट सिक्योरिटीज़ मार्केट में, एक डेटेड गवर्नमेंट सिक्योरिटी को STRIPS फैसिलिटी के तहत उसके कूपन पेमेंट और प्रिंसिपल को अलग करके कई ज़ीरो-कूपन इंस्ट्रूमेंट्स में तोड़ा जा सकता है। STRIPS का मतलब है:

(a) Securities Trading in Registered Institutional Portfolios
(b) Separate Trading of Registered Interest and Principal of Securities
(c) Standardized Transfer of Retail Investment in Public Securities
(d) Special Treasury Registered Investment Programme Scheme
(e) Structured Trading of Repo-Indexed Public Securities

Answer: B

Explanation

STRIPS stands for **Separate Trading of Registered Interest and Principal of Securities**.

Under STRIPS, a **dated Government Security** is split into individual components — each coupon payment and the principal.

Each separated component becomes an independent **zero-coupon security**.

These securities are issued at a **discount and redeemed at face value**, similar to zero-coupon bonds.

STRIPS help in **yield curve construction** and precise cash flow matching for institutional investors.

They are useful for **Asset-Liability Management (ALM)** by banks, insurance companies, and pension funds.

STRIPS increase **liquidity and flexibility** in the Government Securities market.

In India, STRIPS are facilitated by RBI under the G-Sec framework.

158. Under the Ujwal DISCOM Assurance Yojana (UDAY), States issued special SDL bonds primarily to:

उज्ज्वल डिस्कॉम एश्योरेंस योजना (UDAY) के तहत, राज्यों ने खास तौर पर इनके लिए स्पेशल SDL बॉन्ड जारी किए:

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(a) Finance infrastructure projects
(b) Fund agricultural subsidies
(c) Provide liquidity to public sector banks
(d) Meet fiscal deficit targets
(e) Take over debt of power distribution companies (DISCOMs)

Answer: E

Explanation

UDAY (Ujwal DISCOM Assurance Yojana) was launched in **2015** to improve the financial health of State-owned power distribution companies (DISCOMs).

Under the scheme, State Governments took over **75% of the outstanding debt** of DISCOMs (as per scheme design).

To finance this takeover, States issued **special State Development Loans (SDLs)** in the market.

These SDLs were treated as **Government Securities (G-Secs)** and were eligible for SLR investment.

The objective was to reduce the **interest burden on DISCOMs** and improve operational efficiency.

Debt restructuring aimed to restore **financial sustainability in the power sector**.

The scheme linked financial restructuring with **operational reforms and efficiency targets**.

UDAY bonds increased States' reported debt but aimed at improving the long-term viability of DISCOMs.

159. Rural Co-operative Banks (State Co-op Banks & DCCBs) are required to maintain SLR primarily in:

ग्रामीण को-ऑपरेटिव बैंकों (स्टेट को-ऑप बैंक और DCCB) को मुख्य रूप से एसएलआर बनाए रखना ज़रूरी है:

(a) Corporate debentures only
(b) G-Secs, Cash and Gold
(c) Foreign Currency Assets
(d) Municipal Bonds only
(e) Repo transactions only

Answer: B

Explanation

Rural Co-operative Banks, including **State Co-operative Banks (StCBs)** and **District Central Co-operative Banks (DCCBs)**, are required to maintain **Statutory Liquidity Ratio (SLR)** under the **Banking Regulation Act, 1949 (as applicable to co-operatives)**.

SLR must be maintained in the form of **Cash, Gold, and unencumbered Government Securities (G-Secs)**.

G-Secs include both **Central Government and State Development Loans (SDLs)**.

These assets must be maintained as a **percentage of Net Demand and Time Liabilities (NDTL)**.

SLR ensures **liquidity and solvency buffer** in the banking system.

Corporate debentures and municipal bonds are **not eligible primary SLR assets** unless specifically notified.

Repo transactions are liquidity operations, not standalone SLR-qualifying assets.

Maintenance of SLR strengthens systemic stability and supports **government borrowing programmes**.

160. Provident Funds and Pension Funds are generally mandated to invest approximately what proportion of their corpus in Central and State Government Securities / Gilt instruments?

प्रोविडेंट फंड और पेंशन फंड को आम तौर पर अपने फंड का लगभग कितना हिस्सा सेंट्रल और स्टेट गवर्नमेंट सिक्योरिटीज / गिल्ट इंस्ट्रूमेंट्स में इन्वेस्ट करना होता है?

(a) 10%–20%
(b) 20%–30%
(c) 30%–40%
(d) 45%–50%
(e) 60%–70%

Answer: D

Explanation

Provident Funds and Pension Funds are required to invest a **significant portion of their corpus in Government Securities (G-Secs)** to ensure capital safety.

As per investment guidelines (e.g., EPFO norms), around **45%–50%** of the corpus is typically allocated to **Central and State Government securities and gilt instruments**.

These investments are considered **low-risk due to sovereign backing**.

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The mandate ensures **protection of retirement savings** from excessive market volatility.

G-Secs provide **stable and predictable returns**, aligning with long-term liability structures of pension funds.

Such mandatory investments create **steady demand for Government borrowing instruments**.

It supports **financial stability and prudent asset allocation** for social security funds.

Higher exposure to equities is capped to balance **risk-return objectives**.

161. Which of the following correctly distinguishes the Statutory Liquidity Ratio (SLR) from the Cash Reserve Ratio (CRR) in terms of how it is maintained by banks?

इनमें से कौन सा कथन स्टैच्युटरी लिक्विडिटी रेश्यो (SLR) को कैश रिज़र्व रेश्यो (CRR) से इस मामले में सही ढंग से अलग करता है कि बैंक इसे कैसे मेंटेन करते हैं?

(a) Maintained as cash balances with the Reserve Bank of India

(b) Maintained in the form of foreign exchange reserves

(c) Maintained solely in Treasury Bills

(d) Maintained as margin deposits with CCIL

(e) Maintained by banks in the form of cash, gold and Government Securities

Answer: E

Explanation

SLR (Statutory Liquidity Ratio) is maintained by banks in the form of **cash, gold, and unencumbered Government Securities (G-Secs)**.

It is kept **with the banks themselves**, not with RBI.

CRR (Cash Reserve Ratio), in contrast, is maintained **as cash balance with the RBI**.

Both are calculated as a percentage of **Net Demand and Time Liabilities (NDTL)**.

SLR ensures banks maintain a **liquidity buffer and solvency safeguard**.

G-Secs under SLR are eligible investments and also support the **Government's borrowing programme**.

CRR directly impacts **banking system liquidity**, as funds parked with RBI earn no interest (currently).

SLR can earn returns (via G-Secs), while CRR does **not generate income** for banks.

162. In the Government Securities market, CCIL acts as a Central Counter Party (CCP), which implies that it:

गवर्नमेंट सिक्योरिटीज़ मार्केट में, सीसीआईएल एक सेंट्रल काउंटर पार्टी (CCP) के तौर पर काम करता है, जिसका मतलब है कि यह:

(a) Acts as buyer to every seller and seller to every buyer

(b) Conducts primary auctions on behalf of RBI

(c) Fixes coupon rates of G-Secs

(d) Maintains CRR balances

(e) Regulates stock exchanges

Answer: A

Explanation

CCIL (Clearing Corporation of India Ltd.) functions as a **Central Counter Party (CCP)** in the Government Securities market.

As CCP, CCIL interposes itself between counterparties — becoming the **buyer to every seller and the seller to every buyer**.

This mechanism eliminates **counterparty credit risk** in secondary market trades.

CCIL guarantees settlement through the **Delivery versus Payment (DvP)** system.

It maintains a **Settlement Guarantee Fund (SGF)** to manage default risk.

CCIL does **not conduct primary auctions** — auctions are conducted by **RBI**.

It does **not fix coupon rates**, regulate stock exchanges, or maintain CRR balances.

CCIL plays a crucial role in enhancing **financial stability and systemic risk management**.

163. The minimum bid amount under Competitive Bidding in G-Sec auctions is generally:

सरकारी प्रतिभूतियाँ ऑक्शन में कॉम्पिटिटिव बिडिंग के तहत मिनिमम बिड अमाउंट आम तौर पर होता है:

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(a) ₹1,000
(b) ₹5,000
(c) ₹10,000
(d) ₹50,000
(e) ₹1,00,000

Answer: C

Explanation

Under **Competitive Bidding** in G-Sec auctions, the minimum bid amount is generally **₹10,000 (face value)**.

Bids must be placed in **multiples of ₹10,000** thereafter.

Competitive bidding requires participants to **quote the yield or price** at which they are willing to subscribe.

It is primarily used by **banks, Primary Dealers, insurance companies, and large institutional investors**.

Unlike Non-Competitive Bidding (NCB), allocation depends on the **price/yield quoted**.

Competitive bidders may submit **multiple bids** in a single auction.

Auctions are conducted electronically via the **RBI's e-Kuber platform**.

The ₹10,000 denomination is a common exam point and often confused with ₹1,000 (used in retail platforms).

164. The maximum amount that a retail investor can apply for per auction under the Non-Competitive Bidding scheme in G-Secs is:

सरकारी प्रतिभूतियाँ में नॉन-कॉम्पिटिटिव बिडिंग स्कीम के तहत एक रिटेल इन्वेस्टर हर नीलामी के लिए ज़्यादा से ज़्यादा कितनी रकम के लिए अप्लाई कर सकता है:

(a) ₹50 lakh
(b) ₹2 crore
(c) ₹5 crore
(d) ₹10 crore
(e) No upper limit

Answer: B

Explanation

Under the **Non-Competitive Bidding (NCB) scheme**, retail investors can apply up to a **maximum of ₹2 crore (face value) per auction**.

NCB allows retail participants to invest in G-Secs **without quoting yield or price**.

Allocation is done at the **weighted average yield/price** determined in the auction.

A certain portion (generally **5% for Central G-Secs**) is reserved for NCB participants.

The scheme promotes **retail participation in Government borrowing**.

Applications can be made through **RBI Retail Direct (RDG account)** or via banks/Primary Dealers.

The ₹2 crore cap applies **per security per auction**, not cumulatively across all auctions.

This limit ensures wider retail distribution while preventing excessive concentration.

165. The Reserve Bank of India recently announced a switch auction of Government Securities amounting to:

भारतीय रिज़र्व बैंक ने हाल ही में सरकारी सिक्योरिटीज़ के स्विच ऑक्शन की घोषणा की है, जिसकी रकम है:

(a) ₹10,000 crore
(b) ₹15,000 crore
(c) ₹20,000 crore
(d) ₹25,000 crore
(e) ₹30,000 crore

Answer: D

Explanation

RBI recently announced a **switch auction of ₹25,000 crore** worth of Government Securities.

A switch auction involves **exchanging short-term securities nearing maturity with longer-term securities**.

The primary objective is to **smoothen the redemption profile** and reduce bunching of maturities.

It helps in managing **redemption pressure in upcoming financial years**.

Such operations are part of **active public debt management strategy**.

Switch auctions do not increase net borrowing; they **restructure existing debt**.

These operations are conducted by RBI in its role as **Debt Manager to the Government of India**.

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They support fiscal stability by managing the **maturity structure and refinancing risk**.

166. Government Securities (G-Secs) auctions in India are conducted on which RBI-operated platform?

भारत में गवर्नमेंट सिक्योरिटीज़ (G-Secs) की नीलामी भारतीय रिज़र्व बैंक द्वारा चलाए जाने वाले किस प्लेटफॉर्म पर की जाती है?

(a) e-Kuber
(b) NDS-OM
(c) CCIL CROMS
(d) NSE EBP
(e) INFINET

Answer: A

Explanation

e-Kuber is RBI's **Core Banking Solution (CBS)-based electronic platform** used for conducting G-Sec auctions.

All primary auctions of **Treasury Bills, Dated G-Secs, and SDLs** are conducted through e-Kuber.

It facilitates **electronic submission of bids** by eligible participants.

Settlement of successful bids is also processed through **RBI's accounts via e-Kuber**.

Participants must maintain a **Current Account and SGL account with RBI** to bid directly.

NDS-OM is used for **secondary market trading**, not primary auctions.

CCIL CROMS is a repo order matching platform.

e-Kuber enhances **transparency, efficiency, and secure auction processing**.

167. Under the RBI Retail Direct Scheme, individual investors can open which type of account to invest in Government Securities?

भारतीय रिज़र्व बैंक रिटेल डायरेक्ट स्कीम के तहत, इंडिविजुअल इन्वेस्टर गवर्नमेंट सिक्योरिटीज में इन्वेस्ट करने के लिए किस तरह का अकाउंट खोल सकते हैं?

(a) Demat Account with NSDL
(b) Current Account with RBI
(c) Treasury Bill Savings Account
(d) SGL Account directly
(e) Retail Direct Gilt (RDG) Account

Answer: E

Explanation

Under the **RBI Retail Direct Scheme (launched in 2021)**, individuals can open a **Retail Direct Gilt (RDG) Account** with RBI.

The RDG account allows retail investors to invest directly in **Treasury Bills, Dated G-Secs, SDLs, and Sovereign Gold Bonds**.

The account is opened and maintained **free of cost** through the RBI Retail Direct portal.

Investors do not require a **demat account with NSDL/CDSL** for investing through RDG.

The RDG account functions similar to a **securities account held directly with RBI**.

It enables participation in both **primary auctions (via Non-Competitive Bidding)** and secondary market trading.

The scheme enhances **retail participation in Government borrowing programmes**.

It promotes **financial inclusion and direct access to sovereign-backed securities**.

168. In the context of public debt management operations, a switch auction conducted by the Government generally involves replacing which of the following types of securities?

पब्लिक डेब्ट मैनेजमेंट ऑपरेशन्स के संदर्भ में, सरकार द्वारा किए जाने वाले स्विच ऑक्शन में आम तौर पर नीचे दिए गए में से किस तरह की सिक्योरिटीज़ को बदलना शामिल होता है?

(a) Long-term bonds with Treasury Bills
(b) Floating rate bonds with zero-coupon bonds
(c) Short-term bonds nearing maturity with long-term bonds
(d) SDLs with corporate debentures
(e) Repo agreements with outright trades

Answer: C

Explanation

A **switch auction** is a debt management operation conducted by RBI on behalf of the Government.

It involves exchanging **short-term G-Secs approaching maturity** with **longer-term securities**.

The objective is to **smoothen the redemption profile** and avoid bunching of maturities in a particular year.

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It helps reduce **refinancing risk and redemption pressure**.

Switch operations do **not increase net market borrowing**; they only restructure existing debt.

This tool supports better **maturity distribution and cash flow management**.

It may also help in managing the **interest cost over time**.

Switch auctions are part of active **public debt management strategy**.

169. In the framework of RBI's monetary policy tools, Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) are classified under which category of instruments?

भारतीय रिजर्व बैंक के मॉनेटरी पॉलिसी टूल्स के फ्रेमवर्क में, कैश रिज़र्व रेश्यो (CRR) और स्टैच्युटरी लिक्विडिटी रेश्यो (SLR) को किस कैटेगरी के इंस्ट्रूमेंट्स में क्लासिफाई किया गया है?

(a) Market-based instruments
(b) Open market instruments
(c) Selective credit controls
(d) Statutory pre-emptions / Direct instruments
(e) External sector tools

Answer: D

Explanation

CRR and SLR are classified as **quantitative monetary policy tools** under direct/statutory instruments.

They are called **statutory pre-emptions** because banks are legally required to maintain a prescribed percentage of their **NDTL**.

CRR is maintained as cash balances with the **RBI**.

SLR is maintained by banks in the form of **cash, gold, and unencumbered Government Securities**.

These tools directly affect the **lendable resources of banks**.

Unlike **Open Market Operations (OMOs)**, CRR and SLR do not involve buying or selling securities in the market.

An increase in CRR/SLR typically leads to **liquidity contraction** in the banking system.

They are distinct from **selective credit controls**, which target specific sectors.

170. In the Indian monetary system, the term legal tender refers to money that must be accepted if offered for which of the following purposes?

भारतीय मॉनेटरी सिस्टम में, लीगल टेंडर शब्द का मतलब उस पैसे से है जिसे नीचे दिए गए किस मकसद के लिए दिया जाए तो उसे स्वीकार करना होगा?

(a) Payment of government taxes only
(b) Payment of a debt or financial obligation
(c) International trade settlements
(d) Purchase of securities in stock markets
(e) Deposits in scheduled commercial banks

Answer: B

Explanation

Digital Rupee (e₹) is India's **Central Bank Digital Currency (CBDC)** introduced by the **Reserve Bank of India (RBI)**.

It represents the **digital form of the Indian Rupee**, similar in value to physical currency.

The e₹ is **issued and regulated solely by the RBI**, ensuring sovereign backing and trust.

It functions as **legal tender**, meaning it can be used for payments and settlements like cash.

Unlike cryptocurrencies, the Digital Rupee is **not privately issued and is fully regulated by the central bank**.

It aims to **enhance payment efficiency, reduce cash handling costs, and support digital transactions**.

The system is being implemented through **Retail CBDC (for public use) and Wholesale CBDC (for financial institutions)**.

171. Under the legal tender rules for coins in India, coins of ₹1 and above are legal tender for transactions up to what maximum limit per transaction?

भारत में सिक्कों के लिए लीगल टेंडर नियमों के तहत, ₹1 और उससे ज़्यादा के सिक्के हर ट्रांज़ैक्शन के लिए कितनी मैक्सिमम लिमिट तक लीगल टेंडर हैं?

(a) ₹100
(b) ₹500
(c) ₹1000

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(d) ₹2000
(e) ₹5000

Answer: C

Explanation

- **Digital Rupee (e₹)** is India's **Central Bank Digital Currency (CBDC)** introduced by the **Reserve Bank of India (RBI)**.
- It is the **digital form of the Indian Rupee**, having the same value as physical cash.
- The currency is **issued and regulated by the RBI**, ensuring sovereign backing.
- The e₹ functions as **legal tender** and can be used for payments and settlements.
- Unlike cryptocurrencies, it is **not privately issued and is fully regulated by the central bank**.
- It aims to **improve payment efficiency and support the digital economy**.
- It operates through **Retail CBDC (for public use) and Wholesale CBDC (for financial institutions)**.

172. Banknotes issued in India derive their credibility and acceptance partly because they are backed by which of the following authorities?
भारत में जारी बैंकनोट्स को उनकी क्रेडिबिलिटी और एक्सेप्टेंस कुछ हद तक इसलिए मिलती है क्योंकि उन्हें इनमें से किस अथॉरिटी का सपोर्ट है?

(a) Reserve Bank Board
(b) Securities and Exchange Board of India
(c) Ministry of Commerce
(d) Central Government of India
(e) Finance Commission

Answer: D

Explanation

Banknotes in India are **issued by the Reserve Bank of India (RBI)** under the **RBI Act, 1934**.

However, the **value of these banknotes is guaranteed by the Central Government of India**.

This government guarantee ensures **public trust and credibility** in the currency.

The **"I Promise to Pay the Bearer…" clause** on banknotes reflects this guarantee.

Because of this backing, Indian banknotes are **accepted as legal tender across the country**.

The guarantee means the **government stands behind the value printed on the note**.

This arrangement strengthens **confidence in India's monetary system**.

173. In India, some banknotes are printed by presses owned by the Government of India through the Security Printing and Minting Corporation of India Limited (SPMCIL). Which of the following locations host such banknote printing presses?
भारत में, कुछ बैंकनोट सिक्योरिटी प्रिंटिंग एंड मिंटिंग कॉर्पोरेशन ऑफ़ इंडिया लिमिटेड (SPMCIL) के ज़रिए भारत सरकार के मालिकाना हक वाले प्रेस में छापे जाते हैं। नीचे दी गई जगहों में से कौन सी ऐसी बैंकनोट प्रिंटिंग प्रेस हैं?

(a) Nashik and Dewas
(b) Mysuru and Salboni
(c) Mumbai and Hyderabad
(d) Noida and Kolkata
(e) Chennai and Bengaluru

Answer: A

Explanation

In India, some banknotes are printed by presses operated by the Security Printing and Minting Corporation of India Limited (SPMCIL).

SPMCIL is a **Government of India-owned company** responsible for printing currency, minting coins, and producing security documents.

The two **banknote printing presses under SPMCIL** are located at **Nashik (Maharashtra)** and **Dewas (Madhya Pradesh)**.

These presses print various **denominations of Indian currency notes** as required for circulation.

Apart from these, additional banknotes are printed by **presses of the Reserve Bank of India's subsidiary, BRBNMPL** located at Mysuru and Salboni.

The production of currency notes in India is therefore **shared between government presses and RBI-owned presses**.

This system ensures **efficient supply and management of banknotes across the country**.

174. Currency chests located in scheduled commercial banks primarily perform which of the

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following functions in India's currency distribution mechanism?

शेड्यूल्ड कमर्शियल बैंकों में मौजूद करेंसी चेस्ट भारत के करेंसी डिस्ट्रीब्यूशन सिस्टम में मुख्य रूप से इनमें से कौन सा काम करते हैं?

(a) Issue government bonds to the public
(b) Hold foreign exchange reserves
(c) Store banknotes and rupee coins on behalf of the RBI
(d) Print currency notes for circulation
(e) Regulate interest rates in the banking system

Answer: C

Explanation

Currency chests are storage facilities maintained by **scheduled commercial banks** on behalf of the Reserve Bank of India (RBI).

They are used to **store banknotes and coins** before they are distributed into circulation.

These chests function as **extensions of the RBI for currency management**.

Banks withdraw currency from these chests to **meet the cash requirements of their branches and customers**.

They also **collect surplus cash from bank branches** and return it to the chest.

This system helps the RBI **maintain smooth and efficient currency distribution across the country**.

Currency chests therefore play a **key role in managing the supply and circulation of physical currency in India**.

175. According to the available data, the total number of Small Coin Depots in India as of 28 February 2025 was approximately:

उपलब्ध डेटा के अनुसार, 28 फरवरी 2025 तक भारत में छोटे सिक्कों के डिपो की कुल संख्या लगभग थी:

(a) 1890
(b) 2299
(c) 2691
(d) 3105
(e) 3500

Answer: B

Explanation

Small Coin Depots (SCDs) are facilities established to ensure the **adequate supply of small denomination coins** in the banking system.

These depots are generally **maintained by selected bank branches on behalf of the Reserve Bank of India**.

Their main function is to **store and distribute small denomination coins to bank branches and the public**.

They help address the **shortage of coins used for everyday retail transactions**.

Small Coin Depots operate as part of the **currency distribution framework managed by the RBI**.

As per available data, **India had around 2,299 Small Coin Depots as of 28 February 2025**.

These depots support the **smooth circulation and availability of coins across the country**.

176. Which of the following correctly represents the flow of currency distribution in India?

इनमें से कौन सा भारत में करेंसी डिस्ट्रीब्यूशन के फ्लो को सही तरह से दिखाता है?

(a) RBI → Presses → Currency Chests → Banks → Public
(b) Currency Chests → RBI → Banks → Public
(c) Presses → Bank Branches → RBI Issue Offices → Public
(d) RBI → Currency Chests → Presses → Public
(e) Presses → RBI Issue Offices → Currency Chests → Bank Branches → Public

Answer: E

Explanation

Currency notes in India are **printed at specialised security presses** located in different parts of the country.

After printing, the notes are sent to **Issue Offices of the Reserve Bank of India (RBI)**.

The RBI then transfers currency to **Currency Chests**, which are maintained by selected commercial banks on behalf of the RBI.

These currency chests act as **storage and distribution centres for banknotes and coins**.

Bank branches **withdraw currency from currency chests** to meet public demand.

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Finally, the currency reaches the **general public through bank branches and ATMs**.

This structured flow ensures **efficient distribution and smooth circulation of currency across the country**.

177. Reserve Bank of India operates through how many Issue Offices across the country?

भारतीय रिज़र्व बैंक देश भर में कितने इश्यू ऑफिस के ज़रिए काम करता है?

(a) 19
(b) 21
(c) 23
(d) 29
(e) 31

Answer: A

Explanation

The Reserve Bank of India manages currency issuance and distribution in the country.

For this purpose, the RBI operates **Issue Offices across India** as part of its currency management system.

These offices are responsible for the **issue and distribution of banknotes and coins**.

Issue Offices receive newly printed currency from **printing presses and mints**.

They then supply currency to **currency chests maintained by commercial banks**.

Through this network, the RBI ensures **smooth circulation and adequate supply of currency nationwide**.

Currently, the RBI operates **19 Issue Offices across the country**.

178. The "I Promise to Pay" clause printed on Indian currency notes derives its legal basis from which provision of law?

इंडियन करेंसी नोट पर छपा "मैं पेमेंट करने का वादा करता हूँ" क्लॉज़, कानून के किस नियम से लिया गया है?

(a) Section 22 of the RBI Act, 1934
(b) Section 24 of the RBI Act, 1934
(c) Section 26 of the RBI Act, 1934
(d) Section 42 of the RBI Act, 1934
(e) Section 45 of the RBI Act, 1934

Answer: C

Explanation

The phrase **"I Promise to Pay the Bearer the Sum of ... Rupees"** appears on Indian banknotes issued by the Reserve Bank of India.

This statement represents the **legal assurance of payment by the RBI to the holder of the note**.

The legal foundation for this promise comes from **Section 26 of the Reserve Bank of India Act, 1934**.

According to this provision, **every banknote issued by the RBI is guaranteed by the Central Government**.

The clause ensures that **banknotes function as legal tender across the country**.

It also reflects the **credibility and sovereign backing of Indian currency**.

Therefore, the promise printed on the note symbolises **RBI's commitment to honour the value printed on the currency**.

179. Which of the following denominations of banknotes have been discontinued but remain legal tender, although they are now issued mainly as coins?

नीचे दिए गए बैंकनोट्स में से कौन से मूल्यवर्ग के बैंकनोट बंद कर दिए गए हैं, लेकिन वे लीगल टेंडर बने हुए हैं, हालांकि अब वे मुख्य रूप से सिक्कों के रूप में जारी किए जाते हैं?

(a) ₹1 and ₹2
(b) ₹2 and ₹5
(c) ₹5 and ₹10
(d) ₹10 and ₹20
(e) ₹20 and ₹50

Answer: B

Explanation

The **₹2 and ₹5 banknotes** were earlier part of India's regular currency circulation.

Over time, the printing of these **banknotes was discontinued** due to durability and cost considerations.

Instead, the denominations are now **mainly issued in the form of coins**.

However, the previously issued **₹2 and ₹5 banknotes continue to remain legal tender**.

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This means they are **still legally valid for transactions if found in circulation**.

The shift to coins helps **increase lifespan and reduce replacement costs** for lower denominations.

Such changes are part of the **currency management strategy of the Reserve Bank of India**.

180. In addition to Hindi and English, the language panel on Indian banknotes contains how many other Indian languages?

भारतीय बैंक नोटों पर हिंदी और अंग्रेजी के अलावा, भाषा पैनल में और कितनी भारतीय भाषाएं शामिल हैं?

(a) 10
(b) 12
(c) 15
(d) 18
(e) 22

Answer: C

Explanation

Indian banknotes contain text in **Hindi and English on the front side**.

In addition, a **language panel** appears on the reverse side of the note.

This panel includes **15 other Indian languages**, representing India's linguistic diversity.

These languages are selected from the **languages listed in the Eighth Schedule of the Constitution of India**.

The inclusion of multiple languages helps make **currency understandable across different regions of the country**.

Thus, Indian banknotes display **17 languages in total — Hindi, English, and 15 additional regional languages**.

This feature reflects **India's multicultural and multilingual identity** in its currency design.

181. The Mahatma Gandhi Series of banknotes, featuring the portrait of Mahatma Gandhi on the front side, was first introduced in India in which year?

महात्मा गांधी सीरीज़ के बैंकनोट, जिसके सामने की तरफ महात्मा गांधी का चित्र होता है, भारत में पहली बार किस साल शुरू किए गए थे?

(a) 1985
(b) 1991
(c) 1996
(d) 2005
(e) 2010

Answer: C

Explanation

The **Mahatma Gandhi Series** of Indian banknotes was introduced in **1996**.

These notes feature the portrait of Mahatma Gandhi on the **front side**, replacing earlier designs.

The series replaced the earlier **Ashoka Pillar series** of banknotes.

It was introduced to **modernize the design and enhance security features** in Indian currency.

The notes also include **improved anti-counterfeiting measures** such as watermarks, security threads, and micro-lettering.

This series has undergone further upgrades, including the **MG Series 2005** with additional security enhancements.

The design reflects **India's national identity by honouring Mahatma Gandhi's legacy** on its currency.

182. In the context of Indian currency, counterfeit notes are best described as:

भारतीय करेंसी के संदर्भ में, नकली नोटों को सबसे अच्छे तरीके से इस तरह बताया जा सकता है:

(a) Old banknotes withdrawn from circulation
(b) Banknotes printed with damaged paper
(c) Banknotes issued before Independence
(d) Fake currency notes lacking genuine security features
(e) Notes printed by private banks

Answer: D

Explanation

Counterfeit notes are **fake currency notes that imitate genuine banknotes**.

These notes are **not issued by the Reserve Bank of India** and therefore have **no legal validity**.

They usually **lack authentic security features** such as watermarks, security threads, micro-lettering, and latent images.

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Counterfeit notes are often produced **illegally to deceive people and circulate fake money in the economy**.

Such activities are considered **serious financial crimes under Indian law**.

The presence of counterfeit currency can **undermine trust in the monetary system**.

To combat this, authorities regularly **upgrade security features in banknotes and strengthen detection mechanisms**.

183. The Digital Rupee (e₹) introduced in India is classified as which of the following forms of currency?

भारत में शुरू किया गया डिजिटल रुपया (e₹) इनमें से किस तरह की करेंसी है?

(a) Central Bank Digital Currency issued by the Reserve Bank of India
(b) Cryptocurrency issued by private institutions
(c) Digital token issued by commercial banks
(d) Virtual currency regulated by SEBI
(e) Blockchain-based foreign exchange reserve

Answer: A

Explanation

The **Digital Rupee (e₹)** is India's **Central Bank Digital Currency (CBDC)**.

It is **issued and regulated by the Reserve Bank of India**.

The e₹ represents the **digital form of the Indian Rupee**, similar in value to physical cash.

It functions as **legal tender**, meaning it can be used for payments and settlements.

Unlike cryptocurrencies, it is **not privately issued and is fully controlled by the central bank**.

The Digital Rupee aims to **improve payment efficiency and strengthen India's digital payment ecosystem**.

It is being implemented through **Retail CBDC (for public use) and Wholesale CBDC (for financial institutions)**.

184. In India's Retail Central Bank Digital Currency (e₹-R) system, the digital rupee is primarily held in which of the following forms by users?

भारत के रिटेल सेंट्रल बैंक डिजिटल करेंसी (e₹-R) सिस्टम में, डिजिटल रुपया मुख्य रूप से यूज़र्स द्वारा इनमें से किस रूप में रखा जाता है?

(a) Bank savings accounts
(b) RBI reserve accounts
(c) Government treasury wallets
(d) Stock trading accounts
(e) e₹ wallets provided by banks or authorised non-banks

Answer: E

Explanation

In the **Retail Central Bank Digital Currency (e₹-R)** system, users hold the digital rupee in **special digital wallets**.

These wallets are **provided by authorised banks or approved non-bank entities**.

The e₹ wallet allows users to **store, send, and receive digital rupees similar to physical cash**.

It operates under the framework designed by the Reserve Bank of India.

Users can make **Person-to-Person (P2P) and Person-to-Merchant (P2M) payments** through these wallets.

Transactions can be completed using **QR codes or digital payment interfaces**.

This system supports **secure and efficient digital payments while maintaining central bank control over currency issuance**.

185. In India's Central Bank Digital Currency framework, which institution is responsible for the creation and issuance of the Digital Rupee (e₹)?

भारत के सेंट्रल बैंक डिजिटल करेंसी फ्रेमवर्क में, डिजिटल रुपया (e₹) बनाने और जारी करने के लिए कौन सी संस्था ज़िम्मेदार है?

(a) Ministry of Finance
(b) Securities and Exchange Board of India
(c) National Payments Corporation of India
(d) Reserve Bank of India
(e) State Bank of India

Answer: D

Explanation

The **Digital Rupee (e₹)** is India's **Central Bank Digital Currency (CBDC)**.

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It is **created and issued by the Reserve Bank of India**, which is the country's central monetary authority.

The RBI has the **exclusive authority to issue currency in India**, including its digital form.

The Digital Rupee represents the **electronic version of the Indian Rupee with the same value as physical cash**.

It is introduced to **enhance payment efficiency and support the digital financial ecosystem**.

The system operates under **two forms: Retail CBDC (for public use) and Wholesale CBDC (for financial institutions)**.

Through CBDC, the RBI aims to **modernize India's currency system while maintaining regulatory control**.

186. As part of its currency management responsibilities, the Reserve Bank of India ensures the circulation of clean and quality banknotes in the economy through which of the following initiatives?

अपनी करेंसी मैनेजमेंट ज़िम्मेदारियों के हिस्से के तौर पर, रिज़र्व बैंक ऑफ़ इंडिया इनमें से किस पहल के ज़रिए इकॉनमी में साफ़ और अच्छी क्वालिटी वाले बैंकनोट्स का सर्कुलेशन पक्का करता है?

(a) Clean Note Policy
(b) Monetary Policy Framework
(c) Financial Inclusion Mission
(d) Currency Stabilisation Scheme
(e) National Payment Policy

Answer: A

Explanation

The **Clean Note Policy** is an initiative of the Reserve Bank of India aimed at maintaining the **quality of banknotes in circulation**.

It was introduced to **ensure that the public receives clean and good-quality currency notes**.

Under this policy, banks are instructed to **withdraw soiled and damaged notes from circulation**.

Banks also provide **facilities for exchanging mutilated or soiled notes**.

The policy encourages the public to **handle currency carefully and avoid writing or stapling notes**.

It helps **reduce the circulation of dirty and damaged currency in the economy**.

Overall, the initiative supports **efficient currency management and better public confidence in physical cash**.

187. Which of the following banks is NOT listed among the partner banks associated with the e-RUPI system?

इनमें से कौन सा बैंक ई-रुपया सिस्टम से जुड़े पार्टनर बैंकों में लिस्टेड नहीं है?

(a) State Bank of India
(b) ICICI Bank
(c) HDFC Bank
(d) Bank of Baroda
(e) IDFC First Bank

Answer: E

Explanation

e-RUPI is a **cashless and contactless digital voucher system** developed by the National Payments Corporation of India (NPCI).

It was launched to enable **targeted delivery of benefits and services without physical cash**.

Several banks act as **partner banks for issuing and redeeming e-RUPI vouchers**.

Major partner banks include **State Bank of India, ICICI Bank, HDFC Bank, and Bank of Baroda**.

These banks help **generate and distribute e-RUPI vouchers to beneficiaries**.

IDFC First Bank is **not listed among the partner banks associated with the e-RUPI system** in the given list.

188. In the e-RUPI voucher system, the voucher is delivered to the beneficiary through which of the following modes?

ई-रुपया वाउचर सिस्टम में, वाउचर बेनिफिशियरी तक इनमें से किस तरीके से पहुंचाया जाता है?

(a) Email or debit card
(b) SMS or QR code
(c) ATM receipt or bank passbook
(d) UPI ID or cheque
(e) SWIFT code or IFSC

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Answer: B

Explanation

e-RUPI is a **cashless and contactless digital voucher system** developed by the National Payments Corporation of India (NPCI).

Under this system, the voucher is **sent directly to the beneficiary's mobile phone**.

The voucher is delivered in the form of **an SMS containing a QR code or a unique voucher code**.

The beneficiary can **redeem the voucher at the designated service provider or merchant**.

The system ensures **secure and targeted delivery of benefits without requiring physical cash or cards**.

It is **person-specific and purpose-specific**, meaning it can only be used by the intended beneficiary for a particular service.

This mechanism supports **efficient and transparent delivery of government welfare benefits and services**.

189. Which of the following correctly lists all the cities where coin mints in India are located?

इनमें से कौन सा शहर भारत में उन सभी शहरों की सही लिस्ट देता है जहां सिक्का टकसाल मौजूद हैं?

(a) Mumbai, Hyderabad, Kolkata, Noida
(b) Chennai, Pune, Hyderabad, Delhi
(c) Mumbai, Nashik, Mysuru, Kolkata
(d) Hyderabad, Bengaluru, Kolkata, Patna
(e) Noida, Jaipur, Mumbai, Chennai

Answer: A

Explanation

Coins in India are **minted at four official government mints** located in different cities.

These mints are situated in **Mumbai (Maharashtra), Hyderabad (Telangana), Kolkata (West Bengal), and Noida (Uttar Pradesh)**.

All four mints operate under the **Security Printing and Minting Corporation of India Limited (SPMCIL)**.

SPMCIL is a **Government of India enterprise responsible for minting coins and printing security documents**.

Each mint produces **various denominations of coins required for circulation in the country**.

After minting, the coins are **distributed through the Reserve Bank of India and the banking system**.

These mints play a **key role in ensuring an adequate supply of coins across India**.

190. As of March 2025, the approximate number of Automated Teller Machines (ATMs) operational in India is:

मार्च 2025 तक, भारत में चालू ऑटोमेटेड टेलर मशीन (ATM) की अनुमानित संख्या है:

(a) 1.75 lakh
(b) 2.00 lakh
(c) 2.25 lakh
(d) 2.51 lakh
(e) 3.00 lakh

Answer: D

Explanation

As of **March 2025**, India has **over 2.51 lakh ATMs** operational.

The network includes **onsite, offsite, white label and brown label ATMs**.

ATMs are regulated by the **Reserve Bank of India (RBI)**.

Majority of ATMs are concentrated in **urban areas**.

The expansion supports **financial inclusion and 24×7 banking access**.

191. The world's first Automated Teller Machine (ATM) was installed in which year and at which bank?

दुनिया की पहली ऑटोमेटेड टेलर मशीन (ATM) किस साल और किस बैंक में लगाई गई थी?

(a) 1965 – HSBC, London
(b) 1967 – Barclays Bank, London
(c) 1970 – Citibank, New York
(d) 1969 – Bank of America, California
(e) 1968 – Lloyds Bank, London

Answer: B

Explanation

The **world's first Automated Teller Machine (ATM)** was installed in **1967**.

It was set up at **Barclays Bank, London**.

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The inventor of the ATM was **John Shepherd-Barron**.

The first transaction took place on **27 June 1967**.

It was introduced to enable **cash withdrawals outside normal banking hours**.

The early ATM used **paper vouchers and PIN-based authentication**.

This innovation marked the beginning of **self-service and automated banking worldwide**.

192. ATMs specifically designated for stock market or share-related transactions are termed as:

स्टॉक मार्केट या शेयर से जुड़े ट्रांज़ैक्शन के लिए खास तौर पर बनाए गए एटीएम को क्या कहा जाता है:

(a) Yellow Label ATMs
(b) Green Label ATMs
(c) Pink Label ATMs
(d) Orange Label ATMs
(e) Brown Label ATMs

Answer: D

Explanation

Orange Label ATMs are designated for **stock market or share-related transactions**.

These ATMs facilitate services linked to **demat and trading accounts**.

They are introduced to support **capital market participants**.

Part of specialized ATM categorization based on service focus.

Different from **Green Label ATMs** (agriculture-focused).

Different from **Pink Label ATMs** (women-focused banking).

193. A transaction carried out using a debit card at the ATM of the same bank that issued the card is classified as:

डेबिट कार्ड का इस्तेमाल करके उसी बैंक के एटीएम पर किया गया ट्रांज़ैक्शन, जिसने कार्ड जारी किया है, उसे इस तरह क्लासिफ़ाई किया जाता है:

(a) Off-Us transaction
(b) Interbank transaction
(c) Sponsor bank transaction
(d) Brown Label transaction
(e) On-Us transaction

Answer: E

Explanation

An **On-Us transaction** takes place when a customer uses a debit card at the ATM of the same bank that issued the card.

In such cases, both the **card issuer and ATM operator are the same bank**.

The transaction is processed within the bank's own network.

No interbank settlement or interchange fee is involved.

Customers are typically entitled to a higher number of free transactions under On-Us usage.

It differs from an **Off-Us transaction**, where another bank's ATM is used.

194. As per RBI guidelines, the minimum number of free Off-Us ATM transactions permitted per month in the six metro cities (Bengaluru, Chennai, Hyderabad, Kolkata, Mumbai and New Delhi) is:

भारतीय रिजर्व बैंक की गाइडलाइंस के मुताबिक, छह मेट्रो शहरों (बेंगलुरु, चेन्नई, हैदराबाद, कोलकाता, मुंबई और नई दिल्ली) में हर महीने कम से कम कितने फ्री Off-Us एटीएमट्रांज़ैक्शन की इजाज़त है:

(a) Two
(b) Three
(c) Four
(d) Five
(e) Seven

Answer: B

Explanation

As per RBI guidelines, Off-Us transactions refer to use of **another bank's ATM**.

In the six metro cities—**Bengaluru, Chennai, Hyderabad, Kolkata, Mumbai and New Delhi**—a separate limit applies.

Savings bank account holders are entitled to **a minimum of 3 free transactions per month**.

The limit includes both **financial and non-financial transactions**.

After exceeding the free limit, banks may levy charges as per RBI-prescribed caps.

The differentiation between metro and non-metro aims to balance infrastructure usage and cost.

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195. In non-metro locations, the minimum number of free Off-Us ATM transactions allowed per month to savings bank account holders is:
नॉन-मेट्रो जगहों पर, सेविंग्स बैंक अकाउंट होल्डर्स को हर महीने कम से कम फ्री ऑफ-अस एटीएम ट्रांज़ैक्शन की इजाज़त है:

(a) Three
(b) Four
(c) Five
(d) Seven
(e) Ten

Answer: C

Explanation

In non-metro centres, Off-Us transactions mean use of **ATMs of other banks**.

RBI provides a relatively higher free limit in non-metro areas.

Savings bank account holders are entitled to a **minimum of 5 free Off-Us transactions per month**.

The count includes both **financial and non-financial transactions**.

The policy ensures better customer convenience where ATM networks are less dense.

Charges may be levied only after the free transaction threshold is crossed.

196. If a failed ATM transaction is not re-credited within the prescribed T+5 calendar days, the issuing bank must pay compensation at the rate of:
अगर कोई फेल एटीएम ट्रांज़ैक्शन तय T+5 कैलेंडर दिनों के अंदर री-क्रेडिट नहीं होता है, तो जारी करने वाले बैंक को इस रेट पर मुआवज़ा देना होगा:

(a) ₹250 per day
(b) ₹200 per day
(c) ₹150 per day
(d) ₹100 per day
(e) ₹70 per day

Answer: D

Explanation

RBI mandates that failed ATM transactions must be re-credited within **T+5 calendar days** (T = date of transaction).

If the amount is not credited within this period, compensation becomes payable.

The issuing bank must pay **₹100 per day** for each day of delay beyond T+5.

Compensation is calculated from the **6th calendar day onwards**.

The amount must be credited **automatically**, without requiring a customer claim.

This rule applies to both **ATM and White Label ATM (WLA)** transactions.

197. What fundamentally distinguishes a Magnetic Stripe card from an EMV Chip & PIN card in terms of data storage technology?
डेटा स्टोरेज टेक्नोलॉजी के मामले में मैग्नेटिक स्ट्राइप कार्ड और ईएमवी चिप और पिन कार्ड में क्या अंतर है?

(a) Magnetic stripe data storage vs Embedded chip data storage
(b) Chip data storage vs Stripe storage
(c) Biometric authentication vs PIN
(d) Server-based storage vs Card-based storage
(e) PIN-less vs PIN-based

Answer: A

Explanation

A **Magnetic Stripe card** stores cardholder data on a magnetic strip embedded on the back of the card.

An **EMV Chip & PIN card** stores data in an embedded microprocessor chip.

Magnetic stripe data is static and more vulnerable to cloning or skimming.

EMV chip generates dynamic authentication data for each transaction.

EMV technology significantly enhances transaction security.

Chip & PIN cards are globally adopted to reduce card-present fraud.

198. Effective May 1, 2025, the maximum charge that banks are authorised to levy per cash withdrawal transaction beyond the free monthly limit is:
1 मई, 2025 से, बैंकों को हर महीने की फ्री लिमिट से ज़्यादा कैश निकालने पर ज़्यादा से ज़्यादा इतना चार्ज लगाने का अधिकार है:

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(a) ₹20 + taxes
(b) ₹21 + taxes
(c) ₹22 + taxes
(d) ₹23 + taxes
(e) ₹25 + taxes

Answer: D

Explanation

Effective **May 1, 2025**, RBI authorised banks to revise ATM withdrawal charges.

The charge applies only after the **free monthly transaction limit** is exceeded.

The maximum permissible fee per cash withdrawal is **₹23 plus applicable taxes**.

This cap applies to both On-Us and Off-Us transactions beyond free limits.

The revision reflects increasing ATM operational and interchange costs.

Banks cannot exceed the RBI-prescribed ceiling amount.

199. As per RBI guidelines, banks must provide savings bank account holders a minimum of how many free financial transactions per month at their own ATMs (On-Us), irrespective of location?

भारतीय रिजर्व बैंक की गाइडलाइंस के अनुसार, बैंकों को सेविंग्स बैंक अकाउंट होल्डर्स को अपने एटीएम (On-Us) पर हर महीने कम से कम कितने फ्री फाइनेंशियल ट्रांजैक्शन की सुविधा देनी चाहिए, चाहे वे कहीं भी हों?

(a) Three
(b) Four
(c) Five
(d) Seven
(e) Ten

Answer: C

Explanation

RBI mandates a minimum number of free transactions at a bank's own ATMs (On-Us).

The rule applies to **savings bank account holders**.

Customers are entitled to at least **5 free financial transactions per month**.

The limit is applicable **irrespective of ATM location** (metro or non-metro).

Non-cash withdrawal transactions at own ATMs are generally **unlimited and free**.

Charges apply only after exceeding the prescribed free limit.

200. When a customer uses an Off-Us ATM (other bank's ATM), the interchange fee payable between banks per financial transaction is:

जब कोई कस्टमर ऑफ-अस एटीएम(दूसरे बैंक का एटीएम) इस्तेमाल करता है, तो हर फाइनेंशियल ट्रांज़ैक्शन पर बैंकों के बीच इंटरचेंज फीस देनी होती है:

(a) ₹25
(b) ₹23
(c) ₹21
(d) ₹20
(e) ₹19

Answer: E

Explanation

An **Off-Us transaction** occurs when a customer uses another bank's ATM.

In such cases, the issuing bank pays an **interchange fee** to the acquiring bank.

The interchange fee per **financial transaction** is **₹19**.

This fee is settled between banks through the payment network.

It is different from the customer charge levied after exceeding free limits.

The interchange mechanism ensures cost-sharing for ATM infrastructure usage.

201. Under UPI-ATM (Interoperable Cardless Cash Withdrawal) services, the usual maximum withdrawal limit per transaction is:

यूपीआई-एटीएम (इंटरऑपरेबल कार्डलेस कैश विड्रॉल) सर्विस के तहत, हर ट्रांज़ैक्शन पर आम तौर पर ज़्यादा से ज़्यादा विड्रॉल लिमिट यह है:

(a) ₹3,000
(b) ₹5,000
(c) ₹8,000
(d) ₹10,000
(e) ₹20,000

Answer: D

Explanation

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UPI-ATM enables interoperable cardless cash withdrawal using UPI authentication.

Customers can withdraw cash without using a physical debit card.

The usual maximum withdrawal limit per transaction is **₹10,000**.

The limit is prescribed to manage operational and fraud risks.

Transactions are authenticated through UPI PIN on the customer's mobile device.

The facility enhances convenience and reduces dependency on physical cards.

202. NPCI (National Payments Corporation of India) was established in the year _____ and is headquartered at _____.

NPCI (नेशनल पेमेंट्स कॉर्पोरेशन ऑफ़ इंडिया) की स्थापना वर्ष _____ में हुई थी और इसका हेडक्वार्टर _____ में है।

(a) 2007 – New Delhi
(b) 2008 – Mumbai
(c) 2009 – Bengaluru
(d) 2008 – Hyderabad
(e) 2010 – Chennai

Answer: B

Explanation

NPCI was established in **2008**.

It was set up under the guidance of **RBI and IBA**.

NPCI is incorporated as a **Section 8 (not-for-profit) company**.

The headquarters of NPCI is located in **Mumbai**.

It operates key platforms like UPI, IMPS, RuPay and AEPS.

NPCI plays a central role in India's retail payment infrastructure.

203. Bharat Connect (earlier BBPS) is operated by which of the following entities within the NPCI group?

भारत कनेक्ट (पहले BBPS) को एनपीसीआई ग्रुप में इनमें से कौन सी एंटिटी चलाती है?

(a) NIPL
(b) CCIL
(c) NBSL
(d) NPCI (parent entity)
(e) NBBL

Answer: E

Explanation

Bharat Connect is the rebranded name of the **Bharat Bill Payment System (BBPS)**.

It operates as India's unified and interoperable bill payment platform.

The system functions under the overall framework of the NPCI group.

The operational responsibility lies with **NPCI Bharat BillPay Limited (NBBL)**, a wholly owned subsidiary of NPCI.

NPCI acts as the parent organisation overseeing governance and policy alignment.

The platform standardises bill payment services across banks and authorised non-bank entities.

It promotes transparency, operational efficiency and nationwide access to utility payments.

204. As per the latest integration, NACH settlement reports are now part of which reporting framework?

लेटेस्ट इंटीग्रेशन के अनुसार, नच (NACH) सेटलमेंट रिपोर्ट अब किस रिपोर्टिंग फ्रेमवर्क का हिस्सा हैं?

(a) RTGS reporting cycle
(b) NEFT batch reporting
(c) NTSL reporting cycles
(d) CCIL clearing reports
(e) BBPS settlement module

Answer: C

Explanation

NACH is a centralised bulk payment system operated by NPCI.

It facilitates recurring debit and credit transactions such as salary, EMI and subsidy payments.

As per the latest integration update, NACH settlement reports are aligned with **NTSL reporting cycles**.

This integration improves reconciliation and reporting efficiency.

It ensures standardisation of settlement timelines across payment systems.

The move strengthens operational transparency in bulk clearing processes.

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205. Which of the following correctly expands the term "UMRN" used in the NACH mandate system?
इनमें से कौन सा शब्द नच(NACH) मैंडेट सिस्टम में इस्तेमाल होने वाले शब्द "UMRN" को सही तरह से दिखाता है?

(a) Unique Mandate Reference Number
(b) Unified Mandate Registration Number
(c) Universal Money Routing Number
(d) Unified Monthly Remittance Note
(e) User Managed Reference Number

Answer: A

Explanation

UMRN is a key identifier used in the NACH mandate framework.

It stands for **Unique Mandate Reference Number**.

Generated for every new NACH debit mandate registered.

It is an **18-digit alphanumeric reference number**.

Ensures uniqueness and traceability of recurring transactions.

Used for mandate tracking, modification, or cancellation.

206. With reference to AEPS withdrawals, most public sector banks (including SBI) generally prescribe what approximate monthly ceiling?
एईपीएस विड्रॉल के मामले में, ज़्यादातर पब्लिक सेक्टर बैंक (SBI समेत) आम तौर पर लगभग हर महीने कितनी लिमिट तय करते हैं?

(a) ₹10,000 per month
(b) ₹25,000 per month
(c) ₹40,000 per month
(d) ₹50,000 per month
(e) No monthly limit

Answer: D

Explanation

AEPS (Aadhaar Enabled Payment System) allows cash withdrawals using Aadhaar authentication.

Most public sector banks, including SBI, prescribe a **monthly withdrawal ceiling**.

The commonly applied cap is **₹50,000 per month**.

Some banks may also restrict the **number of transactions (around 4–5 per month)**.

The limit is imposed to mitigate fraud and manage operational risk.

AEPS transactions are routed through NPCI infrastructure.

207. As per RBI's latest compliance direction, the deadline for implementing strengthened Two-Factor Authentication (2FA) for digital payments across the ecosystem is:
भारतीय रिजर्व बैंक के नए कंप्लायंस डायरेक्शन के अनुसार, पूरे इकोसिस्टम में डिजिटल पेमेंट के लिए मज़बूत टू-फैक्टर ऑथेंटिकेशन (2FA) लागू करने की डेडलाइन है:

(a) October 1, 2024
(b) January 1, 2025
(c) April 1, 2026
(d) June 1, 2026
(e) December 31, 2026

Answer: C

Explanation

RBI issued updated compliance directions to strengthen digital payment security.

The focus is on enhanced **Two-Factor Authentication (2FA)** mechanisms.

The directive applies across the entire digital payments ecosystem.

The implementation deadline prescribed is **April 1, 2026**.

The move aims to reduce fraud and improve customer protection.

Entities must upgrade systems to ensure secure authentication standards.

208. Under the Aadhaar Enabled Payment System (AePS), the Issuer Identification Number (IIN) required to authenticate a transaction consists of how many digits?
आधार इनेबल्ड पेमेंट सिस्टम (AePS) के तहत, किसी ट्रांज़ैक्शन को ऑथेंटिकेट करने के लिए ज़रूरी इश्यूअर आइडेंटिफिकेशन नंबर (IIN) में कितने डिजिट होते हैं?

(a) 4 digits
(b) 6 digits
(c) 8 digits

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(d) 11 digits
(e) 12 digits

Answer: B

Explanation

Under **AePS**, the Issuer Identification Number (IIN) identifies the customer's bank.

It is required along with Aadhaar number and biometric authentication.

The IIN consists of **6 digits**.

It ensures correct routing of transactions to the respective bank.

The IIN is distinct from IFSC and other banking codes.

Used within NPCI's AEPS framework for transaction processing.

209. In the Union Budget 2026–27, the government allocated ₹2,000 crore to incentivise transactions on which platforms?

यूनियन बजट 2026-27 में, सरकार ने किन प्लेटफॉर्म पर ट्रांज़ैक्शन को बढ़ावा देने के लिए ₹2,000 करोड़ दिए?

(a) RuPay and BHIM-UPI
(b) IMPS and AEPS
(c) NEFT and RTGS
(d) NACH and BBPS
(e) CTS and NFS

Answer: A

Explanation

In the **Union Budget 2026–27**, the Government announced financial support to promote digital payments.

An allocation of **₹2,000 crore** was made for incentivising specific platforms.

The incentive targets transactions carried out on **RuPay cards and BHIM-UPI**.

The objective is to encourage low-cost, domestic payment networks.

It supports the government's push toward a **less-cash economy**.

The measure strengthens India's digital payments infrastructure.

210. Prepaid Payment Instruments (PPIs) are mainly intended to serve which of the following purposes?

प्रीपेड पेमेंट इंस्ट्रूमेंट्स (PPIs) मुख्य रूप से इनमें से किस मकसद को पूरा करने के लिए हैं?

(a) Provide post-paid credit facilities
(b) Store monetary value in advance for subsequent transactions
(c) Facilitate only international remittances
(d) Replace core banking systems
(e) Act as interbank settlement mechanisms

Answer: B

Explanation

PPIs are instruments that **store monetary value in advance** before usage.

They enable **purchase of goods and services**, fund transfers, or cash withdrawal (as permitted).

The value is **pre-loaded**, unlike credit cards which offer post-paid credit.

Operate under **RBI's Master Directions on PPIs**.

Can be issued by **banks and RBI-authorised non-bank entities**.

Examples include **mobile wallets, prepaid cards, gift cards, metro cards**.

Classified into **Closed, Semi-Closed, and Open PPIs** based on usage and features.

211. Which of the following instruments is categorised as a Semi-Closed Prepaid Payment Instrument (PPI) under RBI guidelines?

इनमें से कौन सा इंस्ट्रूमेंट भारतीय रिजर्व बैंक की गाइडलाइंस के तहत सेमी-क्लोज्ड प्रीपेड पेमेंट इंस्ट्रूमेंट (PPI) के तौर पर कैटेगरी में आता है?

(a) Amazon Gift Card
(b) Metro Smart Card
(c) Prepaid Debit Card issued by a bank
(d) Paytm Wallet
(e) Demand Draft

Answer: D

Explanation

Can be used at **multiple merchants** having agreement with the issuer.

Issued by **RBI-authorised banks or non-bank entities**.

Cash withdrawal is generally not permitted (except in Full-KYC PPIs as allowed).

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Allows **purchase of goods/services and fund transfers** (subject to KYC norms).

Cannot be used for withdrawal of cash from ATMs (in normal cases).

Example: **Paytm Wallet, PhonePe Wallet**.

Distinct from Closed PPIs (single-entity use) and Open PPIs (bank-issued with ATM access).

212. Closed System PPIs do not require approval from which of the following authorities?

क्लोज्ड सिस्टम पीपीआई को इनमें से किस अथॉरिटी से अप्रूवल की ज़रूरत नहीं होती है?

(a) RBI
(b) SEBI
(c) IRDAI
(d) PFRDA
(e) Ministry of Finance

Answer: A

Explanation

Closed PPIs are usable **only at the issuing entity** (single merchant).

They **do not require RBI authorisation**, unlike Semi-Closed or Open PPIs.

Cannot be used for **cash withdrawal or fund transfer**.

Typically used for **purchase of goods/services within the issuer's ecosystem**.

Examples include **Amazon Gift Cards and Store Cards**.

Since funds do not circulate across multiple entities, RBI approval is not mandated.

Regulated indirectly under general commercial and consumer laws, not as payment system operators.

213. Under RBI's KYC-based classification of Prepaid Payment Instruments, the maximum balance permitted in a Small PPI is:

भारतीय रिजर्व बैंक के केवाईसी-बेस्ड प्रीपेड पेमेंट इंस्ट्रूमेंट्स के क्लासिफिकेशन के तहत, एक छोटे PPI में मैक्सिमम बैलेंस की इजाज़त है:

(a) ₹5,000
(b) ₹10,000
(c) ₹25,000
(d) ₹50,000
(e) ₹2,00,000

Answer: B

Explanation

Maximum outstanding balance permitted is **₹10,000 at any time**.

Designed for **low-value transactions** with simplified KYC norms.

Only purchase of goods/services is allowed.

No cash withdrawal facility permitted.

No fund transfer to other wallets or bank accounts.

Monthly loading is restricted as per RBI guidelines.

If not upgraded to Full-KYC within **24 months**, further credits are blocked (existing balance usable).

214. Which of the following facilities is available under Full-KYC PPIs but not under Small PPIs?

इनमें से कौन सी सुविधा फुल-केवाईसी पीपीआई के तहत उपलब्ध है, लेकिन स्मॉल पीपीआई के तहत नहीं?

(a) Purchase of goods
(b) Merchant payments
(c) Prepaid recharge
(d) Balance enquiry
(e) Fund transfer and cash withdrawal

Answer: E

Explanation

Full-KYC PPIs allow **fund transfer to bank accounts and other PPIs**.

They also permit **cash withdrawal (as per RBI norms)**.

Maximum balance permitted is **₹2,00,000**.

Can be **linked to UPI applications** for transactions.

Interoperability is mandatory for Full-KYC PPIs.

Small PPIs are restricted to **purchase of goods/services only**.

Small PPIs do **not allow cash withdrawal or fund transfer**.

215. As per RBI's regulatory framework on Prepaid Payment Instruments, what is the maximum permissible balance that can be loaded onto a PPI–MTS (Mass Transit System) instrument?

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प्रीपेड पेमेंट इंस्ट्रूमेंट्स पर RBI के रेगुलेटरी फ्रेमवर्क के अनुसार, पीपीआई–एमटीएस (मास ट्रांजिट सिस्टम) इंस्ट्रूमेंट पर लोड किया जा सकने वाला मैक्सिमम बैलेंस कितना है?

(a) ₹1,000
(b) ₹2,000
(c) ₹3,000
(d) ₹5,000
(e) ₹10,000

Answer: C

Explanation

PPI–MTS instruments are designed for **metro, bus, and transit-related payments**.

The maximum permissible balance is **₹3,000 at any time**.

Primarily meant for **low-value transportation transactions**.

Generally issued with **minimal KYC requirements**.

Not intended for general-purpose merchant transactions.

Cash withdrawal facility is **not permitted**.

Regulated under RBI's **Master Directions on PPIs**.

216. As per the latest regulatory directions, non-bank PPI issuers must appoint an _____, with full compliance required by _____.

नए रेगुलेटरी निर्देशों के अनुसार, नॉन-बैंक पीपीआई जारी करने वालों को एक _____ नियुक्त करना होगा, जिसका _____ द्वारा पूरा पालन ज़रूरी है।

(a) Statutory Auditor – March 31, 2026
(b) Internal Ombudsman – June 30, 2026
(c) Chief Risk Officer – April 1, 2026
(d) Banking Ombudsman – December 31, 2026
(e) Compliance Officer – September 30, 2026

Answer: B

Explanation

RBI has mandated **non-bank PPI issuers** to appoint an **Internal Ombudsman (IO)**.

The direction aims to strengthen **customer grievance redressal mechanisms**.

Full compliance is required by **June 30, 2026**.

The IO acts as an **independent review authority** within the entity.

Applies specifically to **non-bank PPI issuers authorised by RBI**.

Enhances transparency, accountability, and consumer protection in digital payments.

Aligns PPI issuers with grievance standards applicable to banks and NBFCs.

217. Under the updated UPI framework, which category of PPIs is authorised to conduct UPI transactions through third-party applications?

अपडेटेड यूपीआई फ्रेमवर्क के तहत, पीपीआई की किस कैटेगरी को थर्ड-पार्टी एप्लिकेशन के ज़रिए यूपीआई ट्रांज़ैक्शन करने की इजाज़त है?

(a) Closed PPIs
(b) Small PPIs
(c) Semi-closed PPIs (minimum KYC)
(d) Full-KYC PPIs
(e) PPI–MTS instruments

Answer: D

Explanation

Only **Full-KYC PPIs** are authorised to undertake UPI transactions via third-party apps.

The provision allows interoperability across UPI-enabled platforms.

These wallets can be linked to popular UPI apps for seamless payments.

Full-KYC compliance ensures higher regulatory oversight and risk control.

Such PPIs permit **fund transfers and cash withdrawals**, unlike Small PPIs.

The framework strengthens digital payment integration under RBI supervision.

Closed, Small, and PPI–MTS instruments are not eligible for third-party UPI linkage.

218. If a Small PPI (cash-loading) is not converted into a Full-KYC PPI within _____ months, no further credits are permitted, though the existing balance may continue to be used.

अगर एक स्मॉल पीपीआई (कैश-लोडिंग) को _____ महीनों के अंदर फुल-KYC PPI में कन्वर्ट नहीं किया जाता है, तो आगे कोई क्रेडिट अलाउड नहीं है, हालांकि मौजूदा बैलेंस का इस्तेमाल जारी रखा जा सकता है।

(a) 12 months
(b) 18 months

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(c) 24 months
(d) 36 months
(e) 48 months

Answer: C

Explanation

A Small PPI must be converted to **Full-KYC within 24 months** from issuance.

If not upgraded within this period, **no further credits or reloads are allowed**.

The existing balance can still be **used for permitted transactions**.

The rule applies specifically to **cash-loaded Small PPIs**.

Designed to ensure enhanced **KYC compliance and fraud prevention**.

Encourages migration to **Full-KYC PPIs with broader transaction facilities**.

Prescribed under RBI's **Master Directions on Prepaid Payment Instruments (PPIs)**.

219. The minimum paid-up capital requirement for a non-bank entity to issue PPIs in India is:

भारत में पीपीआई जारी करने के लिए किसी नॉन-बैंक एंटिटी के लिए मिनिमम पेड-अप कैपिटल की ज़रूरत है:

(a) ₹1 crore
(b) ₹2 crore
(c) ₹3 crore
(d) ₹5 crore
(e) ₹10 crore

Answer: D

Explanation

Non-bank companies must have a **minimum paid-up capital of ₹5 crore** to issue PPIs.

Applicable to entities incorporated in India seeking RBI authorisation.

Requirement ensures **financial soundness and operational stability**.

Issuance of PPIs is subject to **RBI approval under the Payment and Settlement Systems Act, 2007**.

Capital requirement acts as a safeguard against systemic and customer risk.

Entities must also comply with **net-worth and prudential norms** as prescribed by RBI.

Aimed at maintaining integrity and trust in the digital payments ecosystem.

220. TReDS was instituted by the Reserve Bank of India mainly to provide a structured platform for:

टीआरईडीएस(TReDS) को भारतीय रिज़र्व बैंक ने मुख्य रूप से एक स्ट्रक्चर्ड प्लेटफ़ॉर्म देने के लिए शुरू किया था:

(a) Discounting of MSME trade receivables
(b) Long-term infrastructure financing
(c) Interbank liquidity adjustment
(d) Foreign exchange settlements
(e) Equity listing of MSMEs

Answer: A

Explanation

TReDS stands for **Trade Receivables Discounting System**.

Instituted by the **Reserve Bank of India (RBI)**.

Provides an electronic platform for **discounting invoices of MSMEs**.

Sellers: **Only MSMEs**.

Buyers: **Corporates, Government Departments, PSUs**.

Financiers: **Banks, NBFC-Factors, RBI-permitted institutions**.

Objective: Improve **liquidity and working capital access** for MSMEs.

221. Under the TReDS framework, which of the following categories of institutions are permitted to participate as financiers?

टीआरईडीएस(TReDS) फ्रेमवर्क के तहत, नीचे दी गई कैटेगरी में से किस इंस्टीट्यूशन को फाइनेंसर के तौर पर हिस्सा लेने की इजाज़त है?

(a) RBI and other RBI-permitted financial institutions
(b) Banks, NBFC-Factors and other RBI-permitted financial institutions
(c) Cooperative societies
(d) Corporate buyers
(e) Only MSMEs

Answer: B

Explanation

TReDS allows **Banks** to finance MSME receivables.

NBFC-Factors are also eligible to participate as financiers.

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Other **RBI-permitted financial institutions** may join as financiers.

RBI itself does **not act as a financier** on the platform.

Corporate buyers and MSMEs cannot act as financiers.

The financing is done through **discounting of approved invoices**.

Objective: Ensure competitive bidding and better credit access for MSMEs.

222. Which of the following Trade Receivables Discounting System (TReDS) platforms has been jointly promoted by SIDBI and NSE?

इनमें से किस ट्रेड रिसीवेबल्स डिस्काउंटिंग सिस्टम (TReDS) प्लेटफॉर्म को सिडबी और एनएसई ने मिलकर प्रमोट किया है?

(a) M1xchange
(b) KREDX
(c) Invoicemart
(d) RXIL
(e) C2TREDS

Answer: D

Explanation

RXIL stands for **Receivables Exchange of India Ltd**.

It is jointly promoted by **SIDBI and NSE**.

Operates as an authorised **TReDS platform** under RBI approval.

Facilitates electronic discounting of **MSME trade receivables**.

Enables competitive financing through **multiple financiers**.

Supports improved liquidity for MSMEs dealing with corporates and PSUs.

One of the early operational TReDS platforms in India.

223. TReDS has been linked with which of the following government platforms to facilitate the "GeM Sahay" credit facility?

"जीईएम सहाय" क्रेडिट सुविधा को आसान बनाने के लिए ट्रेड रिसीवेबल्स डिस्काउंटिंग सिस्टम (TReDS) को इनमें से किस सरकारी प्लेटफॉर्म से जोड़ा गया है?

(a) UPI
(b) BBPS
(c) GSTN Portal
(d) MCA21
(e) Government e-Marketplace

Answer: E

Explanation

TReDS is integrated with the **Government e-Marketplace (GeM)**.

The integration enables the **"GeM Sahay"** credit facility.

Allows MSMEs to obtain **credit against purchase orders** placed on GeM.

Strengthens working capital access for MSME suppliers to government buyers.

Facilitates faster invoice financing through authorised TReDS platforms.

Enhances transparency and digital processing in public procurement payments.

Supports government's objective of improving MSME liquidity.

224. Under the mandate issued by the Ministry of MSME, companies having an annual turnover exceeding ₹____ are required to onboard a TReDS platform.

एमएसएमई मंत्रालय द्वारा जारी आदेश के अनुसार, जिन कंपनियों का सालाना टर्नओवर ₹____ से ज़्यादा है, उन्हें ट्रेड रिसीवेबल्स डिस्काउंटिंग सिस्टम (TReDS) प्लेटफॉर्म पर आना ज़रूरी है।

(a) ₹100 crore
(b) ₹250 crore
(c) ₹500 crore
(d) ₹750 crore
(e) ₹1,000 crore

Answer: C

Explanation

- The Ministry of MSME mandated compulsory onboarding on TReDS for certain companies.
- Initially, the threshold was set at **₹500 crore annual turnover**.
- Companies exceeding this turnover were required to **register on a TReDS platform**.

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- Objective: Ensure timely payment to **MSME suppliers**.
- Applies to corporates dealing with MSMEs for goods and services.
- Strengthens invoice discounting ecosystem and liquidity access.
- Later, the threshold was revised downward (to ₹250 crore) under updated reforms.

225. As per the 2026 reform measures, CPSEs and Government Departments are now mandated to settle MSME invoices through:

2026 के सुधार उपायों के अनुसार, सीपीएसई और सरकारी विभागों को अब एमएसएमई इनवॉइस का निपटान इनके ज़रिए करना होगा:

(a) NEFT only
(b) RTGS only
(c) BBPS platform
(d) TReDS platforms
(e) GeM portal directly

Answer: D

Explanation

Under the **2026 Budgetary & Regulatory reforms**, CPSEs and Government Departments must settle MSME invoices through **TReDS platforms**.

Makes invoice discounting and payment processing more transparent and time-bound.

Ensures faster realisation of dues for **MSME suppliers**.

Strengthens digital tracking and competitive financing through authorised financiers.

Aligns public procurement payments with RBI-regulated receivables financing systems.

Reduces payment delays from large government buyers.

Complements the CGTMSE-backed credit guarantee support for invoice discounting.

226. Under the revised 2026 guidelines, the mandatory turnover threshold for companies to register on TReDS has been reduced to:

रिवाइज़्ड 2026 गाइडलाइंस के तहत, ट्रेड रिसीवेबल्स डिस्काउंटिंग सिस्टम (TReDS) पर रजिस्टर करने के लिए कंपनियों के लिए ज़रूरी टर्नओवर लिमिट को घटाकर कर दिया गया है:

(a) ₹100 crore
(b) ₹200 crore
(c) ₹250 crore
(d) ₹500 crore
(e) ₹750 crore

Answer: C

Explanation

Under the 2026 reforms, the turnover threshold was **reduced from ₹500 crore to ₹250 crore**.

Companies with annual turnover exceeding **₹250 crore** must register on a TReDS platform.

The move expands coverage to include more large buyers dealing with MSMEs.

Objective: Ensure **timely settlement of MSME dues**.

Strengthens liquidity support through structured invoice discounting.

Enhances compliance and transparency in corporate–MSME transactions.

Part of broader reforms to improve MSME access to working capital.

227. The Cheque Truncation System (CTS) in India is managed by which institution and has been legally recognised under which Act?

भारत में चेक ट्रंकेशन सिस्टम (CTS) किस संस्था द्वारा मैनेज किया जाता है और इसे किस एक्ट के तहत कानूनी मान्यता दी गई है?

(a) NPCI – Negotiable Instruments Act, 1881
(b) SEBI – Companies Act, 2013
(c) RBI – Banking Regulation Act, 1949
(d) CCIL – Payment and Settlement Systems Act, 2007
(e) NABARD – RBI Act, 1934

Answer: A

Explanation

CTS is managed operationally by **NPCI** in India.

The legal recognition for cheque truncation is provided under the **Negotiable Instruments Act, 1881**.

Specifically covered under **Section 6 and Section 81A** of the NI Act.

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CTS eliminates physical movement of cheques by transmitting **electronic images**.

Ensures faster cheque clearing and settlement across banks.

All cheques must comply with **CTS-2010 standards** (security features like watermark, CTS India mark, etc.).

Implemented in a **grid-based system** (Northern–New Delhi, Western–Mumbai, Southern–Chennai).

228. Under the grid-based implementation (2011–2013), India was divided into how many CTS regional grids?

ग्रिड-बेस्ड इम्प्लीमेंटेशन (2011–2013) के तहत, भारत को कितने सीटीएस रीजनल ग्रिड में बांटा गया था?

(a) Two
(b) Three
(c) Four
(d) Five
(e) Six

Answer: B

Explanation

Between **2011–2013**, CTS moved to a **grid-based clearing structure**.

India was divided into **three regional CTS grids**.

Northern Grid – New Delhi.

Western Grid – Mumbai.

Southern Grid – Chennai.

The grid system replaced city-wise clearing arrangements.

Objective: Improve efficiency, uniformity and speed of cheque clearing nationwide.

Enabled centralised processing and faster settlement across regions.

229. Under the Cheque Truncation System (CTS), the second phase of the faster cheque clearing mechanism was initially slated to be implemented with effect from:

चेक ट्रंकेशन सिस्टम (CTS) के तहत, तेज़ चेक क्लियरिंग सिस्टम का दूसरा फेज़ शुरू में इस तारीख से लागू होना था:

(a) January 3
(b) January 31
(c) March 5
(d) April 11
(e) July 3

Answer: A

Explanation

The second phase of the **faster cheque clearing mechanism under CTS** was initially scheduled to be implemented from **January 3**.

The reform aimed to introduce **continuous clearing and settlement**.

Objective: Reduce cheque realisation time across banks.

Part of RBI's efforts to enhance efficiency in the cheque clearing ecosystem.

Built upon the existing **grid-based CTS infrastructure**.

Intended to align cheque processing timelines more closely with digital payment efficiency.

Implementation was later deferred for operational preparedness.

230. Which of the following ministries has launched the Jan Samarth Portal?

निम्नलिखित में से किस मंत्रालय ने 'जन समर्थ पोर्टल' लॉन्च किया है?

(a) Ministry of Commerce and Industry
(b) Ministry of Corporate Affairs
(c) Ministry of Rural Development
(d) Ministry of Finance
(e) Ministry of Micro, Small and Medium Enterprises

Answer: D

Explanation

Jan Samarth Portal has been launched by Ministry of Finance

231. Jan Samarth Portal is primarily associated with which of the following?

जन समर्थ पोर्टल मुख्य रूप से निम्नलिखित में से किससे संबंधित है?

(a) Tax filing
(b) Insurance services
(c) Digital payments
(d) Pension schemes
(e) Credit-linked government schemes

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Answer: E

Explanation

Jan Samarth portal is one-stop digital portal for government credit-linked schemes (loan schemes).

232. Credit Guarantee Scheme for Exporters (CGSE) is implemented by which of the following agencies?

निर्यातकों के लिए ऋण गारंटी योजना (CGSE) का कार्यान्वयन निम्नलिखित में से किस एजेंसी द्वारा किया जाता है?

(a) Small Industries Development Bank of India (SIDBI)

(b) National Credit Guarantee Trustee Company Ltd.

(c) Export-Import Bank of India (EXIM Bank)

(d) Export Credit Guarantee Corporation of India (ECGC)

(e) National Bank for Financing Infrastructure and Development

Answer: B

Explanation

Credit Guarantee Scheme for Exporters (CGSE) is implemented by National Credit Guarantee Trustee Company Ltd.

233. What is the maximum loan amount per borrower under Credit Guarantee Scheme for Exporters (CGSE)?

निर्यातकों के लिए क्रेडिट गारंटी योजना (CGSE) के तहत प्रति उधारकर्ता अधिकतम ऋण राशि कितनी है?

(a) Rs. 75 crore

(b) Rs. 20 crore

(c) Rs. 50 crore

(d) Rs. 80 crore

(e) Rs. 45 crore

Answer: C

Explanation

Credit Guarantee Scheme for Exporters (CGSE)

Ministry: Ministry of Finance (Department of Financial Services)

Implemented by: NCGTC (National Credit Guarantee Trustee Company Ltd.)

What is CGSE?

Government scheme providing 100% guarantee on loans given to exporters

Helps exporters get easy and cheaper credit

Focus on MSMEs (Micro, Small and Medium Enterprises)

Purpose

Reduce risk for banks/lenders

Ensure more loans (liquidity) for exporters

Support exporters facing global trade challenges

Duration

Till ₹20,000 crore loans are guaranteed OR

31 March 2026 (whichever is earlier)

Eligible Applicants

234. Direct Exporters

MSMEs: At least 5% turnover from exports

Non-MSMEs: At least 20% turnover from exports

Must have active export loan account

Account should be standard (not NPA)

235. Indirect Exporters

MSMEs supplying 30%+ goods to exporters

Must have domestic working capital loan

Other Conditions

MSMEs must have Udyam Registration

Account should not be NPA

Key Features

Loan Support: Up to 20% of working capital limit

Maximum Loan: ₹50 crore per borrower

Tenure: 4 years (including 1-year moratorium)

Interest Rate:

1% lower than normal rate

Max: 10% (Banks/FIs), 14% (NBFCs)

Guarantee Cover: 100% (full guarantee)

Collateral:

No extra collateral required

No new personal/corporate guarantee

Eligible Lenders

Scheduled Banks (SCBs)

Scheduled Urban Cooperative Banks (SUCBs)

All India Financial Institutions (AIFIs)

NBFCs (Non-Banking Financial Companies)

Claim Settlement

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75% amount: Paid within 30 days after NPA

Remaining 25%: After recovery

In OTS (One Time Settlement): Guarantee reduces to 90%

Exclusions

Not allowed if:

Already covered under another scheme/insurance

Not following RBI/Government rules

236. Which of the following is not one of the eligible lenders under Credit Guarantee Scheme for Exporters (CGSE)?

निम्नलिखित में से कौन सा निर्यातकों के लिए क्रेडिट गारंटी योजना (CGSE) के अंतर्गत पात्र ऋणदाताओं में से एक नहीं है?

(a) Scheduled Urban Cooperative Banks

(b) Non-Banking Financial Companies

(c) All India Financial Institutions (AIFIs)

(d) Regional Rural Banks (RRBs)

(e) Scheduled Commercial Banks

Answer: D

Explanation

Eligible lenders:

Scheduled Commercial Bank (SCB)/ Scheduled Urban Cooperative Banks (SUCB)/ All India Financial Institution (AIFI) / Non-Banking Finance Company (NBFC).

237. Under e-kisan Upaj Nidhi, where farmers can avail loans against stored crops using e-NWR (electronic Negotiable Warehouse Receipt) issued by WDRA-registered warehouses, what is the maximum tenure of such loans?

ई-किसान उपज निधि के तहत, जहाँ किसान WDRA-पंजीकृत गोदामों द्वारा जारी e-NWR (इलेक्ट्रॉनिक नेगोशिएबल वेयरहाउस रसीद) का उपयोग करके भंडारित फसलों के बदले ऋण प्राप्त कर सकते हैं, ऐसे ऋणों की अधिकतम अवधि क्या है?

(a) 6 months

(b) 15 months

(c) 12 months

(d) 8 months

(e) 24 months

Answer: C

Explanation

Key Features

Loan Type: Secured loan against stored crops

Lenders: Banks / Financial Institutions

Loan Tenure:

Based on shelf life of crop

Maximum 12 months

238. Under Prime Minister's Employment Generation Programme (PMEGP), what is the maximum project cost admissible for manufacturing sector?

प्रधानमंत्री रोज़गार सृजन कार्यक्रम (PMEGP) के अंतर्गत, विनिर्माण क्षेत्र के लिए अधिकतम कितनी परियोजना लागत स्वीकार्य है?

(a) Rs. 1 crore

(b) Rs. 75 lakhs

(c) Rs. 50 lakhs

(d) Rs. 1.5 crore

(e) Rs. 45 lakhs

Answer: C

Explanation

Project Cost Limit:

Manufacturing: up to ₹50 lakh

Service: up to ₹20 lakh

239. Under Weavers Mudra Scheme (WMS), what is the maximum margin money assistance provided per individual weaver?

वीवर्स मुद्रा योजना (WMS) के तहत, प्रति व्यक्तिगत बुनकर को अधिकतम कितनी मार्जिन मनी सहायता प्रदान की जाती है?

(a) Rs. 25000

(b) Rs. 15000

(c) Rs. 50000

(d) Rs. 45000

(e) Rs. 75000

Answer: A

Explanation

Margin Support:

Govt provides 20% of project cost

Maximum ₹25,000

Remaining margin by borrower

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240. MUDRA loans are offered in four categories namely, 'Shishu','Kishore', 'Tarun' and 'Tarun Plus'. Which of the following loan categories as per MUDRA scheme is incorrect?

MUDRA ऋण चार श्रेणियों में दिए जाते हैं, जिनके नाम हैं— 'शिशु', 'किशोर', 'तरुण' और 'तरुण प्लस'। MUDRA योजना के अनुसार, निम्नलिखित में से कौन-सी ऋण श्रेणी गलत है?

(a) Shishu: covering loans upto Rs. 50,000/-

(b) Kishore: covering loans above Rs. 50,000/- and up to Rs. 5 lakhs

(c) Tarun: covering loans above Rs. 5 lakh and up to Rs. 10 lakhs

(d) Tarun Plus: Rs. 10 lakh and up to Rs. 15 lakhs

(e) None of the above

Answer: D

Explanation

MUDRA loans are offered in four categories namely, 'Shishu','Kishore'and 'Tarun'

and newly added category 'Tarun Plus' which signifies the stage of growth or development.

Shishu: covering loans upto Rs. 50,000/-

Kishore: covering loans above Rs. 50,000/- and up to Rs. 5 lakhs

Tarun: covering loans above Rs. 5 lakh and up to Rs. 10 lakhs

Tarun Plus: Rs. 10 lakh and up to Rs. 20 lakhs

241. National Action for Mechanized Sanitation Ecosystem (NAMASTE) is being implemented by which of the following ministries?

'मैकेनाइज्ड सैनिटेशन इकोसिस्टम के लिए राष्ट्रीय कार्य योजना' (NAMASTE) निम्नलिखित में से किस मंत्रालय द्वारा कार्यान्वित की जा रही है?

(a) Ministry of Social Justice & Empowerment (MoSJE) and Ministry of Tribal Affairs (MoTA)

(b) Ministry of Housing & Urban Affairs (MoHUA) and Ministry of Rural Development (MoRD)

(c) Ministry of Social Justice & Empowerment (MoSJE) and Ministry of Housing & Urban Affairs (MoHUA)

(d) Ministry of Housing & Urban Affairs (MoHUA) and Ministry of Tribal Affairs (MoTA)

(e) Ministry of Social Justice & Empowerment (MoSJE) and Ministry of Rural Development (MoRD)

Answer: C

Explanation

National Action for Mechanized Sanitation Ecosystem (NAMASTE)

Type: Central Sector Scheme

Ministries:

Ministry of Social Justice & Empowerment (MoSJE)

Ministry of Housing & Urban Affairs (MoHUA)

242. Consider the following statements regarding the eligibility for Loan for Startups (START) scheme and find the CORRECT one(s).

I. Startups under Government of India guidelines, including Private Limited Companies, Registered Partnerships, or LLPs recognized by DPIIT are eligible.

II. Age of startup should NOT exceed 25 years.

III. Turnover of startup should not exceed Rs. 350 Crores.

'स्टार्टअप्स के लिए ऋण (START)' योजना की पात्रता के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. भारत सरकार के दिशानिर्देशों के तहत आने वाले स्टार्टअप्स—जिनमें प्राइवेट लिमिटेड कंपनियाँ, पंजीकृत साझेदारियाँ या DPIIT द्वारा मान्यता प्राप्त LLPs शामिल हैं—इस योजना के लिए पात्र हैं।

II. स्टार्टअप की आयु 25 वर्ष से अधिक नहीं होनी चाहिए।

III. स्टार्टअप का टर्नओवर 350 करोड़ रुपये से अधिक नहीं होना चाहिए।

Select the Code

कोड चुनें

(a) Only II and III

(b) Only I

(c) Only I and II

(d) Only III

(e) None of the above

Answer: B

Explanation

Eligibility

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Must be a DPIIT-recognized Startup

Type of Entities

Private Limited Company

LLP (Limited Liability Partnership)

Registered Partnership Firm

Conditions

Startup age ≤ 10 years

Turnover ≤ ₹100 crore

Not Eligible

HUFs

Reconstructed/split businesses

NPA/default startups

243. Consider the following statements regarding Deendayal Antyodaya Yojana-National Rural Livelihoods Mission (DAY-NRLM) and find the CORRECT one(s).

I. Self Help Groups (SHGs) which are active for at least 3 months are eligible applicants for availing loan under the mission.

II. For loans to SHGs up to Rs. 5 lakhs, no collateral or margin is required.

III. A Revolving Fund corpus ranging from Rs. 20,000 – Rs. 30,000 is provided per SHG to help in building their credit history

दीनदयाल अंत्योदय योजना-राष्ट्रीय ग्रामीण आजीविका मिशन (DAY-NRLM) के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन/कथनों का चयन करें।

I. स्वयं सहायता समूह (SHG), जो कम से कम 3 महीनों से सक्रिय हैं, इस मिशन के तहत ऋण प्राप्त करने के लिए पात्र आवेदक हैं।

II. SHG को 5 लाख रुपये तक के ऋण के लिए किसी भी प्रकार की जमानत (collateral) या मार्जिन की आवश्यकता नहीं होती है।

III. प्रत्येक SHG को उनकी ऋण साख (credit history) बनाने में सहायता हेतु 20,000 रुपये से 30,000 रुपये तक की राशि का एक 'रिवॉल्विंग फंड' (Revolving Fund) प्रदान किया जाता है।

Select the Code

कोड चुनें

(a) Only II and III

(b) Only I

(c) Only I and II

(d) Only III

(e) None of the above

Answer: D

Explanation

Key Features

244. Financial Support

Revolving Fund (ranging from Rs. 20,000 – Rs. 30,000)

Community Investment Fund (CIF)

Helps SHGs build credit history

245. Loan & Interest Benefits

In 250 backward districts:

Loan up to ₹3 lakh

Interest rate: 7%

Prompt repayment benefit:

Extra 3% subsidy → effective 4% interest

In other districts:

Interest reduced to 7% through subsidy

246. Collateral Rules

No collateral or margin required up to ₹10 lakh

247. Consider the following statements regarding PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi) scheme and find the CORRECT one(s).

I. The revised loan structure increases the first tranche to ₹15,000 and the second tranche to ₹30,000, while the third tranche remains unchanged at ₹50,000

II. The scheme has now been extended until March 31, 2028.

III. To promote digital adoption, street vendors are eligible to receive cashback incentives of up to ₹2,000 on retail and wholesale transactions.

PM स्ट्रीट वेंडर आत्मनिर्भर निधि (PM SVANidhi) योजना के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. संशोधित ऋण संरचना के तहत पहली किश्त को बढ़ाकर ₹15,000 और दूसरी किश्त को ₹30,000 कर दिया गया है, जबकि तीसरी किश्त ₹50,000 पर अपरिवर्तित बनी हुई है।

II. इस योजना को अब 31 मार्च, 2028 तक बढ़ा दिया गया है।

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III. डिजिटल अपनाने को बढ़ावा देने के लिए, स्ट्रीट वेंडर खुदरा और थोक लेन-देन पर ₹2,000 तक के कैशबैक प्रोत्साहन प्राप्त करने के पात्र हैं।

Select the Code

कोड चुनें

(a) Only II and III

(b) Only I

(c) Only I and II

(d) Only III

(e) None of the above

Answer: E

Explanation

The lending period has now been extended until March 31, 2030.

In order to give boost to digital adoption, the street vendors can avail cashback incentives upto ₹1,600 on making retail & wholesale transactions.

Key Features

Loan Amount (1st Tranche):

Up to Rs. 15000 (earlier) ₹10,000 (1-year tenure)

No Collateral:

Collateral-free loan

Interest Subsidy:

7% subsidy on timely repayment

Digital Incentive:

Cashback up to ₹100/month for digital payments

Higher Loan on Repayment:

2nd loan: Rs. 25000 (earlier ₹20,000)

3rd loan: ₹50,000

248. Consider the following statements regarding Kisan Credit Card scheme and find the CORRECT one(s).

I. Kisan Credit Card (KCC) scheme was introduced in 1998.

II. Short term crop loans up to ₹ 3 lakh are covered under Interest Subvention Scheme.

III. Tenant Farmers, Oral Lessees & Share Croppers are not eligible borrowers under the scheme.

किसान क्रेडिट कार्ड योजना के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. किसान क्रेडिट कार्ड (KCC) योजना 1998 में शुरू की गई थी।

II. ₹3 लाख तक के अल्पकालिक फसल ऋण 'ब्याज सबवेंशन योजना' (Interest Subvention Scheme) के अंतर्गत आते हैं।

III. इस योजना के तहत किरायेदार किसान, मौखिक पट्टेदार और बटाईदार ऋण लेने के पात्र नहीं हैं।

Select the Code

कोड चुनें

(a) Only II and III

(b) Only I

(c) Only I and II

(d) Only III

(e) None of the above

Answer: C

Explanation

The Kisan Credit Card (KCC) scheme was introduced in 1998

Eligibility

All Farmers – Individuals / Joint borrowers who are owner cultivators

Tenant Farmers, Oral Lessees & Share Croppers

Self Help Groups (SHGs) or Joint Liability Groups of Farmers including tenant farmers, share croppers etc.

At present, short term crop loans up to ₹ 3 lakh are covered under Interest Subvention Scheme/Prompt Repayment Incentive scheme of the Government of India.

249. Consider the following income categories under Home Loan Scheme (EWS, LIG, MIG – Urban Areas) and find the CORRECT one(s).

I. EWS (Economically Weaker Section): up to Rs. 3 lakh/year

II. LIG (Lower Income Group): more than Rs. 3 lakh and up to Rs. 7.5 lakh/year

III. MIG (Middle Income Group): more than ₹7.5 and up to Rs.9 lakh/year

होम लोन योजना (EWS, LIG, MIG – शहरी क्षेत्र) के तहत आय की निम्नलिखित श्रेणियों पर विचार करें और सही श्रेणी/श्रेणियों का पता लगाएँ।

I. EWS (आर्थिक रूप से कमज़ोर वर्ग): ₹3 लाख/वर्ष तक

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II. LIG (निम्न आय वर्ग): ₹3 लाख से अधिक और ₹7.5 लाख/वर्ष तक

III. MIG (मध्यम आय वर्ग): ₹7.5 लाख से अधिक और ₹9 लाख/वर्ष तक

Select the Code

कोड चुनें

(a) Only II and III

(b) Only I

(c) Only I and II

(d) Only III

(e) None of the above

Answer: B

Explanation

EWS households: Annual income up to ₹3 lakh.

LIG households: Annual income from ₹3 lakh to ₹6 lakh.

MIG households: Annual income from ₹6 lakh to ₹9 lakh.

250. How much accident insurance cover is provided under Pradhan Mantri Jan Dhan Yojana?

प्रधानमंत्री जन धन योजना के अंतर्गत कितनी दुर्घटना बीमा कवरेज प्रदान की जाती है?

(a) Rs. 5 lakh

(b) Rs. 4.5 lakh

(c) Rs. 7.5 lakh

(d) Rs. 2 lakh

(e) Rs. 10 lakh

Answer: D

Explanation

Key Features of Pradhan Mantri Jan Dhan Yojana

No minimum balance

RuPay Debit Card

Free card usable at ATMs

Accident insurance: ₹2 lakh

Life insurance: ₹30,000

251. How much annual premium is payable under the Pradhan Mantri Suraksha Bima Yojana?

प्रधानमंत्री सुरक्षा बीमा योजना के अंतर्गत कितना वार्षिक प्रीमियम देय है?

(a) Rs. 20

(b) Rs. 30

(c) Rs. 80

(d) Rs. 50

(e) Rs. 100

Answer: A

Explanation

Pradhan Mantri Suraksha Bima Yojana:

Launched: 2015

Type: One-year accident insurance

Eligibility

Age: 18–70 years

Must have bank/post office account

Benefits

Accidental death: ₹2 lakh

Total disability: ₹2 lakh

Partial disability: ₹1 lakh

Premium

₹20 per year

Coverage Period

1 June – 31 May

252. What is the eligibility age for Pradhan Mantri Jeevan Jyoti Beema Yojana?

प्रधानमंत्री जीवन ज्योति बीमा योजना के लिए पात्रता की आयु क्या है?

(a) 18 – 55 years

(b) 18 – 40 years

(c) 18 – 50 years

(d) 18 – 70 years

(e) 18 – 60 years

Answer: C

Explanation

Eligibility

Age: 18–50 years

Coverage up to 55 years

253. Which of the following is the implementing agency of Atal Pension Yojana?

निम्नलिखित में से कौन अटल पेंशन योजना की कार्यान्वयन एजेंसी है?

(a) Reserve Bank of India (RBI)

(b) Life Insurance Corporation (LIC)

(c) National Pension System Trust (NPS Trust)

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(d) Pension Fund Regulatory and Development Authority (PFRDA)

(e) Employees' Provident Fund Organisation (EPFO)

Answer: D

Explanation

Atal Pension Yojana is implemented by Pension Fund Regulatory and Development Authority (PFRDA).

254. What is the maximum loan amount provided under Stand Up India Scheme?

स्टैंड अप इंडिया योजना के तहत दी जाने वाली अधिकतम ऋण राशि कितनी है?

(a) Rs. 2.5 crore

(b) Rs. 1 crore

(c) Rs. 5 crore

(d) Rs. 10 lakh

(e) None of these

Answer: B

Explanation

Loan Details provided under Stand Up India Scheme:

₹10 lakh to ₹1 crore

Composite loan (term + working capital)

255. What is the initial investment tenure under Public Provident Fund (PPF) Scheme?

पब्लिक प्रोविडेंट फंड (PPF) योजना के तहत शुरुआती निवेश की अवधि क्या है?

(a) 12 years

(b) 10 years

(c) 15 years

(d) 7 years

(e) 20 years

Answer: C

Explanation

Initial investment tenure under Public Provident Fund (PPF) Scheme is 15 years, extendable in block of 5 years.

256. What is the minimum deposit limit (per year) under Sukanya Samridhhi Yojana?

सुकन्या समृद्धि योजना के अंतर्गत न्यूनतम जमा सीमा (प्रति वर्ष) क्या है?

(a) Rs. 250

(b) Rs. 150

(c) Rs. 500

(d) Rs. 450

(e) Rs. 1000

Answer: A

Explanation

Minimum and maximum deposit limit (per year) under Sukanya Samridhhi Yojana is Rs. 250 and Rs. 1.5 lakh, respectively.

257. What is the maximum tax deduction limit available under Section 80C for investment in National Savings Certificate (NSC)?

नेशनल सेविंग्स सर्टिफिकेट (NSC) में निवेश के लिए, धारा 80C के तहत उपलब्ध अधिकतम टैक्स कटौती की सीमा क्या है?

(a) Rs. 1.5 lakh

(b) Rs. 5 lakh

(c) Rs. 2.5 lakh

(d) Rs. 50,000

(e) Rs. 3 lakh

Answer: A

Explanation

Tax Benefit

Section 80C (up to ₹1.5 lakh)

258. Under NPS Vatsalya scheme, partial withdrawal is allowed after how many years of investment?

NPS वात्सल्य योजना के तहत, निवेश के कितने वर्षों के बाद आंशिक निकासी की अनुमति है?

(a) 5 years

(b) 8 years

(c) 3 years

(d) 2 years

(e) None of the above

Answer: C

Explanation

Partial withdrawal is allowed after 3 years.

259. What is the maturity period for investment under Senior Citizens' Savings Scheme?

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सीनियर सिटिजन्स सेविंग्स स्कीम के तहत निवेश की मैच्योरिटी अवधि क्या है?

(a) 3 years
(b) 5 years
(c) 7.5 years
(d) 4 years
(e) 10 years
Answer: B
Explanation

Features of Senior Citizens' Savings Scheme:

Maturity: 5 years
Extendable by 3 years
Minimum deposit: ₹1,000
Maximum deposit: ₹30 lakh

260. Consider the following statements with respect to Atal Pension Yojana and find the CORRECT one(s).

I. Scheme is available to all citizens of India between 18 and 40 years of age.
II. Pension slabs available under the scheme is ₹1,000, ₹2,000, ₹3,000, ₹4,000, and ₹5,000 per month.
III. Minimum contribution period under the scheme is 20 years.

अटल पेंशन योजना के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. यह योजना 18 से 40 वर्ष की आयु के भारत के सभी नागरिकों के लिए उपलब्ध है।
II. इस योजना के तहत उपलब्ध पेंशन स्लैब ₹1,000, ₹2,000, ₹3,000, ₹4,000 और ₹5,000 प्रति माह हैं।
III. इस योजना के तहत न्यूनतम अंशदान अवधि 20 वर्ष है।

Select the code
कोड चुनें
(a) Only I
(b) Only II and III
(c) Only III
(d) Only I and II
(e) All I, II and III
Answer: B
Explanation

Initially scheme was available to all citizens of India between 18 and 40 years of age.
With effect from 1st October 2022, individuals paying income tax are not eligible to join the scheme.
Pension slabs available: ₹1,000, ₹2,000, ₹3,000, ₹4,000, and ₹5,000 per month.
Minimum contribution period is 20 years, depending on age of joining.

261. Consider the following statements with respect to Sukanya Samriddhi Yojana and find the CORRECT one(s).

I. The scheme was launched in the year 2005.
II. The account can be opened in the name of girl child up to 12 years of age.
III. The tenure of the scheme is 21 years from date of opening of account.

सुकन्या समृद्धि योजना के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. यह योजना वर्ष 2005 में शुरू की गई थी।
II. यह खाता 12 वर्ष तक की आयु की बालिका के नाम पर खोला जा सकता है।
III. इस योजना की अवधि खाता खोलने की तारीख से 21 वर्ष है।

Select the code
कोड चुनें
(a) Only I and II
(b) Only I and III
(c) Only III
(d) Only II and III
(e) Only II
Answer: C
Explanation

Sukanya Samriddhi Yojana (SSY)

Launched on 22 January 2015
Part of Beti Bachao Beti Padhao (BBBP) initiative
Type: Small Savings Scheme for Girl Child
Implemented through
Post Offices
Authorised Banks
Eligibility

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Account can be opened in the name of a girl child
Up to 10 years of age
Only one account per girl child
Parent/guardian operates the account

Key Features

Minimum: ₹250 per year
Maximum: ₹1.5 lakh per year

Tenure:

Matures after 21 years from account opening

262. Consider the following statements with respect to Pradhan Mantri Jan Dhan Yojana and find the INCORRECT one(s).

I. Beneficiaries of PMJDY can avail themselves of an overdraft (OD) facility up to Rs. 10,000/-

II. Under PMJDY, beneficiaries are issued a free RuPay debit card, which comes with an inbuilt accident insurance cover of Rs. 1 lakh

III. The account opened under the scheme require minimum balance maintenance of Rs. 100.

प्रधानमंत्री जन धन योजना के संबंध में निम्नलिखित कथनों पर विचार करें और गलत कथन/कथनों की पहचान करें।

I. PMJDY के लाभार्थी 10,000 रुपये तक की ओवरड्राफ्ट (OD) सुविधा का लाभ उठा सकते हैं।

II. PMJDY के तहत, लाभार्थियों को एक मुफ्त RuPay डेबिट कार्ड जारी किया जाता है, जिसके साथ 1 लाख रुपये का अंतर्निहित दुर्घटना बीमा कवर मिलता है।

III. इस योजना के तहत खोले गए खाते में 100 रुपये का न्यूनतम शेष (minimum balance) बनाए रखना आवश्यक है।

Select the code
कोड चुनें

(a) Only I
(b) Only II and III
(c) Only I and III
(d) Only I and II
(e) None of the above

Answer: B

Explanation

Key Features / Scheme Highlights

Zero Balance Account
No minimum balance required
RuPay Debit Card
Free card
Usable at ATMs
Includes accident insurance
Insurance Benefits

Accident Insurance: Up to ₹2 lakh

Life Insurance: ₹30,000 (for eligible early account holders)

Overdraft Facility

Up to ₹10,000
Available after satisfactory operation
Earlier provision: ₹5,000

263. Consider the following statements with respect to Stand Up India scheme and find the CORRECT one(s).

I. The scheme provides bank loans of ₹10 lakh to ₹1 crore to at least one SC/ST borrower and one woman per bank branch for setting up a greenfield enterprise.

II. The loan is repayable in 10 years.

III. The scheme allows 15% margin money, which can be arranged through eligible Central or State government schemes.

'स्टैंड अप इंडिया' योजना के संबंध में निम्नलिखित कथनों पर विचार करें और सही कथन चुनें:

I. यह योजना प्रत्येक बैंक शाखा में कम से कम एक SC/ST उधारकर्ता और एक महिला को, एक नया उद्यम (ग्रीनफील्ड एंटरप्राइज) स्थापित करने के लिए ₹10 लाख से ₹1 करोड़ तक का बैंक ऋण प्रदान करती है।

II. इस ऋण का पुनर्भुगतान 10 वर्षों में किया जाना होता है।

III. यह योजना 15% 'मार्जिन मनी' की अनुमति देती है, जिसकी व्यवस्था केंद्र या राज्य सरकार की पात्र योजनाओं के माध्यम से की जा सकती है।

Select the code
कोड चुनें

(a) Only II and III
(b) Only I
(c) Only III
(d) Only I and III
(e) None of the above

Answer: D

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Explanation

Target Group

SC/ST

Women entrepreneurs

Key Features

Loan Amount: ₹10 lakh to ₹1 crore

Composite loan (covers term loan + working capital)

Loan & Repayment

Repayment period: Up to 7 years

Moratorium: Up to 18 months

Margin Money

Up to 15% support (via convergence with govt schemes)

264. Consider the following statements and find the CORRECT one(s).

I. Tenure of Kisan Vikas Patra scheme is 115 months.

II. Mahila Samman Savings certificate offers a fixed interest rate of 7.5% per annum, which remained unchanged for the entire tenure of 5 years.

III. Maximum deposit limit under Senior Citizens' Savings Scheme is Rs. 50 lakh.

निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।

I. किसान विकास पत्र योजना की अवधि 115 महीने है।

II. महिला सम्मान बचत प्रमाणपत्र 7.5% प्रति वर्ष की निश्चित ब्याज दर प्रदान करता है, जो 5 वर्षों की पूरी अवधि के दौरान अपरिवर्तित रहती है।

III. वरिष्ठ नागरिक बचत योजना के तहत अधिकतम जमा सीमा 50 लाख रुपये है।

Select the code

कोड चुनें

(a) Only I

(b) Only II

(c) Only III

(d) Only II and III

(e) None of the above

Answer: A

Explanation

Tenure of Kisan Vikas Patra is 115 months

Mahila Samman Savings Certificate

One-time small savings scheme for women/girls

Available for a 2-year period (till March 2025)

Deposit up to ₹2 lakh

Fixed interest rate: 7.5%

Partial withdrawal option

Features of Senior Citizens' Savings Scheme:

Maturity: 5 years

Extendable by 3 years

Minimum deposit: ₹1,000

Maximum deposit: ₹30 lakh

265. Which of the following best defines the term 'insurance'?

निम्नलिखित में से कौन-सा शब्द 'बीमा' (Insurance) को सबसे अच्छी तरह परिभाषित करता है?

(a) A scheme for investment to earn high returns

(b) A promise of compensation for specific future potential losses in exchange for premium.

(c) A government tax collection mechanism

(d) A facility to provide loans without interest

(e) A contract that guarantees fixed profits irrespective of risk

Answer: B

Explanation

Introduction to Insurance

Definition: Insurance is a promise of compensation for specific future potential losses in exchange for a periodic payment (premium).

Purpose: Protects the financial well-being of individuals, companies, or entities against unexpected losses.

266. Which of the following best defines the term 'premium' in context of insurance?

बीमा के संदर्भ में, निम्नलिखित में से कौन-सा शब्द 'प्रीमियम' को सबसे अच्छी तरह परिभाषित करता है?

(a) The amount paid by insurer at the time of claim settlement

(b) The total value of insured property or asset

(c) A bonus amount given by insurance companies to policyholders

(d) Periodic payment to get compensation for specific future potential losses

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(e) A penalty charged for late payment of policy dues

Answer: D

Explanation

Introduction to Insurance

Definition: Insurance is a promise of compensation for specific future potential losses in exchange for a periodic payment (premium).

Purpose: Protects the financial well-being of individuals, companies, or entities against unexpected losses.

267. Which of the following is the first life insurance company of India?

निम्नलिखित में से कौन भारत की पहली जीवन बीमा कंपनी है?

(a) Madras Equitable

(b) Oriental Life Insurance Company

(c) Indian Mercantile Insurance Ltd

(d) Life Insurance Company

(e) General Insurance Corporation of India

Answer: B

Explanation

1818 – Oriental Life Insurance Company established in Calcutta (first life insurance company in India).

268. Which of the following is the first general insurance company of India?

निम्नलिखित में से कौन भारत की पहली सामान्य बीमा कंपनी है?

(a) Madras Equitable

(b) Oriental Life Insurance Company

(c) Triton Insurance Company Ltd

(d) Life Insurance Company

(e) General Insurance Corporation of India

Answer: C

269. Which of the following insurance companies is first to transact all classes of general Insurance in India?

निम्नलिखित में से कौन-सी बीमा कंपनी भारत में सामान्य बीमा के सभी वर्गों का कारोबार करने वाली पहली कंपनी है?

(a) Madras Equitable

(b) Oriental Life Insurance Company

(c) Triton Insurance Company Ltd

(d) Indian Mercantile Insurance Ltd

(e) General Insurance Corporation of India

Answer: D

Explanation

1907 – Indian Mercantile Insurance Ltd set up (first to transact all classes of general insurance).

270. Which of the following is the first statutory measure taken to regulate life insurance in India?

निम्नलिखित में से कौन-सा भारत में जीवन बीमा को विनियमित करने के लिए उठाया गया पहला वैधानिक कदम है?

(a) IRDAI Act, 1999

(b) Indian Insurance Companies Act 1928

(c) British Insurance Act 1870

(d) Indian Life Assurance Companies Act 1912

(e) None of the above

Answer: D

Explanation

1912 – Indian Life Assurance Companies Act (first statutory measure regulating life insurance).

271. Which of the following committee's report has suggested to allow the entry of private sector in insurance industry?

निम्नलिखित में से किस समिति की रिपोर्ट ने बीमा उद्योग में निजी क्षेत्र के प्रवेश की अनुमति देने का सुझाव दिया है?

(a) RN Malhotra Committee (1993)

(b) Narasimham Committee (1991)

(c) Rangarajan Committee (2008)

(d) Kelkar Committee (2002)

(e) Y.H. Malegam Committee (2011)

Answer: A

Explanation

Insurance Reforms

1993 – Government set up RN Malhotra Committee (former RBI Governor as Chairman) to recommend reforms.

1994 – Committee submitted its report with key suggestions:

Private sector to be allowed entry.

Foreign companies may enter via joint ventures with Indian partners.

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1999 – Insurance Regulatory and Development Authority (IRDA) constituted as an autonomous body to regulate and develop the industry.

272. Which section of IRDAI Act 1999 deals with functions of Insurance Regulatory and Development Authority of India (IRDAI)?

IRDAI अधिनियम, 1999 की कौन-सी धारा भारतीय बीमा विनियामक और विकास प्राधिकरण (IRDAI) के कार्यों से संबंधित है?

(a) Section 3

(b) Section 4

(c) Section 14

(d) Section 21

(e) Section 26

Answer: C

Explanation

Functions of IRDAI (Section 14, IRDAI Act, 1999)

Registration & Licensing

Issue, renew, modify, suspend, withdraw or cancel certificates of registration.

Policyholder Protection

Safeguard policyholders' interests in:

Assignment of policy,

Nomination,

Settlement of claims,

Surrender value,

Other contract terms.

273. In which of the following years, Insurance Regulatory and Development Authority (IRDA) was constituted?

निम्नलिखित में से किस वर्ष बीमा विनियामक और विकास प्राधिकरण (IRDA) का गठन किया गया था?

(a) 2001

(b) 1999

(c) 1984

(d) 1989

(e) 1995

Answer: B

Explanation

Insurance Regulatory and Development Authority (IRDA) constituted as an autonomous body to regulate and develop the industry in the year 1999.

IRDAI

Nature: Independent and autonomous statutory body.

Incorporated: April 2000.

Constituted under: Insurance Regulatory and Development Authority Act, 1999.

Jurisdiction: Regulates the insurance industry in India.

274. IRDA is given regulatory power under which section of the Insurance Act, 1938 to frame regulations for insurance industry?

IRDA को बीमा उद्योग के लिए नियम बनाने हेतु, बीमा अधिनियम, 1938 की किस धारा के अंतर्गत विनियामक शक्ति प्रदान की गई है?

(a) Section 45

(b) Section 64VB

(c) Section 114A

(d) Section 32B

(e) Section 40

Answer: C

Explanation

Regulatory Power: Can frame regulations under Section 114A of the Insurance Act, 1938.

Since 2000, has issued regulations on:

Registration of companies,

Protection of policyholders' interests,

Conduct of insurance business.

275. Which of the following is NOT a function of the Insurance Regulatory and Development Authority of India (IRDAI)?

निम्नलिखित में से कौन-सा भारतीय बीमा विनियामक और विकास प्राधिकरण (IRDAI) का कार्य नहीं है?

(a) Registration and licensing of insurance companies

(b) Settlement of insurance claims on behalf of companies

(c) Protection of policyholders' interests

(d) Regulation of nomination and assignment of policies

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(e) Renewal, modification, or cancellation of registration certificates

Answer: B

Explanation

Functions of IRDAI (Section 14, IRDAI Act, 1999)

Registration & Licensing

Issue, renew, modify, suspend, withdraw or cancel certificates of registration.

Policyholder Protection

Safeguard policyholders' interests in:

Assignment of policy,

Nomination,

Settlement of claims,

Surrender value,

Other contract terms.

276. What is the maximum foreign investment allowed in the insurance companies as per Union Budget 2025?

बीमा कंपनियों में अधिकतम कितना विदेशी निवेश करने की अनुमति है?

(a) 49%

(b) 74%

(c) 100%

(d) 56%

(e) 60%

Answer: C

Explanation

The Union Budget 2025 also announced the further increase of FDI sectoral cap for the insurance sector from 74% to 100%.

277. Which of the following is not one of the fully owned subsidiary of General Insurance Corporation of India (GIC)?

निम्नलिखित में से कौन-सी जनरल इंश्योरेंस कॉर्पोरेशन ऑफ़ इंडिया (GIC) की पूर्ण स्वामित्व वाली सहायक कंपनी नहीं है?

(a) New India Assurance Company Ltd. (NIACL)

(b) National Insurance Company Ltd. (NICL)

(c) United India Insurance Company Ltd. (UIICL)

(d) Agriculture Insurance Company of India Ltd.

(e) None of the above

Answer: D

Explanation

After a process of mergers among Indian insurance companies, four companies were left

as fully owned subsidiary companies of GIC:

National Insurance Company Ltd.

New India Assurance Company Ltd.

Oriental Insurance Company Ltd.

United India Insurance Company Ltd.

In 2000, IRDA Act amendments ended GIC's supervisory role → GIC became the Indian Reinsurer.

278. What is the authorised capital of Agriculture Insurance Company of India Ltd.?

एग्रीकल्चर इंश्योरेंस कंपनी ऑफ इंडिया लिमिटेड की अधिकृत पूंजी कितनी है?

(a) Rs. 2000 crores

(b) Rs. 1500 crores

(c) Rs. 1000 crores

(d) Rs. 2500 crores

(e) Rs. 3000 crores

Answer: B

Explanation

Agriculture Insurance Company of India Ltd. (AICIL)

Incorporated: 20 December 2002, operations from 1 April 2003.

Authorised Share Capital: ₹1500 Crores

Paid-up Share Capital: ₹200 Crores

Shareholding Structure:

GIC – 35%

NABARD – 30%

NIC, New India Assurance, Oriental Insurance, United India Insurance – 8.75% each.

279. What was the initial capital contribution to LIC by Government of India?

भारत सरकार द्वारा LIC में किया गया प्रारंभिक पूंजी योगदान कितना था?

(a) Rs. 5 crores

(b) Rs. 7.5 crores

(c) Rs. 2 crores

(d) Rs. 2.5 crores

(e) Rs. 10 crores

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Answer: A

Explanation

Life Insurance Company (Public Sector)

Only public sector life insurance company in India.

Parliament of India passed the Life Insurance Corporation Act on 19 June 1956.

LIC was created on 1 September 1956.

Initial capital contribution: ₹5 Crore from the Government of India.

Objectives

To spread life insurance widely, especially in rural areas.

To cover all insurable persons in the country.

To provide adequate financial cover at a reasonable cost.

Organisational Setup (in 1956)

8 Zonal Offices

113 Divisional Offices

280. Who among the following was the founder of New India Assurance Company Ltd.?

निम्नलिखित में से कौन न्यू इंडिया एश्योरेंस कंपनी लिमिटेड के संस्थापक थे?

(a) Sir Dorabji Tata

(b) Jamsetji Tata

(c) JRD Tata

(d) GD Birla

(e) Ratan Tata

Answer: A

Explanation

New India Assurance Company Ltd.

Founded: 1919 by Sir Dorabji Tata.

First overseas office: 1920 in London.

Overseas presence: Representative office in Yangon (Myanmar).

Co-promoter of:

Agricultural Insurance Company of India

GIC Housing Finance Ltd.

Health India TPA Insurance Services Ltd. (with other PSUs).

281. Life insurance in India was nationalised in which of the following years?

भारत में जीवन बीमा का राष्ट्रीयकरण निम्नलिखित में से किस वर्ष किया गया था?

(a) 1972

(b) 1959

(c) 1964

(d) 1956

(e) 1984

Answer: D

Explanation

Parliament of India passed the Life Insurance Corporation Act on 19 June 1956.

LIC was created on 1 September 1956.

Initial capital contribution: ₹5 Crore from the Government of India.

Objectives

To spread life insurance widely, especially in rural areas.

To cover all insurable persons in the country.

To provide adequate financial cover at a reasonable cost.

Organisational Setup (in 1956)

8 Zonal Offices

113 Divisional Offices

282. Which of the following acts has nationalised the General Insurance business in India?

निम्नलिखित में से किस अधिनियम ने भारत में सामान्य बीमा व्यवसाय का राष्ट्रीयकरण किया है?

(a) Companies Act, 1956

(b) GIBNA, 1972

(c) Insurance Act, 1938

(d) IRDA Act, 1999

(e) None of the above

Answer: B

Explanation

General Insurance (Public Sector) in India

General Insurance (Public Sector) in India

Nationalisation of General Insurance

General Insurance Business (Nationalisation) Act, 1972 (GIBNA) → Nationalised the

general insurance business in India.

General Insurance Corporation of India (GIC):

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Formed under Section 9(1) of GIBNA.

Incorporated on 22 November 1972 under the Companies Act, 1956.

Established to superintend, control, and carry on general insurance business.

After a process of mergers among Indian insurance companies, four companies were left

as fully owned subsidiary companies of GIC:

National Insurance Company Ltd.

New India Assurance Company Ltd.

Oriental Insurance Company Ltd.

United India Insurance Company Ltd.

In 2000, IRDA Act amendments ended GIC's supervisory role → GIC became the Indian Reinsurer.

283. Which of the following is the largest shareholder in Agriculture Insurance Company of India Ltd. (AICIL)?

निम्नलिखित में से कौन एग्रीकल्चर इंश्योरेंस कंपनी ऑफ इंडिया लिमिटेड (AICIL) में सबसे बड़ा शेयरधारक है?

(a) GIC

(b) NABARD

(c) IRDA

(d) NIACL

(e) NICL

Answer: A

Explanation

Shareholding Structure:

GIC – 35%

NABARD – 30%

NIC, New India Assurance, Oriental Insurance, United India Insurance – 8.75% each.

284. Life Insurance Corporation was established on which of the following dates?

जीवन बीमा निगम की स्थापना निम्नलिखित में से किस तिथि को हुई थी?

(a) 1 April 1957

(b) 19 June 1956

(c) 1 September 1956

(d) 15 August 1947

(e) 26 January 1950

Answer: C

Explanation

LIC was created on 1 September 1956.

285. Which of the following is NOT one of the types of insurance?

निम्नलिखित में से कौन-सा बीमा का एक प्रकार नहीं है?

(a) General insurance

(b) Fire insurance

(c) Flood insurance

(d) Marine insurance

(e) Investment Insurance

Answer: E

Explanation

Major types of insurance are: Life Insurance, General Insurance, Health Insurance, Motor Insurance, Travel Insurance, Home Insurance, Fire Insurance, Marine Insurance, Critical Illness Insurance, Trade Credit Insurance, Flood Insurance, Personal Accident Insurance, and Crop Insurance.

286. Which of the following is excluded under Life insurance?

निम्नलिखित में से किसे जीवन बीमा के अंतर्गत शामिल नहीं किया गया है?

(a) Accident

(b) Natural death

(c) Illness

(d) Old age

(e) Suicide

Answer: E

Explanation

Life Insurance

Definition: A contract promising lump sum payment to nominees on the death of the policyholder.

Exclusions: Death due to alcohol/drug abuse, war, terrorism, suicide, gross negligence.

287. Which of the following losses is excluded under General insurance?

निम्नलिखित में से कौन-सी हानि सामान्य बीमा के अंतर्गत शामिल नहीं है?

(a) Health issues

(b) House loss

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(c) Death
(d) Car
(e) Travel
Answer: C
Explanation
General Insurance
Covers all losses except death.
Examples: house, car, health, travel.

288. Which of the following is not covered under Health Insurance?
I. Terminal illnesses
II. dental/eye surgery
III. cosmetic surgery
निम्नलिखित में से कौन-सा स्वास्थ्य बीमा के अंतर्गत शामिल नहीं है?
I. जानलेवा बीमारियाँ
II. दाँत/आँख की सर्जरी
III. कॉस्मेटिक सर्जरी
(a) Only I
(b) Only I and III
(c) Only II
(d) Only II and III
(e) All I, II and III
Answer: E
Explanation
Health Insurance
Definition: Covers medical/surgical expenses due to illness or injury; offers cashless treatment or reimbursement.
Types:
Individual Health Insurance – covers one person.
Family Health Insurance – covers all family members under one policy.
Senior Citizen Health Insurance – for age 60–65 years.
Exclusions: War, terminal illnesses, cosmetic surgery, dental/eye surgery, pre-existing conditions during waiting period, non-allopathic therapies, unconfirmed diagnostic charges.

289. With reference to Travel Insurance in India, consider the following statements and find the CORRECT one(s).
I. Single Trip travel insurance covers a single journey within a specified duration, not exceeding 240 days.
II. Annual Multi-Trip policy allows multiple trips within a period of one year.
भारत में ट्रैवल इंश्योरेंस के संदर्भ में, निम्नलिखित कथनों पर विचार करें और सही कथन चुनें।
I. सिंगल ट्रिप ट्रैवल इंश्योरेंस एक तय समय-सीमा के भीतर की गई एक यात्रा को कवर करता है, जिसकी अवधि 240 दिनों से ज़्यादा नहीं हो सकती।
II. एनुअल मल्टी-ट्रिप पॉलिसी एक साल की अवधि के भीतर कई यात्राओं की अनुमति देती है।
(a) Only I
(b) Only II
(c) Both I and II
(d) Neither I nor II
(e) None of the above
Answer: B
Explanation
Travel Insurance
Covers financial losses due to medical/non-medical emergencies during travel.
Types:
Single Trip – covers a trip under 180 days.
Annual Multi-Trip – covers multiple trips in a year.
Covered Risks: Loss of baggage, medical emergencies, passport loss, hijacking, delayed flights, trip cancellation.
Exclusions: Travel against physician advice, baggage delay <24 hours, psychological illness, war, hazardous sports.

290. Which of the following is NOT a type of home insurance?
निम्नलिखित में से कौन-सा गृह बीमा का एक प्रकार नहीं है?
(a) Standard Fire & Special Perils Policy
(b) Home Structure Insurance
(c) Public Liability Coverage
(d) Home Loan Insurance
(e) Content Insurance
Answer: D
Explanation
Home Insurance

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Covers damage to home due to natural/man-made risks.

Types:

Standard Fire & Special Perils Policy – natural and man-made disasters.

Home Structure Insurance – protects structure and permanent fixtures.

Public Liability Coverage – compensates damage to others' property.

Content Insurance – covers household contents.

Exclusions: Wilful demolition, wear & tear, nuclear war, cash loss, electronic equipment damage due to overuse.

291. Which of the following is NOT covered under motor insurance in India?

भारत में मोटर बीमा के अंतर्गत निम्नलिखित में से क्या शामिल नहीं है?

(a) Riots

(b) Landslides

(c) Burglary

(d) Cyclone

(e) Damage outside India

Answer: E

Explanation

Motor Insurance

Mandatory in India for vehicles.

Types:

Car Insurance – covers accidental loss/damage to own car/third party.

Comprehensive Car Insurance – covers all damages and liabilities.

Third Party Insurance – covers only third-party damages/injuries.

Covered Risks: Riot, strike, fire, burglary, terrorism, earthquake, landslide, flood, storm, cyclone.

Exclusions: Driving under influence, illegal activities, invalid license, damage outside India.

292. Which of the following is NOT a type of fire insurance in India?

निम्नलिखित में से कौन-सा भारत में अग्नि बीमा का एक प्रकार नहीं है?

(a) Valued

(b) Floating

(c) Specific

(d) Comprehensive

(e) Burglary Insurance

Answer: E

Explanation

Fire Insurance

Covers damage to property/goods due to fire.

Types: Valued, Floating, Comprehensive, Specific, Valuable policies.

Covered Risks: Lightning, explosion, aircraft damage, terrorism, riot, natural disasters, water tank overflow.

293. Under Marine insurance, which of the following types covers the damage to boats and ships?

समुद्री बीमा के अंतर्गत, निम्नलिखित में से कौन-सा प्रकार नावों और जहाजों को होने वाली क्षति को कवर करता है?

(a) Liability insurance

(b) Hull insurance

(c) General insurance

(d) Cargo insurance

(e) None of the above

Answer: B

Explanation

Marine Insurance

Covers cargo, ships, terminals, and transport during transit.

Types:

Cargo Insurance – freight loss/damage.

Hull Insurance – damage to boats/ships.

Liability Insurance – legal claims from injuries/damage.

Policy Forms: Time Insurance, Voyage Policy, Valued Policy, Mixed Policy, Port Risk Policy, Wager Policy.

294. Which of the following types of crop insurance protects expected revenue due to market price fluctuations?

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निम्नलिखित में से किस प्रकार का फसल बीमा बाज़ार मूल्य में उतार-चढ़ाव के कारण होने वाली अपेक्षित आय की सुरक्षा करता है?

(a) Weather-Based Crop Insurance
(b) Crop Revenue Insurance
(c) Area Yield Insurance
(d) Crop Yield Insurance
(e) None of the above

Answer: B

Explanation

Crop Insurance

Covers loss of crop yield or revenue.

Types:

Crop Yield Insurance – protects expected harvest volume.

Crop Revenue Insurance – protects expected revenue due to market price fluctuations.

295. The Standing Deposit Facility (SDF) was introduced by the RBI primarily to:

स्टैंडिंग डिपॉज़िट फैसिलिटी (SDF) को भारतीय रिजर्व बैंक ने मुख्य रूप से इन कारणों से पेश किया था:

(a) Inject liquidity into the banking system
(b) Absorb surplus liquidity without collateral
(c) Provide long-term funds to banks
(d) Replace the Marginal Standing Facility
(e) Regulate credit allocation

Answer: B

Explanation

The **Standing Deposit Facility (SDF)** was introduced by the Reserve Bank of India primarily to **absorb surplus liquidity from the banking system without requiring collateral**. Under this facility, banks can park excess funds with the RBI and earn interest, helping the central bank manage liquidity more effectively. The SDF strengthens the RBI's liquidity absorption framework and forms the **lower bound of the policy rate corridor**. Unlike repo operations, it does not involve government securities, thereby providing the RBI with greater flexibility in managing surplus liquidity while maintaining monetary policy transmission.

296. An account that does not earn interest but provides an overdraft facility is most appropriately classified as:

एक ऐसा अकाउंट जिस पर ब्याज नहीं मिलता लेकिन ओवरड्राफ्ट की सुविधा मिलती है, उसे सबसे सही तरीके से इस प्रकार वर्गीकृत किया जाता है:

(a) Saving Account
(b) Term Deposit Account
(c) Salary Account
(d) Current Account
(e) Jan Dhan Account

Answer: D

Explanation

A **Current Account** is designed specifically for **regular and high-frequency banking transactions**, primarily required by **businesspersons, firms, and institutions**. It allows **unrestricted withdrawals** as long as sufficient balance or sanctioned overdraft is available. Unlike saving accounts, **no interest is paid**, as funds are meant for continuous circulation rather than accumulation. The absence of withdrawal limits ensures uninterrupted **commercial operations**, supplier payments, and receipts. This structure prioritises **liquidity and transactional efficiency** over returns. Therefore, the combination of unlimited withdrawals and cheque-based operations clearly makes the **current account** the most suitable option for transaction-intensive users.

297. Which NRI account allows foreign income deposits, offers tax-free interest in India, and permits full repatriation of both principal and interest?

कौन सा एनआरआई अकाउंट विदेशी इनकम जमा करने की अनुमति देता है, भारत में टैक्स-फ्री इंटरेस्ट देता है, और प्रिंसिपल और इंटरेस्ट दोनों को पूरी तरह से वापस भेजने की अनुमति देता है?

(a) NRO Fixed Deposit
(b) FCNR Account
(c) NRE Account
(d) Resident Foreign Currency Account
(e) EEFC Account

Answer: C

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Explanation

Non-Resident External (NRE) Account: This account allows NRIs to deposit **income earned abroad**, which is then **converted into Indian Rupees (INR)** at the prevailing exchange rate. One of its key advantages is that the **interest earned is completely tax-free in India**, making it attractive for overseas earners. Additionally, both the **principal and interest are fully repatriable**, without any upper limits, subject to compliance with RBI norms. Unlike NRO accounts, NRE accounts are not meant for Indian-source income.

298. A foreign bank maintaining an account in India with an Indian bank, denominated in Indian currency, is known as a:

एक विदेशी बैंक जो भारत में किसी भारतीय बैंक के साथ भारतीय मुद्रा में अकाउंट रखता है, उसे क्या कहा जाता है?

(a) Nostro account
(b) Vostro account
(c) Loro account
(d) EEFC account
(e) Correspondent account

Answer: B

Explanation

A **Vostro account**, derived from the Italian word **"Vostro" meaning "Yours"**, is an account maintained by a **foreign bank with a domestic bank in the domestic country's currency**. In India, a Vostro account is held by a **foreign bank with its corresponding Indian bank**, typically in **Indian rupees**. From the Indian bank's viewpoint, the funds belong to "you," i.e., the foreign bank. Vostro accounts play a crucial role in **international trade settlements**, especially in arrangements like **rupee-based trade mechanisms**, where foreign banks hold INR balances for facilitating cross-border transactions.

299. A loan classified as NPA remains unpaid for more than 12 months and banks find recovery highly uncertain, but some value still exists. The correct classification is:

नॉन-परफॉर्मिंग एसेट (NPA) के तौर पर क्लासिफ़ाई किया गया लोन 12 महीने से ज़्यादा समय तक बिना पेमेंट के रहता है और बैंकों को रिकवरी के बारे में पक्का नहीं पता होता, लेकिन फिर भी कुछ वैल्यू होती है। सही क्लासिफ़िकेशन यह है:

(a) Sub-standard
(b) Doubtful
(c) Loss
(d) Standard
(e) SMA-1

Answer: B

Explanation

Once a loan remains **non-performing for more than 12 months**, it moves beyond the sub-standard stage.

At this stage, **full recovery is uncertain**, though the asset has not completely lost value.

Banks continue to expect **partial recovery** from the borrower or collateral.

The asset is therefore **not treated as a total loss**.

Such loans require **higher provisioning and closer monitoring**.

RBI norms classify these assets as **doubtful assets**.

300. Under SARFAESI Act, banks must issue a notice of how many days before enforcement?

सरफेसी एक्ट के तहत, बैंकों को लागू करने से कितने दिन पहले नोटिस जारी करना होगा?

(a) 30 days
(b) 45 days
(c) 60 days
(d) 90 days
(e) 120 days

Answer: C

Explanation

The SARFAESI Act lays down a **mandatory pre-enforcement procedure** for secured creditors.

Before taking possession of secured assets, banks must **formally notify the borrower**.

This notice is issued under **Section 13(2)** of the SARFAESI Act.

The borrower is given **time to repay the outstanding dues**.

The prescribed notice period is **60 days** from the date of notice.

Enforcement actions can begin **only after this period expires** without payment.

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301. Which of the following correctly matches the institution with its function?
इनमें से कौन सा इंस्टीट्यूशन और उसके काम को सही तरह से मैच करता है?
(a) DRT – Recovery certificate issuance
(b) DRAT – Issuing recovery certificates
(c) DRT – Appeal against recovery orders
(d) e-Bkray – Loan restructuring
(e) ARC – Online auction platform
Answer: A
Explanation
Debt Recovery Tribunals (DRTs) are statutory bodies created to facilitate recovery of bank dues.
After adjudicating a recovery case, DRTs are empowered to **issue Recovery Certificates**.
These certificates authorise recovery officers to **initiate recovery proceedings**.
Debt Recovery Appellate Tribunals (DRATs) deal only with appeals against DRT orders.
The **e-Bkray platform** is used for online auctions, not restructuring.
Asset Reconstruction Companies (ARCs) manage and resolve NPAs, not auction platforms.

302. The Capital to Risk-Weighted Assets Ratio (CRAR) of a bank primarily measures:
किसी बैंक का कैपिटल टू रिस्क-वेटेड एसेट्स रेश्यो (CRAR) मुख्य रूप से मापता है:
(a) The profitability generated per unit of capital
(b) The adequacy of a bank's capital in relation to its risk
(c) The liquidity position of the bank exposure
(d) The volume of deposits mobilised by the bank
(e) The operational efficiency of bank management
Answer: B
Explanation
Capital to Risk-Weighted Assets Ratio (CRAR) is a key indicator of a bank's financial strength.
CRAR reflects the strength of a bank's capital base relative to the **riskiness of its assets after applying risk weights.**
A **higher CRAR** indicates better ability of the bank to **absorb unexpected losses and maintain financial stability.**
This reflects a **strong capital adequacy position**, as required by RBI and Basel norms.
It does not directly measure profitability, liquidity, or operational efficiency.
A well-capitalised bank is better placed to **withstand credit, market, and operational risks**.
Higher CRAR also enhances **confidence of depositors and regulators**.

303. Under the Prompt Corrective Action (PCA) framework, a bank is considered risky when it falls below prescribed norms related to capital ratios, asset quality and:
प्रॉम्प्ट करेक्टिव एक्शन (PCA) फ्रेमवर्क के तहत, किसी बैंक को तब रिस्की माना जाता है जब वह कैपिटल रेश्यो, एसेट क्वालिटी और इनसे जुड़े तय नियमों से नीचे चला जाता है:
(a) Liquidity
(b) Profitability
(c) Market share
(d) Credit growth
(e) Deposit base
Answer: B
Explanation
The **Prompt Corrective Action (PCA)** framework is an early-intervention tool used by the RBI to monitor weak banks.
It aims to prevent further deterioration in a bank's **financial health**.
Under PCA, banks are assessed using three key parameters.
These parameters include **capital ratios**, **asset quality**, and **profitability**.
A bank is considered risky if it **falls below the prescribed thresholds** in these indicators.
Weak profitability indicates the bank's **reduced ability to absorb losses**.
Such banks may face restrictions on expansion, lending, or dividend distribution.

304. The core idea of the Inter-operable Regulatory Sandbox (IoRS) is best described as:

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इंटर-ऑपरेबल रेगुलेटरी सैंडबॉक्स (IoRS) का मुख्य आइडिया इस तरह सबसे अच्छे से बताया जा सकता है:

(a) One regulator – One product – Fragmented approvals

(b) One product – One application – Multiple regulators

(c) Multiple regulators – Multiple applications – Single sector

(d) Sector-specific testing – Single window for all FinTech

(e) Only individual sandbox for cross-border products

Answer: B

Explanation

IoRS creates a unified entry point for products spanning multiple domains.

One single application covers all relevant regulators at once.

Avoids the hassle of separate filings to RBI, SEBI, IRDAI etc.

Core slogan: "One product – One application – Multiple regulators".

Targets hybrid/cross-sector innovations (e.g. banking + insurance combo).

Reduces duplication, delays, and inconsistent regulatory treatment.

Individual sandboxes cannot handle multi-regulator products effectively.

305. The Standing Deposit Facility (SDF) was introduced by the RBI primarily to:

स्टैंडिंग डिपॉज़िट फैसिलिटी (SDF) को भारतीय रिजर्व बैंक ने मुख्य रूप से इन कारणों से पेश किया था:

(a) Inject liquidity into the banking system
(b) Absorb surplus liquidity without collateral
(c) Provide long-term funds to banks
(d) Replace the Marginal Standing Facility
(e) Regulate credit allocation

Answer: B

Explanation

The **Standing Deposit Facility (SDF)** was introduced by the Reserve Bank of India primarily to **absorb surplus liquidity from the banking system without requiring collateral**. Under this facility, banks can park excess funds with the RBI and earn interest, helping the central bank manage liquidity more effectively. The SDF strengthens the RBI's liquidity absorption framework and forms the **lower bound of the policy rate corridor**. Unlike repo operations, it does not involve government securities, thereby providing the RBI with greater flexibility in managing surplus liquidity while maintaining monetary policy transmission.

306. An account that does not earn interest but provides an overdraft facility is most appropriately classified as:

एक ऐसा अकाउंट जिस पर ब्याज नहीं मिलता लेकिन ओवरड्राफ्ट की सुविधा मिलती है, उसे सबसे सही तरीके से इस प्रकार वर्गीकृत किया जाता है:

(a) Saving Account
(b) Term Deposit Account
(c) Salary Account
(d) Current Account
(e) Jan Dhan Account

Answer: D

Explanation

A **Current Account** is designed specifically for **regular and high-frequency banking transactions**, primarily required by **businesspersons, firms, and institutions**. It allows **unrestricted withdrawals** as long as sufficient balance or sanctioned overdraft is available. Unlike saving accounts, **no interest is paid**, as funds are meant for continuous circulation rather than accumulation. The absence of withdrawal limits ensures uninterrupted **commercial operations**, supplier payments, and receipts. This structure prioritises **liquidity and transactional efficiency** over returns. Therefore, the combination of unlimited withdrawals and cheque-based operations clearly makes the **current account** the most suitable option for transaction-intensive users.

307. Which NRI account allows foreign income deposits, offers tax-free interest in India, and permits full repatriation of both principal and interest?

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कौन सा एनआरआई अकाउंट विदेशी इनकम जमा करने की अनुमति देता है, भारत में टैक्स-फ्री इंटरेस्ट देता है, और प्रिंसिपल और इंटरेस्ट दोनों को पूरी तरह से वापस भेजने की अनुमति देता है?

(a) NRO Fixed Deposit
(b) FCNR Account
(c) NRE Account
(d) Resident Foreign Currency Account
(e) EEFC Account

Answer: C

Explanation

Non-Resident External (NRE) Account: This account allows NRIs to deposit **income earned abroad**, which is then **converted into Indian Rupees (INR)** at the prevailing exchange rate. One of its key advantages is that the **interest earned is completely tax-free in India**, making it attractive for overseas earners. Additionally, both the **principal and interest are fully repatriable**, without any upper limits, subject to compliance with RBI norms. Unlike NRO accounts, NRE accounts are not meant for Indian-source income.

308. A foreign bank maintaining an account in India with an Indian bank, denominated in Indian currency, is known as a:

एक विदेशी बैंक जो भारत में किसी भारतीय बैंक के साथ भारतीय मुद्रा में अकाउंट रखता है, उसे क्या कहा जाता है?

(a) Nostro account
(b) Vostro account
(c) Loro account
(d) EEFC account
(e) Correspondent account

Answer: B

Explanation

A **Vostro account**, derived from the Italian word **"Vostro" meaning "Yours"**, is an account maintained by a **foreign bank with a domestic bank in the domestic country's currency**. In India, a Vostro account is held by a **foreign bank with its corresponding Indian bank**, typically in **Indian rupees**. From the Indian bank's viewpoint, the funds belong to "you," i.e., the foreign bank. Vostro accounts play a crucial role in **international trade settlements**, especially in arrangements like **rupee-based trade mechanisms**, where foreign banks hold INR balances for facilitating cross-border transactions.

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(a) Sub-standard
(b) Doubtful
(c) Loss
(d) Standard
(e) SMA-1

Answer: B

Explanation

- Once a loan remains **non-performing for more than 12 months**, it moves beyond the sub-standard stage.
- At this stage, **full recovery is uncertain**, though the asset has not completely lost value.
- Banks continue to expect **partial recovery** from the borrower or collateral.
- The asset is therefore **not treated as a total loss**.
- Such loans require **higher provisioning and closer monitoring**.
- RBI norms classify these assets as **doubtful assets**.

310. Under SARFAESI Act, banks must issue a notice of how many days before enforcement?

सरफेसी एक्ट के तहत, बैंकों को लागू करने से कितने दिन पहले नोटिस जारी करना होगा?

(a) 30 days
(b) 45 days
(c) 60 days
(d) 90 days
(e) 120 days

Answer: C

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Explanation

- The SARFAESI Act lays down a **mandatory pre-enforcement procedure** for secured creditors.
- Before taking possession of secured assets, banks must **formally notify the borrower**.
- This notice is issued under **Section 13(2)** of the SARFAESI Act.
- The borrower is given **time to repay the outstanding dues**.
- The prescribed notice period is **60 days** from the date of notice.
- Enforcement actions can begin **only after this period expires** without payment.

311. Which of the following correctly matches the institution with its function?

इनमें से कौन सा इंस्टीट्यूशन और उसके काम को सही तरह से मैच करता है?

(a) DRT – Recovery certificate issuance
(b) DRAT – Issuing recovery certificates
(c) DRT – Appeal against recovery orders
(d) e-Bkray – Loan restructuring
(e) ARC – Online auction platform

Answer: A

Explanation

- **Debt Recovery Tribunals (DRTs)** are statutory bodies created to facilitate recovery of bank dues.
- After adjudicating a recovery case, DRTs are empowered to **issue Recovery Certificates**.
- These certificates authorise recovery officers to **initiate recovery proceedings**.
- **Debt Recovery Appellate Tribunals (DRATs)** deal only with appeals against DRT orders.
- The **e-Bkray platform** is used for online auctions, not restructuring.
- **Asset Reconstruction Companies (ARCs)** manage and resolve NPAs, not auction platforms.

312. The Capital to Risk-Weighted Assets Ratio (CRAR) of a bank primarily measures:

किसी बैंक का कैपिटल टू रिस्क-वेटेड एसेट्स रेश्यो (CRAR) मुख्य रूप से मापता है:

(a) The profitability generated per unit of capital
(b) The adequacy of a bank's capital in relation to its risk
(c) The liquidity position of the bank exposure
(d) The volume of deposits mobilised by the bank
(e) The operational efficiency of bank management

Answer: B

Explanation

- **Capital to Risk-Weighted Assets Ratio (CRAR)** is a key indicator of a bank's financial strength.
- CRAR reflects the strength of a bank's capital base relative to the **riskiness of its assets after applying risk weights.**
- A **higher CRAR** indicates better ability of the bank to **absorb unexpected losses and maintain financial stability.**
- This reflects a **strong capital adequacy position**, as required by RBI and Basel norms.
- It does not directly measure profitability, liquidity, or operational efficiency.
- A well-capitalised bank is better placed to **withstand credit, market, and operational risks**.
- Higher CRAR also enhances **confidence of depositors and regulators**.

313. Under the Prompt Corrective Action (PCA) framework, a bank is considered risky when it falls below prescribed norms related to capital ratios, asset quality and:

प्रॉम्प्ट करेक्टिव एक्शन (PCA) फ्रेमवर्क के तहत, किसी बैंक को तब रिस्की माना जाता है जब वह कैपिटल रेश्यो, एसेट क्वालिटी और इनसे जुड़े तय नियमों से नीचे चला जाता है:

(a) Liquidity
(b) Profitability
(c) Market share
(d) Credit growth
(e) Deposit base

Answer: B

Explanation

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- The **Prompt Corrective Action (PCA)** framework is an early-intervention tool used by the RBI to monitor weak banks.
- It aims to prevent further deterioration in a bank's **financial health**.
- Under PCA, banks are assessed using three key parameters.
- These parameters include **capital ratios**, **asset quality**, and **profitability**.
- A bank is considered risky if it **falls below the prescribed thresholds** in these indicators.
- Weak profitability indicates the bank's **reduced ability to absorb losses**.
- Such banks may face restrictions on expansion, lending, or dividend distribution.

314. The core idea of the Inter-operable Regulatory Sandbox (IoRS) is best described as:

इंटर-ऑपरेबल रेगुलेटरी सैंडबॉक्स (IoRS) का मुख्य आइडिया इस तरह सबसे अच्छे से बताया जा सकता है:

(a) One regulator – One product – Fragmented approvals

(b) One product – One application – Multiple regulators

(c) Multiple regulators – Multiple applications – Single sector

(d) Sector-specific testing – Single window for all FinTech

(e) Only individual sandbox for cross-border products

Answer: B

Explanation

- IoRS creates a unified entry point for products spanning multiple domains.
- One single application covers all relevant regulators at once.
- Avoids the hassle of separate filings to RBI, SEBI, IRDAI etc.
- Core slogan: "One product – One application – Multiple regulators".
- Targets hybrid/cross-sector innovations (e.g. banking + insurance combo).
- Reduces duplication, delays, and inconsistent regulatory treatment.
- Individual sandboxes cannot handle multi-regulator products effectively.

315. Which of the following regulators does NOT have its own individual Regulatory Sandbox?

इनमें से किस रेगुलेटर का अपना अलग रेगुलेटरी सैंडबॉक्स नहीं है?

(a) RBI

(b) SEBI

(c) IRDAI

(d) IFSCA

(e) PFRDA

Answer: E

Explanation

- RBI, SEBI, IRDAI, and IFSCA each operate their own Regulatory Sandbox.
- PFRDA (Pension Fund Regulatory and Development Authority) has no separate sandbox framework.
- PFRDA only participates in IoRS as an observer/associated regulator.
- This makes pension-linked hybrid products route through IoRS when needed.
- Absence of individual sandbox for PFRDA is explicitly noted.
- Other four regulators have standalone sandboxes for sector-specific testing.

316. The Inter-Regulatory Technical Group on FinTech (IRTG on FinTech), which led to IoRS, was set up under:

फिनटेक पर इंटर-रेगुलेटरी टेक्निकल ग्रुप (IRTG ऑन फिनटेक), जिससे IoRS बना, को इसके तहत बनाया गया था:

(a) RBI Board

(b) Ministry of Finance

(c) FSDC-SC

(d) NITI Aayog

(e) SEBI

Answer: C

Explanation

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- IRTG on FinTech was formed under the FSDC Sub-Committee (FSDC-SC).
- FSDC-SC handles inter-regulatory coordination on financial stability issues.
- Group's mandate included framing SOP for interoperable sandbox.
- RBI Board, Ministry of Finance, NITI Aayog, or SEBI are not the parent body.
- FSDC-SC includes all major financial regulators + DEA, MeitY.
- This structure ensures cross-sectoral perspective from the start.

317. EASE Reform Agenda was launched in January 2018 with the broader objective of institutionalising which two key principles in Indian banking?

ईज़ (EASE) रिफॉर्म एजेंडा जनवरी 2018 में लॉन्च किया गया था, जिसका बड़ा मकसद भारतीय बैंकिंग में किन दो खास सिद्धांतों को इंस्टीट्यूशनल बनाना था?

(a) Digital and Inclusive banking
(b) Transparent and Profitable banking
(c) CLEAN and SMART banking
(d) Public and Private banking
(e) Rural and Urban banking

Answer: C

Explanation

- The EASE Reform Agenda was specifically launched in January 2018 to drive governance reforms in Indian banks, particularly Public Sector Banks (PSBs).
- Its foundational and overarching objective is to institutionalise CLEAN and SMART banking practices across the sector.
- CLEAN stands for focused pillars like Clean credit, Leveraging data, Ensuring accountability, Action against defaulters, and NPA recovery.
- SMART represents Speedy services, Multi-channel reach, Accessible & affordable banking, Responsive customer service, and Technologically enhanced operations.
- These two acronyms (CLEAN + SMART) form the core framework that runs through all versions of EASE — from EASE 1.0 to EASE 4.0.

318. The EASE Reform Agenda was commissioned by which organisation and authored by which entity?

ईज़ (EASE) रिफॉर्म एजेंडा किस ऑर्गनाइज़ेशन ने शुरू किया था और किस एंटिटी ने इसे लिखा था?

(a) Reserve Bank of India – McKinsey & Company
(b) Indian Banks' Association – Boston Consulting Group
(c) Ministry of Finance – Deloitte
(d) SIDBI – KPMG
(e) Public Sector Banks – PwC

Answer: B

Explanation

- EASE agenda was commissioned by Indian Banks' Association (IBA).
- Boston Consulting Group (BCG) authored the reform roadmap.
- Launched in January 2018 to improve PSB governance.
- Other consultancies (McKinsey, Deloitte, KPMG, PwC) were not involved.
- IBA–BCG partnership created the CLEAN + SMART banking vision.
- EASE evolved through 4 versions, latest being EASE 4.0.

319. EASE 1.0 primarily demonstrated measurable improvement in Public Sector Banks (PSBs) in which area?

ईज़ (EASE)1.0 ने मुख्य रूप से किस क्षेत्र में पब्लिक सेक्टर बैंकों (PSBs) में मापनीय सुधार दिखाया?

(a) Resolution of NPAs transparently
(b) Forex reserves management
(c) Agricultural exports
(d) Mutual fund penetration
(e) Capital market trading

Answer: A

Explanation

- EASE 1.0 was the inaugural version of the reform agenda launched in January 2018.

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- Its primary focus was on cleaning up the balance sheets of Public Sector Banks (PSBs).
- The EASE 1.0 report explicitly highlighted significant improvement in PSB performance regarding resolution of Non-Performing Assets (NPAs).
- Transparency in NPA recognition, provisioning, and resolution was a cornerstone achievement.
- This marked a major shift from earlier practices of evergreening or under-reporting bad loans.
- Other areas like forex reserves (RBI domain), agricultural exports, mutual fund penetration, or capital market trading were not the core measurable outcomes of EASE 1.0.
- The transparent NPA resolution laid the foundation for subsequent EASE versions to build on credit off-take, digitalisation, and customer-centric reforms.

320. Which initiative under EASE reforms is associated with PSBs acting as "UdyamiMitra" for MSME credit management?

ईज़ (EASE) सुधारों के तहत कौन सी पहल एमएसएमई क्रेडिट मैनेजमेंट के लिए PSBs को "उद्यमीमित्र" के रूप में काम करने से जुड़ी है?

(a) EASE 1.0
(b) EASE 2.0
(c) EASE 3.0
(d) EASE 4.0
(e) NDS-OM

Answer: B

Explanation

- UdyamiMitra is SIDBI's MSME credit facilitation portal.
- Introduced as a reform action point in EASE 2.0.
- Part of credit off-take and financial inclusion themes.
- EASE 1.0 focused mainly on NPA transparency/resolution.
- EASE 3.0 and 4.0 built further on digital/MSME lending.
- NDS-OM is unrelated (government securities platform).

321. The full form of NDS-OM platform operated by RBI is:

भारतीय रिजर्व बैंक द्वारा ऑपरेट किए जाने वाले NDS-OM प्लेटफॉर्म का पूरा नाम है:

(a) National Debt System – Online Matching
(b) Negotiated Debt Settlement – Online Matching
(c) Negotiated Dealing System – Order Matching
(d) National Dealing System – Order Market
(e) Negotiable Debt Securities – Order Management

Answer: C

Explanation

- Full form is Negotiated Dealing System – Order Matching.
- Electronic anonymous order-matching platform by RBI.
- Replaced old telephone-based G-Sec trading.
- Other options are incorrect or fabricated terms.
- Focus remains on secondary market transparency.
- Introduced in August 2005 for better price discovery.

322. NDS-OM was introduced in August 2005 with the objective of enhancing efficiency in electronic order matching. Which of the following instruments is traded on this platform?

एनडीएस-ओएम(NDS-OM) को अगस्त 2005 में इलेक्ट्रॉनिक ऑर्डर मैचिंग में एफिशिएंसी बढ़ाने के मकसद से शुरू किया गया था। इस प्लेटफॉर्म पर नीचे दिए गए इंस्ट्रूमेंट्स में से कौन से ट्रेड किए जाते हैं?

(a) Corporate bonds and equities
(b) Foreign bonds
(c) Commercial papers only
(d) Mutual fund units exclusively
(e) Government securities, Treasury Bills, and State Development Loans

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Answer: E

Explanation

- NDS-OM handles secondary trading in G-Secs only.
- Eligible instruments: Government bonds, T-Bills, SDLs.
- Not used for corporate bonds, equities, commercial papers, MFs, or foreign bonds.
- Primary market issuance happens separately.
- Enhances efficiency and fairness in sovereign debt market.
- Membership restricted to institutions with SGL accounts.

323. A key operational requirement for members participating in NDS-OM is the maintenance of which account with RBI?

एनडीएस-ओएम(NDS-OM) में भाग लेने वाले सदस्यों के लिए एक मुख्य ऑपरेशनल ज़रूरत RBI के पास कौन सा अकाउंट मेंटेन करना है?

(a) Subsidiary General Ledger (SGL) account with RBI

(b) Demat account with NSDL

(c) Current account with any commercial bank

(d) Pension account with PFRDA

(e) Insurance policy with IRDAI

Answer: A

Explanation

- SGL (Subsidiary General Ledger) account with RBI is compulsory.
- Allows direct electronic holding and trading of G-Secs.
- Demat (NSDL/CDSL), current, pension, or insurance accounts are irrelevant.
- Only eligible entities (banks, PDs, insurers, MFs) can hold SGL.
- Ensures seamless settlement in NDS-OM platform.
- No SGL → no direct participation in the system.

324. e-Kuber, developed by the Reserve Bank of India, is best described as:

भारतीय रिज़र्व बैंक द्वारा विकसित ई-कुबेर को इस प्रकार वर्णित किया जा सकता है:

(a) Retail internet banking portal for public

(b) Stock exchange trading platform

(c) UPI-based payment app

(d) Core Banking Solution for managing government and inter-bank transactions

(e) Insurance settlement system

Answer: D

Explanation

- e-Kuber is RBI's Core Banking Solution (CBS).
- Manages government transactions and inter-bank settlements.
- Handles receipts/payments of GoI departments and RBI.
- Not a retail portal, UPI app, stock platform, or insurance system.
- Provides real-time, secure, error-minimised fund movement.
- Mandatory for large government payments post-July 202X.

325. As per the new rule effective from 16 July 2025(recent update), all Central Government Department payments exceeding _____ must be routed through e-Kuber:

16 जुलाई से लागू नए नियम (हालिया अपडेट) के अनुसार, केंद्र सरकार के सभी डिपार्टमेंट में _____ से ज़्यादा के पेमेंट ई-कुबेर के ज़रिए ही किए जाने चाहिए:

(a) ₹50 crore

(b) ₹75 crore

(c) ₹100 crore

(d) ₹500 crore

(e) ₹1,000 crore

Answer: B

Explanation

- New rule (from 16 July 2025 recent update): > ₹75 crore mandatory via e-Kuber.
- Applies to all Central Government Department payments.
- Earlier threshold was ₹500 crore.

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- Aims to reduce manual intervention for high-value transactions.
- Certain categories have ₹100 crore threshold.
- Future target proposed even lower (₹50 crore).

326. Earlier, routing of Central Government payments through e-Kuber was mandatory only for transactions above:

पहले, ई-कुबेर के ज़रिए केंद्र सरकार के पेमेंट की रूटिंग सिर्फ़ नीचे दिए गए ट्रांज़ैक्शन के लिए ज़रूरी थी:

(a) ₹50 crore

(b) ₹75 crore

(c) ₹100 crore

(d) ₹500 crore

(e) No mandatory threshold

Answer: D

Explanation

- Pre-revision rule: Mandatory only above ₹500 crore.
- Change lowered the bar to ₹75 crore (general) from 16 July 2025.
- No "no threshold" era existed for large payments.
- ₹50/75/100 crore are current or proposed levels.
- ₹1,000 crore never applied.
- Shift improves efficiency and reduces delays/mismatches.

327. Which of the following is NOT a key function of the e-Kuber system developed by the Reserve Bank of India?

इनमें से कौन सा भारतीय रिज़र्व बैंक द्वारा बनाए गए ई-कुबेर सिस्टम का मुख्य काम नहीं है?

(a) Real-time settlement of funds

(b) Handling government receipts and payments

(c) Retail customer account opening and KYC

(d) Minimising errors through reduced manual intervention

(e) Secure inter-bank and government fund transfers

Answer: C

Explanation

- e-Kuber functions: real-time settlement, government fund handling, error reduction, inter-bank/govt transfers.
- Retail customer account opening and KYC are not its role.
- Designed for institutional/government transactions only.
- Public retail banking is handled by commercial banks' CBS.
- Focus remains on large-value, secure government flows.
- Minimises manual errors in high-stake payments.

328. Under the EASE 4.0 reform agenda, which of the following is explicitly highlighted as a key theme or focus area for Public Sector Banks?

ईज़ (EASE)4.0 रिफॉर्म एजेंडा के तहत, पब्लिक सेक्टर बैंकों के लिए इनमें से किसे खास थीम या फोकस एरिया के तौर पर खास तौर पर हाईलाइट किया गया है?

(a) Complete withdrawal from digital loans

(b) Manual export promotion only

(c) Only North-East branch expansion

(d) Exclusion of agricultural digital lending

(e) 24×7 banking and leveraging FinTech sector

Answer: E

Explanation

- EASE 4.0 highlights 24×7 banking with resilient technology.
- Strong push for FinTech partnerships and leveraging ecosystem.
- Digital loans to agriculture, North-East focus, export promotion included.
- Rejects withdrawal from digital or exclusion of AgriTech.
- Collaborative, tech-driven model is central theme.
- Manual-only approaches contradict the reform direction.

329. Eligibility of participants in IoRS (such as FinTech companies, start-ups) is governed by:

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इंटर-ऑपरेबल रेगुलेटरी सैंडबॉक्स (IoRS) में पार्टिसिपेंट्स (जैसे फिनटेक कंपनियां, स्टार्ट-अप्स) की एलिजिबिलिटी इन बातों से तय होती है:

(a) RBI guidelines only

(b) Principal Regulator's RS framework

(c) SEBI regulations exclusively

(d) PFRDA sandbox rules

(e) Government department approvals

Answer: B

Explanation

- Eligibility for IoRS participation follows the Principal Regulator's RS framework.
- Principal regulator = main sector regulator for the product (e.g., RBI for banking-heavy product).
- Not governed by RBI-only, SEBI-only, or PFRDA rules.
- FinTechs, start-ups, RegTech firms qualify under this.
- Government department approvals are not required.
- Ensures consistency with existing individual sandbox norms.

330. As per the proposed future direction under the revised e-Kuber usage guidelines for Central Government payments, the targeted lower threshold for mandatory routing through the e-Kuber system is:

केंद्र सरकार के पेमेंट के लिए रिवाइज़्ड ई-कुबेर इस्तेमाल की गाइडलाइंस के तहत आगे के प्रस्तावित डायरेक्शन के अनुसार, ई-कुबेर सिस्टम के ज़रिए ज़रूरी रूटिंग के लिए टारगेटेड लोअर थ्रेशहोल्ड यह है:

(a) ₹50 crore

(b) ₹65 crore

(c) ₹75 crore

(d) ₹100 crore

(e) ₹500 crore

Answer: A

Explanation

- Proposed future target: lower threshold to ₹50 crore.
- Current general threshold is ₹75 crore (post-July change).
- Earlier was ₹500 crore; gradual reduction planned.
- Aims for almost all significant government payments via e-Kuber.
- ₹35 crore not mentioned; ₹100 crore is for certain categories now.
- ₹500 crore is the old (superseded) level.

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